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FUNDAMENTALS OF ACCOUNTING

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CHAPTER 1

ACCOUNTING BASICS

In this Chapter:

AT A GLANCE

SPOTLIGHT

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5. Financial Reporting
6. Double entry Book-keeping
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STICKY NOTES

AT A GLANCE

Book-keeping and accounting are two different but inter-connected functions which are integral part of business reporting. Book-keeping is concerned with only recording financial transactions of the business whereas Accounting is a broader term that includes summarising, analysing and reporting these transactions in the financial statements enabling users make informed decisions.

A business transaction is an economic event, involving a business entity and other parties, and must be recorded by an accounting system. One important classification of business transactions is capital vs revenue transactions which differentiate long term impacts from short term impacts of transactions, respectively.

Financial statements are the concise reports based on financial transactions over an accounting period of an entity which reflect its financial performance and financial position. Statement of financial position has three elements namely assets, liabilities and equity. Statement of comprehensive income is made up from two elements i.e. income and expenses.

A comprehensive understanding of the fundamental accounting principles that underpin accounting practices is essential. These foundational accounting concepts collectively ensure the accuracy, transparency, and reliability of financial reporting. By adhering to these principles, organizations enable stakeholders to make well-informed decisions, thereby fostering confidence and trust in the integrity of financial markets and systems.

The main objective of financial statements is to provide investors, lenders, creditors and other users with relevant and reliable information to help them make decisions regarding the business entity. The preparation and presentation of financial statements is regulated by Generally Accepted Accounting Principles which, in Pakistan, are mainly Companies Act, 2017 and International Financial Reporting Standards.

Every business transaction has dual aspect and these aspects are recorded as debit and credit. The double entry book-keeping makes it possible to process large volume of transactions and maintains the accounting equation.

1 BOOK-KEEPING AND ACCOUNTING

BOOK-KEEPING

Book-keeping is the process of recording financial transactions in the accounting records (the 'books') of an entity. All transactions are analysed into different types and are then recorded in a series of individual records called accounts. There is a separate account for each different type of transaction, or that is to say, for each type of asset, liability, income, expense and owners' capital.

Double entry book-keeping is used to record dual aspect of transactions in manual or computerised systems designed to allow the management of the business to monitor its progress and produce periodic financial statements and performance reports.

ACCOUNTING

Accounting is the process of recording, classifying, summarising the information of financial nature and interpreting the results thereof. There are two kinds of accounting: financial accounting and managerial accounting.

Financial accounting (and reporting) is a term that describes:

- maintaining a system of accounting records for business transactions and other items of financial nature; and
- reporting the financial position and the financial performance (profit or loss) of an entity in a set of financial statements to the stakeholders.

Cost and Management Accounting (covered at CAF Level) is the recording and communication of economic information to management for planning, control and decision making.

Accounting Cycle (or Accounting process)

- **Transactions:** An event that has a monetary impact and needs to be recorded in books of accounts is called transaction. A business usually has thousands of transactions in an accounting period.
- **Books of prime entry:** This is the first place where transactions are recorded according to the type of transactions.
- **Ledgers:** Transactions (or transactions totals) are entered into the appropriate accounts in ledgers.
- **Trial balance:** A list of balances can be extracted from the ledgers and this list is called trial balance.
- **Financial statements:** The figures in trial balance are adjusted for period-end adjustments and financial statements are prepared.

2 BUSINESS TRANSACTIONS

A **transaction** is an action or activity involving two parties or things that reciprocally affect or influence each other. A business transaction is an interaction between a business and customer, supplier or any other party with whom they do business. It is an economic event that must be recorded by the accounting system.

Any transaction that has a monetary impact on the business' accounts is a **financial transaction**. A financial transaction has an effect on the business' assets and liabilities, etc. A business must record and account for all financial transactions.

Few examples of financial business transactions are:

- Cash sales of goods or services.
- Credit sales of goods or services.
- Receipt of cash from a customer to whom credit sales was made.
- Cash purchase of raw materials or goods.
- Credit purchase of raw materials or goods.
- Payment of cash to a supplier from whom we had purchased on credit.
- Receipt of loan proceeds.
- Repayment of a loan.
- Payments made to employees.
- Payments made to the government (for example taxes).
- Purchase of non-current assets.
- Drawings (i.e. cash or goods taken by owner from the business)

CLASSIFICATION OF BUSINESS TRANSACTIONS

The business transactions may be classified in following ways:

Simple transactions and Complex transactions

Transactions can be very simple like buying and selling items on cash. Transactions may also be complex involving long time and various parties, for example, selling an item through agent involving series of instalment payment including interest.

One-off transactions and Ongoing transactions

Transactions might occur on single occasion, for example, buying land and building for setting up a factory. Transactions may also occur on regular basis, for example, payment of monthly rent or electricity bill.

Capital transactions and Revenue transactions

Items of a long-term nature, such as property, plant and equipment used to carry out the operating activities of the business, are 'capital items'. Items of a short-term nature, particularly items that are used or occur in the normal cycle of business operations, are 'revenue items'.

Capital expenditure and Revenue expenditure

Capital expenditure is expenditure made to acquire or improve long term assets that are used by the business. Revenue expenditure is expenditure on day-to-day operating expenses.

The term 'capitalisation' means recognising a cost as an asset or part of the cost of an expenditure as an asset. So, when an item of cost is 'capitalised' it is treated as an asset rather than as an 'expense.'

Capital receipts and Revenue receipts

Capital receipts are receipts of 'long term' nature, such as money from a bank loan, or new money invested by the business owner (which is called 'capital'). Revenue income is income arising from the normal operations of a business from its investments, for example, revenue from sale of goods or interest received.

- *Example 01:*

Classify the following transactions as either 'capital' or 'revenue'.

Sr. #	Transaction	Capital /Revenue
(i)	Vehicle A engine is repaired	Revenue expenditure
(ii)	Vehicle B engine is replaced	Capital expenditure
(iii)	Loan borrowed from bank for five years	Capital receipt
(iv)	Interest paid on loan	Revenue expenditure
(v)	Cash received from customer	Revenue receipt
(vi)	Cash paid to employees for their wages	Revenue expenditure
(vii)	Wages paid by a building contractor to his own staff for construction of an office room	Capital expenditure
(viii)	The purchase of machinery for use in the business	Capital expenditure
(ix)	Carriage paid to bring the above-mentioned machinery to the factory	Capital expenditure
(x)	Monthly electricity bill paid	Revenue expenditure
(xi)	The purchase of a soft drinks vending machine for the canteen	Capital expenditure
(xii)	The stock of soft drinks purchased for resale, along with above-mentioned vending machine	Revenue expenditure
(xiii)	Annual motor vehicle tax paid for existing car	Revenue expenditure
(xiv)	Annual motor vehicle tax paid for new car	Revenue expenditure
(xv)	Cost of alteration in office van to increase carrying capacity	Capital expenditure
(xvi)	Small but expensive alterations to a manufacturing machine which increased the output of that machine by 15%	Capital expenditure

3 FINANCIAL STATEMENTS

Financial statements are periodic reports of an entity to provide its stakeholders with necessary information for their decision making needs. The term entity is used to describe any type of organisation for which we do accounting e.g. a business, a company, a bank, a charity organisation.

COMPONENTS OF FINANCIAL STATEMENTS

A complete set of financial statements usually comprises:

- A statement of financial position;
- A statement of comprehensive income;
- A statement of changes in equity (not examinable at this level);
- A statement of cash flows (not examinable at this level); and
- Notes to the financial statements (not examinable at this level).

Statement of financial position

A statement of financial position (also called balance sheet) reports the financial position of an entity as at a particular date, usually the end of a financial year. The financial position of an entity is shown by its assets, liabilities and equity (owner's capital).

Statement of Comprehensive income

This statement provides information about the performance of an entity in a period. It consists of two parts:

- A statement of profit or loss – a list of income and expenses which result in a profit or loss for the period; and
- a statement of other comprehensive income – a list of other gains and losses that have arisen in the period (not in syllabus).

ELEMENTS OF FINANCIAL STATEMENTS

The statement of financial position consists of three elements i.e. assets, liabilities and equity. These three elements form an accounting equation i.e. Assets = Liabilities + Equity

The statement of comprehensive income consists of two elements i.e. income and expenses. The difference of these two elements determines the profit or loss for an accounting period.

Assets

An asset is defined as:

- a present economic resource
- controlled by the entity
- as a result of past events.

In simple words, an asset is something the business owns or controls and is available or will be available for use in the business.

The assets are classified into current assets and non-current assets:

- **Current assets:** assets that provide economic benefits in the short term (usually one year). For example, cash and trade receivables.
- **Non-current assets:** assets that have a long useful life and provide future economic benefits for an entity over a period of several years. For example, buildings and plant & machinery.

Liabilities

A liability is:

- a present obligation of the entity
- to transfer an economic resource
- as a result of past events.

In simple words, a liability is something owed by the business to someone else.

The liabilities are classified into current and non-current, as well:

- **Current liabilities:** amounts payable by the entity within 12 months. For example, trade payables and utilities bills payable.
- **Non-current liabilities:** amounts payable more than 12 months after the reporting date. For example, long term bank loan.

▶ *Example 02:*

Identify the following items as either an asset or a liability.

Sr.#	Item	Element
(i)	Loan to another business	Asset
(ii)	Bank overdraft	Liability
(iii)	Fixture and fittings	Asset
(iv)	Computers	Asset
(v)	We owe a supplier for inventory bought	Liability
(vi)	Warehouse we own and control	Asset
(vii)	Motor vehicles	Asset
(viii)	Premises	Asset
(ix)	Accounts receivables	Asset
(x)	Inventory	Asset
(xi)	Accounts payable for inventory	Liability
(xii)	Owing to bank	Liability
(xiii)	Cash in hand	Asset
(xiv)	Loan from a friend for business use	Liability
(xv)	Machinery	Asset

▶ *Example 03:*

Identify the following items as elements of financial statements and classify them as either current or non-current.

Sr. #	Item	Element	Classification
(i)	Land and buildings	Asset	Non-current asset
(ii)	Receivables (Trade debts)	Asset	Current asset
(iii)	Cash	Asset	Current asset
(iv)	Loan repayable in two years' time	Liability	Non-current liability
(v)	Payables (Trade creditors)	Liability	Current liability
(vi)	Delivery trucks	Asset	Non-current asset

Equity (owner's capital)

Equity is the residual interest in the assets of the entity after deducting all its liabilities.

Equity claims are claims against the entity by the owner that do not meet the definition of a liability i.e. the entity has no obligation to pay or distribute its profits to its shareholders/owners but most of the profitable businesses share their profit with owners in the form of dividends or drawings. Equity is often referred to as owner's capital in sole trader businesses.

Income and investing further capital increases the equity while expenses and drawings decrease the equity.

Equity is sometimes referred to as the 'net assets' of the business. This is represented by accounting equation i.e. Equity (net assets) = Assets – Liabilities

▶ *Example 04:*

Complete the gaps in following table using accounting equation.

Sr. #	Assets	Liabilities	Owner's Capital
	Rs.	*Rs.*	*Rs.*
(i)	60,000	15,000	?
(ii)	80,000	?	56,000
(iii)	?	18,000	58,000
(iv)	120,000	27,000	?
(v)	150,000	?	97,000
(vi)	?	36,000	95,000

▶ *ANSWER*

(i)	Owner's Capital = 60,000 – 15,000 = Rs. 45,000
(ii)	Liabilities = 80,000 – 56,000 = Rs. 24,000
(iii)	Assets = 18,000 + 58,000 = Rs. 76,000
(iv)	Owner's Capital = 120,000 – 27,000 = Rs. 93,000
(v)	Liabilities = 150,000 – 97,000 = Rs. 53,000
(vi)	Assets = 36,000 + 95,000 = Rs. 131,000

Income

Income arise from:

- increase in assets or decrease in a liability, resulting in increase in equity .
- other than contribution from owners (more capital invested in the business).

Income is usually classified into revenue and other items of income:

- **Revenue:** it is income arising in the course of the ordinary activities of the entity. For example, revenue from sale of goods and fee for providing services.
- **Other income:** income arising other than in the course of ordinary activities. For example, interest received on bank deposits and gain from disposal of non-current assets.

Expenses

Expenses arise from:

- decrease in assets or increase in liability, resulting in decrease in equity.
- other than distributions (drawings or dividends) to owners.

Expenses arise in the normal course of activities, such as the cost of goods sold, salaries, rent and other operational costs. Expenses also include losses such as the loss on disposal of a non-current asset, and losses arising from damage caused by fire or flooding.

FORMAT OF FINANCIAL STATEMENTS

Name of Entity

Statement of Comprehensive Income for the year ended 30 June 2021

	Rs'000
Revenue	950
Cost of Sales	(750)
Gross Profit	200
Other income: Gain on disposal	100
	300
Operating expenses	
Salaries and wages	(140)
Repair and maintenance	(60)
Depreciation	(20)
Other expenses	(10)
	(230)
Net profit	70

Name of Entity

Statement of Financial Position as at 30 June 2021

	Rs'000
Non-current assets	
Land and building	200
Plant and machinery/equipment	100
Furniture and fixture	50
Motor vehicles	50
	400
Current assets	
Inventories	110
Trade Receivables	40
Cash and bank balances	50
	200
	600
Capital	
Balance at beginning	100
Add: additional capital invested	50
Add: net profit	70
Less: drawings	(20)
	200
Non-current liabilities	
Bank loan	100
Loan from friend	100
	200
Current liabilities	
Trade payables	100
Salaries payables	100
	200
	600

Relationship between above financial statements

- The statement of financial position shows the equity of a business at a point in time.
- The statement of comprehensive income ends with a figure showing net profit for the period.
- Profit belongs to the owner (or owners) of the business. It is, therefore, added to equity.

4 FUNDAMENTAL ACCOUNTING CONCEPTS

It is also important to understand the various fundamental principles that underpin accounting practices. Together, these fundamental accounting concepts provide the foundation for accurate, transparent, and meaningful financial reporting, enabling stakeholders to make informed decisions and fostering trust in the financial markets.

BASIC ACCOUNTING CONCEPTS

Business Entity Concept

This principle states that the transactions of a business should be kept separate from the personal transactions of its owner(s) while preparing financial reports. For example, Maria owns a bakery and her personal home rent should not be mixed with the bakery's rent expense.

This concept has legal substance in case of companies i.e. a company by law is a legal person separate from its owners (the shareholders). However, the concept is also applied to sole traders and partnership in accounting. Only business transactions will be included in financial records of the business i.e. personal transactions of owners will not be part of financial records of the business.

- *Example 05:*

Discuss whether you would consider the following events as business transactions.

i. A businessman purchased a vehicle for his private use by drawing cash from business. However, he also uses it for coming to the office.

ii. ABC & Company has paid the electricity bill of one of its partners. However, the amount is recoverable from that partner.

iii. Furniture and fixtures lying in the office were destroyed by fire. Furniture was owned by one of the partners and it was not in the use of business.

iv. The proprietor provides a generator to the office. The generator is presently not working and it would have to be repaired before it can be used. Previously the generator was lying in the proprietor's house.

v. Balance recoverable from an employee was written off after his death.

- *ANSWER:*

i. Purchase of a vehicle is not a business transaction. However, the cash withdrawal is a business transaction.

ii. Payment on behalf of the partner is recoverable by the business. Hence this is a business transaction.

iii. It is not a business transaction as the ownership of furniture does not belong to the business entity but to one of the partners.

iv. It is a business transaction and it is required to be recorded as capital invested in business in the form of generator.

v. This is a business transaction as the employee was working for the business and such waiver is a form of benefit to the employee.

Duality Concept

Duality concept of recording ensures that every financial transaction has equal and opposite effects in at least two different accounts. For example, Jazib buys a computer for his office for Rs. 100,000 paying by cheque. This transaction increases the computer asset account and decreases the bank balance account.

This is also called dual aspect concept and double entry system. This will be covered in detail later in this chapter.

Accounting Period

Financial statements are prepared for specific periods. In other words, financial statements relate to given period, known as the 'financial year', 'accounting period' or 'reporting period'. Accounting period may differ across entities.

For example, Ufaq's landscaping business prepares annual financial statements for the period from 1st July to 30th June of following year. On the other hand, Manahil's art gallery prepares annual financial statements for the period from 1st April to 31st March of following year.

Historical Cost Concept

Applying this concept means that items in financial statements, in particular assets, are recorded based on their original purchase cost rather than their current market value. For example, Adeel's bookstore records its building at the purchase price of Rs. 24 million i.e. the price he paid in 2017 for this building, not the current market value of building which has increased to Rs. 75 million in year 2025.

Accrual (and prepayment) Basis / Matching Concept

Income and expenses are recorded when they are earned or incurred, not when cash is received or paid. Accruals basis accounting (accruals accounting, the matching concept) depicts the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims in the periods in which those effects occur, even if the resulting cash receipts or payments occur in a different period.

- Revenue from sales and other income should be reported in the period when the income arises (which might not be the same as the period when the cash is received from the customer / client).
- The cost of sales in the statement of comprehensive income must be matched with the sales. Income and 'matching' expenses must be reported in the same financial period. In other words, when the revenue is recognised from sale then the cost must also be recognised in the similar accounting period.
- Other expenses should be charged in the period to which they relate, not the period in which they are paid for.

▶ *Illustration: Statement of comprehensive income*

	Rs
Revenue (from sales made in the period)	X
Cost of sales (costs matched with sales made in the period)	(X)
Gross profit	X
Other costs (charged in the period in which the benefit from it is utilised)	(X)
Net profit	X

A **prepayment** is an amount of money paid in advance for benefits that will be received in the next accounting period. For example, a prepayment in Year 2025 of some expenses relating to Year 2026 should not be charged as an expense in Year 2025 but should be treated as prepaid in Year 2025 and as an expense in Year 2026.

An **accrued expense** is an amount that an entity owes in respect of a benefit it has received in a period but for which it has not yet been invoiced and paid. For example, electricity bill of June 2025 might be paid in July 2025 but it should be charged as expense in June 2025.

An **accrued income** is an amount that an entity has to receive in respect of a benefit it has provided in a period but for which it has not yet received the amount. For example, Shahid provided teaching services to students in December 2025 and it should be recorded as income in December 2025, although the amount will be received in January 2026.

▶ *Example 06:*

Applying the accrual basis/matching concept, briefly discuss the accounting treatment in each of the following situations:

i. Kashif's law firm completed a service in December, but the client pays in January.

ii. A company prepares its financial statements to the 31 December each year. It sells goods for Rs. 50,000 to a customer on 6 December 2025, but does not receive a cash payment from the customer until 15 February 2026.

iii. A company starts in business on 1 September 2025. It acquires an office for which it pays one year's rent in advance, to 31 August 2026. The cost of the annual rental is Rs. 120,000. The company prepares its financial statements for a financial period ending on 31 December each year.

iv. A company rents office space at a cost of Rs. 6,000,000 per year paid 12 months in arrears (this means that the company pay the rent at the end of the year). The first payment is due on 30 June 2026. The company prepares its financial statements to 31 December each year.

▶ *ANSWER:*

i. The revenue should be recorded in December.

ii. The sale is recognised as income in the year to 31 December 2025, even though the cash is not received until after the end of this financial year.

iii. The office rental cost in the period to 31 December 2025 is the cost of just four months' rent. The expense is therefore Rs. 40,000 (Rs. 120,000 x 4/12) in 2025, and there has been a prepayment for Rs. 80,000 that relates to the next financial period, the year to 31 December 2026.

iv. The company will not have received an invoice and paid for the rent when it is preparing its financial statements for 31 December 2025. However, it knows that it has occupied the office space for six months. The company would recognise a liability for rental costs for six months (Rs. 3,000,000) and also include this as an expense in profit and loss for Year 2025.

Accounting for accruals and prepayments is described in detail in the chapter 4 of this study text.

Realisation Concept

The realization concept in accounting is the principle that revenue should be recognized when it is earned, not when payment is received. It is used in accrual accounting.

For example, Ghalib's photography studio recognizes revenue once the photos are delivered to clients, even if payment is pending. Similarly, it does not recognise revenue for advance received from clients until photos are delivered to the client.

Prudence Concept

Prudence implies that income and assets must not be overstated, and expenses and liabilities must not be understated. This is because financial statements must sometimes recognise the uncertainty as to expenses or expected losses to be incurred in business transactions. For example, if a business is owed Rs. 1,000,000 by a few of its customers, there will be some uncertainty as to whether all the money will be collected. Prudence involves allowing for some caution in preparing financial statements, by making reasonable and sensible allowances to avoid overstating assets or income and to avoid understating expenses or liabilities.

▶ *Example 07:*

A company has receivables of Rs. 10,000,000. The company knows from experience that about 2% of its receivables will not be collected because of customers being in financial difficulty.

Required:

Briefly discuss the accounting treatment in context of prudence concept.

▶ *ANSWER:*

It is prudent to make an allowance for doubtful debts to 2% of receivables (but it would be inappropriate to make an excessive allowance, say 10% of receivables).

The company would recognise an allowance of Rs. 200,000 to set against the receivable in the statement of financial position showing a net amount of Rs. 9,800,000 (10,000,000 less 200,000).

The Rs.200,000 would also be recognised as an expense in the statement of comprehensive income as these are expected to be irrecoverable.

Materiality Concept

Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. An error which is too trivial to affect a user's understanding of financial statement is referred to as immaterial.

For example, Ghalib's factory expenses includes all significant expenses (i.e. might be important for understanding the operations of business) in financial statements separately but expenses with total of less than Rs. 3,000 (i.e. likely not to be important for understanding the business operations) are aggregated and presented as miscellaneous expenses in one line.

There is no absolute measure of materiality that can be applied to all businesses. Whether an item is material or not depends on its magnitude (size) or its nature or both in the context of the specific circumstances of the business.

Whether an item of a given size is deemed to be material depends on the context of the number in relation to other numbers in the financial statements.

▶ *Illustration: Materiality on the basis of size*

Two similar businesses prepare financial statements that show that each has non-current assets of Rs. 10,000,000 and each has a profit for the year of Rs. 100,000.

Each business discovers a Rs. 20,000 error.

Error	Comment
This relates to how Business A arrived at the total of non-current assets which are now overstated by Rs. 20,000.	This is immaterial. Rs. 20,000 is a small error in the context of the non-current asset figure and its omission would not be misleading.
This relates to how Business B arrived at the profit for the year which is now overstated by Rs. 20,000.	This is material. Omitting this amount means that profit is misstated by 20%.

Businesses are sometimes placed under a legal obligation to disclose certain information in their financial statements (for example, companies must disclose directors' remuneration). Omission of such amounts, due to their nature, is always a material misstatement regardless of the size of the amount in relation to the other numbers in the financial statements.

Completeness

Completeness refers to whether all transactions that occurred during the period have been recorded.

The objective of financial reporting is to provide useful information. Information is only useful if a person can rely on it. To be reliable, information should be complete, subject to materiality and cost. (There is no need to include information if it is not material, and greater accuracy is not required if the cost of obtaining the extra information is more than the benefits that the information will provide to its users).

For example, a company rents office space at a cost of Rs. 6,000,000 per year paid 12 months in arrears (this means that the company pay the rent at the end of the year). The first payment is due on 30 June 2026. The

company prepares its financial statements to 31 December each year. The company will not have received an invoice for the rent when it is preparing its financial statements for 31 December 2025. If the company does not accrue for the expense that relates to the 6 months to 31 December 2025, the information would be incomplete.

Money Measurement Concept

The money measurement concept is an accounting principle that requires businesses to only record transactions that can be quantified in money. It's also known as the measurability concept.

For example, Manahil's art gallery records the purchase of art supplies because the amounts can be quantified, but the artist's creativity is not recorded because it cannot be quantified in monetary amount.

Consistency Concept

Once an accounting method is chosen, it should be used consistently from one period to another. For example, Adeel's construction material company uses periodic weighted average for measurement of its cost of inventory and should continue to use it for all periods.

It also implies that the content of the financial statements must be presented consistently from one period to the next. The presentation can be changed only if necessary to improve the quality of information presented in terms of its usefulness to the users or if a new rule requires a change.

▶ *Illustration: Problems with inconsistent presentation*

A manager of a business has been promised a bonus if he can improve gross profit to more than 10% above what it was last year. In the event the results of the business have been exactly the same but the manager has prepared the financial statements on a slightly different basis.

	2012	2013
	Rs.000	Rs.000
Sales	25,000	25,000
Cost of sales:		
Production costs	10,000	10,000
Warehousing costs	10,000	
	(20,000)	(10,000)
Gross profit	5,000	15,000
Less: Other expenses	(4,000)	(14,000)
Net profit	1,000	1,000

The manager has presented the information in a different way. This year's presentation is inconsistent with last year's. This might mislead the user of the financial statements (in this case the person who will decide if the manager will receive a bonus).

It might be that the manager's presentation is correct but, in that case, the previous year's results should be represented onto a consistent basis in order to prevent a misleading impression.

Going Concern Concept

This means that financial statements are prepared on the assumption that the entity will continue to operate for the foreseeable future and does not intend to go into nor will be forced into liquidation. This assumption affects the value of assets and liabilities of an entity, as reported in the financial statements.

If a business entity is not a going concern, and is about to be closed and liquidated, the value of its assets would be their estimated value in the liquidation process.

For example, Nayab's coffee shop assumes operations will continue indefinitely and prepares financial statements based on that assumption. If she had decided to close the coffee shop in near future, the value of her assets (upon liquidation) would be much lower than it would be had the going concern assumption been used because generally assets generate more benefits when used properly in long term.

Substance over form

Financial statements reflect the economic reality of transactions rather than just their legal form. To provide a faithful representation, financial information must account for transactions and other events in a way that reflects their substance and economic reality (in other words, their true commercial impact) rather than their legal form. If there is a difference between economic substance and legal form, the financial information should represent the economic substance.

▶ *Example 08:*

Alpha rents (leases) an asset from Beta. The asset is expected to be useful for 10 years after which it will be scrapped. Alpha has a contract to use the asset for 10 years.

Required: Analyse the above arrangement from viewpoint of substance over form.

▶ *ANSWER:*

Apparently, the form of above arrangement is rental agreement indicating that Alpha should record rent expense and may not record any asset.

However, the substance of the transaction is that Alpha has bought the asset from Beta. Beta would only agree to let Alpha use the asset for all of its useful life if the rentals received from Alpha covered Beta's costs of buying the asset and gave Beta a financial return. This is the same as Alpha borrowing money and buying the asset.

Alpha must recognise the leased asset as if it owns it and also must recognise a liability to pay for the asset.

Reliability Concept

In accounting, the reliability concept means that financial information presented in financial statements should be accurate, verifiable, and dependable, ensuring that users can trust the information to faithfully represent the economic activities of the business, based on objective evidence like receipts and bank statements; essentially, only transactions that can be proven should be recorded in the accounting system.

For example, Kay Limited only records transactions that are supported by receipts, invoices, and bank statements, ensuring that the financial information is accurate and dependable.

Reliability is achieved when information in financial statements:

- represent faithfully the financial position, financial performance and cash flows of the entity;
- reflect the economic substance of transactions, other events and conditions, and not merely the legal form;
- are neutral, i.e. free from bias;
- are prudent; and
- are complete in all material respects.

QUALITATIVE CHARACTERISTICS OF USEFUL FINANCIAL INFORMATION

Relevance

Information must be relevant to decision making needs of the users. Information is relevant if it can be used for predictive and/or confirmatory purposes.

- It has predictive value if it helps users to predict what might happen in the future.
- It has confirmatory value if it helps users to confirm the assessments and predictions they have made in the past.

For example, Kashif is considering whether to invest in Adeel Limited's shares in the stock market. He uses financial statements of last five years and determines that profitability of Adeel Limited is increasing steadily over the years. Based on this, he predicts that next year Adeel Limited would earn a profit of Rs. 300 million or more. This predictive value helps in making an informed decision.

True and Fair View / faithful representation

True and fair view implies that financial statements should present an accurate and unbiased picture of the company's financial situation which is not misleading for users of financial statements. For example, Kashif's electronics store provides financial reports that truthfully reflect the store's sales and expenses.

Another way of saying this is that financial statements should provide a faithful representation of its financial position and financial performance. Faithful representation is achieved by providing information that is complete, neutral and free from error.

Comparability

Comparability enables users to identify and understand similarities in, and differences among, items.

Information about a reporting entity is more useful if it can be compared with similar information about other entities and with similar information about the same entity for another period or another date.

For example, Aqeel's electronics store adopts the same accounting policies over multiple years. Same accounting policies are used across the electronics industry. This allows investors to compare the store's financial performance across different periods and different entities and make informed decisions.

Consistency is related to comparability but is not the same. Consistency refers to the use of the same methods for the same items, either from period to period within a reporting entity or in a single period across entities. Consistency helps to achieve the goal of comparability.

Verifiability

Verifiability means that different knowledgeable and independent observers could reach consensus that a particular depiction in financial statements is a faithful representation. This quality helps to assure users that information faithfully represents the economic phenomena it purports to represent.

For example, Kay Limited has financial records that can be independently verified by auditors. These auditors examine accounting records and underlying documents to ensure that the financial statements represent a faithful depiction of the store's economic activities.

Timeliness

This means having information available to decision-makers in time to be capable of influencing their decisions.

For example, Jamal Limited provides financial statements to its shareholders within a few weeks of the end of the relevant accounting period, enabling shareholders to make timely economic decisions related to their investment.

Understandability

Information is made understandable by classifying, characterising and presenting it in a clear and concise manner. Financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review and analyse the information diligently.

For example, Zahra Limited presents its financial statements in a clear and concise manner, using straightforward language and organized sections, making it easy for users to understand the financial information.

Cost constraint on useful information

Cost is a pervasive constraint on the information that can be provided by financial reporting. Reporting financial information imposes costs, and it is important that those costs are justified by the benefits of reporting that information.

Since it is difficult to measure the benefits of financial information, the setters of accounting standards must use their judgement in deciding whether certain items of information should be provided in the financial statements (and if so, in how much detail).

For example, Saima Limited evaluates whether the benefits of providing detailed financial information justify the costs involved. The management decides that including certain detailed breakdowns in the financial statements is not cost-effective. Therefore, such information is not included unless there is any legal or regulatory requirement to disclose it.

ACCOUNTING TERMS

Recognition

This refers to putting an item into the bookkeeping system (performing double entry on it).

Cost

The amount of cash or cash equivalents paid, or the value of the other consideration given to acquire an asset at the time of its acquisition or construction.

Gross amount

This is presenting an asset, liability, income or expense without deducting any related amount.

- *Illustration:*

	Rs. '000
Sales	580,000
Trade receivables	63,000

Net amount

This refers to the result of adding a positive and negative number together. The result might be a net asset, net liability, net income or net expense.

- *Illustration:*

	Rs. '000
Sales	580,000
Less: Sales return	(46,000)
Less: Settlement discount allowed	(3,000)
Net sales	531,000
Trade debts	63,000
Less: Allowance for doubtful debts	(3,500)
Net trade debts	59,500

5 FINANCIAL REPORTING

The objective of financial reporting is to provide financial information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity.

The information explains the financial position of an entity at the end of a period (usually a year) and the financial performance of the entity over that period.

RESPONSIBILITY FOR PREPARING FINANCIAL STATEMENTS

Sole trader and partnership businesses

There may be no obligation to prepare financial statements, other than for tax purposes or obtaining loan from bank, for which the owner/partners are responsible. They might employ a person or persons to maintain the accounting records and prepare financial statements.

Companies

Companies must prepare financial statements for shareholders and for filing with relevant regulatory bodies in accordance with Companies Act, 2017 (as applicable in Pakistan) and International Financial Reporting Standards (IFRSs). It is the responsibility of the directors to ensure that this is done. Companies also employ a team of accountants to undertake this work.

REGULATION FOR PREPARING FINANCIAL STATEMENTS

Sole trader and partnership businesses

The financial statements are private and do not have to be disclosed, except to the tax authorities (and possibly also to a lending bank). These must be prepared according to accepted accounting principles and practices but need not conform to all the requirements of accounting standards.

Companies

The financial statements of a company are prepared for the shareholders of the company and are usually subject to audit. Audit is the examination of the financial statements by an independent expert who expresses an opinion as to whether they are fairly presented (show a true and fair view).

Company law requires that financial statements are filed with a government authorities, where they can be accessed and read by any member of the general public. Listed companies are even required to make their financial statements available on their websites.

The concepts, principles, conventions, laws, rules and regulations that are used to prepare and present financial statements are known as Generally Accepted Accounting Principles (GAAPs).

GAAP AND IFRS

The main sources of GAAPs in Pakistani jurisdiction are:

- Companies Act, 2017; and
- International Financial Reporting Standards (IFRSs)

The accountancy profession has developed a large number of regulations and codes of practice that professional accountants are required to use when preparing financial statements. These regulations are accounting standards. Many countries and companies whose shares are traded on the world's stock markets have adopted IFRSs issued by the International Accounting Standards Board (IASB).

INFORMATIONAL NEEDS OF USERS OF FINANCIAL STATEMENTS

Financial statements are drafted to provide information that should be useful to most users but will not necessarily satisfy all of their needs.

Investors

They need information to assess whether to buy, hold or sell investment in the business. Financial statements also give some indication of the ability of a company to pay dividends to its shareholders out of profits.

Lenders

Financial statements can help lenders to assess the continuing ability of the borrower to pay interest, and its ability to repay the loan principal at maturity.

Suppliers

They can use the financial statements to assess how much credit they might safely allow to the entity.

Government

They might use this information for the purpose of business regulation or deciding taxation policies.

The public

In some cases, members of the general public might have an interest in the financial statements of a company. The IASB Framework comments: 'For example, entities may make a substantial contribution to the local economy in many ways including the number of people they employ and their patronage of local suppliers.'

Employees

Employees need information about the financial stability and profitability of their employer. An assessment of profitability can help employees to reach a view on the ability of the employer to pay higher wages, or provide more job opportunities in the future.

Customers

Customers might be interested in the financial strength of an entity, especially if they rely on that entity for the long-term supply of key goods or services.

Managers

Management should have access to all the financial information they need, and in much more detail than financial statements provide. However, management is responsible for producing the financial statements and might be interested in the information they contain.

6 DOUBLE ENTRY BOOK-KEEPING

Every transaction that affects assets, liabilities, capital, income or expenses must have an offsetting effect to maintain the accounting equation. Every transaction must be recorded (entered) in at least two places. The process of doing this is called double entry book-keeping.

RULES OF DEBIT AND CREDIT

Each business transaction has two aspects which are named as debit and credit by norm in accounting. By convention, the terms 'debit' and 'credit' are shortened to 'Dr' and 'Cr' respectively. Total debit entries and total credit entries must always be equal, this maintains the accounting equation.

An account is a record of an individual type of asset, liability, income, expense or equity. For example, a record of amounts owed by an individual customer (an asset) or a record of utility bills (an expense).

Account type	Increase	Decrease
Assets, Expenses and Drawings	Debit	Credit
Liabilities, Income and Capital	Credit	Debit

▶ *Example 09:*

Identify the accounts to be debited and credited for the following transactions:

i. Bought motor vehicle for cash.
ii. Paid creditor, Nawabshah Traders, by cash.
iii. Repaid bank loan by cheque.
iv. Sold motor vehicle for cash.
v. Paid office rent by cheque.
vi. A debtor, Multan Traders, pays us by cash.
vii. Paid electricity bill for the month by cash.
viii. Proprietor puts a further amount into the business by cheque.
ix. A loan in cash is received from Sahiwal Bank.
x. Paid a creditor, Peshawar Enterprise, by cash.
xi. Bought office machinery on credit from Lahore Limited
xii. The proprietor paid a creditor, Layyah Enterprises, from his private funds.
xiii. A debtor, Islamabad Limited, paid us in cash.
xiv. Repaid part of loan from Quetta Bank by cheque.
xv. Returned some of office machinery to Lahore Limited.
xvi. A debtor, Karachi Company, pays us by cheque.
xvii. Interest on bank deposit received in bank account.
xviii. Bought goods on credit from Arslan Traders
xix. Returned good to supplier Amjad Enterprises
xx. Sold goods to Habib Mall on credit
xxi. Customer Rizwan Stores returned goods to us
xxii. Owner took cash for his personal use

▶ *ANSWER:*

Sr. #	Account	Element	Effect	Debit / Credit
(i)	Motor vehicle Cash	Asset Asset	Increase Decrease	Debit Credit
(ii)	Nawabshah Traders: payables Cash	Liability Asset	Decrease Decrease	Debit Credit
(iii)	Bank Loan Bank	Liability Asset	Decrease Decrease	Debit Credit
(iv)	Cash Motor vehicle	Asset Asset	Increase Decrease	Debit Credit
(v)	Office rent expense Bank	Expense Asset	Increase Decrease	Debit Credit
(vi)	Cash Multan Traders: receivables	Asset Asset	Increase Decrease	Debit Credit
(vii)	Electricity expenses Cash	Expense Asset	Increase Decrease	Debit Credit
(viii)	Bank Capital	Asset Equity	Increase Increase	Debit Credit
(ix)	Cash Loan from Sahiwal Bank	Asset Liability	Increase Increase	Debit Credit
(x)	Peshawar Enterprises: payables Cash	Liability Asset	Decrease Decrease	Debit Credit
(xi)	Office machinery Payable to Lahore Limited	Asset Liability	Increase Increase	Debit Credit
(xii)	Layyah Enterprises: payables Capital	Liability Equity	Decrease Increase	Debit Credit
(xiii)	Cash Islamabad Limited: receivables	Asset Asset	Increase Decrease	Debit Credit
(xiv)	Loan from Quetta Bank Bank	Liability Asset	Decrease Decrease	Debit Credit
(xv)	Payable to Lahore Limited Office machinery	Liability Asset	Decrease Decrease	Debit Credit
(xvi)	Bank Karachi Company: receivables	Asset Asset	Increase Decrease	Debit Credit
(xvii)	Bank Interest income (other income)	Asset Income	Increase Increase	Debit Credit
(xviii)	Purchases Arslan Traders: payables	Expense Liability	Increase Increase	Debit Credit
(xix)	Amjad Enterprises: payables Purchases return	Liability Expense	Decrease Decrease	Debit Credit
(xx)	Habib Mall: receivables Sales	Asset Income	Increase Increase	Debit Credit
(xxi)	Sales return Rizwan Stores: receivables	Income Asset	Decrease Decrease	Debit Credit
(xxii)	Drawings Cash	Equity Asset	Decrease Decrease	Debit Credit

- *Example 10:*

  In respect of each of the following, give example of a transaction which would result in:

  i. Decrease in a liability and increase in another liability

  ii. Increase in an asset and decrease in another asset

  iii. Decrease in an asset and decrease in a liability

  iv. Decrease in capital and decrease in asset

- *ANSWER:*

  i. Payment of creditors by using bank overdraft / loan.

  ii. Purchase of a machine against cash.

  iii. Payment of creditors through bank balance.

  iv. Cash withdrawal by owner of the business.

7 COMPREHENSIVE EXAMPLES

▶ *Example 11:*

Identify the accounts to be debited and credited for the following transactions:

i. We pay a creditor in cash.

ii. Bought fixtures paying by cheque.

iii. Bought goods on credit.

iv. The proprietor introduces further cash into the business.

v. A bank lends us in cash.

vi. A debtor pays us by cheque.

vii. We return goods costing to a supplier whose bill we had not paid.

viii. Bought additional shop fixtures paying by cheque.

ix. Bought a van on credit.

x. Repaid by cash a loan owed to Bank.

▶ *ANSWER:*

Sr. #	Account	Element	Effect	Debit / Credit
(i)	Trade creditors (payables) Cash	Liability Asset	Decrease Decrease	Debit Credit
(ii)	Fixtures Bank	Asset Asset	Increase Decrease	Debit Credit
(iii)	Purchases Trade creditors (payables)	Expense Liability	Increase Increase	Debit Credit
(iv)	Cash Capital	Asset Equity	Increase Increase	Debit Credit
(v)	Cash Bank Loan	Asset Liability	Increase Increase	Debit Credit
(vi)	Bank Trade debtors (receivables)	Asset Asset	Increase Decrease	Debit Credit
(vii)	Trade creditors (payables) Purchase return	Liability Expense	Decrease Decrease	Debit Credit
(viii)	Fixtures Bank	Asset Asset	Increase Decrease	Debit Credit
(ix)	Van Payable for Van	Asset Liability	Increase Increase	Debit Credit
(x)	Bank Loan Cash	Liability Asset	Decrease Decrease	Debit Credit

▶ *Example 12:*

Identify the accounts to be debited and credited for the following transactions:

i. Bought goods paying by cheque.
ii. The owner puts further cash into the business.
iii. Sold goods on cash.
iv. Sold goods on credit.
v. A debtor returns to us some goods. We agree to make an allowance for them.
vi. Bought goods on credit.
vii. The owner takes out cash for his personal use.
viii. We pay a creditor by cheque.

▶ *ANSWER:*

Sr. #	Account	Element	Effect	Debit / Credit
(i)	Purchases Bank	Expense Asset	Increase Decrease	Debit Credit
(ii)	Cash Capital	Asset Equity	Increase Increase	Debit Credit
(iii)	Cash Sales	Asset Income	Increase Increase	Debit Credit
(iv)	Trade debtors (receivables) Sales	Asset Income	Increase Increase	Debit Credit
(v)	Sales return Trade debtors (receivables)	Income Asset	Decrease Decrease	Debit Credit
(vi)	Purchases Trade creditors (payables)	Expense Liability	Increase Increase	Debit Credit
(vii)	Drawings Cash	Equity Asset	Decrease Decrease	Debit Credit
(viii)	Trade creditors (payables) Bank	Liability Asset	Decrease Decrease	Debit Credit

▶ *Example 13:*

Identify the accounts to be debited and credited along with amounts for the following transactions:

i. Started business with Rs. 75,000 cash and Rs. 900,000 in the bank.
ii. Received a loan of Rs. 200,000 from KLM Bank by cheque.
iii. Bought a computer for cash Rs. 30,000.
iv. Bought display equipment on credit from Clear Count Ltd Rs. 42,000.
v. Took Rs. 20,000 out of the bank and put it in the cash till.
vi. Repaid part of KLM Bank loan by cheque Rs. 50,000.
vii. Paid amount owing to Clear Count Ltd Rs. 42,000 by cheque.
viii. Repaid part of KLM Bank loan by cash Rs. 25,000.
ix. Bought a printer on credit from Image Traders for Rs. 20,000.
x. Bought goods on credit from ABC for Rs. 10,000
xi. Sold goods on credit to XYZ for Rs. 12,000
xii. Owner took cash from bank of Rs. 7,000 for his personal use.

▶ *ANSWER:*

Sr. #	Account	Rs.	Element	Effect	Debit / Credit
(i)	Cash Bank Capital	75,000 900,000 975,000	Asset Asset Equity	Increase Increase Increase	Debit Debit Credit
(ii)	Bank Bank Loan	200,000 200,000	Asset Liability	Increase Increase	Debit Credit
(iii)	Computer Cash	30,000 30,000	Asset Asset	Increase Decrease	Debit Credit
(iv)	Display Equipment Payable to Clear Count	42,000 42,000	Asset Liability	Increase Increase	Debit Credit
(v)	Cash (in hand) (Cash at) Bank	20,000 20,000	Asset Asset	Increase Decrease	Debit Credit
(vi)	Bank Loan Bank	50,000 50,000	Liability Asset	Decrease Decrease	Debit Credit
(vii)	Payable to Clear Count Bank	42,000 42,000	Liability Asset	Decrease Decrease	Debit Credit
(viii)	Bank Loan Cash	25,000 25,000	Liability Asset	Decrease Decrease	Debit Credit
(ix)	Printer Image Traders	20,000 20,000	Asset Liability	Increase Increase	Debit Credit
(x)	Purchases Trade payables	10,000 10,000	Expense Liability	Increase Increase	Debit Credit
(xi)	Trade receivables Sales	12,000 12,000	Asset Income	Increase Increase	Debit Credit
(xii)	Drawings Bank	7,000 7,000	Equity Asset	Decrease Decrease	Debit Credit

▶ *Example 14:*

Name the accounting concepts/principles on which the following rules are based:

i. Nothing material is left out that would be vital to investors or other users in assessing the underlying events and conditions of the business.

ii. Whether the item in question affects decision of the users of the financial statements?

iii. A company is separate and distinct from its owners.

iv. Financial information must not only represent relevant phenomena but it must also be complete, neutral and free from error.

v. Expenses incurred in a particular time period should be compared with the revenue earned during the same tune period.

vi. Caution should be exercised while preparing financial statements in order to avoid overstatement of net assets and net income.

vii. The assumption that a business entity will continue in existence for the foreseeable future.

viii. Same accounting policy shall be applied to accounting events from period to period.

- *ANSWER:*

i. Completeness/ Materiality
ii. Materiality
iii. Separate entity concept
iv. True and fair view
v. Matching concept
vi. Prudence
vii. Going concern
viii. Consistency

- *Example 15:*

Name the accounting concepts/principles on which the following rules are based.:

i. Stocks are valued on the same basis in each accounting period.
ii. Assets are valued assuming there will be no sudden stoppage in business.
iii. Assets and liabilities are valued with due caution in times of uncertainty.
iv. Personal transactions should be distinguished from business transactions.
v. Cost of small calculators may be charged to expenses instead of being capitalized.
vi. The financial statements must disclose all the relevant information.
vii. Income is not recognized when a fee is received but when a service is rendered.
viii. Leased vehicles are recorded as assets although these are not owned by the organization.
ix. Income and all costs relating to earning such income are accounted for in the same accounting period.

- *ANSWER:*

i. Consistency
ii. Going concern
iii. Prudence
iv. Separate entity concept
v. Materiality
vi. Completeness
vii. Accrual concept
viii. Substance over form
ix. Matching concept

- *Example 16:*

Identify and explain the accounting concepts/principles being followed:

i. Fixed assets are stated at cost less accumulated depreciation.
ii. Items of capital nature, costing less than Rs. 1,000 are charged to cost.
iii. Stock-in-trade is valued on the same basis as is being followed for last many years.
iv. Appropriate provision is made for bad and doubtful debts.
v. Sales revenue is recorded on dispatch of goods to customers irrespective of the date of receipt of payment.
vi. Cost of sales is recorded in the same period in which the revenue earned from the sale is recorded.

▶ *ANSWER:*

i. Historical cost

This is the actual amount of cash paid or received. For example, the historical cost of an item of fixed assets is the amount that was paid to buy it in the past.

ii. Materiality

Information is material if omitting it or misstating it could influence decisions that users make on the basis of financial statements of an entity.

iii. Consistency

The financial statements must be presented consistently from one period to another. The presentation may be changed only if necessary to improve the quality of information presented in terms of its usefulness to the users or if a new rule requires a change.

iv. Prudence

Prudence involves allowing for some caution in preparing financial statements, by making reasonable and sensible allowance in order to avoid overstating assets or income and to avoid understating liabilities and expenses.

v. Accrual basis accounting

Revenue from sales and other income should be reported in the period when income arises (which might not be the same as the period when the cash is received)

vi. Matching concept

The cost of sales in the statement of comprehensive income must be matched with the sales.

▶ *Example 17:*

Identify accounting concepts/principles on which the following statements are based and give one example of each:

i. Expenses are recognized on the basis of a direct association between the costs incurred and the earning of specific items of income.

ii. Accounting policies in use are applied from one period to the next.

iii. Overstating assets/income and understating liabilities/expenses are avoided.

iv. Revenue and other income are recognized when these are earned, irrespective of the date of receipt.

v. Any information, omitting or misstating of which could influence a decision of a user of the financial statements, is disclosed

▶ *ANSWER:*

Sr. #	Accounting Concept/Principle	Examples(s)
(i)	Matching	• Cost of sales is recorded in the period in which sales is recorded. • Costs are charged in the period in which benefits are received.
(ii)	Consistency	• Use of same cost formula for stock valuation which was used in the previous period.
(iii)	Prudence	• Allowance for doubtful debts (receivables) • Inventory valuation at lower of cost and net realisable value.
(iv)	Accruals	• Purchases are recorded although suppliers are yet to be paid. • Sales are recorded although cash is yet to be received from the customers.
(v)	Materiality	• Fixed assets below a certain limit, are charged to profit and loss as revenue expenditure.

8 OBJECTIVE BASED Q&A

1. Which of the following statements are true?

   1. Accounting can be described as the recording and summarizing of transactions
   2. Financial accounting describes the production of a statement of financial position and Statement of Profit or Loss for internal use

   a) 1 only
   b) 2 only
   c) 1 and 2 both
   d) Neither 1 nor 2

2. The terms accounting and book keeping are classified as

   a) Same
   b) Different
   c) Opposite
   d) None of these

3. The main aim of financial accounting is to:

   a) Record all transactions in the books of account.
   b) Provide management with detailed analyses of costs.
   c) Present the financial results of an organization by mean of financial statements.
   d) Calculate profit.

4. Which of the following is least likely to be expected from a book-keeping and accounting system?

   a) Systematic recording of transactions
   b) Ascertaining profit or loss
   c) Ascertainment of financial position
   d) Solving tax disputes with tax authorities

5. A business has incurred following costs for the year ended 31 December 2018:

	Rs. million
Extension in building	1.5
Repairs to building	0.5
Overhaul to machinery that increased production capacity	1.2

   What is the amount of capital expenditure incurred during the year? **Rs.** _____

6. A business has incurred following costs for the year ended 31 December 2018:

	Rs. million
Extension in building	1.5
Repairs to building	0.5
Overhaul to machinery that increased production capacity	1.2

   What is the amount of revenue expenditure incurred during the year? **Rs.** _____

7. A business has incurred following information for the year ended 31 December 2018:

	Rs. million
Cost of building – Opening	15.5
Cost of machinery – Opening	10.2
Extension in building – during the year	1.5
Repairs to building – during the year	0.5
Overhaul to machinery that increased production capacity	1.2

What is the cost of building after incorporating the above costs? **Rs.** _____

8. A business has incurred following information for the year ended 31 December 2018:

	Rs. million
Cost of building – Opening	15.5
Cost of machinery – Opening	10.2
Extension in building – during the year	1.5
Repairs to building – during the year	0.5
Overhaul to machinery that increased production capacity	1.2

What is the cost of machinery after incorporating the above costs? **Rs.** _____

9. A business has incurred following costs for the year ended 31 December 2018:

	Rs. million
Extension in building	1.5
Repairs to building	0.5
Overhaul to machinery that increased production capacity	1.2

Profit for the year before incorporating the above adjustments is Rs. 5.6 million.
What will be the profit for year after charging the above repairs? **Rs.** _____

10. Which of the following is not a business transaction?
    a) Incurring interest on a business loan
    b) Hiring a new employee
    c) Purchasing office supplies
    d) Receiving fees for services

11. Expenditures which provide benefits in future period are called:
    a) Revenue expenditure
    b) Outstanding expenditure
    c) Current expenditure
    d) Capital expenditure

12. Which one is a capital transaction?
    a) Purchase of goods
    b) Payment of wages
    c) Sale of goods
    d) Purchase of machinery

13. The capital of a business would change as a result of:
    a) A supplier being paid by cheque
    b) Non-current assets being purchased on cash
    c) Non-current assets being purchased on credit
    d) Wages being paid in cash

14. Cash invested in the business by the owner is called
    a) Current asset
    b) Non-current asset
    c) Liabilities
    d) Capital

15. Cash or goods taken away by the proprietor is called
    a) Drawings
    b) Sales
    c) Charity
    d) Expense

16. Which of the following is an element of the statement of financial position?
    a) Income
    b) Expense
    c) Gains
    d) Liabilities

17. Which from the following is not a current asset?
    a) Equipment
    b) Inventory
    c) Cash
    d) Trade receivables

18. Which from the following is not a non-current asset?
    a) Intangibles
    b) Property
    c) Inventory
    d) Equipment

19. An asset is defined as:

    a) A resource controlled by an entity which is capable of generating independent cash flows.
    b) A present economic resource controlled by the entity as a result of past events.
    c) A resource owned/controlled by an entity as a result of past events, from which future economic benefits are expected.
    d) A resource capable of generating income for the entity.

20. The basic accounting equation is given by the formula:

    Equity + Long term liabilities = _____ + Current assets – Current liabilities.

21. Economic resources controlled by a business are called its _____.

22. According to the _____ concept, the business is regarded as separate from the personal affairs of its owners.

23. A business has capital of Rs.10,000.

    Which of the following asset and liability figures could appear in this business's statement of financial position?

	Assets (Rs.)	Liabilities (Rs.)
a)	6,000	16,000
b)	6,000	4,000
c)	10,000	10,000
d)	14,000	4,000

24. Which of the following is incorrect?

	Assets (Rs.)	Liabilities (Rs.)	Capital (Rs.)
a)	7,850	1,250	6,600
b)	8,200	2,800	5,400
c)	9,550	1,150	8,200
d)	6,540	1,120	5,420

25. The correct form of accounting equation is

    a) Assets + Liabilities = Equity
    b) Assets – Liabilities = Equity
    c) Assets – Trade payables= Equity
    d) Assets + Receivable = Equity

26. Which of the following is not true:

    a) Revenue – Expenses = profit
    b) Revenue – Profit = Expenses
    c) Sales + Gross Profit = Revenue
    d) Revenue = Profit + Expenses

27. Expenses paid by a business decrease:

    a) Cash
    b) Capital
    c) Cash and capital
    d) Capital and Accounts payable

28. If during the accounting period the assets increased by Rs.7 million, and the owner's equity decreased by Rs.3 million, then the liabilities must have;

    a) Increased by Rs.10 million
    b) Increased by Rs.4 million
    c) Decreased by Rs.4 million
    d) Decreases by Rs.10 million

29. At 31 October 2016 Zahid's trial balance included the following balances:

	Rs.
Machinery	12,890
Inventory	5,754
Trade receivables	11,745
Trade payables	7,830
Bank overdraft	1,675
Cash at bank	150

What is the value of Zahid's current assets at 31 October 2016?

a) Rs. 17,649
b) Rs. 17,499
c) Rs. 15,974
d) Rs. 13,734

30. A business has provided following information in the trial balance;

	Rs.
Machinery	150,000
Equipment	120,220
Trade receivables	35,150
Trade payables	40,220
Bank overdraft	18,997
Cash at bank	32,112

What is the amount of non – current assets to be shown in the financial position?

a) Rs. 337,482
b) Rs. 270,220
c) Rs. 356,479
d) Rs. 318,485

31. Which of the following TWO best explain why employees are interested in the financial statements of their employer?
    a) To compare the business with its competitors in order to decide whether to seek employment with one of those competitors.
    b) To assess the effect of the business on the local economy, community and environment.
    c) To assess whether the business will continue into the foreseeable future.
    d) To assess the profitability of the business in order to decide whether to invest in it.

32. Which of the following user groups require the most detailed financial information from financial statements?
    a) The management
    b) Investors and potential investors
    c) Government agencies
    d) Employees

33. Which of the following explains why lenders are interested in financial statements of a business?
    a) Lenders need information about financial stability of business
    b) Lenders need information about profitability of business
    c) Lenders want to assess the entity's capacity to pay interest and repay loan on time
    d) All of the above

34. Who is responsible to prepare financial statements in a company?
    a) Shareholders
    b) Managers
    c) Directors
    d) All of the above

35. Who is responsible to prepare financial statements of a partnership?
    a) Partner (for public disclosure)
    b) There may be no obligation to prepare financial statements of a partnership (other than for tax purpose)
    c) Manager
    d) Accountant

36. Which one of the following not an external user of financial statements?
    a) Lender
    b) Investor
    c) Customer
    d) Management

37. Which one of the following not an internal user of financial statements?
    a) Employees
    b) Management
    c) Supplier
    d) Executive Director

38. The main source(s) of Generally Accepted Accounting Principles (GAAP) is/are:

    a) Company Law
    b) International Finance Reporting Standards (IFRSs)
    c) Tax law
    d) Sales Tax Act

39. An entity (with 31 December year-end) has bought the machine for Rs. 1,000,000 with the down payment of Rs. 200,000and remaining payment Rs. 800,000 would be made after a month. The transaction happened on 15 December 2011.

    What would be the effect on the of transaction?

    a) Machine increased by Rs.800,000 and liabilities decreased by Rs.800,000
    b) Machine decreased by Rs.800,000 and liabilities increased by Rs.800,000
    c) Machine increased by Rs.1,000,000 and liabilities increased by Rs.800,000 while cash is decreased by Rs.200,000
    d) Machine increased by Rs.800,000 and liabilities increased by Rs.800,000 while cash is decreased by Rs.200,000

40. Purchase of machinery for cash

    a) Increases total assets
    b) Decreases total assets
    c) Increases assets and liabilities
    d) Keeps total assets unchanged

41. The investment of cash into the business results in a/an

    a) Increase in cash and a decrease in capital
    b) Increase in cash and an increase in capital
    c) Decrease in cash and an increase in capital
    d) Increase in fees earned and an increase in capital

42. Services rendered for cash will result in a/an

    a) Increase in cash and a decrease in capital
    b) Increase in cash and an increase in fees earned
    c) Decrease in cash and an increase in fees earned
    d) Increase in fees earned and an decrease in capital

43. One of the local fast-food outlets hired a first-year accounting student to oversee the cash-collection procedures.

    When the firm pays the student his weekly wage, the transaction will

    a) Increase an asset, increase a liability
    b) Decrease an asset, decrease a liability
    c) Increase an asset, increase owner's equity
    d) Decrease an asset, decrease owner's equity

44. QK Company records the transaction as a debit to Consultant Expense for Rs. 500,000 and an equivalent credit to Accounts Payable.

    What would be impact on elements of financial statements?

    a) Increase a liability, increase owner's equity
    b) Decrease an asset, decrease a liability
    c) Increase a liability, decrease owner's equity
    d) Decrease an asset, decrease owner's equity

45. Which of the following will cause owner's equity to increase?

    a) Revenue
    b) Expense
    c) Drawings
    d) Asset's depreciation

46. The owner contributes his personal car to the business

    a) Increase an asset, increase a liability
    b) Decrease an asset, decrease a liability
    c) Increase an asset, increase owner's equity
    d) Decrease an asset, decrease owner's equity

47. The company purchases a significant amount of office supplies on credit

    a) Decrease an asset, decrease a liability
    b) Increase an asset, increase owner's equity
    c) Decrease an asset, decrease owner's equity
    d) Increase an asset, increase a liability

48. What double entry would be made to record the purchase of an item of machinery on credit?

    a) Debit machinery, credit cash
    b) Debit machinery, credit accounts payables
    c) Debit purchases, credit trade payables
    d) Debit trade payables, credit machinery

49. What transaction is presented by the entries: debit bank, credit Receivables?

    a) Sale of goods for cash
    b) Purchase of goods for cash
    c) Receipt of cheque from receivables
    d) Payment of cheque to payables

50. A debit entry usually represents increase in:

    a) Assets and Income
    b) Liabilities and Income
    c) Assets and Expenses
    d) Liabilities and Expenses

51. The double entry to record the withdrawal of cash from a business bank account by the owner is?

a)	Debit: drawings	Credit: bank
b)	Debit: drawings	Credit: capital
c)	Debit: liability	Credit cash
d)	Debit: capital	Credit: drawings

52. A business sells Rs. 100,000 worth of goods to a customer, the customer pays Rs. 50,000 in cash immediately and will pay the remaining Rs. 50,000 in 30 days' time.

    What is the double entry to record the purchase in the customer's accounting records?

    a) Dr. cash Rs. 50,000; Cr. payables Rs. 50,000; Cr. purchases Rs. 50,000
    b) Dr. payables Rs. 50,000; Dr. cash Rs. 50,000 ;Cr. purchases Rs. 100,000
    c) Dr. purchases Rs. 100,000; Cr. payables Rs. 50,000; Cr. cash Rs. 50,000
    d) Debit purchases Rs. 100,000; credit cash Rs. 100,000

53. Mariam has the following transactions:

    i. Receipt of cash from Nauman in respect of an invoice for goods sold three weeks ago
    ii. Receipt of cash from Amjad for cash sales

    What are the entries required to record the above transactions?

    a) Dr Cash; Cr Sales
    b) Dr Cash; Cr Sales; Cr Trade Receivables
    c) Dr Sales; Cr Cash
    d) Dr Trade Receivables; Dr Sales; Cr Cash

54. A business has purchased machinery on credit. Which of the accounts mentioned below are affected by the transactions?

    a) Trade payables
    b) Purchases
    c) Machinery
    d) Capital

55. Payment of insurance through the bank involves entries in which of the two accounts

    a) Insurance account (Debit) and petty cash account (Credit)
    b) Insurance account (Debit) and bank account (Credit)
    c) Insurance account (Debit) and rent account (Credit)
    d) Insurance account (Debit) and capital account (Credit)

56. X Ltd. purchases a vehicle for Rs. 1.5 million for business use, paying by cheque, what is the double entry:

    a) Purchases account (debit) and bank account (credit)
    b) Vehicle account (debit) and bank account (credit)
    c) Vehicle account (credit) and bank account (debit)
    d) Debit vehicle account (debit) and petty cash account (credit)

57. The double entry for return of goods purchased from Khan Limited on account is:

    a) Cash (debit) and purchases (credit)
    b) Accounts payable (debit) and purchases (credit)
    c) Accounts payable (debit) and purchases return (credit)
    d) None of the above

58. The double entry for payment of a telephone bill is;

    a) Telephone expense (debit) and cash (credit)
    b) Office equipment (debit) and cash (credit)
    c) Office supplies (debit) and cash (credit)
    d) Cash (debit) and utilities (credit)

59. Khalid is a dealer in electronic goods (refrigerator, washing machine, air conditioners, televisions, etc.). He purchased two air conditioners and installed in his showroom. In the books of Khalid, the cost two air conditioners will be debited to

    a) Drawing account
    b) Capital Account
    c) Fixed assets (non-current assets)
    d) Purchases account

60. An asset was purchased for Rs. 1,000,000 with the down payment of Rs. 200,000 and bills accepted for Rs. 800,000/-.

    What would be the effect on the total asset and total liabilities in the statement of financial position?

    a) Assets increased by Rs.800,000 and liabilities decreased by Rs.800,000
    b) Assets decreased by Rs.800,000 and liabilities increased by Rs.800,000
    c) Assets increased by Rs.1,000,000 and liabilities increased by Rs.800,000
    d) Assets increased by Rs.800,000 and liabilities increased by Rs.800,000

61. Which of the following best illustrates the Business Entity Concept?

    a) Maria records her personal expenses as business expenses
    b) Maria uses her personal bank account for business transactions
    c) Maria's bakery purchases ingredients, which is recorded separately from her personal groceries
    d) Maria combines her personal and business income for tax purposes

62. Which of the following transactions demonstrates the Duality Concept?

    a) Recording an expense but not the corresponding payment of cash
    b) Purchasing equipment without recording the payment
    c) Paying for office supplies using business cash, and updating both cash and supplies accounts
    d) Recording an income but not the corresponding receipt of cash

63. The Accrual / Matching Concept implies that:

    a) Revenue is recorded only when cash is received
    b) Expenses are recorded only when cash is paid
    c) Revenue and expenses are recorded when they are earned or incurred
    d) Both (a) and (b)

64. Which statement best reflects the Consistency Concept?
    a) Switching inventory valuation methods each year
    b) Using the same inventory valuation method for all years
    c) Changing inventory valuation methods frequently
    d) Applying different accounting methods for different periods

65. The Historical Cost Concept means that:
    a) Assets are recorded at their market value
    b) Assets are recorded at their original purchase cost
    c) Assets' values are updated with inflation
    d) Assets are revalued every year

66. True and Fair View means:
    a) Misstating profits to attract investors
    b) Ignoring certain expenses to improve appearance of financial performance
    c) Accurately presenting financial information without bias
    d) Focusing on only positive financial data

67. Materiality Concept implies:
    a) Including every tiny expense in financial statements
    b) Ignoring substantial expenses
    c) Presenting separately significant information that affects decisions
    d) Omitting important revenue items

68. Prudence Concept dictates:
    a) Overstating revenues to look good
    b) Ignoring potential expenses
    c) Recording potential expenses and not overestimating revenues
    d) Maximizing assets' value in financial statements

69. Completeness Concept means:
    a) Omitting some of relevant details from financial statements
    a) Including only favourable information in financial statements
    b) Ensuring all relevant information is included in financial statements
    c) Providing partial information selectively in the financial statements

70. Money Measurement Concept implies:
    a) Recording only non-monetary events
    b) Including intangible aspects in records
    c) Ignoring monetary transactions
    d) Recording transactions in monetary terms only

71. Which of the following is an example of a transaction that can be recorded under the money measurement concept?
    a) Artist's creativity
    b) Purchase of art supplies
    c) Reputation of high quality services (goodwill)
    d) Talented team of employees

72. Accounting Period Concept implies:
    a) Preparing financial reports anytime
    b) Preparing reports for a specific time frame
    c) Ignoring reporting periods
    d) Reporting only when convenient

73. Going Concern Concept means:
    a) Business will cease soon
    b) Business assumes indefinite continuation
    c) Business ignores future prospects
    d) Business plans for immediate closure

74. Substance Over Form means:
    a) Ignoring legal aspects of transactions
    b) Overlooking transaction details
    c) Recording only the legal form of transactions
    d) Focusing on the economic reality of transactions

75. Comparability Concept dictates:
    a) Changing methods frequently
    b) Using consistent accounting methods
    c) Ignoring other entities' practices
    d) Reporting without following common standards

76. Information is _____ if it can be used for predictive and/or confirmatory purposes.
    a) Relevant
    b) Complete
    c) Consistent
    d) Verifiable

77. How does the comparability concept benefit users of financial statements?
    a) It ensures that financial statements are prepared by chartered accountants
    b) It allows users to compare financial information between different periods and entities
    c) It focuses on ensuring financial statements are error-free
    d) It requires companies to report all financial information in the same currency

78. Which of the following best illustrates the verifiability concept in accounting?
    a) A company uses advanced software to prepare its financial statements
    b) The auditors independently provide assurance that the company's financial statements accurately represent its economic activities
    c) A business adopts new accounting policies to improve efficiency
    d) Financial statements are prepared promptly to meet reporting deadlines

79. What does the reliability concept in accounting emphasize?
    a) Financial statements should be available promptly after the reporting period
    b) Financial information should be verifiable, accurate, and dependable, based on objective evidence
    c) Financial statements should be comparable with those of other companies
    d) Financial information should be concise and easy to understand

80. Why is the timeliness concept important in accounting?
    a) It ensures financial information is detailed and comprehensive
    b) It ensures financial information is free from errors and bias
    c) It guarantees financial statements are prepared by certified accountants
    d) It allows decision-makers to receive information in time to influence their decisions

81. How does the understandability concept benefit users of financial statements?
    a) It ensures financial information is presented clearly and concisely for users with reasonable knowledge of business
    b) It guarantees financial statements are comparable across different periods
    c) It ensures that financial statements are free from bias and errors
    d) It allows financial information to be available promptly after the reporting period

82. What is the cost constraint on useful information in accounting?
    a) Financial information should be provided promptly to influence decisions
    b) The cost of providing financial information should be justified by the benefits it provides
    c) Financial statements should be verifiable by independent observers
    d) Financial information should be presented in a clear and concise manner

83. ABC Enterprises uses the following principle for preparation of its financial statements: “Items of capital nature, costing less than Rs. 1,000 are charged to expense.”. What is the name of this accounting concept/principle?
    a) Historical Cost
    b) Business Entity
    c) Duality Concept
    d) Materiality

84. ABC Enterprises uses the following principle for preparation of its financial statements: “Sales revenue is recorded on dispatch of goods to customers irrespective of the date of receipt of payment.” What is the name of this accounting concept/principle?
    a) Accrual basis
    b) Going Concern basis
    c) Verifiability Concept
    d) Substance over form

85. ABC Enterprises uses the following principle for preparation of its financial statements: "Cost of sales is recorded in the same period in which the revenue earned from the sale is recorded." What is the name of this accounting concept/principle?

    a) Understandability
    b) Money Measurement
    c) Accounting period
    d) Matching Concept

ANSWERS

01.	(a)	Financial statements are not only for internal use.
02.	(b)	Book-keeping is only recording transaction, accounting is wider term which includes summarising, analysing and reporting financial statements.
03.	(c)	(a) is book-keeping task (b) is concerned with management accounting (d) is part of the process but not main aim of financial accounting
04.	(d)	Solving tax disputes is not expected from a book-keeper or accountant. Usually this service is performed by tax consultants.
05.	Rs. 2.7 million	= Rs. 1.5+1.2 = Rs. 2.7
06.	Rs. 0.5 million	Repairs to building
07.	Rs. 17 million	= Rs. 15.5 + 1.5 = 17
08.	Rs. 11.4 million	= Rs. 10.2 +1.2 = Rs. 11.4 million
09.	Rs. 5.1 million	Profit = Rs. 5.6 – 0.5 = Rs. 5.1
10.	(b)	Hiring an employee has no financial impact. Salary being paid or becoming due is a business transaction.
11.	(d)	Capital expenditures provide benefits in long term future.
12.	(d)	Machinery is asset to be used for long term.
13.	(d)	Expense decreases the equity. All other transaction have same effect on asset and liabilities.
14.	(d)	Claims of outsiders on business are liabilities and claim of owner is capital.
15.	(a)	Drawings.
16.	(d)	Income, expense and gains are recognised in statement of comprehensive income.
17.	(a)	Equipment is non-current asset.
18.	(c)	Inventory is current asset as it is usually sold in short term.
19.	(b)	All other definitions include some part of the correct answer but are incomplete.
20.	Non-current assets	Non-current assets
21.	Assets	Asset is present economic resource controlled by an entity as a result of past events.
22.	Business Entity	A business and its owner are differentiated in accounting.
23.	(d)	Capital = Assets – liabilities 10,000 = 14,000 – 4,000
24.	(c)	Rs. 9,550 – 1,150 = 8,400
25.	(b)	Equity = Assets – Liabilities

26.	(c)	Sales + Gross profit ≠ Revenue
27.	(c)	Cash and Capital both would decrease.
28.	(a)	Rs. 7 million + Rs. 3 million = Rs. 10 million
29.	(a)	5,754 + 11,745 + 150 = Rs. 17,649
30.	(b)	150,000 + 120,220 = Rs. 270,220
31.	(a) & (c)	The public and environmental groups are interested in (b). The investors are interested in (d).
32.	(b)	The management also has access to even more detailed information from internal sources. Government agencies and employees are interested in selective relevant information and not detailed one.
33.	(c)	Interested in loan repayments and ability to pay interest.
34.	(c)	The directors
35.	(b)	The public disclosure of partnership accounts is not required.
36.	(d)	Management is internal user.
37.	(c)	Supplier is external user.
38.	(a) & (b)	Company Law and IFRSs
39.	(c)	Machine increased by Rs. 1,000,000 - Debit Cash decreased by Rs. 200,000 - Credit Liabilities increased by Rs. 800,000 - Credit
40.	(d)	Unchanged, one asset increased and another decreased by same amount.
41.	(b)	Increase in cash and an increase in capital
42.	(b)	Increase in cash and an increase in income
43.	(d)	Decrease in an asset (Cash) Decrease in equity (due to wages expense)
44.	(c)	Increase in liability (Accounts payable) Decrease in equity (due to consultant expense)
45.	(a)	Revenue (income) increases the equity.
46.	(c)	Increase an asset (Car) Increase in equity (capital)
47.	(d)	Increase in asset (office supplies) Increase in liability (payable)
48.	(b)	Machinery (asset increased) debit Accounts payable (liability increased) credit
49.	(c)	Receipt of cheque from receivables
50.	(c)	Increase in asset and expenses is debit.
51.	(a)	Drawings Debit (Decrease in equity / increase in drawings) Bank Credit (Decrease in asset)

52.	(c)	Purchases (Increase in expense) Debit Rs. 100,000 Cash (Decrease in asset) Credit Rs. 50,000 Payables (Increase in liability) Rs. 50,000
53.	(b)	Debit Cash (asset increased) Credit Sales (income increased) Credit Trade receivable (asset decreased)
54.	(c)	Machinery and payable for machinery. Trade payables are related to purchases of inventory only.
55.	(b)	Insurance (expense increased) Debit Bank (asset decreased) Credit
56.	(b)	Vehicle (asset increased) Debit Bank (asset decreased) Credit
57.	(c)	Account payable (liability decreased) Debit Purchase return (expense decreased) Credit
58.	(a)	Telephone charges (expense increased) Debit Cash (asset decreased) Credit
59.	(c)	Non-current assets as used in showroom for long term use. Inventory is for resale.
60.	(d)	Assets increased 1,000,000 – 200,000 = 800,000 Liabilities increased 800,000
61.	(c)	Only option (c) accurately reflects the principle by keeping business and personal transactions separate.
62.	(c)	Only Option (c) correctly illustrates the concept by affecting both cash and supplies accounts. Other options only show one effect of the transaction.
63.	(c)	The accrual concept focuses on when transactions are earned or incurred, not when cash changes hands.
64.	(b)	Only option (b) demonstrates consistency in accounting methods. Other options reflect inconsistency.
65.	(b)	This concept emphasizes recording assets at the original purchase cost. Other options are contrary to this principle.
66.	(c)	Only option (c) ensures accuracy and fairness in financial reporting. Other options lead to compromising integrity of financial information.
67.	(c)	Only option (c) aligns with the principle by focusing on significant, decision-influencing information.
68.	(c)	Only option (c) reflects prudence by not overestimating revenues and considering potential expenses.
69.	(c)	Completeness ensures all necessary details are included.
70.	(d)	The concept focuses on transactions that can be measured in terms of money.
71.	(b)	Purchase of art supplies
72.	(b)	Accounting periods provide specific time frames for reports.
73.	(b)	Only option (b) aligns with the assumption of ongoing operations.

74.	(d)	Substance over form emphasizes economic reality over legal form. It does not mean to ignore legal aspects without any reason.
75.	(b)	Consistency helps achieve comparison. Options (a), (c) and (d) undermine comparability.
76.	(a)	Information is relevant if it can be used for predictive and/or confirmatory purposes.
77.	(b)	Option (b) is correct as it reflects the essence of the comparability concept. Option (a) is incorrect because it pertains to the qualifications of accountants, not comparability. Option (c) is incorrect because it relates more to accuracy and faithful representation. Option (d) is incorrect because while reporting in the same currency is important, it does not fully capture comparability.
78.	(b)	Option (b) is correct because it shows how independent verification by knowledgeable observers ensures faithful representation. Option (a) is incorrect because it relates to the tools used, not verifiability. Option (c) is incorrect because it pertains to accounting policies, not verification. Option (d) is incorrect because it relates to timeliness, not verifiability.
79.	(b)	Option (b) is correct as it captures the essence of the reliability concept. Option (a) is incorrect because it refers to timeliness. Option (c) is incorrect because it pertains to comparability. Option (d) is incorrect because it relates to understandability.
80.	(d)	Option (d) is correct as it reflects the importance of providing timely information. Option (a) is incorrect because it refers to the completeness of information. Option (b) is incorrect because it relates to reliability, not timeliness. Option (c) is incorrect because it pertains to qualifications, not timeliness.
81.	(a)	Option (a) is correct as it captures the essence of understandability. Option (b) is incorrect because it pertains to comparability. Option (c) is incorrect because it relates to reliability. Option (d) is incorrect because it refers to timeliness.
82.	(b)	Option (b) is correct as it reflects the cost constraint concept. Option (a) is incorrect because it relates to timeliness. Option (c) is incorrect because it pertains to verifiability. Option (d) is incorrect because it refers to understandability.
83.	(d)	Information is material if omitting it or misstating it could influence decisions that users make on the basis of financial statements of an entity. Amounts below certain threshold may be immaterial.
84.	(a)	Revenue from sales and other income should be reported in the period when income arises (which might not be the same as the period when the cash is received)
85.	(d)	The cost of sales in the statement of comprehensive income must be matched with the sales.

STICKY NOTES

Book-keeping is recording double entry on business transactions and accounting is summarising and classifying these transactions to produce financial statements.

Classification of Business Transactions

Simple vs Complex

One-off vs Ongoing

Capital (long term) vs Revenue (Short term)

Financial Statements

Statement of financial position (asset, liability and equity)

Statement of comprehensive income (income and expenses)

Elements of Financial Statements

Asset: a present economic resource controlled by the entity as a result of past events.

Liability: a present obligation to transfer an economic resource as a result of past events.

Equity: the residual interest in the assets of an entity after deducting all of its liabilities. Equity = Assets – Liabilities

Income: increases in assets or decreases in liabilities, that result in increases in equity, other than those relating to contributions from owners.

Expenses: decreases in assets or increases in liabilities, that result in decreases in equity, other than those relating to distributions to owners.

BASIC ACCOUNTING CONCEPTS

Concept/principle	Brief detail
Business Entity Concept	This principle states that the transactions of a business should be kept separate from the personal transactions of its owner(s) while preparing financial reports.
Duality Concept	Duality concept of recording ensures that every financial transaction has equal and opposite effects in at least two different accounts.
Accounting period	Financial statements are prepared for specific periods. In other words, financial statements relate to given period, known as the 'financial year', 'accounting period' or 'reporting period'.
Historical Cost Concept	Applying this concept means that items in financial statements, in particular assets, are recorded based on their original purchase cost.
Accrual (and prepayment) Basis / Matching Concept	Income and expenses are recorded when they are earned or incurred, not when cash is received or paid. Income and 'matching' expenses must be reported in the same financial period.
Realisation Concept	The realization concept in accounting is the principle that revenue should be recognized when it is earned, not when payment is received.
Prudence Concept	Prudence implies that income and assets must not be overstated, and expenses and liabilities must not be understated.
Materiality Concept	Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements.
Completeness	Completeness refers to whether all transactions that occurred during the period have been recorded.
Money Measurement Concept	The money measurement concept is an accounting principle that requires businesses to only record transactions that can be quantified in money.
Consistency Concept	Once an accounting method is chosen, it should be used consistently from one period to another.
Going Concern Concept	This means that financial statements are prepared on the assumption that the entity will continue to operate for the foreseeable future and does not intend to go into nor will be forced into liquidation.
Substance over form	Financial statements reflect the economic reality of transactions rather than just their legal form.

ACCOUNTING CONCEPTS RELEVANT TO USEFUL FINANCIAL INFORMATION

Concept/principle	Brief detail
Relevance Concept	Information must be relevant to decision making needs of the users.
True and Fair View / faithful representation	True and fair view implies that financial statements should present an accurate and unbiased picture of the company's financial situation which is not misleading for users of financial statements.
Comparability Concept	Comparability enables users to identify and understand similarities in, and differences among, items.
Verifiability Concept	Verifiability means that different knowledgeable and independent observers could reach consensus that a particular depiction in financial statements is a faithful representation.
Reliability Concept	In accounting, the reliability concept means that financial information presented in financial statements should be accurate, verifiable, and dependable, ensuring that users can trust the information.
Timeliness Concept	This means having information available to decision-makers in time to be capable of influencing their decisions.
Understandability	Information is made understandable by classifying, characterising and presenting it in a clear and concise manner.
Cost constraint on useful information	Cost is a pervasive constraint on the information that can be provided by financial reporting. Reporting financial information imposes costs, and it is important that those costs are justified by the benefits of reporting that information.

The preparation of financial statement is regulated by GAAPs which mainly consist of Companies Act, 2017 and IFRSs.

External users: Investors, Lenders, suppliers, Customers, Government and Public

Internal users: Management and employees

Increase in assets, expenses and drawings ➔ Debit

Increase in liability, equity and income ➔ Credit

The rule ➔ Total debits = Total credits

CHAPTER 2

BOOKS OF PRIME ENTRY

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Introduction
2. Accounting for Sales
3. Accounting for Purchases
4. Accounting for Cash
5. General Journal
6. Vouchers as an Alternative to Day Books
7. Comprehensive Examples
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STICKY NOTES

AT A GLANCE

Books for prime entry (also known as books of original entry) is an efficient book-keeping system which facilitates to record different types of transactions at initial recording stage.

The main books of prime entry are;

1. Sales day book (for sales invoices to credit customers)
2. Purchase day book (for purchase invoices from credit suppliers)
3. Sales returns day book (for credit notes issued to customers)
4. Purchase returns day book (for credit notes received from suppliers)
5. Cash book (all cash transactions); additionally, a Petty cash book may be prepared for small cash transactions.
6. General Journal (for all other transactions)

In practice, many entities use different types of vouchers to initially record the transactions in an accounting system.

1 INTRODUCTION

Books of prime entry are a useful means of summarising large numbers of similar transactions like credit sales, credit purchases, cash and bank receipts and payments.

Books of prime entry OR books of original entry are books where transactions are first recorded. Instead of recording all transactions at one place, transactions are sorted and recorded in different books of prime entry at initial stage. This allows efficient processing of transactions in an accounting system.

There are six main books of prime entry:

Book of prime entry		Transactions type	Source document
1.	Sales day book (Sales journal)	Records sales of inventory items on credit to customers.	Sales invoices issued to customers.
2.	Sales return day book (Return inwards journal)	Records items returned by credit customers.	Credit notes issued to customers.
3.	Purchases day book (Purchase journal)	Records purchases of inventory items on credit from suppliers.	Purchase invoices from suppliers.
4.	Purchases return day book (Return outwards journal)	Records items returned to credit suppliers.	Credit notes received (or debit notes issued).
5.	Cash book + Petty cash book	All cash transactions including cash sales and cash purchases and payment of expenses and cash transactions with credit customers and suppliers.	Cheques, counterfoils, bank statements, receipts vouchers, payment vouchers, etc.
6.	General Journal	Records transactions that are not recorded in any of the other books of original entry, e.g. non-current asset bought on credit.	Invoice, bill or another authorised document.

▶ *Example 01:*

The following details relate to a carpet retailer *Adeel Traders* for the month of November. Each transaction can be related to relevant book of prime entry as follow:

Nov	Transaction	Book
1	Started the business with Rs. 15,000,000 in the bank.	Cash book
3	Bought goods on credit from: Jamal Rs. 290,000; Faisal Rs. 1,200,000; Talal Rs. 610,000; Rashid (List price Rs. 550,000, trade discount Rs. 20,000)	Purchase day book
5	Cash sales Rs. 610,000.	Cash book
6	Paid rent by cheque Rs. 175,000.	Cash book
7	Paid business rates by cheque Rs. 130,000.	Cash book
17	Withdrew cash Rs. 290,000 for personal use.	Cash book

Nov	Transaction	Book
18	We returned goods to: Jamal Rs. 18,000; Rashid Rs. 27,000.	Purchase return day book
19	Bought goods on credit from: Rashid Rs. 110,000; Talal Rs. 320,000; Fahad Rs. 165,000.	Purchase day book
19	Sold goods on credit to: Taseer Rs. 885,000; Jawad Rs. 848,000; Touseef Rs. 1,640,000.	Sales day book
20	Goods were returned to us by: Jawad Rs. 6,000; Taseer Rs. 14,000	Sales return day book
21	Bought Delivery Vehicle on credit from Turnkey Motors Rs. 4,950,000.	General Journal
23	We paid the following by cheque: Jamal Rs. 265,000 (after settlement discount of Rs. 7,000); Faisal Rs. 1,200,000; Talal Rs. 480,000 (after discount of Rs. 20,000)	Cash book
25	Bought another Vehicle, paying by cheque immediately Rs. 6,200,000.	Cash book
26	Received a loan of Rs. 750,000 cash from BB Bank.	Cash book
28	Received cheques from: Taseer Rs. 65,000 (after cash discount of Rs. 6,000); Jawad Rs. 40,000 (after cash discount of Rs. 2,000).	Cash book
30	Proprietor brings a further Rs. 900,000 into the business, by a payment into the business bank account.	Cash book

2 ACCOUNTING FOR SALES

A business tries to make profit by selling goods or services to customers. This creates revenue or income for the business. Sales might be for cash or on credit.

The following documents might be used in a system designed to account for sales.

Document		Purpose	Impact on double entry?
1.	**Sales Quotation**	Before ordering, customers often require a sales quotation for review in their company. It is created as a proposal of your goods and services to a customer.	No
2.	**Sales order**	From the customer placing an order.	No
3.	**Goods dispatched note**	A notice to the customer to inform them that the goods have been dispatched.	No
4.	**Delivery note**	A note that accompanies the goods. (A customer will check this to make sure that it agrees with his order and that it is consistent with what has actually been delivered.	No
5.	**Sales invoice**	A request for payment from the customer for goods delivered to them. Invoices normally show a date, details of transaction and payment terms.	Yes
6.	**Statement**	A document to show the customer the amount still owed at a point in time. It will be the net amount of all invoices issued less cash received by the business up to a point in time.	No
7.	**Credit note issued**	Issued when a customer returns goods and the business agrees to this. The business issues a credit note to acknowledge that the amount specified is no longer owed to them by the customer.	Yes

FORMAT: SALES DAY BOOK

Date	Customer name	Invoice #	Rs.
	TOTAL		

FORMAT: SALES RETURNS DAY BOOK

Date	Customer	Credit note #	Rs.
	TOTAL		

DISCOUNT ALLOWED

This is the discount given by a business to its customers.

Trade discount

This is a definite price reduction given to a customer at the time of sales transaction. The invoice is issued at the reduced amount so there are no double entry problems caused by this type of discount. The sales revenue is simply recorded at net (of trade discount) amount.

For example, an entity sells an item with list price of Rs. 100 to a credit customer who negotiates 5% discount at the time of transaction, the sales invoice of Rs. 95 shall be issued and sales revenue of Rs. 95 will be recorded.

Cash discount / Settlement discount / Prompt payment discount

A settlement discount might be offered in order to persuade credit customers to pay earlier. For example, a cash discount of 4% may be offered to a customer if pays within 10 days, otherwise he will pay full amount within 30 days that is normal credit term of the business.

It is for the customer to decide whether to take advantage of paying discounted (reduced) amount by paying early or to take advantage of longer credit period, however, paying the full amount.

Although offering this discount encourages earlier receipt of cash from credit customers, there is still loss of revenue to the entity (seller's business).

When a business makes a sale, it does not know whether the customer will take advantage of the settlement discount or not, therefore, this is dealt in following ways:

a) Record the revenue for the full amount if the customer is not expected to pay early:

   i. If customer does not pay early as expected, the full amount is due as recorded already.

   ii. If customer pays early and is entitled to discount, recognise the reduction in revenue by the amount of discount. Reduction in revenue may be recorded by debiting the 'revenue' account directly or by debiting 'discount allowed' account which is eventually deducted from sales revenue (similar to sales returns).

b) Record the revenue for reduced (net of discount) amount if the customer is expected to pay early:

   i. If customer pays early as expected, the net amount is due as recorded already.

   ii. If customer does not pay early as expected, treat the additional amount received as revenue from original sales transaction.

The following example illustrate above scenarios relating to cash discount allowed to customers.

▶ *Example 02:*

Maria Enterprises (ME) sold goods of Rs. 10,000 to Zahra Traders (ZT) on 8th August 2021 to be paid on 31st August 2021. However, if ZT pays within 10 days, it will be entitled to 4% cash discount and will have to pay only Rs. 9,600.

How the above transactions along with following independent scenarios will be treated in the books of ME on 8th August and on the date of payment:

a) ME expected that ZT will not pay within 10 days and ZT actually paid on 31st August.

b) ME expected that ZT will not pay within 10 days but ZT actually paid on 17th August.

c) ME expected that ZT will pay within 10 days and ZT actually paid on 17th August.

d) ME expected that ZT will pay within 10 days but ZT actually paid on 31st August.

▶ *ANSWER:*

Part (a)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	ZT: receivables Revenue	Asset Income	Increase Increase	Debit Credit	10,000 10,000
31st August	Cash/Bank ZT: receivables	Asset Asset	Increase Decrease	Debit Credit	10,000 10,000

Part (b)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	ZT: receivables Revenue	Asset Income	Increase Increase	Debit Credit	10,000 10,000
17th August	Cash/Bank Revenue* ZT: receivables	Asset Income Asset	Increase Decrease Decrease	Debit Debit Credit	9,600 400 10,000

*Alternatively, discount allowed account may be debited and subsequently deducted from revenue.

Part (c)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	ZT: receivables Revenue	Asset Income	Increase Increase	Debit Credit	9,600 9,600
17th August	Cash/Bank ZT: receivables	Asset Asset	Increase Decrease	Debit Credit	9,600 9,600

Part (d)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	ZT: receivables Revenue	Asset Income	Increase Increase	Debit Credit	9,600 9,600
31st August	Cash/Bank Revenue ZT: receivables	Asset Income Asset	Increase Increase Decrease	Debit Credit Credit	10,000 400 9,600

DISHONOURED CHEQUES

These are cheques received from customers where subsequently the bank refuses to make payment.

When a business receives a cheque from a customer it recognises that as an amount paid. If the business presents the cheque to the bank for payment and the bank refuses to accept it (perhaps because of insufficient funds in the customer's account) the business is still owed the money and must reverse the original entry.

The double entry for this reversal is (debit Receivables, credit Bank).

▶ *Example 03:*

Using the information in Example 01, prepare sales day book and sales return day book. Assume that none of the customer was expected to avail the cash discount.

SALES DAY BOOK

Date	Customer	Inv. #	Rs.
19 Nov	Taseer		885,000
19 Nov	Jawad		848,000
19 Nov	Touseef		1,640,000
30 Nov	**TOTAL**		**3,373,000**

SALES RETURNS DAY BOOK

Date	Customer	CN #	Rs.
20 Nov	Jawad		6,000
20 Nov	Taseer		14,000
30 Nov	**TOTAL**		**20,000**

3 ACCOUNTING FOR PURCHASES

Businesses make purchases from suppliers. Purchases are similar in many respects to sales, except that the business is buying from a supplier rather than selling to a customer.

The following documents might be used in a system designed to account for purchases.

Document		Purpose	Impact on double entry?
1.	**Purchase requisition**	An item should be requisitioned first if not lying in the stock.	No
2.	**Quotation and approval**	Where value of goods exceeds certain limit, quotations are usually obtained from at least three suppliers. Purchase order is then initiated after evaluating quotations.	No
3.	**Purchase order**	A document sent by the business to place an order.	No
4.	**Goods received note**	A document produced when goods are received. It is produced after the goods have been checked against the delivery note and what has actually been received. The GRN is sent to accounts staff who will check that what has been received is what was ordered and that the invoice agrees with what was received.	No
5.	**Purchase invoice**	A request for payment from the supplier for goods delivered to us.	Yes
6.	**Statement**	A document from the supplier to show the amount still owed at a point in time.	No
7.	**Credit note received**	Issued by supplier when we return goods or get credit because of damaged goods.	Yes

FORMAT: PURCHASES DAY BOOK

Date	Supplier	Invoice #	Rs.
	TOTAL		

FORMAT: PURCHASES RETURNS DAY BOOK

Date	Supplier	Credit note #	Rs.
	TOTAL		

DISCOUNT RECEIVED

This is the discount given by a supplier to the business.

Trade discount

This is definite price reduction given by a supplier. The invoice is issued at the reduced amount so there are no double entry problems caused by this type of discount. The purchase is simply recorded at net (of trade discount) amount.

Cash discount / Settlement discount / Prompt payment discount

A settlement discount might be offered by a supplier to persuade earlier payment. For example, a cash discount of 4% may be offered by a supplier if the business pays within 10 days, otherwise full amount will be paid within 30 days as per normal credit terms.

The purchase and related liability (trade payables) are usually recorded at full cost of the goods. This is in line with prudence concept, which requires that expenses and liabilities must not be understated.

Then, the purchaser will decide whether or not to take advantage of settlement discount considering his cash flow position. The subsequent treatment is as follows:

a) If advantage of settlement discount is not taken, the gross amount is payable to supplier as already recorded.

b) If advantage of settlement discount is taken, the differential is recognised as reduction of cost of purchases. Alternatively, 'discount received' may be credited. The 'discount received' is netted off against the cost of purchase of inventory (in accordance with IAS 2).

The following example explains the above scenarios relating to cash discount received from suppliers.

▶ *Example 04:*

Maria Enterprises (ME) sold goods of Rs. 10,000 to Zahra Traders (ZT) on 8th August 2021 to be paid on 31st August 2021. However, if ZT pays within 10 days, it will be entitled to 4% cash discount and will have to pay only Rs. 9,600.

How the above transactions along with following independent scenarios will be treated in the books of ZT on 8th August and on the date of payment:

a) ZT did not take advantage of settlement discount terms and paid on 31st August.

b) ZT took advantage of settlement discount and paid on 17th August.

▶ *ANSWER:*

Part (a)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	Purchases	Expense	Increase	Debit	10,000
	ME: payables	Liability	Increase	Credit	10,000
31st August	ME: payables	Liability	Decrease	Debit	10,000
	Cash / Bank	Asset	Decrease	Credit	10,000

Part (b)

Date	Account	Element	Effect	Debit / Credit	Rs.
8th August	Purchases	Expense	Increase	Debit	10,000
	ME: payables	Liability	Increase	Credit	10,000
17th August	ME: payables	Liability	Decrease	Debit	10,000
	Purchases	Expense	Decrease	Credit	400
	Cash / Bank	Asset	Decrease	Credit	9,600

*Alternatively, discount received account may be credited and subsequently deducted from cost of purchases just like purchase returns.

CONTRA SETTLEMENT

A business might sell goods or services to another business, and also buy goods or services from the same business. The other business is both a customer and a supplier and might therefore be a receivable and a trade payable at the same time. When this happens, the two businesses might agree to offset the amounts that they owe each other, leaving a net amount payable by the business with the higher debt.

The double entry for this offset is (debit Trade payables, credit Trade receivables).

▶ *Example 05:*

Using the information in *Example 01*, prepare purchases day book and purchases return day book.

PURCHASES DAY BOOK

Date	Supplier	Inv. #	Rs.
03 Nov	Jamal		290,000
03 Nov	Faisal		1,200,000
03 Nov	Talal		610,000
03 Nov	Rashid		530,000
19 Nov	Rashid		110,000
19 Nov	Talal		320,000
19 Nov	Fahad		165,000
30 Nov	**TOTAL**		**3,225,000**

PURCHASES RETURNS DAY BOOK

Date	Supplier	CN #	Rs.
18 Nov	Jamal		18,000
18 Nov	Rashid		27,000
30 Nov	**TOTAL**		**45,000**

4 ACCOUNTING FOR CASH

The cash book is a book of prime entry and is used to record the receipts of and payments from the business bank account.

The cash book has two sides, a side for receipts of money (debit) and a side for payments (credit). Both sides have a number of columns so that cash receipts and payments can be analysed to make it easier to construct journals for double entry.

A business can analyse the amounts received and paid in any way it chooses.

TYPES OF CASH BOOK

There are four basic types of a cash book.

- Single column cash book
- Two column cash book
- Three column cash book
- Petty cash book

Single column cash book

A simple cash book or a single column cash book is just like an ordinary account that carries one amount column on each side. The left hand side is for recording receipts of cash and the right hand side is for recording payments of cash. It is balanced just like any other ledger account.

▶ *Example 06:*

Following data has been extracted from Sara Shah's records for the month of June 2016.

June 2016		Rs.
1	Opening balance of cash	12,000
2	Received cash from Akhtar	3,800
5	Paid rent by cash	4,000
9	Made sales on cash	3,000
14	Paid to Bilal	1,760
18	Purchased Furniture on cash	3,000
23	Paid salaries	3,600
26	Rent due, yet not paid for June	2,700

Enter the above transactions in the single column cash book of Sara.

▶ *ANSWER*

Sara Shah					
Cash Book					
Date	**Details**	**Cash (Rs.)**	**Date**	**Details**	**Cash (Rs.)**
June 1	Balance b/d	12,000	June 5	Rent	4,000
2	Akhtar	3,800	14	Bilal	1,760
9	Sales	3,000	18	Furniture	3,000
			23	Salaries	3,600
			30	Balance c/d	6,440
		18,800			**18,800**
Aug 1	Balance b/d	6,440			

Two column cash book

The double column cash book has two columns i.e. the cash column and the bank column on both the sides of the cash book. All the cash receipts and cash payments are recorded in the cash columns and all the deposits in and withdrawals from the bank are entered in the bank columns accordingly.

▶ *Example 07:*

July 2016	
1	Naeem Traders started business with a capital of Rs.40,000. The amount was paid into the business's bank account.
2	Paid rent of office premises Rs.1,700 by cheque.
5	Purchased goods worth Rs.12,000 on credit from Shahzaib Traders.
9	Withdrew Rs.1,000 from the bank account for office use.
14	Paid advertising expenses, Rs.700 in cash.
18	Sold goods, Rs.8,120 to Niazi Trading and received cheque.
23	Paid Shahzaib Traders by cheque.
26	Purchased Motor Vehicle Rs.30,000 and paid by cheque.
28	Naeem took Rs.2,000 from the business through cheque for personal use.

Enter the above transactions in the cash book of Naeem Traders. The cash and bank accounts should be shown in a two columnar cash book.

▶ *ANSWER*

Naeem Traders

Cash Book

Date	Details	Cash	Bank	Date	Details	Cash	Bank
		Rupees				Rupees	
July 1	Capital		40,000	July 2	Rent		1,700
9	Bank	1,000		9	Cash		1,000
18	Sales		8,120	14	Advertising	700	
				23	Shahzaib Traders		12,000
				26	Motor vehicles		30,000
				28	Drawings		2,000
				31	c/d	300	1,420
		1,000	**48,120**			**1,000**	**48,120**
Aug 1	b/d	300	1,420				

Three column cash book

Many businesses maintain a Three-column cash book instead of the Two-column cash book. The only difference is the **extra memorandum columns** that is meant to record **cash discounts**. It may further be split into cash receipt book and cash payment book.

▶ *Example 08:*

Using the information in *Example 01*, prepare cash receipt book and cash payment day book. Assume that revenue was recognised at gross amount without expecting that any customer would avail the settlement discount terms.

Cash Receipt Book

Date	Receipts / Particulars	Discount allowed	Cash	Bank
1 Nov	Capital			15,000,000
5	Sales		610,000	
26	BB Bank Loan		750,000	
28	Taseer	6,000		65,000
28	Jawad	2,000		40,000
30	Capital			900,000
		8,000	**1,360,000**	**16,005,000**

Cash Payment Book

Date	Payments / Particulars	Discount received	Cash	Bank
6 Nov	Rent			175,000
7	Business rates			130,000
17	Drawings		290,000	
23	Jamal	7,000		265,000
23	Faisal			1,200,000
23	Talal	20,000		480,000
25	Motor Vehicle			6,200,000
30	Balance c/d		1,070,000	7,555,000
		27,000	**1,360,000**	**16,005,000**

Petty cash Book

Petty cash is cash (notes and coins) held by a business to pay for small items of expense, in situations where it is more convenient to pay in notes and coin than to pay through the bank account. Petty cash might be used, for example, to pay for bus fares, taxi fares, tea and coffee for the office, and so on.

When petty cash transactions take place, for example petty cash is spent on tea and coffee for the office, the entity needs to record both an expense, and a reduction in the asset "petty cash".

Imprest system: A very common petty cash system is called the imprest system. Under this system a set amount is established (say Rs.10,000). This set amount is called the imprest. At any moment in time, the petty cash balance plus the amounts on invoices and notes should sum to the imprest. Periodically the invoices are removed and replaced by cash to re-establish the imprest in cash.

▶ *Example 09:*

A business uses an imprest system to control its petty cash.The imprest is set at Rs. 10,000.

At the start of the month there is Rs. 10,000 cash in the petty cash tin. An amount of Rs. 600 is paid to Laila to compensate her for a payment she made out of her own pocket on behalf of the business.

After this transaction the petty cash tin will contain Rs.9,400 cash and an invoice from Laila for Rs.600. These two amounts add back to the imprest.

▶ *Example 10:*

Shanzay Industries keeps an analysed petty cash book using the imprest system. The imprest amount is Rs. 2,000. The following information is available for the month of June 2016.

2016 June		Rs.	Voucher Number
1	Balance	2,000	
6	Paid window cleaner	200	1
8	Bought pens and pencils	100	2
11	Paid for bus fare	60	3
16	Paid for printer cartridge	400	4
18	Purchased envelopes	270	5
20	Paid for coffee and milk for office staff	70	6
22	Bought printing papers	80	7
23	Paid taxi fare	200	8
24	Paid office cleaner	170	9
26	Paid for biscuits and tea	100	10
28	Purchased paper pins	40	11
29	Paid for petrol	70	12

Write up the petty cash book for the month of June 2016 for Shanzay Industries. Balance the petty cash book and carry down the balance. Show the restoration of imprest as on July 1, 2016.

▶ *ANSWER*

Date	Details	Total Received	Date	Details	V#	Total Paid	Cleaning	Stationary	Travel	Postage	Food
Jun 1	Bal b/d	**2,000**	Jun 6	Window cleaner	1	200	200				
			8	Pens & pencils	2	100		100			
			11	Bus fare	3	60			60		
			16	Printer cartridge	4	400		400			
			18	Envelopes	5	270				270	
			20	Coffee & milk	6	70					70
			22	Printing paper	7	80		80			
			23	Taxi fare	8	200			200		
			24	Office cleaner	9	170	170				
			26	Biscuits & tea	10	100					100
			28	Paper pins	11	40		40			
			29	Petrol	12	70			70		
						1,760	**370**	**620**	**330**	**270**	**170**
			30	Balance c/d		**240**					
						2,000					
Jul 1	Bal b/d	**240**									
	Cash	**1,760**									

5 GENERAL JOURNAL

The general journal (journal for short) is a book of prime entry that is used to record transactions that are not recorded in any other book of original entry.

The journal might be used to provide a record and explanation of:

- year-end adjustments;
- settlement discounts;
- contra settlement;
- correction of errors; or
- any other adjustment.

In practice, not all entries are recorded in a journal or journalised but of course it is possible to write a journal for any transaction.

FORMAT: GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
31 Aug	*Account debited*		XXX	
	Account credited			XXX
	(brief narration)			

Ledger Folio (LF) is the page number of the ledger account on which the relevant account appears and it enables quick access to relevant ledger accounts.

▶ *Example 11:*

Using the information in *Example 01*, prepare General Journal for relevant transactions only.

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
21 Nov	*Motor Vehicle*		4,950,000	
	Turnkey Motors			4,950,000
	(Vehicle bought on credit)			
23 Nov	*Discount allowed (revenue)*		8,000	
	Receivable: Taseer			2,000
	Receivable: Jawad			6,000
	(Settlement discount allowed)			
28 Nov	*Payable: Jamal*		7,000	
	Payable: Talal		20,000	
	Discount received			27,000
	(Settlement discount received)			

▶ *Example 12:*

In July 2014, Abdullah established a business for providing van service to private schools in the city of Gujarat. The transactions during the month are listed below:

1 July	A bank account was opened with a cash deposit of Rs. 20,000,000.
3 July	A property was purchased at a cost of Rs. 10,000,000, of which Rs. 7,200,000 was considered as applicable to the land and Rs. 2,800,000 to the building. The transaction involved a cash payment of Rs. 3,000,000 and the balance was agreed to paid after six months.
5 July	10 new vans were purchased for at Rs. 300,000 each from City Showroom, Lahore. Abdullah paid Rs. 600,000 in cash and agreed to pay Rs. 1,000,000 by 31 July and the remaining balance by 15 August.
7 July	Upon inspection, a van was found to be defective and was returned to City Showroom, Lahore.
8 July	Office equipment was purchased against cash payment by cheque of Rs. 24,400.
15 July	Abdullah signed an agreement with a petrol pump for supply of CNG on credit. As per agreement, he issued a cheque for Rs. 15,000 as security deposit.
30 July	25% of the property acquired on 3 July was rented out from 1 August 2014 at a monthly rent of Rs. 30,000. A three-month advance was received from the tenant.
31 July	Cheque for Rs. 1,000,000 was issued to City Showroom, Lahore.

Required:

Journal entries of all the above transactions for the month of July 2014.

▶ *ANSWER*

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
1 Jul 14	Bank		20,000,000	
	Abdullah's Capital			20,000,000
3 Jul 14	Land		7,200,000	
	Building		2,800,000	
	Bank			3,000,000
	Payable – for property			7,000,000
5 Jul 14	Vans		3,000,000	
	Bank			600,000
	Payable – City Showroom			2,400,000
7 Jul 14	Payable – City Showroom		300,000	
	Vans			300,000
8 Jul 14	Office equipment		24,400	
	Bank			24,400
15 Jul 14	Security Deposit		15,000	
	Bank			15,000
30 Jul 14	Bank		90,000	
	Advances received			90,000
31 Jul 14	Payable – City Showroom		1,000,000	
	Bank			1,000,000

6 VOUCHERS AS AN ALTERNATIVE TO DAY BOOKS

Voucher is an internal document prepared as proof that a monetary transaction has occurred between two parties and it is often supported by bill, invoice, copy of cheque, etc. In business, a voucher can be used for a variety of purposes, sometimes for payment of cash in a transaction, acting as a receipt, or indicating that an invoice has been approved for payment.

In practice, especially in computerised accounting systems, voucher system replaces (or supports) the books of prime entry. Every transaction is recorded on relevant vouchers as input to accounting system, which produces ledgers, trial balances and other reports through using automated processes. The voucher systems do vary across different entities. A practical system might operate as follows to replace the books of prime entry:

Book of prime entry		Transactions type	Voucher type
1.	Sales day book	Records sales of inventory items on credit to customers.	Sales voucher (or simply a sales invoice).
2.	Sales return day book	Records items returned by credit customers.	Sales Return Voucher (or credit notes issued).
3.	Purchases day book	Records purchases of inventory items on credit from suppliers.	Purchase voucher (or purchase invoices).
4.	Purchases return day book	Records items returned to credit suppliers.	Purchase return voucher (or credit notes received).
5.	Cash book	All cash transactions including cash sales and cash purchases and payment of expenses and cash transactions with credit customers and suppliers.	Payment vouchers and Receipt vouchers
6.	General Journal	Records transactions that are not recorded in any of the other books of original entry, e.g. non-current asset bought on credit.	Journal Voucher

Payment voucher: Payment can be made after approval of payment voucher supported with bills or other relevant supporting documents.

Business Entity Name

Payment Voucher

Sr. #_____ Date:_____

Paid to:_____ Mode of payment: Cash / Cheque

On account of: _____ Cheque #: _____

Amount in words: _____ Amount Rs. _____

Prepared by	Approved by	Received by

Receipt voucher: Receipt vouchers are prepared to record the cash and cheque receipts and collections in bank accounts.

Business Entity Name

Receipt Voucher

Sr. #_____ Date:_____

Received from:_____ Mode: Cash / Cheque

On account of: _____ Cheque #: _____

Amount in words: _____ Amount Rs. _____

Received by **Checked by**

Journal voucher (JV): JV is prepared to evidence the authorization to record non-cash transactions.

Business Entity Name

Journal Voucher

Sr. #_____ Date:_____

Code	Account Description	Debit (Rupees)	Credit (Rupees)

Details: _____

_____

Prepared by **Checked by** **Authorised by**

7 COMPREHENSIVE EXAMPLES

▶ *Example 13:*

Following information pertains to Alpha Traders (AT):

Balances as at 1 August 2017:

	Rupees
Cash in hand	178,000
Bank overdraft	769,000

Transactions for the month of August 2017:

Date	Transactions
02-Aug	Office furniture purchased from RABBIT for cash and on credit for Rs. 38,000 and Rs. 129,000 respectively.
03-Aug	Goods purchased for cash from Bena & Co. for Rs. 85,000.
05-Aug	Goods purchased on credit in bulk (net of 5% trade discount) from Moon & Co. and Shan Traders for Rs. 475,000 and Rs. 513,000 respectively.
08-Aug	Goods sold on credit for Rs. 236,000 and Rs. 198,000 to A-Z Super Store and Apollo Centre, respectively. The settlement discount terms are usually offered but it is highly probable that customers will not avail that offer.
10-Aug	Goods costing Rs. 68,000 were returned to Moon & Co.
12-Aug	Cash sales to Danish & Sons for Rs. 40,000.
16-Aug	Cheques (net of 5% discount) amounting to Rs. 194,750 and Rs. 243,200 were received from A-Z Super Store and Bright & Co. respectively.
20-Aug	It was agreed with Columbus Traders to adjust Rs. 200,000 payable to AT against receivables from AT.
25-Aug	Payment of Rs. 225,000 (net of 10% discount) to Al-Shams.

Required: Record the above transactions in relevant books of prime entry in a proper format. AT prepares two Column cash book.

▶ *ANSWER*

Alpha Traders

Purchases day Book

Date	Supplier	Inv. #	Rs.
05 Aug 2017	Moon & Co		475,000
05 Aug 2017	Shan Traders		513,000
	TOTAL		**988,000**

Purchases returns day Book

Date	Supplier	Credit note#	Rs.
10 Aug 2017	Moon & Co		68,000
	TOTAL		**68,000**

Sales day Book

Date	Customer	Inv. #	Rs.
10 Aug 2017	A-Z Super Store		236,000
10 Aug 2017	Apollo Centre		198,000
	TOTAL		**434,000**

Cash Book

Date	Details	Cash	Bank	Date	Details	Cash	Bank
		Rupees				Rupees	
Aug 1	b/d	178,000		Aug 1	b/d		769,000
12	Sales	40,000		2	Furniture	38,000	
16	AZ Super		194,750	3	Purchases	85,000	
16	Bright & Co		243,200	25	Al-Shams		225,000
31	c/d		556,050	31	c/d	95,000	
		218,000	**994,000**			**218,000**	**994,000**

General Journal

Date	Particulars	LF	Debit Rs.	Credit Rs.
02 Aug	*Office furniture*		129,000	
	RABBIT (Other liabilities)			129,000
	(Purchased office furniture on credit)			
16 Aug	*Revenue / Discount allowed*		23,050	
	AZ Super (194,750 x 5/95)			10,250
	Bright & Co (243,200 x 5/95)			12,800
	(Settlement discount allowed)			
20 Aug	*Payable: Columbus Traders*		200,000	
	Receivable: Columbus Traders			200,000
	(Contra – Columbus Traders)			
25 Aug	*Al-shams (225,000 x 10 /90)*		25,000	
	Discount received			25,000
	(Settlement discount received)			

▶ *Example 14:*

Henry Brothers (HB) is engaged in trading of textile products. As at 1 July 2018, HB had cash and bank balances of Rs. 76,000 and Rs. 286,000 respectively. Following transactions pertain to the month of July 2018:

4 July	Purchased goods on credit amounting to Rs. 250,000 and Rs. 180,000 from Alpha Enterprises (AE) and Bravo Traders, respectively. AE offered 3% discount if payment was made within 15 days.
6 July	Purchased office furniture costing Rs. 90,000 from Lavish Designs and paid Rs. 50,000 through cheque. Rs. 40,000 had already been paid in June 2018 and debited to Advances.
8 July	Sold goods to HRS Garments and received a cheque of Rs. 300,000. Also sold goods on cash to Shan Garments having list price of Rs. 250,000 and offered discount of 2%.
14 July	20% goods sold to Shan Garments on 8 July were returned and the amount was refunded in cash. These goods were sold on mark-up of 25% of cost.
16 July	Sold old office furniture at its book value on cash for Rs. 12,000.
17 July	Goods costing Rs. 35,000 were returned to AE and the remaining amount was paid through cheque.
23 July	Sold goods on cash to Salim Sons for Rs. 236,500.
26 July	Saleh & Co. offered discount of 5% on list price of Rs. 500 per unit if at least 250 units are purchased. HB purchased 300 units to avail the discount and paid through cheque.
28 July	Paid loan instalment of Rs. 150,000 including interest of Rs. 35,000 in cash.
30 July	Deposited cash into bank Rs. 200,000.

Required:

Record the above transactions in the relevant books of prime entry in a proper format. (Narrations are not required)

▶ *ANSWER*

PURCHASES DAY BOOK

Date	Supplier	Inv. #	Rs.
4-Jul-18	Alpha Enterprises		250,000
4-Jul-18	Bravo Traders		180,000
	TOTAL		**430,000**

PURCHASES RETURNS DAY BOOK

Date	Supplier	CN #	Rs.
17-Jul-18	Alpha Enterprises		35,000
	TOTAL		**35,000**

CASH BOOK (Two column)

Date	Receipts	Cash	Bank	Date	Payments	Cash	Bank
01 Jul	Balance b/d	76,000	286,000	06 Jul	Office furniture		50,000
08 Jul	Sales		300,000	14 Jul	Return in 20%	49,000	
08 Jul	Sales 98%	245,000		17 Jul	Alpha Ent. 97%		208,550
16 Jul	Disposal	12,000		26 Jul	Purchases 95%		142,500
23 Jul	Sales	236,500		28 Jul	Loan	115,000	
30 Jul	Cash		200,000	28 Jul	Interest	35,000	
				30 Jul	Bank	200,000	
				31 Jul	Balance c/d	170,500	384,950
		569,500	**786,000**			**569,500**	**786,000**

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
6 Jul 18	*Office furniture*		40,000	
	Advances			40,000
17 Jul 18	*Trade payables (Alpha Enterprises)*		6,450	
	Discount received 3%			6,450

▶ *Example 15:*

Following transactions pertain to Gul Brothers (GB) for the month of February 2017:

3-Feb	Bought goods on credit from QT Stores for Rs. 295,000.
3-Feb	Purchased goods in bulk on 15 days' credit from Bana & Co. at a price of Rs. 190,000 (net of 5% trade discount).
8-Feb	Sold goods on cash for Rs. 300,000.
15-Feb	Issued a cheque of Rs. 90,000 to XYZ in full and final settlement of an old outstanding balance of Rs. 100,000.
18-Feb	Sold goods on 15 days' credit to Qavi for Rs. 275,000. Qavi would be entitled to 2% discount if payment is made on the due date. It is highly probable that Qavi would be able to claim this discount.
18-Feb	Sold goods on credit to Child Care Centre at a concessional price of cost plus 10%. The cost of goods was Rs. 158,000.
25-Feb	Received cheques from debtors – Chenab Rs. 68,000 and Ameen Stores Rs. 32,000.

Required:

Enter the above transactions in the related books of prime entry except general journal.

▶ *ANSWER*

Purchases day Book

Date	Supplier	Inv. #	Rs.
03 Feb	QT Stores		295,000
03 Feb	Bana & Co		190,000
	TOTAL		**485,000**

Sales day Book

Date	Customer	Inv. #	Rs.
18 Feb	Qavi (275,000 x 98%)		269,500
18 Feb	Child Care Centre [158,000 x 110%)		173,800
	TOTAL		**443,300**

Cash Book

Date	Receipts	Disc.	Cash	Bank	Date	Payments	Disc.	Cash	Bank
8 Feb	Sales		300,000		15 Feb	XYZ	10,000		90,000
25 Feb	Chenab			68,000					
25 Feb	Ameen			32,000					

▶ *Example 16:*

In August 2015, Ali established a stationery store named as Ali Baba Stationers. The transactions during the month are listed below:

Date	Transactions
3 August	A bank account was opened with cash Rs. 5,000,000.
3 August	Purchase shop furniture worth Rs. 170,000 on credit.
3 August	Bought stationery on credit from The Pen Store: Rs. 450,000 less trade discount of Rs. 25,000, The School Shop: Rs. 200,000, Galaxy Stationers: Rs. 350,000, The Stationery Store: Rs. 400,000, The Office Store: Rs. 800,000.
5 August	Supplied stationery on credit to Murjeena Traders: Rs. 200,000, Qasim and Company: Rs. 550,000 less trade discount of Rs. 50,000, Chiragh Limited: Rs. 250,000, Sameer Enterprises: Rs. 400,000, Hamid and Company: Rs. 800,000.
6 August	Purchase returns to Galaxy Stationers: Rs. 10,000 and The Stationery Store: Rs. 40,000.
7 August	Paid shop rent amounting to Rs. 300,000.
7 August	Recovered Rs. 150,000 from Murjeena Traders, Rs. 250,000 from Qasim and Company, Rs. 200,000 from Chiragh Limited, Rs. 300,000 from Sameer Enterprises, Rs. 400,000 from Hamid and Company.
10 August	Paid Rs. 300,000 to The Stationery Store, Rs. 290,000 to The Office Store and Rs. 250,000 to The Pen Store after availing early payment discount of Rs. 25,000.
11 August	Paid Rs. 60,000 for shop repairs.
12 August	Sold stationery on cash amounting to Rs. 250,000.
15 August	Sales return from Murjeena Traders: Rs. 25,000 and Chiragh Limited: Rs. 30,000.

Date	Transactions
18 August	Bought stationery for cash Rs. 150,000
21 August	Supplied stationery on credit to Murjeena Traders: Rs. 300,000, Qasim and Company: Rs. 200,000, Chiragh Limited: Rs. 550,000, Sameer Enterprises: Rs. 200,000.
25 August	Following amounts were received from debtors: Murjeena Traders: Rs. 150,000, Qasim and Company: Rs. 150,000 after allowing early payment discount of Rs. 25,000, Chiragh Limited: Rs. 300,000 after allowing early payment discount of Rs. 50,000.

Required:

Enter the transactions in the related books of prime entry assuming that all receipts and payments are made through bank account. Also assume that it was not expected that any customer will avail early payment discount.

▶ *ANSWER*

Ali Baba Stationers

PURCHASE DAY BOOK

Date	Supplier	Invoice #	Rs.
3 Aug 15	The pen store		425,000
3 Aug 15	The School Shop		200,000
3 Aug 15	Galaxy Stationers		350,000
3 Aug 15	The Stationary Store		400,000
3 Aug 15	The Office Store		800,000
	TOTAL		**2,175,000**

SALES DAY BOOK

Date	Customer	Invoice #	Rs.
5 Aug 15	Murjeena Traders		200,000
5 Aug 15	Qasim and Company		500,000
5 Aug 15	Chiragh Limited		250,000
5 Aug 15	Sameer Enterprises		400,000
5 Aug 15	Hamid and Company		800,000
21 Aug 15	Murjeena Traders		300,000
21 Aug 15	Qasim and Company		200,000
21 Aug 15	Chiragh Limited		550,000
21 Aug 15	Sameer Enterprises		200,000
	TOTAL		**3,400,000**

PURCHASE RETURN DAY BOOK

Date	Supplier	Credit note	Rs.
6 Aug 15	Galaxy Stationers		10,000
6 Aug 15	Stationary Store		40,000
	TOTAL		**50,000**

SALES RETURN DAY BOOK

Date	Customer	Credit note	Rs.
15 Aug 15	Murjeena Traders		25,000
15 Aug 15	Chiragh Limited		30,000
	TOTAL		**55,000**

CASH BOOK

Date	Receipts	Bank	Date	Payments	Bank
3 Aug	**Capital**	**5,000,000**	**7 Aug**	**Shop rent**	**300,000**
7 Aug	Receivables	1,300,000	10 Aug	Payables	840,000
12 Aug	Sales	250,000	11 Aug	Shop repairs	60,000
25 Aug	Receivables	600,000	18 Aug	Purchases	150,000
			31 Aug	Balance c/d	5,800,000
		7,150,000			**7,150,000**

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
3 Aug	Shop furniture		170,000	
	Payable for furniture			170,000
10 Aug	Payables: The Pen Store		25,000	
	Discount received / Purchases			25,000
25 Aug	Revenue / Discount allowed		75,000	
	Receivable: Qasim & Company			25,000
	Receivable: Chiragh Limited			50,000

1. OBJECTIVE BASED Q&A

1. Which of the following is not a book of prime entry?
   a) Sales day book
   b) Petty cash book
   c) Journal
   d) Trial balance

2. The sales day book is a book of prime entry:
   a) For recording all sales
   b) For recording credit sales
   c) In which cash sales are first recorded
   d) In which credit sales are first recorded

3. The purchases day book is a book of prime entry:
   a) For recording all purchases
   b) For recording credit purchases
   c) In which cash purchases are first recorded
   d) In which credit purchases are first recorded

4. In which book of prime entry credit notes issued to customers are initially recorded?
   a) Sales Journal
   b) Sales Return Journal
   c) Purchase Journal
   d) Purchase return Journal

5. In which book of prime entry debit notes issued are initially recorded?
   a) Sales Journal
   b) Sales Return Journal
   c) Purchase Journal
   d) Purchase return Journal

6. In which book of prime entry credit notes received are initially recorded?
   a) Sales Journal
   b) Sales Return Journal
   c) Purchase Journal
   d) Purchase return Journal

7. Which of the following transactions shall be recorded in sales day book of an Electronics Trader?
   a) Cash sales of office furniture
   b) Cash sales of electronics items
   c) Credit sales of office furniture
   d) Credit sales of electronics items

8. Which of the following transactions shall be recorded in cash book of an Electronics Trader?
   a) Cash sales of office furniture
   b) Cash sales of electronics items
   c) Credit sales of office furniture
   d) Credit sales of electronics items

9. Which of the following transactions must be recorded in general journal of an Electronics Trader?
   a) Cash sales of office furniture
   b) Cash sales of electronics items
   c) Credit sales of office furniture
   d) Credit sales of electronics items

10. A business has made following sales:
   - Credit sales Rs. 1,500
   - Cash sales Rs. 1,200

   Which statement is correct for recording of sales transactions?
   a) Sales day book Rs. 1,500, Cash receipt book Rs. 1,200
   b) Cash receipt book Rs. 2,700
   c) Sales day book Rs. 1,500, Petty cash book Rs. 1,200
   d) Sales day book Rs. 2,700

11. Usuf made following transactions during a certain month:
   - Credit sales 15,000 out of which Rs. 3,000 were returned by the customers subsequently
   - Cash sales amounting Rs. 8,000
   - Cash received from customers Rs. 4,000

   What is the total of sales day book for the month?
   a) Rs. 15,000
   b) Rs. 12,000
   c) Rs. 23,000
   d) Rs. 20,000

12. In which of the following book returns inwards are recorded?
   a) Sales returns book
   b) Purchase returns books
   c) Cash receipts book
   d) Cash payment book

13. Hussain runs a business of purchase and sales of furniture. During a particular period, Hussain made following transactions:

    - Sales to A Rs. 12,000
    - Sales to B Rs. 10,000 list price and trade discount 2%
    - Sales returns from A Rs. 3,000

    What is the total of sales day book for the period?

    a) Rs. 22,000
    b) Rs. 21,800
    c) Rs. 19,000
    d) Rs. 18,800

14. A Credit Note is issued to a:

    a) Customer for return of goods
    b) Supplier for return of goods
    c) Customer to accept the goods
    d) Supplier to accept the goods

15. In which book of prime entry does debit notes received worth Rs.100,000 would be recorded?

    a) Accounts payable book
    b) Purchase journal
    c) Return inwards journal
    d) Returns outward journal

16. In which book of prime entry does sales on account of Rs. 700,000 would be recorded?

    a) Sales journal
    b) Accounts receivable journal
    c) Cash book
    d) Return inwards journal

17. Which of the following documents serves as a notice to the customer to inform them that the goods have been dispatched?

    a) Quotation
    b) Sales order / order confirmation
    c) Goods dispatched note
    d) Delivery note

18. On 20th July, goods with list price of Rs. 80,000 were sold. The customer has been offered 2% trade discount and 3% (of list price) further discount if he pays within 15 days. It is reasonably expected that customer will pay within 15 days. At which amount sales should be recognised on 20th July?

    a) Rs. 80,000
    b) Rs. 78,400
    c) Rs. 76,048
    d) Rs. 76,000

19. What is correct double entry for dishonour of cheque that was given by a customer?

    a) DEBIT Sales return; CREDIT Receivables
    b) DEBIT Bank; CREDIT Receivables
    c) DEBIT Receivables; CREDIT Bank
    d) DEBIT Sales return; CREDIT Bank

20. In which book of prime entry, the transaction of cheque dishonoured is recorded?

    a) Sales day book
    b) Petty cash book
    c) Cash book
    d) General journal

21. In the books of Faizan; Sarmad has a debit balance of Rs. 3,000 and credit balance of Rs. 1,500. Sarmad has requested to adjust debit balance with credit.

    What is the contra entry to be passed to adjust the balance?

    a) Dr Accounts receivable a/c Rs. 3,000 Cr Accounts payable a/c Rs. 3,000
    b) Dr Accounts payable a/c Rs. 3,000 Cr Accounts receivable a/c Rs. 3,000
    c) Dr Accounts receivable a/c Rs. 1,500 Cr Accounts payable a/c Rs. 1,500
    d) Dr Accounts payable a/c Rs. 1,500Cr Accounts receivable a/c Rs. 1,500

22. Which of the following document is prepared by the business's store keeper on receiving goods in store?

    a) Goods dispatched note
    b) Goods received note
    c) Remittance advice
    d) Debit note

23. Gross amount of purchases must be equal to:

    a) Total of all invoices issued to customers
    b) Total of all credit notes issued to customers
    c) Total of all debit notes sent by customers
    d) Total of all invoices received from suppliers

24. A debit note is issued to a:

    a) Customer for return of goods
    b) Supplier for return of goods
    c) Customer to accept the goods
    d) Supplier to accept the goods

25. In which book of prime entry does purchases on account of Rs. 500,000 would be recorded?

    a) Cash book
    b) Accounts payable book
    c) Purchase day book
    d) None of the above

26. In which book of prime entry does credit note received worth Rs.150,000 would be recorded?

    a) Accounts receivable book
    b) Sales day book
    c) Return inwards journal
    d) Returns outward journal

27. Which of the following document is prepared when an item is needed in the business but it is not available in stock?

    a) Purchase requisition
    b) Quotation and approval
    c) Purchase order
    d) Goods received note

28. Which of the following statements is correct with reference to settlement discount received from suppliers?

    a) It is recognised as reduction of revenue.
    b) It is recognised and presented as other income
    c) It is recognised as reduction in cost of purchases
    d) It is recognised as operating expenses of the business

29. In which book of prime entry, entry for contra settlement is initially recorded?

    a) Purchase day book
    b) Purchase day book and sales day book
    c) Cash Book
    d) General Journal

30. Cash discount received is recorded:

    a) As deduction in purchase day book
    b) In purchase return journal
    c) As deduction from cost of purchase in general journal
    d) None of above

31. Samreen has made following transactions during current week:

    - Sales Rs. 15,000 out of which Rs. 4,000 are on cash
    - A customer paid 800 after availing discount of 2%
    - Rent paid Rs. 100

    What is the total of receipt column of cash book?

    a) Rs. 15,800
    b) Rs. 4,800
    c) Rs. 4,700
    d) Rs. 15,700

32. Sufyan has purchased certain goods on credit from Aliyan. List price of the goods was Rs. 10,000. Trade discount of 2% was allowed. Aliyan also offered a discount of 1% on amount due if the amount due is paid within 10 days. Sufyan availed the discount.

    For recording the above transactions by Sufyan; which books of prime entry are involved and at what amount?

    a) Purchase day book Rs. 10,000, Cash book discount column Rs. 298 and payment column Rs. 9,702
    b) Purchase day book Rs. 9,702, Cash book Rs. 9,702
    c) Purchase day book Rs. 9,800, Cash book discount column Rs. 98 and payment column Rs. 9,702
    d) Sales day book Rs. 9,800, Cash book discount column Rs. 98 and receipt column Rs. 9,702

33. A businessman maintains petty cash book under imprest system. The imprest amount is Rs. 500. During a month, payments totalling Rs. 300 were made.

    How much amount will be reimbursed at the end of the month to restore the petty cash to the imprest amount?

    a) Rs. 200
    b) Rs. 300
    c) Rs. 500
    d) Rs. 800

34. Which of the following statement describes the nature of weekly imprest system for petty cash?

    a) Maximum amount of weekly petty cash expense is defined
    b) For maintaining a fixed float; an amount equal to weekly expenses incurred is reimbursed
    c) Proper authorization is required for all expense
    d) Business transfers an equal amount to petty cash balance at regular intervals

35. A business made following transactions during a certain period:

    Credit purchases Rs. 12,000; out of which Rs. 2,000 were rejected and subsequently returned to the supplier. Supplier allowed a discount of 1% on settlement of amount.

    What is the net amount of cash paid to the supplier and amount of net purchases to be reported in financial statements?

    a) Rs. 10,000 amount paid and Rs. 10,000 net purchases.
    b) Rs. 10,000 amount paid and Rs. 10,000 net purchases
    c) Rs. 9,900 amount paid and Rs. 9,900 net purchases
    d) Rs. 9,900 amount paid and Rs. 11,880 net purchases

36. Sadia maintains an imprest system of petty cash. Float is maintained at Rs. 1,000. During February 2019 Sadia has made payments of Rs. 650. At end of February it is decided to increase float by Rs. 100.

    What amount is needed to achieve the required float?

    Rs. _____

37. In which book of prime entry does receipt from a debtor worth Rs.200,000 may be recorded?

    a) Petty cash book
    b) Cash book
    c) Receivable ledger
    d) Debtor book

38. In which book of prime entry does payment to supplier worth Rs.300,000 may be recorded?
    a) Petty cash book
    b) Accounts payable journal
    c) Cash payment journal / Cash book
    d) None of the above

39. In which book of prime entry does payment of entertainment expense worth Rs.150 is usually recorded?
    a) Petty cash book
    b) Cash payment journal
    c) Bank book
    d) None of the above

40. In which book of prime entry does cash purchases worth Rs. 500,000 would be recorded?
    a) Petty cash book
    b) Cash book
    c) Purchase day book
    d) Accounts payable book

41. In which book of prime entry does cash sales worth Rs. 250,000 would be recorded?
    a) Petty cash book
    b) Cash book
    c) Sales day book
    d) Accounts receivable book

42. Which of the following items will be debited to payable account in journal entry?
    a) Payment to credit supplier
    b) Cash purchases
    c) Refunds from a credit supplier
    d) Balance due

43. Any transaction, which cannot be recorded in any other book of prime entry, is recorded in?
    a) Cash book
    b) Petty cash book
    c) General journal
    d) Day books

44. In which book of prime entry correction of errors would usually be recorded?
    a) Cash book
    b) Petty cash book
    c) Error correction book
    d) General Journal

45. In which book of prime entry, year-end adjustments would usually be recorded?
    a) Cash book
    b) Petty cash book
    c) Error correction book
    d) General Journal

46. A voucher is:
    a) An internal document of a business entity
    b) An external document received by a business entity
    c) A book of prime entry
    d) None of above

47. Vouchers may be used:
    a) In replacement of books of prime entry
    b) In support of books of prime entry
    c) Both of above
    d) None of above

48. Which voucher is used to for payment of cheques?
    a) Journal voucher
    b) Receipt voucher
    c) Payment voucher
    d) None of above

49. Which voucher is used to for receipt of cheques/cash?
    a) Journal voucher
    b) Receipt voucher
    c) Payment voucher
    d) None of above

50. Which voucher is prepared for non-cash transactions?
    a) Journal voucher
    b) Receipt voucher
    c) Payment voucher
    d) None of above

ANSWERS

01.	**(d)**	Trial balance is not a book of prime entry.
02.	**(b)**	Only credit sales is recorded in sales day book, cash sales is recorded in cash book.
03.	**(b)**	Only credit purchases are recorded in purchases day book, cash purchases are recorded in cash book.
04.	**(b)**	Sales return journal
05.	**(d)**	Purchase return journal
06.	**(d)**	Purchase return journal
07.	**(d)**	Inventory item on credit
08.	**(a)&(b)**	All cash transactions
09.	**(c)**	Non-current asset sold on credit
10.	**(a)**	Credit sales are recorded in sales day book and cash sales are recorded in cash receipt book
11.	**(a)**	Credit sales are entered in the sales day books; sales returns are entered in sales returns day book (not deducted from sales day book total); cash sales and cash received from customers are entered in cash receipt book
12.	**(a)**	Sales returns day book
13.	**(b)**	Total sales = Rs. 12,000+ (Rs. 10,000x0.98) = Rs. 21,800
14.	**(a)**	Customer as an evidence of return of goods
15.	**(c)**	Return inwards (we issued credit note and received debit note)
16.	**(a)**	Sales journal
17.	**(c)**	Goods dispatched note
18.	**(d)**	Rs. 80,000 less 2% of Rs. 80,000 less 3% of Rs. 80,000 = Rs. 76,000
19.	**(c)**	DEBIT Receivables; CREDIT Bank
20.	**(c)**	Cash book (as reversal of receipt)
21.	**(d)**	Payables (Liabilities) decreased, resulting in debit Receivables (assets) decreased, resulting in credit Only lower amount may be offset.
22.	**(b)**	Goods received note
23.	**(d)**	Total of all invoices received from suppliers
24.	**(b)**	Supplier for return of goods
25.	**(c)**	Purchase day book
26.	**(d)**	Return outwards journal
27.	**(a)**	Purchase requisition
28.	**(c)**	It is recognised as reduction in cost of purchases.
29.	**(d)**	General Journal (a non-cash transaction)
30.	**(c)**	In general journal, as reduction in cost of purchases.

31.	**(b)**	Cash sales Rs. 4,000 + cash received from customer 800 = Rs. 4,800
32.	**(c)**	Purchase day book: Rs. 10,000 x 98% = 9,800 Discount received column in Cash book: Rs. 9,800x1%=Rs. 98 Cash payment column in cash book = Rs. 9,800 – Rs. 98 = Rs. 9,702
33.	**(b)**	The amount spent is reimbursed so that imprest amount becomes available again.
34.	**(b)**	For maintaining a fixed float; an amount equal to weekly expenses incurred is reimbursed
35.	**(c)**	Net amount payable = Rs. 12,000-Rs. 2,000 = Rs. 10,000 Cash paid = Rs. 10,000 x 99%= Rs. 9,900 The same amount will be recorded as cost of purchases (net).
36.	**Rs. 750**	New float = Rs. 1,000+100 = Rs. 1,100 Amount required to restore and increase = Rs. 100+Rs. 650 = Rs. 750
37.	**(b)**	Cash transaction (not a small amount)
38.	**(c)**	Cash transaction of payment (not a small amount)
39.	**(a)**	Cash transaction (small amount)
40.	**(b)**	Cash transaction
41.	**(b)**	Cash transaction
42.	**(a)**	Payment to credit supplier
43.	**(c)**	General journal
44.	**(d)**	General Journal
45.	**(d)**	General Journal
46.	**(a)**	An internal document of a business entity
47.	**(c)**	Voucher system may be used along with books of prime entry or in its replacement.
48.	**(c)**	Payment voucher
49.	**(b)**	Receipt voucher
50.	**(a)**	Journal voucher

STICKY NOTES

Sales day book
Transaction type: Credit sales (of inventory)
Source document: Invoices issued to customer

Sales returns day book
Transaction type: Return of goods sold on credit
Source document: Credit notes issued

Purchases day book
Transaction type: Credit purchases (of inventory)
Source document: Invoices received from suppliers

Purchases returns day book
Transaction type: Return of goods bought on credit
Source document: Credit notes received (or debit notes issued)

Cash Book
Transaction type: All cash and bank transactions (small cash transactions may be recorded in petty cash book)
Source document: Payment approvals, counterfoils, cheques and vouchers

General Journal
Transaction type: All other transactions
Source document: Bills, approval documents and journal vouchers

Vouchers
Different vouchers may be used to record transactions initially rather than using day books of prime entry.
These may include receipt vouchers, payment vouchersand journal vouchers.

CHAPTER 3

LEDGERS AND TRIAL BALANCE

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Ledgers
2. Chart of Accounts
3. Trial Balance
4. Transition to Next Accounting Period
5. Comprehensive Examples
6. Objective Based Q&A

STICKY NOTES

AT A GLANCE

The transactions recorded in books of prime entry are posted in ledger accounts which may have T account form or statement form with running balance calculated after each transaction.

Individual customer accounts are usually maintained in receivables' ledger, individual supplier accounts in payables ledger and all other accounts in general ledger.

Every ledger account must be separately identifiable. It is often quicker and more convenient to give accounts their own unique code number. The design and arrangement of such codes is called chart of accounts.

From ledgers a trial balance is prepared to check arithmetical accuracy of double entry book-keeping and it is also starting point to prepare financial statements.

Income, expense and drawings accounts are transferred/closed to Capital account at the end of accounting period once financial statements have been prepared. The next period starts with balances of assets, liabilities and equity only.

1 LEDGERS

The sorted record from books of prime entry is posted to ledger accounts.

Accounts are kept together in a ledger. A ledger is a collection of related accounts. The two most common format for ledger accounts are 'T account' and 'running balance account'.

The process of classifying amounts from books of prime entry to ledgers is called '**posting**'.

T account

A simplified form of an account and is widely used in studies, exams and workings. Debit transactions are posted on **left** side with reference to account of credit entry. Credit transactions are posted on **right** side with reference to account of debit entry.

Receivable – Quality Traders					
Date	**Particulars**	**Dr. (Rs.)**	**Date**	**Particulars**	**Cr. (Rs.)**
01 Feb	Balance b/d	5,000	08 Feb	Sales return	2,000
06 Feb	Sales	15,000	18 Feb	Bank	10,000
20 Feb	Sales	8,000	24 Feb	Bank	9,000
			29 Feb	Balance c/d	7,000
		28,000			**28,000**
01 Mar	Balance b/d	7,000			

Balancing a T account ledger

Once the transactions for a period have been recorded, it will be necessary to find the balance on the ledger account:

- Total both sides of the T account and find the larger total.
- Put the larger total in the total box on the debit and credit side.
- Insert a balancing figure to the side of the T account which does not currently add up to the amount in the total box. Call this balancing figure 'balance c/f' (carried forward) or 'balance c/d' (carried down).
- Carry the balance down diagonally and call it 'balance b/f' (brought forward) or 'balance b/d' (brought down).

Running account balance

This is an alternative to T account and is widely used in practice. This provides with updated balance after each transaction.

Receivable – Quality Traders				
Date	**Particulars**	**Dr. (Rs.)**	**Cr. (Rs.)**	**Balance Rs.**
01 Feb	Balance b/d			5,000 Dr
06 Feb	Sales	15,000		20,000 Dr
08 Feb	Sales return		2,000	18,000 Dr
18 Feb	Bank		10,000	8,000 Dr
20 Feb	Sales	8,000		16,000 Dr
24 Feb	Bank		9,000	7,000 Dr

TYPE OF LEDGERS

1.	**Receivables Ledger**	It contains all individual customers' accounts (to whom we sell inventory on credit) in it. It is also called sales ledger or customer ledger.
2.	**Payables Ledger**	It contains all individual suppliers' accounts (from whom we purchase inventory on credit) in it. It is also called purchase ledger or supplier ledger.
3.	**General Ledger**	It contains all the other accounts of assets, liabilities, income, expenses, capital and drawings. It is also called nominal ledger.

Receivables ledger and payables ledgers are often referred to as subsidiary ledgers while general ledger is referred to as main ledger.

POSTING RULES

Books of Prime entry		Amount	Posted in	Account(s)
1.	**Sales day book**	Each invoice	Receivables Ledger	On debit side of individual customers' accounts.
		Total sales	General Ledger	On credit side of Sales Account.
2.	**Sales return day book**	Total returns	General Ledger	On debit side of Sales Return Account.
		Each return	Receivables Ledger	On credit side of individual customers' accounts.
3.	**Purchase day book**	Total purchases	General Ledger	On debit side of Purchase Account.
		Each invoice	Payables Ledger	On credit side of individual suppliers' accounts.
4.	**Purchase return day book**	Each return	Payables Ledger	On debit side of individual suppliers' accounts.
		Total returns	General Ledger	On credit side of Purchase Return Account.
5.	**Cash Book**	Each payment to supplier	Payables Ledger	On debit side of individual suppliers' accounts.
		Other payments	General Ledger	On debit side of relevant Account.
		Discount from each supplier	Payables Ledger	On debit side of individual suppliers' accounts.
		Total of discount received column	General Ledger	On credit side of 'Discount Received' or 'Purchases' Account
		Each receipt from customers	Receivables Ledger	On credit side of individual customers' accounts.
		Other receipts	General Ledger	On credit side of relevant Account.
		Discount to each customer	Receivables Ledger	On credit side of individual customers' accounts.
		Total of discount allowed column	General Ledger	On debit side of 'Discount Allowed' or 'Revenue' Account
6.	**General Journal**	Account debited	General Ledger	On debit side of relevant account
		Account credited	General Ledger	On credit side of relevant account

Tutorial note:

The above posting rules are in accordance with an accounting system, where control accounts are not maintained.

▶ *Example 01:*

The following books of prime entry relate to a carpet retailer *Adeel Traders* for the month of November.

SALES DAY BOOK

Date	Customer	Inv. #	Rs.
19 Nov	Taseer		885,000
19 Nov	Jawad		848,000
19 Nov	Touseef		1,640,000
30 Nov	**TOTAL**		**3,373,000**

SALES RETURNS DAY BOOK

Date	Customer	CN #	Rs.
20 Nov	Jawad		6,000
20 Nov	Taseer		14,000
30 Nov	**TOTAL**		**20,000**

PURCHASES DAY BOOK

Date	Supplier	Inv. #	Rs.
03 Nov	Jamal		290,000
03 Nov	Faisal		1,200,000
03 Nov	Talal		610,000
03 Nov	Rashid		530,000
19 Nov	Rashid		110,000
19 Nov	Talal		320,000
19 Nov	Fahad		165,000
30 Nov	**TOTAL**		**3,225,000**

PURCHASES RETURNS DAY BOOK

Date	Supplier	CN #	Rs.
18 Nov	Jamal		18,000
18 Nov	Rashid		27,000
30 Nov	**TOTAL**		**45,000**

CASH RECIPT BOOK

Date	Receipts / Particulars	Discount allowed	Cash	Bank
1 Nov	Capital			15,000,000
5	Sales		610,000	
26	BB Bank Loan		750,000	
28	Taseer	6,000		65,000
28	Jawad	2,000		40,000
30	Capital			900,000
		8,000	**1,360,000**	**16,005,000**

CASH PAYMENT BOOK

Date	Payments / Particulars	Discount received	Cash	Bank
6 Nov	Rent			175,000
7	Business rates			130,000
17	Drawings		290,000	
23	Jamal	7,000		265,000
23	Faisal			1,200,000
23	Talal	20,000		480,000
25	Motor Vehicle			6,200,000
30	Balance c/d		1,070,000	7,555,000
		27,000	**1,360,000**	**16,005,000**

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
21 Nov	*Motor Vehicle*		4,950,000	
	Turnkey Motors			4,950,000
	(Vehicle bought on credit)			

Required:

Prepare relevant ledger accounts assuming that *Adeel Traders* maintains separate accounts for settlement discounts and deduct the discounts from Revenue and Purchases in the financial statements.

▶ *ANSWER*

RECEIVABLES' LEDGER

Taseer (RL 1)					
19 Nov	Sales	885,000	20 Nov	Sales return	14,000
			28 Nov	Bank	65,000
			28 Nov	Discount	6,000
			30 Nov	Balance c/d	800,000
		885,000			**885,000**
1 Dec	Balance b/d	800,000			

Jawad (RL 2)					
19 Nov	Sales	848,000	20 Nov	Sales return	6,000
			28 Nov	Bank	40,000
			28 Nov	Discount	2,000
			30 Nov	Balance c/d	800,000
		848,000			**848,000**
1 Dec	Balance b/d	800,000			

Touseef (RL 3)					
19 Nov	Sales	1,640,000	30 Nov	Balance c/d	1,640,000
		1,640,000			**1,640,000**
1 Dec	Balance b/d	1,640,000			

PAYABLES' LEDGER

Jamal (PL 1)					
18 Nov	Purchases returns	18,000	03 Nov	Purchases	290,000
23 Nov	Bank	265,000			
23 Nov	Discount received	7,000			
		290,000			**290,000**

Faisal (PL 2)					
23 Nov	Bank	1,200,000	03 Nov	Purchases	1,200,000
		1,200,000			**1,200,000**

Talal (PL 3)					
23 Nov	Bank	20,000	03 Nov	Purchases	610,000
23 Nov	Discount received	480,000	19 Nov	Purchases	320,000
30 Nov	Balance c/d	430,000			
		930,000			**930,000**
			1 Dec	Balance b/d	430,000

Rashid (PL 4)					
18 Nov	Purchases returns	27,000	03 Nov	Purchases	530,000
30 Nov	Balance c/d	613,000	19 Nov	Purchases	110,000
		640,000			**640,000**
			1 Dec	Balance b/d	613,000

Fahad (PL 5)					
30 Nov	Balance c/d	165,000	19 Nov	Purchases	165,000
		165,000			**165,000**
			1 Dec	Balance b/d	165,000

GENERAL LEDGER

Sales (GL 1)					
			30 Nov	RA (SDB TOTAL)	3,373,000
30 Nov	Balance c/d	3,983,000	5 Nov	Cash	610,000
		3,983,000			**3,983,000**
			1 Dec	Balance b/d	3,983,000

Sales Returns (GL 2)					
30 Nov	RA (SRDB TOTAL)	20,000	30 Nov	Balance c/d	20,000
		20,000			**20,000**
1 Dec	Balance b/d	20,000			

Purchases (GL 3)					
30 Nov	PA (PDB TOTAL)	3,225,000	30 Nov	Balance c/d	3,225,000
		3,225,000			**3,225,000**
1 Dec	Balance b/d	3,225,000			

Purchases Return (GL 4)					
30 Nov	Balance c/d	45,000	30 Nov	PA (PRDB TOTAL)	45,000
		45,000			**45,000**
			1 Dec	Balance b/d	45,000

Owner's Capital (GL 5)					
			1 Nov	Bank	15,000,000
30 Nov	Balance c/d	15,900,000	30 Nov	Bank	900,000
		15,900,000			**15,900,000**
			1 Dec	Balance b/d	15,900,000

BB Bank Loan (GL 6)					
30 Nov	Balance c/d	750,000	26 Nov	Cash	750,000
		750,000			**750,000**
			1 Dec	Balance b/d	750,000

Discount allowed (GL 7)					
30 Nov	CB TOTAL	8,000	30 Nov	Balance c/d	8,000
		8,000			**8,000**
1 Dec	Balance b/d	8,000			

Rent (GL 8)					
6 Nov	Bank	175,000	30 Nov	Balance c/d	175,000
		175,000			**175,000**
1 Dec	Balance b/d	175,000			

Business Rates (GL 9)					
7 Nov	Bank	130,000	30 Nov	Balance c/d	130,000
		130,000			**130,000**
1 Dec	Balance b/d	130,000			

Drawings (GL 10)					
17 Nov	Cash	290,000	30 Nov	Balance c/d	290,000
		290,000			**290,000**
1 Dec	Balance b/d	290,000			

Discount Received (GL 11)					
30 Nov	Balance c/d	27,000	30 Nov	CB TOTAL	27,000
		27,000			**27,000**
			1 Dec	Balance b/d	27,000

Motor Vehicles (GL 12)					
25 Nov	Bank	6,200,000			
21 Nov	Turnkey Motors	4,950,000	30 Nov	Balance c/d	11,150,000
		11,150,000			**11,150,000**
1 Dec	Balance b/d	11,150,000			

Turnkey Motors (GL 13)					
			21 Nov	Motor Vehicles	4,950,000
30 Nov	Balance c/d	4,950,000			
		4,950,000			**4,950,000**
			1 Dec	Balance b/d	4,950,000

2 CHART OF ACCOUNTS

This is a list of accounts created by a business to be used to organise its financial transactions into identified categories of assets, liabilities, income and expenses.

Unique coding and arrangement

Each general ledger account is identified by a unique code and heading. This allows a business to generate instructions and policies to be followed by those members of staff responsible for recording information.

The list is typically arranged in the order of the customary appearance of accounts in the financial statements, statement of financial position general ledger accounts followed by statement of comprehensive income general ledger accounts. The structure and headings in the list aim to result in consistent posting of transactions.

Design and future changes

A company might have complete freedom in designing its chart of accounts (within the boundaries set by the rules of accounting). In some countries, the government might issue a generic chart of accounts from which a business selects those codes that are appropriate to its needs.

In order to keep a vigilant control over accounting framework of the organization, no accounting personnel is allowed to make amendment (including opening a new head of account) in the chart of accounts unless specific written approval thereof is duly sanctioned by the head of finance function.

Objective of using chart of accounts

The aim of the chart is to ensure that all transactions are recognised in accordance with the requirements of the business. The organisation aims to maintain appropriate chart of accounts in order to cater the present and future monetary transactions with an objective of coming up with timely, accurate and meaningful financial reporting. The chart of accounts will act as a guiding and referring tool to the finance personnel while they post accounting entries to their respective head of accounts.

Specimen

Each major heading in the financial statements might be given a range of codes from which codes can be selected for individual general ledger accounts:

	Code range
Non-current assets	**100 – 199**
Land	110-119
Office buildings	120-129
Warehouses	130-139
Factories	140-149
Motor vehicles	150-159
Current assets	**200 – 299**
Inventory	210-219
Receivable	220-269
Cash	270-279
Non-current liabilities	**300 – 399**
Current liabilities	**400 – 499**
Equity	**500 – 599**
Income	**600 – 699**
Expenses	**700 – 799**

3 TRIAL BALANCE

Trial balance is a memorandum listing of all account balances as an internal check on mathematical accuracy of double entry book-keeping. It has two columns, debit and credit, and these two columns should be equal to each other indicating there is no arithmetical error.

List of balances are made from 'Receivables Ledger' and 'Payables Ledger' in order to determine total receivables and total payables amounts for inclusion in trial balance.

Source data for preparing trial balance

The source of balances for preparing trial balance consists of:

- Cash and bank balance from cash book
- Receivable balance from list of balances (receivables ledger, or general ledger if separate receivables ledger is not maintained)
- Payables balance from list of balances (payables ledger, or general ledger if separate payables ledger is not maintained)
- All other balances from general ledger

Purposes of a trial balance

- It is a starting point for producing a statement of comprehensive income and a statement of financial position at the end of an accounting period.
- It is a useful means of checking for errors in the accounting system. Errors must have occurred if the total of debit balances and total of credit balances on the ledger accounts are not equal.

Limitation of a trial balance

Trial balance is taken as test of arithmetical accuracy. If both the debit and credit columns of trial balance are equal to each other, we assume that there is no mistake in the posting of journal and subsidiary books to ledger accounts, in carrying forward balances of ledger accounts to trial balance and even in the balancing of ledger accounts.

This assumption is correct but should never be taken as conclusive proof of accuracy. It means that there are certain errors which remain undetected by trial balance. Both the debit and credit columns of the trial balance may be equal in spite of certain mistakes of omissions and principles. These errors may be mentioned as under:

- Errors of omission in the books of original record
- Errors of principle (posting on right side of wrong account nature wise)
- Compensating errors (same amount effect on debit and credit side)
- Incorrect account in the original books (on both sides)
- Posting to wrong account (but on right side)

▶ *Example 02:*

Using the information in *Example 01*, prepare list of balances (receivables), list of balances (payables) and trial balance.

LIST OF BALANCES - RECEIVABLES

As at 30 November 2017

Sr. #	Item	Ref.	Debit Rs. '000	Credit Rs. '000
1	Taseer	RL 1	800	
2	Jawad	RL 2	800	
3	Touseef	RL 3	1,640	
	TOTAL		**3,240**	

LIST OF BALANCES - PAYABLES

As at 30 November 2017

Sr. #	Item	Ref.	Debit Rs. '000	Credit Rs. '000
1	Jamal	PL 1		0
2	Faisal	PL 2		0
3	Talal	PL 3		430
4	Rashid	PL 4		613
5	Fahad	PL 5		165
	TOTAL			**1,208**

Adeel Traders

TRIAL BALANCE

As at 30 November 2017

Sr. #	Item	Ref.	Debit Rs. '000	Credit Rs. '000
1	Cash in hand	CB	1,070	
2	Cash at Bank	CB	7,555	
3	Receivables	RL	3,240	
4	Payables	PL		1,208
5	Sales	GL 1		3,983
6	Sales returns	GL 2	20	
7	Purchases	GL 3	3,225	
8	Purchases returns	GL 4		45
9	Capital	GL 5		15,900
10	BB Bank Loan	GL 6		750
11	Discount allowed	GL 7	8	
12	Rent	GL 8	175	
13	Business Rates	GL 9	130	
14	Drawings	GL 10	290	
15	Discount received	GL 11		27
16	Motor Vehicles	GL 12	11,150	
17	Turnkey Motors	GL 13		4,950
	TOTAL		**26,863**	**26,863**

4 TRANSITION TO NEXT ACCOUNTING PERIOD

CLOSING ENTRIES

Although in above example, all account balances have been carried forward, however, income, expenses and drawings are closed at the end of each reporting period.

This is because profit or loss belongs to owner and drawings reduce owner's capital. Therefore, the accounts related to income, expenses and drawings are not carried forward to next year. These accounts are directly or indirectly transferred to owner's capital by passing following closing (transferring) entries at the end of reporting period:

Transfer of all income

Debit Income accounts

Credit Statement of comprehensive income (profit or loss)

Transfer of all expenses accounts

Debit Statement of comprehensive income (profit or loss)

Credit Expense accounts

Transfer of profit to capital (reverse in case of loss)

Debit Statement of comprehensive income (profit or loss)

Credit Owner's capital

Transfer of drawings to capital

Debit Owner's capital

Credit Drawings

BALANCING OFF

Balances on the asset, liability and capital accounts are carried forward as closing balances at the end of the period and become opening balances at the beginning of the next period, usually an opening trial balance is prepared as well and accounting for the next period is started.

▶ *Example 03:*

Using the information in *Example 02*, show closing entries and opening trial balance afterwards.

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.	Credit Rs.
30 Nov	Sales		3,983,000	
	Purchase return		45,000	
	Discount received		27,000	
	Profit or loss			4,055,000
	(Transferred all credit items)			
30 Nov	Profit or loss		3,558,000	
	Sales return			20,000
	Purchases			3,225,000
	Rent			175,000
	Discount allowed			8,000
	Business rates			130,000
	(Transferred all debit items)			

Date	Particulars	LF	Debit Rs.	Credit Rs.
30 Nov	Profit or loss [4,055,000 – 3,558,000]		497,000	
	Owner's capital			497,000
	(Transferred profit to capital)			
30 Nov	Owner's capital		290,000	
	Drawings			290,000
	(Transferred drawings to capital)			

Trial Balance (Opening)

As at 01 December 2017

Sr. #	Item	Ref.	Debit Rs. '000	Credit Rs. '000
1	Cash in hand	CB	1,070	
2	Cash at Bank	CB	7,555	
3	Receivables	RL	3,240	
4	Payables	PL		1,208
5	Capital **(15,900 + 497 – 290)**			16,107
6	BB Bank Loan			750
7	Motor Vehicles		11,150	
8	Turnkey Motors			4,950
	TOTAL		**23,015**	**23,015**

5 COMPREHENSIVE EXAMPLES

▶ *Example 04:*

The following information relates to Hamza & Co., a retailer of television sets for the month of December 2010:

Date	Transaction	Rs. 000
1	Started business with a capital:	
	(i) in cash	870
	(ii) at bank	1,330
3	Bought television sets from Amin & Co., on credit.	2,200
3	Paid to Fast Motors for purchase of delivery van through cheque.	540
4	Televisions sold to Ahmed Brothers on credit.	1,880
8	Paid shop's rent in advance for six months to June 2011 to Mrs. Ali through cheque.	680
11	Payment received from Ahmed Brothers and deposited in the bank.	1,340
12	Paid cheque to Amin & Co.	784
18	Paid carriage by cash on purchases.	38
19	Defected televisions returned by Ahmed Brothers.	220
22	Bought LCD televisions on credit from Amin & Co.	1,230
28	Sold LCD televisions to Ahmed Brothers on credit.	810
30	The owner withdraws one television set for his personal use.	25

Required:

a) Prepare journal entries of the above transactions.

b) Post the information in the ledger accounts.

c) Extract a trial balance as at December 31, 2010.

▶ *ANSWER*

Part (a)

GENERAL JOURNAL

Date	Particulars	LF	Debit Rs.000	Credit Rs.000
01 Dec	Cash		870	
	Bank		1,330	
	Capital			2,200
03 Dec	Purchases		2,200	
	Amin & Co (Payables)			2,200
03 Dec	Delivery van		540	
	Bank			540
04 Dec	Ahmed Brothers (Receivables)		1,880	
	Sales			1,880

Date	Particulars	LF	Debit Rs.000	Credit Rs.000
08 Dec	Advance rent		680	
	Bank			680
11 Dec	Bank		1,340	
	Ahmed Brothers (RA)			1,340
12 Dec	Amin & Co (PA)		784	
	Bank			784
18 Dec	Carriage inward		38	
	Cash			38
19 Dec	Sales return		220	
	Ahmed Brothers (RA)			220
22 Dec	Purchases		1,230	
	Amin & Co (PA)			1,230
28 Dec	Ahmed Brothers (RA)		810	
	Sales			810
30 Dec	Drawings		25	
	Purchases			25

Part (b) Ledger Accounts

Cash					
Date	Particulars	Rs.	Date	Particulars	Rs.
1 Dec	Capital	870,000	18 Dec	Carriage inward	38,000
			31 Dec	Balance c/d	832,000
		870,000			**870,000**

Bank					
Date	Particulars	Rs.	Date	Particulars	Rs.
1 Dec	Capital	1,330,000	3 Dec	Van	540,000
11 Dec	Ahmed Brothers	1,340,000	8 Dec	Prepaid rent	680,000
			12 Dec	Amin & Co.	784,000
			31 Dec	Balance c/d	666,000
		2,670,000			**2,670,000**

Capital					
Date	Particulars	Rs.	Date	Particulars	Rs.
			1 Dec	Cash	870,000
31 Dec	Balance c/d	2,200,000	1 Dec	Bank	1,330,000
		2,200,000			**2,200,000**

Purchases of Television					
Date	Particulars	Rs.	Date	Particulars	Rs.
3 Dec	Amin & Co.	2,200,000	30 Dec	Drawings	25,000
22 Dec	Amin & Co.	1,230,000	31 Dec	Balance c/d	3,405,000
		3,430,000			**3,430,000**

Amin & Co (payables)					
Date	Particulars	Rs.	Date	Particulars	Rs.
12 Dec	Bank	784,000	3 Dec	Purchases	2,200,000
31 Dec	Balance c/d	2,646,000	22 Dec	Purchases	1,230,000
		3,430,000			**3,430,000**

Van					
Date	Particulars	Rs.	Date	Particulars	Rs.
3 Dec	Bank	540,000	31 Dec	Balance c/d	540,000
		540,000			**540,000**

Ahmed Brothers (receivables)					
Date	Particulars	Rs.	Date	Particulars	Rs.
4 Dec	Sales	1,880,000	11 Dec	Bank	1,340,000
28 Dec	Sales	810,000	19 Dec	Sales return	220,000
			31 Dec	Balance c/d	1,130,000
		2,690,000			**2,690,000**

Sales of Television					
Date	Particulars	Rs.	Date	Particulars	Rs.
			4 Dec	Ahmad Bros.	1,880,000
31 Dec	Balance c/d	2,690,000	28 Dec	Ahmad Bros.	810,000
		2,690,000			**2,690,000**

Prepaid rent					
Date	Particulars	Rs.	Date	Particulars	Rs.
8 Dec	Bank	680,000	31 Dec	Balance c/d	680,000
		680,000			**680,000**

Carriage inwards					
Date	Particulars	Rs.	Date	Particulars	Rs.
18 Dec	Cash	38,000	31 Dec	Balance c/d	38,000
		38,000			**38,000**

Sales return					
Date	Particulars	Rs.	Date	Particulars	Rs.
19 Dec	Ahmed Brothers	220,000	31 Dec	Balance c/d	220,000
		220,000			**220,000**

Drawings					
Date	Particulars	Rs.	Date	Particulars	Rs.
30 Dec	Drawings	25,000	31 Dec	Balance c/d	25,000
		25,000			**25,000**

(Part c)

Trial balance

As at 31 December 2010

Sr. #	Particulars	Dr Rs.	Cr Rs.
1	Cash	832,000	
2	Bank	666,000	
3	Capital		2,200,000
4	Purchases	3,405,000	
5	Amin & Co (Payables)		2,646,000
6	Van	540,000	
7	Ahmed Brothers (Receivables)	1,130,000	
8	Sales		2,690,000
9	Prepaid rent	680,000	
10	Carriage inwards	38,000	
11	Sales return	220,000	
12	Drawings	25,000	
		7,536,000	**7,536,000**

▶ *Example 05:*

The following transactions in May 2013 are those of a new business entity, Home Oak Garden Traders.

Date	
1	Set up the entity with capital in cash Rs. 2,500,000.
2	Bought goods on credit from the following suppliers: The Bushes Company Rs. 540,000, Flower City Rs. 870,000, D Gibson Rs. 250,000, Wild Weed Rs. 760,000, T Greenery Rs. 640,000.
4	Sold goods on credit to: The Office Company Rs. 430,000, V Cork Rs. 640,000, Texas Chain Stores Rs. 1,760,000.
6	Paid rent Rs. 120,000.
9	The Office Company paid the Rs. 430,000 that it owed.
10	Texas Chain Stores paid Rs. 1,500,000.
12	The following payments were made to D Gibson Rs. 250,000 and to The Bushes Company Rs. 540,000.
15	Advertising costs of Rs. 230,000 were paid to the local newspaper publisher.
18	Bought goods on credit from the following suppliers: The Bushes Company Rs. 430,000, Landscape Rs. 1,100,000.
21	Sold goods on credit to Public Parks Rs. 670,000
31	Paid rent Rs. 180,000.

Required:

a) Use T accounts to show how these transactions should be recorded in the main ledger accounts of the entity. The accounting system maintains separate accounts for each individual payable and receivable in the main ledger.

b) Prepare a trial balance as at 31 May 2013.

▶ *ANSWER*

Part (a)

Capital					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
31	Balance c/d	2,500	1	Cash	2,500
		2,500			**2,500**

Cash					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
1	Capital	2,500	6	Rent	120
9	The office co.	430	12	D Gibson	250
10	Texas chain store	1,500	12	The Bushes Co.	540
			15	Advertising cost	230
			31	Rent	180
			31	Balance c/d	3,110
		4,430			**4,430**

Purchases					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
2	The bushes co.	540			
2	Flower city	870			
2	D Gibson	250			
2	Wild Weed	760			
2	T Greenery	640			
18	The bushes co.	430			
18	Landscape	1,100	31	Balance c/d	4,590
		4,590			**4,590**

Payables – The Bushes Company					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
12	Cash	540	2	Purchases	540
31	Balance c/d	430	18	Purchases	430
		970			**970**

Payables – Flower city					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
31	Balance c/d	870	2	Purchases	870
		870			**870**

Payables – D Gibson					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
12	Cash	250	2	Purchases	250
		250			**250**

Payables – Wild Weed					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
May			May		
31	Balance c/d	760	2	Purchases	760
		760			**760**

Payables – T Greenery					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
31	Balance c/d	640	2	Purchases	640
		640			**640**

Payables – Landscape					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
31	Balance c/d	1,100	18	Purchases	1,100
		1,100			**1,100**

Receivables – The Office company					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
4	Sales	430	9	Cash	430
		430			**430**

Receivables – V Cork					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
4	Sales	640	31	Balance c/d	640
		640			**640**

Receivables – Texas Chain Stores					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
4	Sales	1,760	10	Cash	1,500
			31	Balance c/d	260
		1,760			**1,760**

Receivables – Public Parks					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
21	Sales	670		Balance c/d	670
		670			**670**

Sales					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
			4	The office company	430
			4	V Cork	640
			4	Texas chain stores	1,760
31	Balance c/d	3,500	21	Public Parks	670
		3,500			**3,500**

Rent					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
6	Cash	120			
31	Cash	180	31	Balance c/d	300
		300			**300**

Advertising					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
May			May		
15	Cash	230	31	Balance c/d	230
		230			**230**

Part (b) HOME OAK GARDEN TRADERS

Trial Balance

As at 31st May 2013

Sr.	Description	Dr. Rs. 000	Cr. Rs. 000
1	Capital		2,500
2	Cash	3,110	
3	Purchases	4,590	
4	Payables:		
5	The Bushes Company		430
6	Flower city		870
7	Wild Weed		760
8	T Greenery		640
9	Landscape		1,100
10	Receivables:		
11	V Cork	640	
12	Texas Chain Stores	260	
13	Public Parks	670	
14	Sales		3,500
15	Rent	300	
16	Advertising	230	
		9,800	**9,800**

▶ *Example 06:*

March 2013 Date	Transactions
1	Started business with Rs. 80,000 in the bank
2	Bought goods on credit from: KH Supplies Rs. 7,600; Hatts Rs. 2,700; Toby Traders Rs. 5,600
5	Cash sales Rs. 8,700. The cash was kept in a safe in Lee's office.
6	Paid wages Rs. 1,400 by cheque.
7	Sold goods on credit to: Elliott Rs. 3,500; L. Lane Rs. 4,200; Carton Leisure Rs. 7,200
9	Bought goods for cash Rs. 4,600 using cash from Lee's safe.
10	Bought goods on credit from: KH Supplies Rs. 5,700; Toby Traders Rs.9,800
12	Paid wages Rs. 1,400 by cheque.
13	Sold goods on credit to: L. Lane Rs. 3,200; Carton Leisure Rs. 2,300
15	Bought shop fixtures on credit from Beta Fittings Rs. 5,000
17	Paid K H Supplies Rs. 8,400
18	Goods returned to Toby Traders Rs. 2,000
21	Paid Beta Fittings Rs. 5,000
24	Payment received from Carton Leisure Rs. 9,500
27	Goods returned to KH Supplies Rs. 2,400
30	King Bank provides a loan of Rs. 6,000
31	Bought a motor van, paying by cheque Rs. 40,000

Required:

Enter the above transactions in the main ledger accounts of Lee, and extract a trial balance as at 31 March 2013. Assume that all receipts and payments are by cheque unless told otherwise.

▶ *ANSWER*

Capital					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
31	Balance c/d	80,000	1	Bank	80,000
		80,000			**80,000**

Bank					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
1	Capital	80,000	6	Wages	1,400
24	Carton Leisure	9,500	12	Wages	1,400
30	King Bank Loan	6,000	17	KH Supplies	8,400
			21	Beta Fittings	5,000
			31	Motor Van	40,000
			31	Balance c/d	39,300
		95,500			**95,500**

Cash					
Date	Particulars	Rs.	Date	Particulars	Rs.
Mar			Mar		
5	Sales	8,700	9	Purchases	4,600
			31	Balance c/d	4,100
		8,700			**8,700**

Purchases					
Date	Particulars	Rs.	Date	Particulars	Rs.
Mar			Mar		
2	KH Supplies	7,600			
2	Hatts	2,700			
2	Toby Traders	5,600			
9	Cash	4,600			
10	KH Supplies	5,700			
10	Toby Traders	9,800	31	Balance c/d	36,000
		36,000			**36,000**

Payables – KH Supplies					
Date	Particulars	Rs.	Date	Particulars	Rs.
Mar			Mar		
17	Bank	8,400	2	Purchases	7,600
27	Purchase returns	2,400	10	Purchases	5,700
31	Balance c/d	2,500			
		13,300			**13,300**

Payables – Hatts					
Date	Particulars	Rs.	Date	Particulars	Rs.
Mar			Mar		
31	Balance c/d	2,700	2	Purchases	2,700
		2,700			**2,700**

Payables – Toby Traders					
Date	Particulars	Rs.	Date	Particulars	Rs.
Mar			Mar		
18	Purchase returns	2,000	2	Purchases	5,600
31	Balance c/d	13,400	10	Purchases	9,800
		15,400			**15,400**

Payables – Beta Fittings					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
21	Bank	5,000	15	Fixtures and fittings	5,000
		5,000			**5,000**

Receivables – Elliot's					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
7	Sales	3,500	31	Balance c/d	3,500
		3,500			**3,500**

Receivables – L Lane					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
7	Sales	4,200			
13	Sales	3,200	31	Balance c/d	7,400
		7,400			**7,400**

Receivables – Carton Leisure					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
7	Sales	7,200	24	Bank	9,500
13	Sales	2,300			
		9,500			**9,500**

Sales					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
			5	Cash	8,700
			7	Elliott	3,500
			7	L Lane	4,200
			7	Carton Leisure	7,200
			13	L Lane	3,200
31	Balance c/d	29,100	13	Carton Leisure	2,300
		29,100			**29,100**

Wages					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
6	Bank	1,400			
12	Bank	1,400	31	Balance c/d	2,800
		2,800			**2,800**

Fixture and Fittings					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
15	Beta Fittings	5,000	31	Balance c/d	5,000
		5,000			**5,000**

Motor Van					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
31	Bank	40,000	31	Balance c/d	40,000
		40,000			**40,000**

Purchase returns					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
			18	Toby Traders	2,000
31	Balance c/d	4,400	27	KH Supplies	2,400
		4,400			**4,400**

Loan					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
Mar			Mar		
31	Balance c/d	6,000	30	Bank	6,000
		6,000			**6,000**

Part (b) LEE

Trial Balance

As at 31st March 2013

Description	Dr. Rs	Cr. Rs
Capital		80,000
Bank	39,300	
Cash	4,100	
Purchases	36,000	
Payables:		
KH Supplies		2,500
Hatts		2,700
Toby Traders		13,400
Receivables:		
Elliott	3,500	
L Lane	7,400	
Sales		29,100
Wages	2,800	
Fixture and Fittings	5,000	
Motor Van	40,000	
Purchase returns		4,400
Loan		6,000
	138,100	**138,100**

▶ *Example 07:*

Ravi Traders (RT) commenced its business on 1 January 2018. The books of prime entry as maintained by RT for the month of January 2018 are reproduced below:

CASH BOOK - RECEIPTS

Date	Description	Discount	Cash	Bank
		---------- Rupees ----------		
1-Jan	Capital	-	1,000	8,000
10-Jan	Return outward	-	50	-
11-Jan	Trade debtors - Quality Traders	150	–	6,100
14-Jan	Sales	-	-	1,250
20-Jan	Trade debtors - Himalaya Super Store	90	300	1,410
26-Jan	Bank	–	500	-
		240	1,850	16,760

CASH BOOK - PAYMENTS

Date	Description	Discount	Cash	Bank
		---------- Rupees ----------		
4-Jan	Office rent	-	200	300
5-Jan	Fixed assets (Office equipment)	-	-	1,500
7-Jan	Purchases	–	-	650
14-Jan	Trade debtors - Quality Traders	-	-	6,100
15-Jan	Trade creditors - Zee Traders	100	500	3,400
20-Jan	Return inward	-	60	-
21-Jan	Fixed assets (Computers)	–	250	-
24-Jan	Drawings	-	100	180
25-Jan	Utility bills	–	120	140
26-Jan	Cash	-	-	500
		100	1,230	12,770

PURCHASES DAY BOOK

Date	Suppliers' name	Rupees
2-Jan	ABC & Co.	4,500
10-Jan	Zee Traders	6,000
28-Jan	Unity Enterprises	7,500
		18,000

PURCHASES RETURNS DAY BOOK

Date	Suppliers' name	Rupees
12-Jan	Zee Traders	900

SALES DAY BOOK

Date	Customers' name	Rupees
8-Jan	Quality Traders	6,250
19-Jan	Himalaya Super Store	2,350
24-Jan	ABC & Co.	8,000
		16,600

GENERAL JOURNAL

Date	Particulars	Debit	Credit
		-------- Rupees --------	
1-Jan	Fixed assets (Furniture)	300	
	Capital		300
14-Jan	Drawings	100	
	Purchases		100
14-Jan	Trade debtors - Quality Traders	150	
	Discount allowed (Reversed)		150
31-Jan	Drawings	50	
	Fixed assets (Computers)		50
31-Jan	Trade creditors - ABC & Co.	4,500	
	Trade debtors - ABC & Co.		4,500

Required:

Prepare trial balance for the month ended 31 January 2018. (Preparation of ledger accounts is not necessary). Discount received and Discount allowed accounts are not maintained by RT.

▶ *ANSWER*

Ravi Traders

Trial balance for the month of January 2018

Description	Workings / Calculation	Debit	Credit
		Rupees	
Capital	+1,000 + 8,000 CB + 300 GJ		9,300
Purchase return	+50 CB + 900 PRDB		950
Trade debtors –QT	-150 – 6,100 + 6,100 CB + 6,250 SDB +150 GJ	6,250	
Sales	+1,250 CB + 16,600 SDB – (240 CB – 150 GJ)		17,760
Trade debtors – HSS	-90 – 300 – 1,410 CB + 2,350 SDB	550	
Cash in hand	+ 1,850 – 1,230 CB	620	
Cash at Bank	+ 16,760 – 12,770 CB	3,990	
Office rent	+200 + 300 CB	500	
Fixed assets	+1500 + 250 CB + 300 – 50 GJ	2,000	
Purchases	+ 650 CB + 18,000 PDB – 100 GJ – (100 CB)	18,450	
Trade creditors - ZT	-100 – 500 – 3,400 CB + 6,000 PDB – 900 PRDB		1,100
Sales return	+60 CB	60	
Drawings	+100 + 180 CB + 100 + 50 GJ	430	
Utility bills	+120 + 140 CB	260	
Trade creditors - ABC	+4500 PDB – 4,500 GJ		0
Trade creditors – Unity	+7,500		7,500
Trade debtors - ABC	+8,000 SDB – 4,500 GJ	3,500	
		36,610	**36,610**

6 OBJECTIVE BASED Q&A

1. The process of transferring transaction from journal to ledgers is called?

   a) Journalizing
   b) Summarizing
   c) Posting
   d) Analysing

2. The total of debit side of an account is Rs. 16,000 and total of credit side is Rs. 22,000. The balance carried forward shall be written:

   a) On left side Rs. 6,000
   b) On right side Rs. 6,000
   c) On left side Rs. 38,000
   d) On right side Rs. 38,000

3. How different formats of ledgers are balanced?

   a) T account: periodically & Running balance account: periodically
   b) T account: after each transaction & Running balance account: after each transaction
   c) T account: periodically & Running balance account: after each transaction
   d) T account: after each transaction & Running balance account: periodically

4. The total of debit side of an account is Rs. 16,000 and total of credit side is Rs. 22,000. The balance brought forward shall be written after balancing the account:

   a) On left side Rs. 6,000
   b) On right side Rs. 6,000
   c) On left side Rs. 38,000
   d) On right side Rs. 38,000

5. The total of debit side of an account is Rs. 60,000 and total of credit side is Rs. 22,000. The balance brought forward shall be written after balancing the account:

   a) On left side Rs. 6,000
   b) On right side Rs. 6,000
   c) On left side Rs. 38,000
   d) On right side Rs. 38,000

6. The total of debit side of an account is Rs. 60,000 and total of credit side is Rs. 22,000. The balance carried forward shall be written:

   a) On left side Rs. 6,000
   b) On right side Rs. 6,000
   c) On left side Rs. 38,000
   d) On right side Rs. 38,000

7. An entity maintains running balance account ledger. A customer had balance of Rs. 18,000 debit. A further sale of Rs. 10,000 was made to him and he paid Rs. 15,000 by cheque. What would be his account balance after posting all transactions?

   a) Rs. 13,000 credit
   b) Rs. 13,000 debit
   c) Rs. 18,000 debit (unchanged)
   d) Rs. 3,000 debit

8. The Return Inwards account would be found in

   a) The Sales ledger
   b) The Nominal ledger
   c) The Purchases Returns ledger
   d) The Purchases ledger

9. The sales account is part of:

   a) General ledger
   b) Sales ledger
   c) Receivables ledger
   d) Payables ledger

10. The purchases account is part of:

    a) General ledger
    b) Sales ledger
    c) Purchases ledger
    d) Payables ledger

11. Each invoice value from sales journal is posted to:

    a) credit side of individual customer account in Receivables Ledger.
    b) debit side of individual customer account in Receivables Ledger.
    c) credit side of sales account in General Ledger.
    d) debit side of sales account in General Ledger.

12. The periodic total from sales journal is posted to:

    a) credit side of individual customer account in Receivables Ledger.
    b) debit side of individual customer account in Receivables Ledger.
    c) credit side of sales account in General Ledger.
    d) debit side of sales account in General Ledger.

13. Each return inward (credit note issued) from sales return journal is posted to:

    a) credit side of individual customer account in Receivables Ledger.
    b) debit side of individual customer account in Receivables Ledger.
    c) credit side of sales return account in General Ledger.
    d) debit side of sales return account in General Ledger.

14. The periodic total from sales return journal is posted to:

    a) credit side of individual customer account in Receivables Ledger.
    b) debit side of individual customer account in Receivables Ledger.
    c) credit side of sales return account in General Ledger.
    d) debit side of sales return account in General Ledger.

15. Each purchase invoice value from purchases journal is posted to:

    a) credit side of individual supplier account in Payables Ledger.
    b) debit side of individual supplier account in Payables Ledger.
    c) credit side of purchases account in General Ledger.
    d) debit side of Purchases account in General Ledger.

16. The periodic total from purchases journal is posted to:
    a) credit side of individual supplier account in Payables Ledger.
    b) debit side of individual supplier account in Payables Ledger.
    c) credit side of purchases account in General Ledger.
    d) debit side of Purchases account in General Ledger.

17. Each return outwards from purchase return journal is posted to:
    a) credit side of individual supplier account in Payables Ledger.
    b) debit side of individual supplier account in Payables Ledger.
    c) credit side of purchase return account in General Ledger.
    d) debit side of purchase return account in General Ledger.

18. The period total of purchase return journal is posted to:
    a) credit side of individual supplier account in Payables Ledger.
    b) debit side of individual supplier account in Payables Ledger.
    c) credit side of purchase return account in General Ledger.
    d) debit side of purchase return account in General Ledger.

19. Each payment to supplier as recorded in Cash Book is posted to:
    a) debit side of individual suppliers' account in Payables Ledger
    b) debit side of relevant account in General Ledger
    c) credit side of individual suppliers' account in Payables Ledger
    d) credit side of discount received account in General Ledger

20. Each payment, other than those to suppliers, as recorded in Cash Book is posted to:
    a) debit side of individual suppliers' account in Payables Ledger
    b) debit side of relevant account in General Ledger
    c) credit side of individual suppliers' account in Payables Ledger
    d) credit side of discount received account in General Ledger

21. Discount received from each supplier as recorded in Cash Book is posted to:
    a) debit side of individual suppliers' account in Payables Ledger
    b) debit side of relevant account in General Ledger
    c) credit side of individual suppliers' account in Payables Ledger
    d) credit side of discount received account in General Ledger

22. Total of discount received column as recorded in Cash Book is posted to:
    a) debit side of individual suppliers' account in Payables Ledger
    b) debit side of relevant account in General Ledger
    c) credit side of individual suppliers' account in Payables Ledger
    d) credit side of discount received account or Purchases account in General Ledger

23. Each receipt from customer as recorded in Cash Book is posted to:
    a) credit side of individual customers' account in Receivables Ledger
    b) credit side of relevant account in General Ledger
    c) debit side of individual customers' account in Receivables Ledger
    d) debit side of discount allowed account in General Ledger

24. Each receipt (other than from customers) as recorded in Cash Book is posted to:
    a) credit side of individual customers' account in Receivables Ledger
    b) credit side of relevant account in General Ledger
    c) debit side of individual customers' account in Receivables Ledger
    d) debit side of discount allowed account in General Ledger

25. Discount allowed to each customer as recorded in Cash Book is posted to:
    a) credit side of individual customers' account in Receivables Ledger
    b) credit side of relevant account in General Ledger
    c) debit side of individual customers' account in Receivables Ledger
    d) debit side of discount allowed account or sales account in General Ledger

26. Total of discount allowed column as recorded in Cash Book is posted to:
    a) credit side of individual customers' account in Receivables Ledger
    b) credit side of relevant account in General Ledger
    c) debit side of individual customers' account in Receivables Ledger
    d) debit side of discount allowed account or sales account in General Ledger

27. An entity recorded the following journal entry in its General Journal:

Furniture	Rs. 500,000
Interwood (supplier)	Rs. 500,000

    How this would be posted in the ledger account of "Furniture"?
    a) On debit side with description "Furniture" and amount Rs. 500,000
    b) On credit side with description "Furniture" and amount Rs. 500,000
    c) On debit side with description "Interwood" and amount Rs. 500,000
    d) On credit side with description "Interwood" and amount Rs. 500,000

28. An entity recorded the following journal entry in its General Journal:

Furniture	Rs. 500,000
Interwood (supplier)	Rs. 500,000

    How this would be posted in the ledger account of "Interwood"?
    a) On debit side with description "Furniture" and amount Rs. 500,000
    b) On credit side with description "Furniture" and amount Rs. 500,000
    c) On debit side with description "Interwood" and amount Rs. 500,000
    d) On credit side with description "Interwood" and amount Rs. 500,000

29. Which of the following would normally be a credit balance in the trial balance?
    i. Loan
    ii. Owner's capital
    iii. Drawings
    iv. Purchases
    a) (i) and (ii)
    b) (i) and (iii)
    c) (ii) and (iii)
    d) (ii) and (iv)

30. A debit balance would be expected to arise when the accounts are balanced at the period end on which of the following accounts?

    a) Capital
    b) Sales
    c) Electricity
    d) Loan

31. A business buys machinery costing Rs. 120,000 and sells machinery costing Rs. 18,000 in the year. The opening balance of the machinery account is Rs. 80,000.

    What will be the balance brought down in the next period?

    Rs. _____

32. A company had a cash balance of Rs. 18,000 at the start of the month. During the month, the following transactions occurred.

    i. Sales on credit Rs. 72,000
    ii. Cash from trade receivables Rs. 49,000
    iii. Purchases on credit Rs. 33,000
    iv. Payments to trade payables Rs. 35,000

    What was the cash balance at the end of the month?

    Rs. _____

33. An accountant has inserted all the relevant figures into the trade payables account, but has not yet balanced off the account.

Accounts payable a/c			
Particulars	**Rs.**	**Particulars**	**Rs.**
Bank a/c	100,750	b/d	250,225
		Purchases	325,010

    Assuming there are no other entries to be made, other than to balance off the account, what is the closing balance on the trade payables account?

    Rs. _____

34. You are given the following information:

	Rs.
Receivables at 1 January 2018	10,000
Receivables at 31 December 2018	9,000
Total receipts during 2018 (including cash sales of Rs.5,000)	85,000

    What are sales on credit during 2018?

    Rs. _____

35. Following information is available about Saim:

	Rs.
Receivable as on January 1, 2018	70,000
Receivable as on December 31, 2018	25,000
Cash received from customers during the year	250,000
Settlement discount allowed to customers	4,000

There are no return inwards or cash sales. Saim recorded all sales expecting that customers will not claim early payment discount.

At what amount Sales Revenue shall be reported in financial statements?

a) Rs. 291,000
b) Rs. 250,000
c) Rs. 205,000
d) Rs. 209,000

36. Alia's Account payable ledger has a balance of Rs. 95,000 credit as on January 1, 2018. During the month, following transactions were performed:

	Rs.
Credit purchases	221,000
Cash purchases	85,000
Cheques issued to credit suppliers (after receiving discount of Rs. 2,000)	148,000
Credit purchases return	8,000

What is the amount shown in Account payable ledger as on January 31, 2018?

a) Rs. 158,000
b) Rs. 160,000
c) Rs. 243,000
d) Rs. 245,000

37. Following information relates to Sales transaction of Sabir during March 2019

- Receivables as at 1 March Rs. 35,000
- Receivables as at 31 March Rs. 42,000
- Receipts during the period (after allowing discount of Rs. 4,000) Rs. 29,000

What is the amount of credit sales (net) during March?

Rs. _____

38. A payable account contains the following relevant entries for the year ended 31 December 2018:

	Rs.
Payment through bank	160,000
Credit purchases during the year	185,000
Discount received	16,000
Contra with receivable account	7,000
Balance c/d as on Dec 31, 2018	22,000

There are no other transactions related to account payable.

What is the amount of balance b/d of account payable account as on 1 January 2018?

Rs. _____

39. A receivable ledger account at 1 June 2017 had balances of Rs. 32,850 debit.

    During the year, sales (net of trade discount) of Rs. 245,000 were made on credit.

    Receipts from customers amounted to Rs. 210,200 and cash discounts of Rs. 700 were allowed. Refunds of Rs. 1,300 were made to customers.

    What should be the closing balance at 31 May 2018 of account receivable account?

    Rs. _____

40. Which of the following statement(s) is/are true?

    i. The chart of accounts is a listing of the accounts presently having balances in the general ledger.

    ii. The digits of the account numbers assigned to general ledger accounts often have significance. For example, an account number beginning with a "1" might signify that the account is an asset account, a "6" might signify an operating expense, etc.

    a) (i) only
    b) (ii) only
    c) (i) and (ii) both
    d) Neither (i) nor (ii)

41. Which of the following is/are characteristics of a good chart of accounts?

    a) Each account is identified by unique code and heading
    b) The design allows future changes and additions after due approvals
    c) It ensures that all transactions are recorded according to business requirement
    d) All of above

42. The list of chart of accounts (with unique codes) is usually arranged in:

    a) Chronological order
    b) Random order
    c) Order of appearance of accounts in financial statements
    d) Sorted order (higher amounts first)

43. A trial balance is made up of a list of debit balances and credit balances.

    Which of the following statements is correct?

    a) Every debit balance represents an expense
    b) Assets are represented by debit balances
    c) Liabilities are represented by debit balances
    d) Income is included in the list of debit balances

44. Basheer has extracted the following list of balances from his general ledger at 31 October 2015:

	Rs.
Sales	258,542
Purchases	142,958
Expenses	34,835
Non-current assets (carrying amount)	63,960
Receivables	31,746
Payables	13,864
Cash at bank	1,783
Capital	12,525

What is the total of the debit balances in Basheer's trial balance at 31 October 2015?

a) Rs. 267,049
b) Rs. 275,282
c) Rs. 283,148
d) Rs. 284,931

45. Which of the following are true with reference to a trial balance?

a) Trial balance is taken as a test of arithmetical accuracy
b) It is starting point for producing financial statements
c) It is conclusive proof that double entry book-keeping is free from errors
d) (a) and (b) only

46. At the end of accounting period, all credit items of income and expenses are transferred to:

a) Debit side of Capital account
b) Credit side of Capital account
c) Debit side of profit or loss
d) Credit side of profit or loss

47. At the end of accounting period, all debit items of income and expenses are transferred to:

a) Debit side of Capital account
b) Credit side of Capital account
c) Debit side of profit or loss
d) Credit side of profit or loss

48. At the end of accounting period, an entity incurred net loss of Rs. 15,000 it shall be transferred to:

a) Debit side of Capital account
b) Credit side of Capital account
c) Debit side of profit or loss
d) Credit side of profit or loss

49. At the end of accounting period, drawings account has balance of Rs. 8,000, it shall be transferred to:

a) Debit side of Capital account
b) Credit side of Capital account
c) Debit side of profit or loss
d) Credit side of profit or loss

50. Which statement is true?

a) The debit balance accounts are closed at the end of accounting period while the credit balance accounts are carried forward to next year
b) The credit balance accounts are closed at the end of accounting period while the debit balance accounts are carried forward to next year
c) Income, expenses and drawings accounts are closed at the end of accounting period while assets, liabilities and capital accounts are carried forward to next year
d) Income, expenses and capital accounts are closed at the end of accounting period while assets, liabilities and drawings accounts are carried forward to next year

ANSWER

01.	**(c)**	The process of classifying amounts from books of prime entry to ledgers is called 'posting'.
02.	**(a)**	On left side Rs. 6,000
03.	**(c)**	T account: periodically & Running balance account: after each transaction
04.	**(b)**	On right side Rs. 6,000
05.	**(c)**	On left side Rs. 38,000
06.	**(d)**	On right side Rs. 38,000
07.	**(b)**	Rs. 18,000 + 10,000 – 15,000 = Rs. 13,000 debit
08.	**(b)**	General (nominal) ledger
09.	**(a)**	General ledger
10.	**(a)**	General ledger
11.	**(b)**	debit side of individual customer account in Receivables Ledger.
12.	**(c)**	credit side of sales account in General Ledger.
13.	**(a)**	credit side of individual customer account in Receivables Ledger.
14.	**(d)**	debit side of sales return account in General Ledger.
15.	**(a)**	credit side of individual supplier account in Payables Ledger.
16.	**(d)**	debit side of Purchases account in General Ledger.
17.	**(b)**	debit side of individual supplier account in Payables Ledger.
18.	**(c)**	credit side of purchase return account in General Ledger.
19.	**(a)**	debit side of individual suppliers' account in Payables Ledger
20.	**(b)**	debit side of relevant account in General Ledger
21.	**(a)**	debit side of individual suppliers' account in Payables Ledger
22.	**(d)**	credit side of discount received account or Purchases account in General Ledger
23.	**(a)**	credit side of individual customers' account in Receivables Ledger
24.	**(b)**	credit side of relevant account in General Ledger
25.	**(a)**	credit side of individual customers' account in Receivables Ledger
26.	**(d)**	debit side of discount allowed account or sales account in General Ledger
27.	**(c)**	On debit side with description "Interwood" and amount Rs. 500,000
28.	**(b)**	On credit side with description "Furniture" and amount Rs. 500,000
29.	**(a)**	Loan (owed) and owner's capital
30.	**(c)**	Electricity (expense)
31.	**Rs. 182,000**	**Machinery a/c**

Particulars	Rs.	Particulars	Rs.
b/d	80,000	Disposal	18,000
Purchases	120,000	c/d	182,000
	200,000		200,000

32. **Rs. 32,000**

Cash a/c

Particulars	Rs.	Particulars	Rs.
b/d	18,000	Payables	35,000
Receivables	49,000	c/d	32,000
	67,000		67,000

33. **Rs. 474,485**

Accounts payable

Particulars	Rs.	Particulars	Rs.
Bank a/c	100,750	b/d	250,225
c/d	474,485	Purchases	325,010
	575,235		575,235

34. **Rs. 79,000**

Accounts receivables

Particulars	Rs.	Particulars	Rs.
b/d	10,000	Cash	80,000
Sales	79,000	c/d	9,000
	89,000		89,000

35. **(c)**

Accounts receivables

Particulars	Rs.	Particulars	Rs.
b/d	70,000	Cash	250,000
Sales (balancing)	209,000	Discount allowed	4,000
		c/d	25,000
	279,000		279,000

Sales revenue to be reported in financial statements

Rs. 209,000 as originally recorded – Rs. 4,000 revenue reversal due to discount adjustment = Rs. 205,000

36. **(a)**

Accounts Payable

Particulars	Rs.	Particulars	Rs.
Cash/Bank	148,000	b/d	95,000
Discount received	2,000	Purchases (credit)	221,000
Purchase returns	8,000		
c/d	**158,000**		
	316,000		316,000

Cash purchases have no effect on payables.

37. **Rs. 36,000**

Accounts receivables

Particulars	Rs.	Particulars	Rs.
b/d	35,000	Cash	29,000
Sales (balancing)	**40,000**	Discount allowed	4,000
		c/d	42,000
	75,000		75,000

Rs. 40,000 as recorded – 4,000 discount = Rs. 36,000 net sales

38. **Rs. 20,000**

Accounts Payable

Particulars	Rs.	Particulars	Rs.
Bank	160,000	b/d	20,000
Discount received	16,000	Purchases	185,000
Receivable (contra)	7,000		
c/d	22,000		
	205,000		205,000

39. **Rs. 68, 250**

Accounts receivables

Particulars	Rs.	Particulars	Rs.
b/d	32,850	Cash	210,200
Sales	245,000	Discount allowed	700
Cash (refunds)	1,300	c/d	68,250
	279,150		279,150

40.	**(b)**	Some accounts in chart of accounts may not have any balance or even transactions posted yet.
41.	**(d)**	All of these are good attributes of chart of account.
42.	**(c)**	Order of appearance of accounts in financial statements
43.	**(b)**	Assets are represented by debit balances Option (a) is incorrect as a debit may represent expenses, assets and drawings.
44.	**(b)**	Purchases 142,958 + Expenses Rs. 34,835 + non-current assets Rs. 63,960 + Receivables 31,746 + Cash at bank Rs. 1,783 = Total debits Rs. 275,282
45.	**(d)**	Trial balance is not conclusive proof of accuracy. It may be equal in spite of certain omissions and errors.
46.	**(d)**	Credit side of profit or loss
47.	**(c)**	Debit side of profit or loss
48.	**(a)**	Debit side of Capital account
49.	**(a)**	Debit side of Capital account
50.	**(c)**	Income, expenses and drawings accounts are closed at the end of accounting period while assets, liabilities and capital accounts are carried forward to next year

STICKY NOTES

Posting from Sales day book / Sales Return day book:
Individual transactions to Individual customer accounts in Receivables Ledger
Totals to Sales and Sales Return Account in General Ledger

Posting from Purchase day book / Purchase Return day book:
Individual transactions to Individual supplier accounts in Payables Ledger
Totals to Purchase and Purchase Return Account in General Ledger

Posting from cash book:
Receipts to credit side of relevant ledger account
Payments to debit side of relevant ledger account

Posting from General Journal:
Amount debited to debit side of relevant ledger account
Amount credited to credit side of relevant ledger account

Chart of accounts is useful as:

A code number is usually quicker to write than an account name.

Using unique codes can reduce risk of errors

It is easier to process code numbers than account names in compture softwares.

Trial Balance

Sources: Cash book, lists of balances and ledger balances.

Purpose: arithmetical accuracy and preparation of financial statements

Limitation: Trial balance may be equal in spite of certain mistakes of omissions and principles. It is not conclusive proof of accuracy.

Closing entries

Income are closed to profit or loss account

Expenses are closed to profit or loss account

Profit or loss account is closed to Capital account

Drawings is closed to Capital account

Assets, liabilities and capital accounts are not closed, rather their balances are carried forward.

CHAPTER 4

ACCRUALS AND PREPAYMENTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Accrued and Prepaid Expenses
2. Accrued and Unearned Income
3. Comprehensive Examples
4. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Financial statements are prepared on an accrual basis of accounting. Therefore, accrued income and expenses, unearned income and prepaid expenses are important concepts that need to be understood and accounted for in the financial statements.

Accrued expenses are expenses incurred but not yet paid and accrued income are income earned but not yet received.

Prepaid expenses and unearned income is defined as the expense paid or income received in advance but which has not yet been incurred or earned.

The period-end adjustment of accruals and prepayments is important to calculate profit by matching income and expenses of the same period. These adjustment result in recognition of assets (income receivable or prepaid expenses) and liabilities (unearned income or expenses payables).

1 ACCRUED AND PREPAID EXPENSES

ACCRUAL (MATCHING) CONCEPT

Accrual concept is the most fundamental principle of accounting which requires recording income when they are earned and not when they are received in cash, and recording expenses when they are incurred and not when they are paid with reference to particular period.

Cash basis vs. Accrual basis

Under the cash basis of accounting, income and expenses are reported in financial statements when the cash is received or paid. Under the accrual basis of accounting, expenses are matched with the related income and are reported when the expense is incurred, not when the cash is paid.

The accrual basis of accounting gives a better measurement of profitability than does the cash basis because accrual basis matches revenue with expenses that an entity incurred to earn it.

ACCRUED EXPENSES

These are expenses incurred but not paid by the end of an accounting period. The expense must be recorded, even if it has not been paid yet, as it relates to the period in which it was incurred and the amount unpaid should be recorded as a liability (Expenses Payable).

The related journal entries (also called two account system) are as follows:

On payment of expense during accounting period:	
Debit	Expense account
Credit	Cash/Bank
Period end adjustment for expenses incurred but not yet paid:	
Debit	Expense account
Credit	Accrued expenses (a liability)
In next period, when accrued expenses are eventually paid:	
Debit	Accrued expenses
Credit	Cash / Bank

An alternative and time-saving method, called single account system, is to prepare a memorandum (not part of double entry book-keeping) T account to represent expense and liability both.

EXPENSES					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
				Bal. b/d (opening payable)	**XX**
	Cash paid	**XX**		**Expense (balancing figure)**	**XX**
	Bal. c/d (closing payable)	**XX**			
		XX			**XX**

Example 01:

Asif set up a business on 1 January 2016. The business has a 31 December year end.

The business acquired telephone system on 1 February 2016. Telephone charges are to be paid every three months in arrears and telephone invoice received are as follows:

Bill and payment date	Bill related to	Rs.
YEAR 1		
30 Apr 2016	Feb 2016 to Apr 2016	5,000
31 Jul 2016	May 2016 to Jul 2016	7,500
31 Oct 2016	Aug 2016 to Oct 2016	8,500

At 31 December 2016, the quarterly bill is expected to be Rs. 9,000 for period from Nov 2016 to Jan 2017.

YEAR 2		
31 Jan 2017	Nov 2016 to Jan 2017	9,500
30 Apr 2017	Feb 2017 to Apr 2017	9,500
31 Jul 2017	May 2017 to Jul 2017	10,000
31 Oct 2017	Aug 2017 to Oct 2017	10,000

At 31 December 2017, the quarterly bill is expected to be Rs. 10,500 for period from Nov 2017 to Jan 2018.

Required:

a) Calculate telephone expense for 2016 and 2017 using single account system.

b) Prepare journal entries for above transactions in 2016 and 2017 under two account system.

c) Prepare ledger accounts under two account system

ANSWER

Part (a) Single Account System

Telephone (Memorandum account)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Cash (5,000+7,500+8,500)	21,000			
	Bal. c/d (9,000 x 2/3)	6,000		Expense in PL	27,000
		27,000			**27,000**
2017	Cash (9,500+9,500+10,000 +10000)	39,000		Bal. b/d	6,000
	Bal. c/d (10,500 x 2/3)	7,000		Expense in PL	40,000
		46,000			**46,000**

Part (b) Journal entries

Date	Description	Debit	Credit
2016		Rupees	
30 Apr 2016	Telephone expense	5,000	
	Cash		5,000
31 Jul 2016	Telephone expense	7,500	
	Cash		7,500
31 Oct 2016	Telephone expense	8,500	
	Cash		8,500
31 Dec 2016	Telephone expense [9,000 x 2/3]	6,000	
	Telephone bill payable		6,000
2017			
31 Jan 2017	Telephone bill payable	6,000	
	Telephone expense [9,500 – 6,000]	3,500	
	Cash		9,500
30 Apr 2017	Telephone expense	9,500	
	Cash		9,500
31 Jul 2017	Telephone expense	10,000	
	Cash		10,000
31 Oct 2017	Telephone expense	10,000	
	Cash		10,000
31 Dec 2017	Telephone expense [10,500 x 2/3]	7,000	
	Telephone bill payable		7,000

Based on above journal entries, telephone expense:

- For year 2016 is Rs. 27,000 (i.e. 5,000 + 7,500 + 8,500 + 6,000)
- For year 2017 is Rs. 40,000 (i.e. 3,500 + 9,500 + 10,000 + 10,000 + 7,000)

Part (c) Two Account System

Telephone expense					
Date	Particulars	Rs.	Date	Particulars	Rs.
2016	Cash (5,000+7,500+8,500)	21,000			
	Telephone payable	6,000		Expense in PL	27,000
		27,000			**27,000**
2017	Cash (3,500+9,500+10,000 +10000)	33,000			
	Telephone payable	7,000		Expense in PL	40,000
		40,000			**40,000**

Telephone bill payable					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016				Telephone expense	6,000
	Balance c/d	6,000			
		6,000			**6,000**
2017	Cash	6,000		Balance b/d	6,000
	Balance c/d	7,000		Telephone expense	7,000
		13,000			**13,000**

PREPAID EXPENSES

This is cash paid in advance for expenses to be incurred after the end of an accounting period. The amount that relates to next accounting period is not an expense for this period and must be presented as an asset (Prepayments).

The journal entries vary depending upon whether amount paid in advance was recorded initially either as expense or as prepayment (i.e. asset). The related journal entries (also called two account system) are as follows:

Advance payment recorded as an expense during accounting period:		Advance payment recorded as prepayment during accounting period:	
Debit	Expense account	Debit	Prepaid expenses (an asset)
Credit	Cash/Bank	Credit	Cash / Bank
Period end adjustment for expenses not yet incurred and paid in advance:		**Period end adjustment to record expense to the extent, it has been incurred due to passage of time or through use and consumption:**	
Debit	Prepaid expenses (an asset)	Debit	Expense account
Credit	Expense account	Credit	Prepaid expenses (an asset)
In next year, when remaining expense is incurred due to passage of time or through use and consumption:		**In next year, when remaining expense is incurred due to passage of time or through use and consumption:**	
Debit	Expense account	Debit	Expense account
Credit	Prepaid expenses (an asset)	Credit	Prepaid expenses (an asset)

Under single account system, memorandum T account is prepared to represent expense and asset both.

EXPENSES					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening prepaid)	**XX**			
	Cash paid	**XX**		**Expense (balancing figure)**	**XX**
				Bal. c/d (closing prepaid)	**XX**
		XX			**XX**

▶ *Example 02:*

Aqib sets up a business on 1 January 2016. The business has a 31 December year end.

The business acquired insurance policy on 1 March 2016 and paid amount of Rs. 24,000 in advance for risk coverage for one year.

The business continued the insurance policy for next one year on 1 March 2017 and paid amount of Rs. 30,000 in advance for annual risk coverage.

Required:

a) Calculate insurance expense for 2016 and 2017 using single account system.

b) Prepare journal entries for above transactions in 2016 and 2017 under two account system assuming that advance payment is initially recorded as expense.

c) Prepare ledger accounts under two account system assuming that advance payment is initially recorded as expense.

d) Prepare journal entries for above transactions in 2016 and 2017 under two account system assuming that advance payment is initially recorded as prepayment.

e) Prepare ledger accounts under two account system assuming that advance payment is initially recorded as prepayment

▶ *ANSWER*

Part (a) Single Account System

Insurance (Memorandum account)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Cash	24,000		Expense PL	20,000
				Bal. c/d (24,000 x 2/12)	4,000
		24,000			**24,000**
2017	Balance b/d	4,000		Expense PL	29,000
	Cash	30,000		Bal. c/d (30,000 x 2/12)	5,000
		34,000			**34,000**

Part (b) Journal entries

Date	Description	Debit	Credit
2016		**Rupees**	
1 Mar 2016	Insurance expense	24,000	
	Cash		24,000
31 Dec 2016	Prepaid insurance [24,000 x 2/12]	4,000	
	Insurance expense		4,000
2017			
28 Feb 2017	Insurance expense	4,000	
	Prepaid insurance		4,000
1 Mar 2017	Insurance expense	30,000	
	Cash		30,000
31 Dec 2017	Prepaid insurance [30,000 x 2/12]	5,000	
	Insurance expense		5,000

Based on above journal entries, insurance expense:

- For year 2016 is Rs. 20,000 (i.e. 24,000 – 4,000)
- For year 2017 is Rs. 29,000 (i.e. 4,000 + 30,000 – 5,000)

Part (c) Two Account System

Insurance expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Cash	24,000		Prepaid insurance	4,000
				Expense PL	20,000
		24,000			**24,000**
2017	Prepaid insurance	4,000		Prepaid insurance	5,000
	Cash	30,000		Expense PL	29,000
		34,000			**34,000**

Prepaid insurance					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Insurance expense	4,000			
				Balance c/d	4,000
		4,000			**4,000**
2017	Balance b/d	4,000		Insurance expense	4,000
	Insurance expense	5,000		Balance c/d	5,000
		9,000			**9,000**

Part (d) Journal entries (advance payment initially recorded as prepayment)

Date	Description	Debit	Credit
2016		**Rupees**	
1 Mar 2016	Prepaid Insurance	24,000	
	Cash		24,000
31 Dec 2016	Insurance expense [24,000 x 10/12]	20,000	
	Prepaid insurance		20,000
2017			
28 Feb 2017	Insurance expense	4,000	
	Prepaid insurance		4,000
1 Mar 2017	Prepaid Insurance	30,000	
	Cash		30,000
31 Dec 2017	Insurance expense [30,000 x 10/12]	25,000	
	Prepaid insurance		25,000

Based on above journal entries, insurance expense:

- For year 2016 is Rs. 20,000 (i.e. recorded on 31 December 2016)
- For year 2017 is Rs. 29,000 (i.e. 4,000 + 25,000)

Part (e) Two Account System (advance payment initially recorded as prepayment)

Insurance expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Prepaid insurance	20,000			
				Expense PL	20,000
		20,000			**20,000**
2017	Prepaid insurance	4,000			
	Prepaid insurance	25,000		Expense PL	29,000
		29,000			**29,000**

Prepaid insurance					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Cash	24,000		Insurance expense	20,000
				Balance c/d	4,000
		24,000			**24,000**
2017	Balance b/d	4,000		Insurance expense	4,000
	Cash	30,000		Insurance expense	25,000
				Balance c/d	5,000
		34,000			**34,000**

ACCRUAL AND PREPAYMENT COMBINED

It is possible that some of the bills are due while some are paid in advance at the end of an accounting period. The accounting treatment is not any different.

Under the two account system journal entries are passed as mentioned above.

Under the single account system, one memorandum T account is prepared to represent expense, liability and asset.

EXPENSES					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening prepaid)	**XX**		Bal. b/d (opening payable)	**XX**
	Cash paid	**XX**		**Expense (balancing figure)**	**XX**
	Bal. c/d (closing payable)	**XX**		Bal. c/d (closing prepaid)	**XX**
		XX			**XX**

▶ *Example 03:*

Adeel Engineering has two motor vehicles that are used within the business. The expenses of running these vehicles and insuring these vehicles are recorded in the "Vehicle running expenses". At May 1, 2003 there are repair bills accrued of Rs. 4,780, petrol bills accrued of Rs. 12,000 and insurance that had been prepaid of Rs. 2,900.

During the year ended April 30, 2004 following transactions took place:

Date	Description	Rs.
30 June 2003	Paid repair bills to workshop	6,980
1 September 2003	Paid insurance for one of motor vehicles for the year to Aug 31, 2004	34,800
1 December 2003	Paid insurance for other motor vehicle for year to November 30, 2004	39,000
30 April 2004	Paid petrol bills	130,000

At April 30, 2004 there were repair bills unpaid totalling Rs. 3,560 and no petrol bill was outstanding.

Required:

a) Calculate vehicle running expense using single account system for the year ended April 30, 2004.

b) Prepare journal entries assuming that initially advance payments, if any, are recorded as expense.

▶ *ANSWER*

Part (a)SINGLE ACCOUNT SYSTEM

Vehicle running expenses (Memorandum account)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
May 1	Bal b/d (Prepaid)	2,900	May 1	Bal b/d (payable) (4,780 + 12,000)	16,780
Jun 30	Bank	6,980			
Sep 1	Bank	34,800	Apr 30	Expense in PL	166,110
Dec 1	Bank	39,000			
Apr 30	Bank	130,000			
Apr 30	Balance c/d (payable)	3,560	Apr 30	Bal c/d (Prepaid) **W1**	34,350
		217,240			**217,240**

W1 Calculation of closing prepaid insurance		Rs.
01.09.03	Prepaid insurance of one of the motor vehicles (34,800/12x4) (prepaid months: May to August)	11,600
01.12.03	Prepaid insurance for other motor vehicle (39,000/12x7) (prepaid months: May to November)	22,750
		34,350

Part (b) Journal entries

Date	Description	Debit	Credit
30 Jun 2003	Expenses payable	4,780	
	Vehicle running expense (repair)	2,200	
	Cash		6,980
31 Aug 2003	Vehicle running expense (insurance)	2,900	
	Prepaid Insurance		2,900
1 Sep 2003	Vehicle running expense (insurance)	34,800	
	Cash		34,800
1 Dec 2003	Vehicle running expense (insurance)	39,000	
	Cash		39,000
30 Apr 2004	Expenses payable	12,000	
	Vehicle running expense (petrol)	118,000	
	Cash		130,000
30 Apr 2004	Prepaid insurance **W1**	34,350	
	Vehicle running expense (insurance)		34,350
30 Apr 2004	Vehicle running expense (repair)	3,560	
	Expenses payable		3,560

Based on above journal entries, vehicle running expense for the year ended 30 April 2004 is Rs. 166,110 (i.e. 2,200 + 2,900 + 34,800 + 39,000 + 118,000 – 34,350 + 3,560).

2 ACCRUED AND UNEARNED INCOME

ACCRUED INCOME

This is income earned but not received by the end of an accounting period. The income must be recorded, even if it has not been received yet, as it relates to the period in which it was earned and the amount to be received should be recorded as an asset (Income Receivable).

The related journal entries (also called two account system) are as follows:

On receipt of income during accounting period:	
Debit	Cash / Bank
Credit	Income account
Period end adjustment for income earned but not yet received:	
Debit	Accrued income / Income receivable (an asset)
Credit	Income account
In next period, when accrued income is eventually received:	
Debit	Cash / Bank
Credit	Accrued income / Income receivable

Under single account system, a memorandum T account represents income and asset both.

INCOME					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening receivable)	**XX**			
	Income (balancing figure)	**XX**		Cash received	**XX**
				Bal. c/d (closing receivable)	**XX**
		XX			**XX**

▶ *Example 04:*

Maria sub-lets part of her factory building to a tenant at monthly rent of Rs. 10,000 on 1 Feb 2020. It was agreed that rent would be increased annually by 10%. Her business has a 31 December year end.

During the year ended 31 December 2020, she received rent of Rs. 100,000 (i.e. rent for the month of December 2020 was not received yet).

During the year ended 31 December 2021, she received rent of Rs. 130,000 (i.e. rent for the month of December 2021 was not received yet).

Required:

a) Calculate rent income using single account system for the year 31 December 2020 and 2021.

b) Prepare journal entries for the year ended 31 December 2020 and 2021.

▶ *ANSWER*

Part (a) Single Account System

Rent income (Memorandum account)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2020	Income PL (10,000 x 11 months)	110,000		Cash	100,000
				Balance c/d (receivable)	10,000
		110,000			**110,000**
2021	Balance b/d (receivable)	10,000		Cash	130,000
	Income PL (10,000 + 11,000 x11)	131,000		Balance c/d (receivable)	11,000
		141,000			**141,000**

Part (b) Journal entries

Date	Description	Debit	Credit
2020		**Rupees**	
During 2020	Cash [10,000 x 10 months]	100,000	
	Rent income		100,000
31 Dec 2020	Rent receivable [10,000 x 1 month]	10,000	
	Rent income		10,000
2021			
During 2021	Cash	130,000	
	Rent receivable		10,000
	Rent income		120,000
31 Dec 2020	Rent receivable [10,000 x 110% x 1 month]	11,000	
	Rent income		11,000

Based on above journal entries, rent income:

- For year 2020 is Rs. 110,000 (i.e. 100,000 + 10,000)
- For year 2021 is Rs. 131,000 (i.e. 120,000 + 11,000)

UNEARNED INCOME / DEFERRED INCOME

This is cash received in advance for income yet to be earned at the end of an accounting period. The amount that relates to next accounting period is not an income for this period and must be presented as a liability (unearned income / advance).

The journal entries vary depending upon whether amount received in advance was recorded initially either as income or as deferred income (i.e. liability). The related journal entries (also called two account system) are as follows:

Advance receipt recorded as income during accounting period:		Advance receipt recorded as unearned income during accounting period:	
Debit	Cash/Bank	Debit	Cash / Bank
Credit	Income account	Credit	Unearned income
Period end adjustment for income not yet earned but received in advance:		**Period end adjustment to record income to the extent, it has been earned:**	
Debit	Income account	Debit	Unearned income
Credit	Unearned income	Credit	Income account
In next year, when remaining income is earned:		**In next year, when remaining income is earned:**	
Debit	Unearned income	Debit	Unearned income
Credit	Income account	Credit	Income account

Under single account system, memorandum T account is prepared to represent income and liability both.

INCOME					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
				Bal. b/d (opening advance)	**XX**
	Income (balancing figure)	**XX**		Cash received	**XX**
	Bal. c/d (closing advance)	**XX**			
		XX			**XX**

▶ *Example 05:*

Zahra sub-lets part of her factory building to a tenant at monthly rent of Rs. 10,000 on 1 Feb 2020. It was agreed that rent would be increased annually by 10%. Her business has a 31 December year end.

During the year ended 31 December 2020, she received rent of Rs. 142,000 (i.e. rent of January to March 2021 was received in advance).

During the year ended 31 December 2021, she received rent of Rs. 110,000 (i.e. rent of January 2022 was received in advance).

Required:

For the year ended 31 December 2020 and 2021:

a) Determine amount of rent income to be included in statement of profit or loss under single account system.

b) Prepare journal entries assuming that advance receipts are initially recorded as income.

c) Prepare journal entries assuming that advance receipts are initially recorded as unearned income.

▶ *ANSWER*

Part (a) Single Account System

Rent income (Memorandum account)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2020	Income PL (10,000 x 11 months)	110,000		Cash	142,000
	Balance c/d (Unearned rent)	32,000			
		142,000			**142,000**
2021	Income PL (10,000 + 11,000 x11)	131,000		Balance b/d (Unearned rent)	32,000
	Balance c/d (Unearned rent)	11,000		Cash	110,000
		142,000			**142,000**

Part (b) Journal entries

Date	Description	Debit	Credit
2020		**Rupees**	
During 2020	Cash	142,000	
	Rent income		142,000
31 Dec 2020	Rent income [10,000 + 11,000 + 11,000]	32,000	
	Unearned rent (Jan to Mar)		32,000
2021			
31 Mar 2021	Unearned rent (Jan to Mar)	32,000	
	Rent income		32,000
During 2021	Cash	110,000	
	Rent income		110,000
31 Dec 2021	Rent income (January)	11,000	
	Unearned rent		11,000

Based on above journal entries, rent income:

- For year 2020 is Rs. 110,000 (i.e. 142,000 – 32,000)
- For year 2021 is Rs. 131,000 (i.e. 32,000 + 110,000 – 11,000)

Part (c) Journal entries

Date	Description	Debit	Credit
2020		**Rupees**	
During 2020	Cash	142,000	
	Unearned rent		142,000
31 Dec 2020	Unearned rent (10,000 x 11 months)	110,000	
	Rent income (Feb to Dec)		110,000
2021			
31 Mar 2021	Unearned rent (Jan to Mar)	32,000	
	Rent income		32,000
During 2021	Cash	110,000	
	Unearned rent		110,000
31 Dec 2021	Unearned rent [11,000 x 9 months]	99,000	
	Rent income (Apr to Dec)		99,000

Based on above journal entries, rent income:

- For year 2020 is Rs. 110,000 (i.e. recorded on 31 December 2020)
- For year 2021 is Rs. 131,000 (i.e. 32,000 + 99,000)

ACCRUED AND UNEARNED INCOME COMBINED

It is possible that some of the bills are due while some are received in advance at the end of an accounting period. The accounting treatment is not any different.

Under the two account system journal entries are passed as mentioned above.

Under the single account system, one memorandum T account is prepared to represent income, liability and asset.

INCOME					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening receivable)	**XX**		Bal. b/d (opening advance)	**XX**
	Income (balancing figure)	**XX**		Cash received	**XX**
	Bal. c/d (closing advance)	**XX**		Bal. c/d (closing receivable)	**XX**
		XX			**XX**

▶ *Example 06:*

Bones owns various properties which he rents; some tenants pay in advance, some in arrears.

During 2013 rent collected was Rs. 229,500.

Rents receivable and paid in advance at the statement of financial position dates were as follows.

	31 December	
	2012	*2013*
	Rs.	*Rs.*
Rents owed by tenants	34,200	40,500
Rents prepaid by tenants	20,700	15,300

Required:

a) Determine rent income under single account system for the year ended December 31, 2013.

b) Prepare journal entries for the year ended December 31, 2013, on advance receipt of rent Bones credits the income account.

▶ *ANSWER*

Part (a) Single Account System

Rent Income					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
1 Jan	Bal b/d (Rent receivable)	34,200	1 Jan	Bal b/d (Unearned rent)	20,700
31 Dec	Profit or loss	241,200		Cash	229,500
31 Dec	Balance c/d (Unearned rent)	15,300	31 Dec	Bal c/d (Rent receivable)	40,500
		290,700			290,700

Part (b) Journal entries

Date	**Description**	**Debit**	**Credit**
2013		**Rupees**	
Early 2013	Unearned rent	20,700	
	Rent income		20,700
During 2013	Cash	229,500	
	Rent receivable		34,200
	Rent income [229,000 – 34,200]		195,300
31 Dec 2013	Rent receivable	40,500	
	Rent income		40,500
31 Dec 2013	Rent income	15,300	
	Unearned rent		15,300

Based on above journal entries, rent income for the year ended on 31 December 2013 is Rs. 241,200 (i.e. 20,700 + 195,300 + 40,500 – 15,300).

3 COMPREHENSIVE EXAMPLES

▶ *Example 07:*

Kirk started a business on 1 January 2012.

Accounting year ended 31 December 2012:

A new warehouse was acquired on 31 March 2012. On 21 April 2012, Kirk received a water bill demand for Rs. 1,000,000 for the 12 months to 31 March 2013. Payment was made, in full, on 30 April 2012.

Accounting year ended 31 December 2013:

An office extension was built. The water bill demand for the 12 months to 31 March 2014 was Rs. 1,600,000. Kirk paid the full amount on 1 June 2013.

Required:

a) Write up the water expense ledger account for 2012 and for 2013.

b) Assuming now that payments were made annually in arrears (i.e. Rs. 1,000,000 on 31 March 2013 and Rs. 1,600,000 on 31 March 2014), write up the water expense ledger account for each of the two accounting years.

▶ *ANSWER*

Part (a)

Water Expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
30.04.12	Bank	1,000,000	31.12.12	**Profit or loss**	**750,000**
			31.12.12	Balance c/d **N1**	250,000
		1,000,000			1,000,000
1.01.13	Balance b/d	250,000	31.12.13	**Profit or loss**	**1,450,000**
01.06.13	Bank	1,600,000	31.12.13	Balance c/d **N1**	400,000
		1,850,000			1,850,000

Note 1: Prepaid amount

Year 2012 Rs. 1,000,000 x 3/12 months = Rs. 250,000

Year 2013 Rs. 1,600,000 x 3/12 months = Rs. 400,000

Part (b)

Water Expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
31.12.12	Balance c/d **N1**	750,000	31.12.12	**Profit or loss**	**750,000**
		750,000			750,000
31.03.13	Bank	1,000,000	01.01.13	Balance b/d	750,000
31.12.13	Balance c/d **N1**	1,200,000	31.12.13	**Profit or loss**	**1,450,000**
		2,200,000			2,200,000

Note 1: Accrued amount

Year 2012 Rs. 1,000,000 x 9/12 months = Rs. 750,000

Year 2013 Rs. 1,600,000 x 9/12 months = Rs. 1,200,000

▶ *Example 08:*

Spock owns a removal business and runs a small fleet of vans. He prepares his accounts to 31 December each year.

The following transactions occur in relation to insurance for the year 2013.

1 January	The amount prepaid for insurance was Rs.1,140,000.
1 April	He paid Rs.840,000 insurance for the year ended 31 March 2014 on six of the vans
1 May	He paid Rs.3,540,000 insurance for twenty vans for the year ended 30 April 2014
1 July	He paid Rs.560,000 insurance for the remaining vans for the year ended 30 June 2014

Required:

Write up the insurance account for the year ended 31 December 2013

▶ *ANSWER*

Insurance expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
01.01.13	Balance b/d	1,140,000			
01.04.13	Bank	840,000			
01.05.13	Bank	3,540,000	31.12.13	**Profit or loss**	**4,410,000**
01.07.13	Bank	560,000	31.12.13	Balance c/d **N1**	1,670,000
		6,080,000			6,080,000

Note 1: Prepaid amount		
Paid on 1 April	Rs. 840,000 x 3/12 =	210,000
Paid on 1 May	Rs. 3,540,000 x 4/12 =	1,180,000
Paid on 1 July	Rs. 560,000 x 6/12 =	280,000
		1,670,000

▶ *Example 09:*

The details of two office buildings acquired on rent by Ninja Enterprises (NE) are as follows:

i. On 1 April 2016, Building I was acquired on annual rent of Rs. 2,400,000. Effective from 1 October 2017 the rent was increased by 20%. NE pays rent on half yearly basis in advance.

ii. On 1 September 2016, Building II was acquired on annual rent of Rs. 900,000. Payments were made on quarterly basis in advance. However, the quarterly payment due on 1 December 2017 was made on 15 January 2018.

NE's financial year ends on 31 December each year.

Required:

Prepare rent expense account for the year ended 31 December 2016 and 2017.

▶ *ANSWER*

Rent expense					
2016		**Rs. 000**			**Rs. 000**
1 Apr	Cash B1	1,200	31 Dec	PL B1	1,800
1 Sep	Cash B2	225	31 Dec	PL B2	300
1 Oct	Cash B1	1,200	31 Dec	c/d B1 [1,200 x 3/6]	600
1 Dec	Cash B2	225	31 Dec	c/d B2 [1,200 x 2/3]	150
		2,850			**2,850**
2017					
1 Jan	b/d	600	31 Dec	PL B1	2,520
1 Jan	b/d	150	31 Dec	PL B2	900
1 Mar	Cash B2	225	31 Dec	c/d B1 [1,440 x 3/6]	720
1 Apr	Cash B1	1,200			
1 Jun	Cash B2	225			
1 Sep	Cash B2	225			
1 Oct	Cash B1 [1,200 x 120%]	1,440			
31 Dec	c/d B2 [225 x 1/3]	75			
		4,140			**4,140**

▶ *Example 10:*

Amir sets up a business on 1 January 2016. The business has a 31 December year end.

The business was being conducted in a plaza purchased especially for conduct of business. However, ten shops on ground floor were spare to be given on rent from 01 January 2016. The rent of each shop had been agreed at Rs. 5,000 per annum with all the tenants.

On 31 December 2016, the rent collection report showed:

		Rs.
7 tenants paid rent for the year 2016	7 x 5,000 =	35,000
2 of above tenants paid advance rent for year 2017	2 x 5,000 =	10,000
		45,000
3 tenants have not paid rent of year 2016 yet	3 x 5,000 =	15,000

On 31 December 2017, the rent collection report showed:

		Rs.
3 outstanding rent were received for year 2016	3 x 5,000 =	15,000
6 tenants paid rent for the year 2017	6 x 5,000 =	30,000
3 of tenants paid advance rent for year 2018	3 x 5,000 =	15,000
		60,000
2 tenants have not paid rent of year 2017 yet	2 x 5,000 =	10,000

Required:

a) Determine rent income under single account system for the year ended December 31, 2016 and 2017.

b) Prepare journal entries for the year ended December 31, 2016 and 2017, Amir credits the unearned rent account when advance rent of next year is received.

▶ *ANSWER*

Part (a) Single Account System

Rent					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2016	Income PL	50,000		Cash	45,000
	Balance c/d (unearned)	10,000		Balance c/d (receivable)	15,000
		60,000			**60,000**
2017	Balance b/d	15,000		Balance b/d	10,000
	Income PL	50,000		Cash	60,000
	Balance c/d (unearned)	15,000		Balance c/d (receivable)	10,000
		80,000			**80,000**

Part (b) Journal entries

Date	Description	Debit	Credit
2016		**Rupees**	
During 2016	Cash	35,000	
	Rent income		35,000
During 2016	Cash	10,000	
	Unearned rent		10,000
31 Dec 2016	Rent receivable	15,000	
	Rent income		15,000
2017			
Early 2017	Cash	15,000	
	Rent receivable		15,000
Early 2017	Unearned rent	10,000	
	Rent income		10,000
During 2017	Cash	30,000	
	Rent income		30,000
During 2017	Cash	15,000	
	Unearned rent		15,000
31 Dec 2017	Rent receivable	10,000	
	Rent income		10,000

Based on above journal entries, rent income:

- For year 2016 is Rs. 50,000 (i.e. 35,000 + 15,000)
- For year 2017 is Rs. 50,000 (i.e. 10,000 + 30,000 + 10,000)

▶ *Example 11:*

Zamil Traders (ZT) commenced business on 1 January 2016 and is maintaining its accounting records under 'cash basis'. The following transactions are appearing in its records:

Transaction date	Description
8-Jan-2016	One year's office rent was paid in advance, amounting to Rs. 1.2 million.
15-Jan-2016	Advance payment of Rs. 20 million was made against a purchase order. 60% of the ordered goods were received in January 2016.
21-Jan-2016	Rs. 5 million were received against supply of goods in January 2016. Goods amounting to Rs. 3 million could not be delivered in time because of a transport strike.
31-Jan-2016	Sale was booked on receipt of a cheque amounting to Rs. 0.9 million which represents the price of goods supplied net of 10% cash discount.
1-Feb-2016	Payment of salaries and wages for the month of January 2016 amounted to Rs. 0.5 million. This amount includes Rs 0.02 million paid to an employee as advance salary for the month of February 2016.
15-Feb-2016	Payment of utility bills for the month of January 2016 amounted to Rs. 0.3 million.

Required:

Prepare adjusting entries to enable ZT to finalise its monthly financial statements for the month of January 2016 under accrual basis of accounting.

▶ *ANSWER*

Zamil Traders

Accounting entries for the month of January 2016

Date	Description	Debit	Credit
2016		Rs. in millions	
31-Jan	Prepaid rent	1.1	
	Rent expense		1.1
	(Rent for the period Feb – Dec 2016 debited to prepayment account		
31-Jan	Advance to suppliers/ Goods in transit	8.00	
	Purchases		8.00
	Purchases adjusted for the goods not yet received		
31-Jan	Sales	3.00	
	Advances from customers		3.00
	Sales adjusted for the goods not yet delivered		
31-Jan	Salaries and wages expense	0.48	
	Salaries and wages payable		0.48
	Salaries and wages for the month of January 2016 paid in February 2016		
31-Jan	Utility expenses	0.30	
	Utility bills payable		0.30
	Utility bills for the month of January 2016 received and paid in February 2016		

Revenue is reported net of discount in financial statements. No adjustment is required for sales booked net of 10% cash discount.

4 OBJECTIVE BASED Q&A

1. In the year to 31 December 2018, Saira received Rs. 50,800 rental income. The amounts of rent received in advance and due in arrears were as follows:

	31 Dec 2018	31 Dec 2017
	Rs.	Rs.
Rent received in advance	4,000	3,000
Rent due in arrears (accrued)	2,500	1,700

What figure for rental income should be recorded in the statement of profit or loss for the year ended 31 December 2018?

a) Rs. 50,800
b) Rs. 50,600
c) Rs. 54,500
d) Rs. 56,000

2. On 1 March 2017, Zahra pays an insurance premium of Rs. 2,400 for the period to 28 February 2018.

What is the charge to the statement of profit or loss for the year ended 31 October 2017 and prepayment in the Statement of Financial Position as at that date?

a) Charge for SPL Rs. 800 and Prepayment Rs. Rs. 1,600
b) Charge for SPL Rs. 1,600 and Prepayment Rs. 800
c) Charge for SPL Rs. 2,400 and Prepayment 0
d) Charge for SPL 0 and Prepayment Rs. 2,400

3. Zahra determines at year end that Salaries paid during the year include Rs. 10,000 in advance.

What is the correct year end adjustment for advance salary to be made?

a) Dr Salaries Rs. 10,000 Cr Advance salaries Rs. 10,000
b) Dr Salaries Rs. 10,000 Cr Accrued salaries Rs. 10,000
c) Dr Advance salaries Rs. 10,000 Cr Salaries expense Rs. 10,000
d) No entry required

4. On year end a business has outstanding electricity bills of Rs. 15,000. During the year electricity bills paid are Rs. 190,000.

What adjustment will be required to utilities expense account regarding the outstanding bills?

a) Cr Rs. 15,000
b) Dr Rs. 15,000
c) No impact
d) Dr Rs. 190,000

5. Atif finalized his draft accounts and ignored a prepayment for Rs. 100 and accrued expense Rs. 300.

   What will be the impact on profit for the year?

   a) Understated by Rs. 100
   b) Overstated by Rs. 100
   c) Overstated by Rs. 200
   d) Understated by Rs. 200

6. On finalizing the draft accounts Minhas identified that he has Rs. 1,000 rental income receivable. Rental income received and recorded during the year is Rs. 11,000.

   What is the correct entry to record the accrued income?

   a) Dr Rental income Rs. 1,000 Cr Accrued income Rs. 1,000
   b) Dr Cash Rs. 12,000 Cr Rental income Rs. 12,000
   c) Dr Cash Rs. 11,000 Cr Rental income Rs. 11,000
   d) Dr Accrued income Rs. 1,000 Cr Rental income Rs. 1,000

7. Which of the following is asset account?

   a) Prepaid expense
   b) Accrued expense
   c) Unearned income
   d) Rent payable

8. After finalizing the draft accounts of a business it was identified that salary expense payable for Rs. 9,000 has been ignored. Salary expense paid during the year was Rs. 110,000.

   What will be the impact of recording the salaries payable?

   a) Profit will be reduced by Rs. 9,000
   b) Profit will be increased by Rs. 9,000
   c) Profit will be reduced by Rs. 110,000
   d) Profit will be increased by Rs. 110,000

9. Jasia has taken a loan of Rs. 250,000 from HBL as on 1st March 2018 for the construction of her office building. The construction is completed as on June 30, 2018. She rented a portion of her office for Rs. 4,500 per month on July 1. Interest is accrued and paid annually @ 15% per annum on December each year.

   What amount of interest expenses and rent income should be shown in the statement of Profit or Loss of Jasia's business prepared on December 31, 2018?

   a) Interest expense Rs. 54,000, Rental income Rs. 37,500
   b) Interest expenses. 37,500, Rental income Rs. 54,000
   c) Interest expense Rs. 31,250, Rental income Rs. 27,000
   d) Interest expenses. 37,500, Rental income Rs. 4,500

10. What is the treatment of Pre - received income in the Statement of Financial Position of the business?

    a) Treated as a non – current asset
    b) Treated as a current asset
    c) Treated as a non – current liability
    d) Treated as a current liability

11. The annual rent expense for TTT for the period 1 July 2018 to 30 June 2019 is Rs. 35,000, which is 25% more than the previous year. Rent expense is paid on 1 July.

    What is the charge of rent expense in the statement of profit or loss for the year ended 31 December 2018?

    a) Rs. 28,000
    b) Rs. 31,500
    c) Rs. 35,000
    d) Rs. 7,000

12. Which of the following statements is incorrect?

    a) Income received in advance is a current liability
    b) Accrued income is a current asset
    c) Prepaid insurance is a current liability
    d) Salaries payable is a current liability

13. After finalizing the draft accounts Arsalan identified that he has treated prepaid insurance of Rs. 1,000 as accrued expense.

    What will be the impact of correction?

    a) Profit will be increased by Rs. 2,000
    b) Profit will be increased by Rs. 1,000
    c) Profit will be reduced by Rs. 1,000
    d) Profit will be reduced by Rs. 2,000

14. A business pays rent quarterly in arrears on 1 January, 1 April, 1 July and 1 October each year. The rent was increased from Rs. 150,000 per year to Rs. 180,000 per year as from 1 October 2007.

    What rent expense and accrual should be included in the company's financial statements for the year ended 31 January 2008?

	Rent expense Rs.	Accruals Rs.
a)	110,000	10,000
b)	80,000	15,000
c)	160,000	15,000
d)	100,000	10,000

15. Helix Corporation has sublet part of its office and in the year ended 30 November 2008 the rent was:

Until 30 June 2008	Rs. 9,000 per year
From 1 July 2008	Rs. 12,000 per year

    Rent was received quarterly in advance on 1 January, April, July, and October each year.

    What amounts should appear in the company's financial statements for the year ended 30 November 2008?

	Rental income	Statement of Financial Position
a)	Rs. 10,800	Rs. 1,000 in unearned rent
b)	Rs. 10,900	Rs. 1,000 in rent receivable
c)	Rs. 10,250	Rs. 1,000 in unearned rent
d)	Rs. 9,900	Rs. 2,000 in rent receivable

16. Sitara Industries has taken a loan from Crescent Bank. Interest on the loan is payable every quarter i.e. on March 31, June 30, September 30 and December 31. Face amount of the loan is 500,000 and the rate of interest is 10% per annum. Due to financial problems, two instalments were not paid on September 30 and December 31.

    What is the amount of the interest liability to be shown in the Statement of Financial Position prepared as on December 31?

    Rs. _____

17. Rent paid on 1 September 2017 for the year to 31 August 2018 was Rs. 15,000, and rent paid on 1 September 2018 for the year to 31 August 2019 was Rs. 18,000.

    What figure for rent expense should be shown in the statement of profit or loss for the year ended 31 December 2018?

    Rs. _____

18. A business had deposited Rs. 500,000 into an annual fixed deposit on May 1, 2018. Interest is accrued quarterly on March 31, June 30, September 30 and December 31 each year. Interest will be paid only on maturity. Monthly interest amount is Rs. 3,000.

    What amount of interest receivable should be shown in the Statement of Financial Position prepared as on December 31, 2018?

    Rs. _____

19. A business has paid an annual salary of Rs. 36,000 in advance to one of its employees on 31 August 2017.

    What is the amount of prepaid salaries at the end of the year on 31 December 2017?

    Rs. _____

20. A business was started on January 1, 2008 in a building which is on a 25 year lease. The rent of the building is payable quarterly in advance. Payments of rent was made during the year as follows:

January 1, 2008	Rs. 7,500
March 29, 2008	Rs. 7,500
June 28, 2008	Rs. 7,500
September 30, 2008	Rs. 7,500
December 30, 2008	Rs. 7,500

    What will be the rent expense charged to statement of profit or loss for the year ended December 31, 2008?

    Rs. _____

21. An accrual is:

    a) An expense relating to next year but not paid in current year
    b) An expense relating to the current year and paid within current year
    c) An expense relating to the current year but not paid in current year
    d) An expense relating to next year and already paid in current year

22. Earned but not yet received income is treated as

    a) Asset
    b) Liability
    c) Capital
    d) Loss

23. Unearned income is classified as

    a) Assets
    b) Liability
    c) Equity
    d) Loss

24. A prepayment can be defined as:

    a) Payments for expenses for that are not yet incurred and classified as non-current asset
    b) Expenses incurred but not yet paid and classified as current asset
    c) Payments for expenses for that are not yet incurred and classified as current asset
    d) None

25. Expenses relevant to the accounting period which remain unpaid by period end should be:

    a) Included with expenses paid and shown as an asset at the period end
    b) Ignored until they are paid for in the next period
    c) Deducted from amount already paid and shown as a liability at the period end
    d) Include in with the expenses and shown as a liability at the period end

26. Which of the following is not true?

    a) An accrual is an amount owing at the end of a period; a prepayment is an amount paid in advance
    b) An accrual is a liability; a prepayment is an asset
    c) An accrual is a liability; a prepayment is always a non-current asset
    d) An accrual is a current liability; a prepayment is a current asset

27. Staff salary remaining unpaid as at the year-end should be accounted for as:

    a) Prepaid salary (debit) and Staff salary expense (credit)
    b) Staff salary expense (debit) and Cash (credit)
    c) Accrued Salary (debit) and Staff salary expense (credit)
    d) Staff salary expense (debit) and Accrued salary (credit)

28. A business has a year ended 30 September and receives an invoice for rent of Rs. 600,000 for the six months to 31 December. What accrual or prepayment is required for the invoice in the year end accounts?

    a) Prepaid rent = Rs.300,000
    b) Accrued rent = Rs.300,000
    c) Prepaid rent = Rs.600,000
    d) Accrued rent = Rs.600,000

29. During the year, a business paid an electricity bill for Rs. 900,000 for the 3 months to November. The year end of the business is 30 September, what accrual or prepayment is needed at the year end?

    a) Prepaid electricity = Rs. 600,000
    b) Accrued electricity = Rs. 600,000
    c) Prepaid electricity = Rs. 300,000
    d) Accrued electricity = Rs. 300,000

30. A business has a beginning utilities accrual of Rs. 50,000, an ending accrual of Rs. 60,000, and during the year, it pays for utilities of Rs. 80,000. What is the amount of utilities expense?

    a) Rs. 70,000
    b) Rs. 80,000
    c) Rs. 90,000
    d) Rs. 140,000

31. On 31 October 2019, a business pays annual insurance premium of Rs. 600,000. What is the prepayment at the end of the year (31 December 2019)?

    a) Nil
    b) Rs. 100,000
    c) Rs. 300,000
    d) Rs. 500,000

32. XYZ Ltd. receives interest of Rs. 100,000 on bank deposit for the month of December 2011 on 3rd January 2012. XYZ Ltd has an accounting year end of 31st December.

    What would be the accounting entry for such transaction?

    a) Prepaid interest (debit) = Rs.100,000 and Interest income (credit) = Rs.100,000
    b) Cash (debit) = Rs.100,000 and Interest income (credit) = Rs.100,000
    c) Cash (debit) = Rs.100,000 and Prepaid interest (credit) = Rs.100,000
    d) Interest receivable (debit) = Rs.100,000) and interest income (credit) = Rs.100,000

33. XYZ Ltd. receives interest of Rs. 100,000 on bank deposit for the month of December 2011 on 3rd January 2012. XYZ Ltd has an accounting year end of 31st December.

    What would be the accounting entry when subsequently on 3rd January, payment for interest is received?

    a) Prepaid interest (debit) = Rs.100,000 and Interest income (credit) = Rs.100,000
    b) Cash (debit) = Rs.100,000 and Interest receivable (credit) = Rs.100,000
    c) Cash (debit) = Rs.100,000 and Prepaid interest (credit) = Rs.100,000
    d) Interest receivable (debit) = Rs.100,000) and interest income (credit) = Rs.100,000

34. ABC Limited receives advance rent from its tenant of Rs.1 million on 31st December in respect of office rent for the following year.

    ABC Ltd. has an accounting year end of 31st December. What accounting entry is to be passed in this year?

    a) Cash (debit) = Rs.1 million and Advance rent – liability (credit) = Rs.1 million
    b) Cash (debit) = Rs.1 million and Accrued rent (credit) = Rs.1 million
    c) Cash (debit) = Rs.1 million and Rent income (credit) = Rs.1 million
    d) None

35. ABC Limited receives advance rent from its tenant of Rs.1 million on 31st December in respect of office rent for the following year.

    What would be the accounting entry in the following year?

    a) Accrued rent (debit) = Rs.1 million and rental income (credit) = Rs.1 million
    b) Advanced rent (debit) = Rs.1 million and rental income (credit) = Rs.1 million
    c) Accrued rent (debit) = Rs.1 million and prepaid rent (credit) = Rs.1 million
    d) None

36. F Limited year-end is 30 September. On 1 January 2016 the organization took out a loan of Rs. 100,000 with annual interest of 12%. The interest is payable in equal instalments on the first day of April, July, October and January in arrears.

    How much should be charged to P&L for the year ended 30 September 2016, and how much should be accrued on the statement of financial position?

	Profit or loss	SFP (Prepayment)
a)	Rs. 5,000	Rs. 24,000
b)	Rs. 22,000	Rs. 23,000
c)	Rs. 25,000	Rs. 21,000
d)	Rs. 36,000	Rs. 15,000

37. On the first day of Month 1, a business had prepaid insurance of Rs. 10,000. On the first day of Month 8, it paid, in full, the annual insurance invoice of Rs. 36,000, to cover the following year.

    The amount charged in P&L and the amount shown in the statement of financial position at the year-end is:

	Profit or loss	SFP (Prepayment)
a)	Rs. 5,000	Rs. 24,000
b)	Rs. 22,000	Rs. 23,000
c)	Rs. 25,000	Rs. 21,000
d)	Rs. 36,000	Rs. 15,000

38. An entity's draft accounts for the year to 31st October 2015 report a loss of Rs. 1,486. When the assistant accountant prepared the accounts, she did not include an accrual of Rs. 1,625 and a prepayment of Rs. 834.

    What is profit or loss for the year to 31st October 2015 following the inclusion of the accrual and prepayment?

    a) loss of Rs. 695
    b) A loss of Rs. 2,277
    c) A loss of Rs. 3,945
    d) A profit of Rs. 1,807

39. The draft year end accounts were prepared without adjusting prepayment for rent of Rs. 970.

    When the adjustment is made, which of the following would be effect thereof?

    a) Profit increased by Rs. 970 and Liability increased by Rs. 970
    b) Profit decreased by Rs. 970 and Liability increased by Rs. 970
    c) Profit increased by Rs. 970 and Assets increased by Rs. 970
    d) Profit increased by Rs. 970 and Assets decreased by Rs. 970

40. An entity prepared the draft end year accounts, but did not adjust these for a prepayment of Rs. 1,500 and an accrual of Rs. 400.

    How will profit and net assets be affected by including the prepayment and accrual

	NET PROFIT WILL	NET ASSETS WILL
a)	Increase by Rs. 1,100	Reduce by Rs. 1,100
b)	Reduce by Rs. 1,900	Increase by Rs. 1,900
c)	Increase by Rs. 1,100	Increase by Rs. 1,100
d)	Reduce by Rs. 1,900	Reduce by Rs. 1,900

41. A company pays rent quarterly in arrears on 1 January, 1 April, 1 July and 1 October each year. The rent was increased from Rs. 90,000 per year to Rs. 120,000 per year as from 1 October 2012.

    What rent expense and accrual should be included in the company's financial statements for the year ended 31 January 2013?

	Rent Expense (Rs.)	Accrual (Rs.)
a)	100,000	20,000
b)	100,000	10,000
c)	97,500	10,000
d)	97,500	20,000

42. At 31 March 2012 a company had oil in hand to be used for heating costing Rs. 8,200 and an unpaid heating oil bill for Rs. 3,600. At 31 March 2013 the heating oil in hand was Rs. 9,300 and there was an outstanding heating oil bill of Rs. 3,200. Payments made for heating oil during the year ended 31 March 2013 totalled Rs. 34,600.

    Based on these figures, what amount should appear in the company's Statement of Profit or Loss for heating oil for the year?

    a) Rs. 23,900
    b) Rs. 36,100
    c) Rs. 45,300
    d) Rs. 33,100

43. A company has sublet part of its offices and in the year ended 30 November 2013 the rent receivable was:

Until 30 June 2013	Rs. 8,400 per year
From 1 July 2013	Rs. 12,000 per year

    Rent was paid quarterly in advance on 1 January, April, July and October each year.

    What amounts should appear in the company's financial statements for the year ended 30 November 2013?

	Rent income (Rs.)	SOFP (Rs.)
a)	9,900	2,000 in liabilities
b)	9,900	1,000 in liabilities
c)	10,200	1,000 in liabilities
d)	9,900	2,000 in assets

44. Which of the following statements is not true?

    a) Accruals of expenses decrease profit
    b) Accrued income decreases profit
    c) A prepayment is an asset
    d) None of the above is incorrect statement

45. A business owns two properties which it rents to tenants. In the year ended 31 December 2016, it received Rs. 278,000 in respect of property 1 and Rs. 160,000 in respect of property 2. Balance on the rental accounts were as follows:

	31 December 2016	31 December 2015
Property 1	13,400 Dr	12,300 Cr
Property 2	6,700 Cr	5,400 Dr

What amount should be credited to the Statement of P&L and OCI for the year ended 31 December 2016 in respect of rental income?

a) Rs. 451,600
b) Rs. 738,000
c) Rs. 939,200
d) Rs. 858,600

46. Zameen, a property company, received cash totalling Rs. 838,600 from tenants during the year ended 31 December 2016. Figures for rent in advance and in arrears at the beginning and at the end of year were:

	31 December 2015	31 December 2016
	Rs.	Rs.
Rent receive in advance	102,600	88,700
Rent in Arrears (all subsequently received)	42,300	48,400

What amount should appear in company's Statement of P&L for the year ended 31 December 2016 for rental income?

a) Rs. 818,600
b) Rs. 738,000
c) Rs. 939,200
d) Rs. 858,600

47. Details of a company's insurance policy are shown below:

Premium for year ended 31 March 2016 paid April 2015	Rs. 10,800
Premium for year ended 31 March 2017 paid April 2016	Rs. 12,000

What figure should be included in the company's financial statements for the year ended 30 June 2016?

	Statement of P&L (Rs.)	Statement of financial position (Rs.)
a)	11,100	9,000 prepayment
b)	11,700	9,000 prepayment
c)	11,100	9,000 accrual
d)	11,700	9,000 accrual

48. A tenant pays annual rent of Rs. 6,000. Payment is made quarterly in advance on 1 January, 1 April, 1 July and 1 October. Which of the following should be included in his accounts for the year ended 31 October 2001?

a) Rs. 500 Accrual
b) Rs. 500 Prepayment
c) Rs. 1,000 Accrual
d) Rs. 1,000 Prepayment

49. A company's accounting year-end is 31st December. It always pays its insurance premiums annually in advance, on the due date 1 September each year. During the last few years the following premiums have been paid:

Year -1	**Rs. 2,400**
Year -2	Rs. 2,760
Year -3	Rs. 3,840

What will be charged for insurance in the company's Statement of Profit or Loss account for year 3?

Rs. _____

50. X Ltd rents its building to Y Ltd. At 31st December 2018, Y Ltd owed Rs. 4,500 for rent, but at 31st December 2019, had paid Rs. 3,200 in advance. During the year X Ltd had received Rs. 17,100 in rental from Y Ltd.

What is the rental income to be shown in the Statement of Profit or Loss of X Ltd for the year ended 31st December 2019?

Rs. _____

ANSWER

01. (b)

Rent

Particulars	Rs.	Particulars	Rs.
Bal. b/d (accrued)	1,700	Bal. b/d (Advance)	3,000
Profit or loss	***50,600***	Cash received	50,800
Bal. c/d (Advance)	4,000	Bal. c/d (Accrued)	2,500
	56,300		56,300

02. (b) Charge for SPL = Rs. 2,400/12x8 = Rs. 1,600
Prepayment = Rs. 24,00 - Rs. 1,600= Rs. 800

03. (c) Advance salaries are prepayment and an asset, so must be debited. This reduces the current year expense, which shall be credited.

04. (b) The expense must be recorded (debited) under matching concept in the year it has been incurred, even if the bill is outstanding.

05. (c) Prepayments are deducted from expenses and profit is increased and accruals are added to the expenses and profit is reduced as a result. Therefore, the profit has been overstated due to omissions.

06. (d) Accrued income is income receivable and must be recorded as an asset and corresponding increase in income (credited).

07. (a) Prepaid expense is an asset account. All other are liability account.

08. (a) Rs. 110,000 is already recorded only further Rs. 9,000 is to be recorded as expense on accrual basis, reducing the profit by Rs. 9,000.

09. (c) Interest expense = (Rs. 250,000x15%) x10/12=Rs. 31,250
Rental income = Rs. 4,500 x 6 = Rs. 27,000

10. (d) Income received in advance is an obligation to deliver goods or services in future and therefore a liability. As such advances are not for long term, it is treated as current liability.

11. (b)

Rent	Rs.	Rs.
1 Jan 18 – 30 June 18	(35,000/100 x 125)/12 x 6	14,000
1 July 18 – 31 Dec 18	35,000/12x6	17,500
		31,500

12. (c) Prepaid insurance is an asset as it is right to receive benefit from insurance services in the future.

13. (a) Rs. 1,000 accruals will be reversed (reduction in expense and increase in profit) & Rs. 1,000 prepayment will be recorded (reduction in expense and increase in profit)

14. (c)

Rent expense	Rs.	Rs.
1st Feb 2007 – 30 Sep 2007	150,000/12 x 8	100,000
1st Oct2007 – 31 Jan 2008	180,000/12 x 4	60,000
		160,000

Accrued rent = 180,000/12 = Rs. 15,000

15. (c)

Rental income	**Rs.**	**Rs.**
1st Dec 2007 – 30 June 2008	9,000/12 x 7	5,250
1st July 2008 – 30 Nov 2008	12,000 12 x 5	5,000
		10,250

One month rent is in advance at year end Rs 12,000/12 = Rs. 1,000

16. Rs. 25,000

Interest per quarter = Rs. 500,000x10%=Rs. 50,000/4 Quarters
= Rs. 12,500x2 quarters =Rs. 25,000

17. Rs. 16,000

Rent for Jan to Aug 2018 = (Rs. 15,000/12x8) = Rs. 10,000
Rent for Sep to Dec 2018= (Rs. 18,000/12x4) =Rs. 6,000
Total = Rs. 16,000

18. Rs. 24,000

= Rs. 3,000x8 months = Rs. 24,000
All interest will be received on maturity, therefore, all is accrued.

19. Rs. 24,000

Advance salary = Rs. 36,000 x 8 /12 = 24,000
Four month salary is no more prepaid (services have been received against that).

20. Rs. 30,000

Rent

Particulars	**Rs.**	**Particulars**	**Rs.**
		SPL	30,000
Cash 7,500 x 5	37,500	c/d - advance	7,500
	37,500		37,500

21. (c) An expense relating to the current year but not paid in current year

22. (a) Asset

23. (b) Liability

24. (c) Payments for expenses for that are not yet incurred and classified as current asset.

25. (d) Include in with the expenses and shown as a liability at the period end

26. (c) An accrual is a liability; a prepayment is always a non-current asset

27. (d) Staff salary expense (debit) and accrued salary (credit)

28. (b) Rs. 600,000 x 3/6 months = Rs. 300,000

29. (a)

Prepayment (as paid in advance)
Rs. 900,000 x 2/3 months = Rs. 600,000

30. (c)

Utilities

Particulars	**Rs.**	**Particulars**	**Rs.**
Cash	80,000	b/d	50,000
c/d	60,000	**PL**	**90,000**
	140,000		140,000

31. (d) Rs. 600,000 x 10/12 months = Rs. 500,000

32. **(d)**

Interest receivable Debit
Interest income Credit

33. **(b)**

Cash (debit) = Rs.100,000 and Interest receivable (credit) = Rs.100,000

34. **(a)**

Cash (debit) = Rs.1 million
Advance rent – liability (credit) = Rs.1 million

35. **(b)**

Advanced rent (debit) = Rs.1 million
Rental income (credit) = Rs.1 million

36. **(b)**

		Rs.
Interest expense for the year	100,000 x 12% x 9/12	9,000
Payable Quarter ending 30 Sep 2016	12,000 / 4	3,000

37. **(c)**

Insurance expense a/c

Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	b/d	10,000		***SPL***	***25,000***
	Cash	36,000		***c/d 36,000 / 12 x 7***	***21,000***
		46,000			46,000

38. **(b)**

= 1,486+1,625-834= 2,277

39. **(c)**

Profit increased by Rs. 970 and assets increased by Rs. 970

40. **(c)**

Net profit and net assets to increase by Rs. 1,100 i.e. 1,500 – 400

41. **(b)**

Rent expense		**Rs.**
Rent for 01 Feb 2012 to 30 Sep 2012	Rs 90,000/12x8	60,000
Rent for 01 Oct 2012 to 31 Jan 2013	Rs. 120,000/12x4	40,000
		100,000

Accrued rent is for January 2013= Rs. 10,000

42. **(d)**

Heating oil a/c

Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	b/d oil in hand	8,200		b/d heating oil bill	3,600
	Cash	34,600		***SPL***	***33,100***
	c/d heating oil bill	3,200		c/d oil in hand	9,300
		46,000			46,000

43. **(b)**

Rent income		**Rs.**
Rent for 01 Dec 2012 to 30 Jun 2013	Rs 8,400/12x7	4,900
Rent for 01 Jul 2013 to 30 Nov 2013	Rs. 12,000/12x5	5,000
		9,900

Rent is for one month i.e. Dec 2013=12,000/12 = Rs. 1,000 (liability)

44. **(b)** Accrued income increases profit

45. **(a)**

Rent income a/c

Date	Particulars	Rs.	Date	Particulars	Rs.
	b/d P2	5,400		b/d P1	12,300
	SPL	***451,600***		Cash 278,000+160,000	438,000
	c/d P2	6,700		c/d P1	13,400
		463,700			463,700

46. **(d)**

Rent income a/c

Date	Particulars	Rs.	Date	Particulars	Rs.
	b/d	42,300		b/d	102,600
	SPL	***858,600***		Cash	838,600
	c/d	88,700		c/d	48,400
		989,600			989,600

47. **(a)**

Insurance expense		Rs.
1 July 2015 to 31 Mar 2016	10,800/12 x 9	8,100
01 April 2016 to 30 June 2016	12,000/12x3	3,000
		11,100

Prepayment = 12,000/12 x 9 = 9,000

48. **(d)** Prepayment = 6000/4 = 1,500/3 x 2 months = Rs. 1,000

49. **Rs. 3,120**

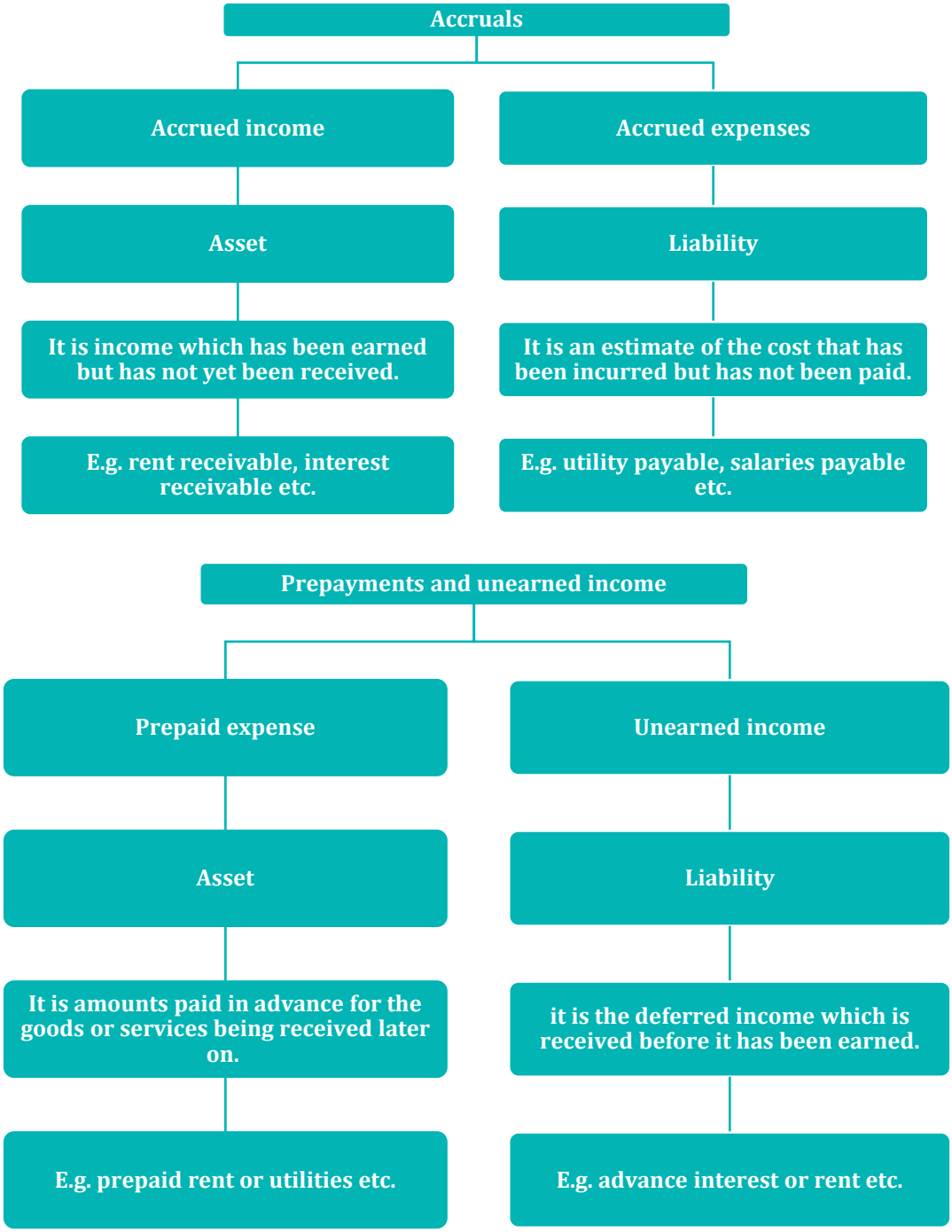
	Rs.
Insurance premium 01 Jan to 31 Aug year 3 ➔ 2,760/12x8	1,840
Insurance premium 01 Sep to 31 Dec year3 ➔ 3,840/12x4	1,280
	3,120

50. **Rs. 9,400**

Rent income a/c

Date	Particulars	Rs.	Date	Particulars	Rs.
	b/d	4,500		cash	17,100
	SPL	***9,400***			
	c/d	3,200			
		17,100			17,100

STICKY NOTES



Single Account System

EXPENSES					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening prepaid)	**XX**		Bal. b/d (opening payable)	**XX**
	Cash paid	**XX**		**Expense (balancing figure)**	**XX**
	Bal. c/d (closing payable)	**XX**		Bal. c/d (closing prepaid)	**XX**
		XX			**XX**

Single Account System

INCOME					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Bal. b/d (opening receivable)	**XX**		Bal. b/d (opening advance)	**XX**
	Income (balancing figure)	**XX**		Cash received	**XX**
	Bal. c/d (closing advance)	**XX**		Bal. c/d (closing receivable)	**XX**
		XX			**XX**

Summary of all journal entries

Accrued expenses

On payment of expense during accounting period:	
Debit	Expense account
Credit	Cash/Bank
Period end adjustment for expenses incurred but not yet paid:	
Debit	Expense account
Credit	Accrued expenses (a liability)
In next period, when accrued expenses are eventually paid:	
Debit	Accrued expenses
Credit	Cash / Bank

Prepaid expenses

Advance payment recorded as an expense during accounting period:		**Advance payment recorded as prepayment during accounting period:**	
Debit	Expense account	Debit	Prepaid expenses (an asset)
Credit	Cash/Bank	Credit	Cash / Bank
Period end adjustment for expenses not yet incurred and paid in advance:		**Period end adjustment to record expense to the extent, it has been incurred due to passage of time or through use and consumption:**	
Debit	Prepaid expenses (an asset)	Debit	Expense account
Credit	Expense account	Credit	Prepaid expenses (an asset)
In next year, when remaining expense is incurred due to passage of time or through use and consumption:		**In next year, when remaining expense is incurred due to passage of time or through use and consumption:**	
Debit	Expense account	Debit	Expense account
Credit	Prepaid expenses (an asset)	Credit	Prepaid expenses (an asset)

Accrued income

On receipt of income during accounting period:	
Debit	Cash / Bank
Credit	Income account
Period end adjustment for income earned but not yet received:	
Debit	Accrued income / Income receivable (an asset)
Credit	Income account
In next period, when accrued income is eventually received:	
Debit	Cash / Bank
Credit	Accrued income / Income receivable

Unearned income / Deferred income

Advance receipt recorded as income during accounting period:		**Advance receipt recorded as unearned income during accounting period:**	
Debit	Cash/Bank	Debit	Cash / Bank
Credit	Income account	Credit	Unearned income
Period end adjustment for income not yet earned but received in advance:		**Period end adjustment to record income to the extent, it has been earned:**	
Debit	Income account	Debit	Unearned income
Credit	Unearned income	Credit	Income account
In next year, when remaining income is earned:		**In next year, when remaining income is earned:**	
Debit	Unearned income	Debit	Unearned income
Credit	Income account	Credit	Income account

CHAPTER 5

BAD AND DOUBTFUL DEBTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Good Debts and Bad Debts
2. Doubtful Debts
3. Presentation in Financial Statements
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

A good debt is an account receivable that is clearly identified as collectible with certainty. No accounting treatment is required for a good debt.

A bad debt is an account receivable that has been clearly identified as not being collectible. This implies that a specific receivable needs to be removed from the accounts receivable account.

Although rarely but a customer whose debt has been written off may pay later, and that is recorded as reduction in bad debts expense.

A doubtful debt is an account receivable that might become a bad debt at some point in the future. An expense is recognised at this point, but, the entity may or may not be able to specifically identify which customer might be so classified. So, the entity creates a reserve (allowance) account i.e. a contra asset account to be deducted from accounts receivable. This allowance is estimated periodically and the change is recorded as an expense or reduction in expense.

1 GOOD DEBTS AND BAD DEBTS

The transactions with credit customers are usually in following sequence:

Customer ➔ Credit Sales ➔ Receivable (trade debts) ➔ Collection of debts

However, some of the debts might never be collected or may prove difficult to be collected.

GOOD DEBTS

It is an amount owed by a customer (receivable) that the business believes it will have no difficulty in collecting from the customer. For example:

- secured receivables,
- remaining balance of receivable for which specific allowance has been made, and
- contra receivable & payable (we also owe to customer for goods or services procured).

Accounting treatment

The good debts do not require any special accounting treatment unlike bad and doubtful debts.

BAD DEBTS

It is the part of receivable that the business believes it will never be able to collect. This may arise due to bankruptcy, death or dishonesty of a customer.

Accounting treatment

This is a loss to business and, therefore, shall be written off as an ***expense***. The receivable is also removed from the accounting records.

The related journal entry is as follows:

Writing off a debt

Debit	Bad & doubtful debts expense	
Credit		Receivables

RECOVERY OF BAD DEBTS

A bad debt written off may be recovered subsequently. For example, a customer pays when his financial conditions are improved.

Accounting treatment

This may be recorded in either of the following two ways:

Reduction in bad debts expense

Debit	Bank / Cash	
Credit		Bad & doubtful debts expense

As income (bad debts recovered)

Debit	Bank / Cash	
Credit		Bad debts recovered

Example 01:

On 1st January 2020, an entity had receivable balances of Rs. 1,750,000. During the year ended 31 December 2020, following details relate to customers.

- Cash sales of Rs. 8,000,000.
- Credit sales of Rs. 9,500,000
- A customer was declared insolvent who owed Rs. 350,000 and none of this amount is expected to be recovered.
- Total cash received from credit customers Rs. 9,200,000 (including Rs. 400,000 for a debt which was written off in 2018.
- Another customer has filed for bankruptcy who owed Rs. 500,000. Half of the amount is expected to be recovered from insolvency practitioner.

Required:

Journal entries of all the above transactions and ledger accounts of "Receivables" and "Bad & doubtful debts expense" for the year ended 31 December 2020.

ANSWER

GENERAL JOURNAL				
Date	**Particulars**	**LF**	**Debit Rs.**	**Credit Rs.**
	Bank / Cash		8,000,000	
	Sales			8,000,000
	Receivables		9,500,000	
	Sales			9,500,000
	Bad & doubtful debts expense		350,000	
	Receivables			350,000
	Bank / Cash		9,200,000	
	Receivables			8,800,000
	Bad & doubtful debts expense			400,000
	Bad & doubtful debts expense		250,000	
	Receivables			250,000

Receivables					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Balance b/d	1,750,000		B&DD expense	350,000
	Sales	9,500,000		Bank / Cash	8,800,000
				B&DD expense	250,000
				Balance c/d	1,850,000
		11,250,000			11,250,000

Bad & doubtful debts expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
	Receivables	350,000		Bank / Cash	400,000
	Receivables	250,000		**Profit or loss**	**200,000**
		600,000			600,000

2 DOUBTFUL DEBTS

It is an amount owed by a customer (receivable) that the business believes might prove difficult to collect but still hopes to collect it. For example, a disputed invoice with the customer or past experience that some customers might not pay.

Accounting treatment

Applying the prudence concept i.e. assets must not be overstated, these are also charged as an **expense**. However, instead of writing off the debt (which would remove it from the records) a business sets up an allowance account. The receivable must stay in the accounting records so that the business continues to chase payment.

The allowance account (a contra asset account) is a credit balance which is then set against the carrying amount of the receivables in the statement of financial position. The allowance account might also be called *provision for doubtful debts*.

Allowance may be:

- specific (for specific disputed/difficult debt); and/or
- general (for receivables excluding bad debts, good debts and specifically provided for).

The allowance account is estimated periodically and any adjustment is recognised either as an expense (in case of increase) or as reduction in an expense (in case of decrease).

One of the following two journal entries is recorded at year end:

Creating or increasing the allowance

Debit Bad & doubtful debts expense

Credit Allowance for doubtful debts

Decreasing the allowance

Debit Allowance for doubtful debts

Credit Bad & doubtful debts expense

Note that no additional accounting entry is required when any doubtful debt is recovered as receivable has not been written off in this case.

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	Rs.
Specific allowance	XX
General allowance (receivables excluding bad, good and specific x %)	XX
Total allowance required at period end	XX
Less: Opening balance of the allowance account	(XX)
Increase (Decrease) in the allowance account	XX

AGING ANALYSIS

Preparing an aged receivables analysis is a method of attempting to assess the likelihood of bad debts or to make an assessment of doubtful receivables. This may be an analysis for each individual credit customer for specific allowance calculation or it may be an analysis of total receivables for general allowance calculations. Two typical formats for an aged receivables analysis is given below:

▶ *Illustration: Aged debtors (receivables) analysis*

Customer	Credit limit	Total owed	< 30 days	30 – 60 days	60 – 90 days	Over 90 days
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
X	20,000	5,500	3,000	–	2,500	–
Y	15,000	2,700	–	1,000	1,000	700

▶ *Illustration: Aged debtors (receivables) analysis*

Debts outstanding	Amount	Allowance for doubtful debts	
	Rs.000	%	Rs.000
Up to 30 days	24,000	1	240
30 to 60 days	10,000	2	200
60 to 90 days	8,000	4	320
More than 90 days	3,000	5	150
Total	45,000		910

If a customer has old amounts outstanding, these should be investigated and an attempt should be made to collect payment. However, the investigation may indicate that the amount should either be written off as a bad debt, or that an allowance should be made for doubtful debts.

The **older the age** of debt, the **more uncertainty** in collection arises. Often created by accounting software, **aging schedules** can be produced for both accounts payable and accounts receivable to help an entity see whether it is making timely payments to others and whether its customers are paying it on time.

▶ *Example 02:*

Nelson makes allowance for doubtful debts at varying percentages based on statistical analysis and the level of outstanding trade receivables. The result of this policy for the last three years is as follows.

Year to December	2010	2011	2012
	Rs.	Rs.	Rs.
Trade receivables at the year end (before adjusting for any bad debts)	196,860	151,020	216,020
Bad debts to be written off	1,860	1,020	6,020
Doubtful debts allowance (%)	5%	6%	7.5%

The doubtful debts allowance at 1 January 2010 was Rs. 10,000.

Required:

Write up the bad debts expense account and doubtful debts allowance account for each of the three years. Show the relevant calculations.

▶ *ANSWER*

Bad and doubtful debts expense			
2010			
Receivables	1,860	Profit or loss	1,610
		Allowance for doubtful debts	250
	1,860		1,860
2011			
Receivables	1,020	Profit or loss	270
		Allowance for doubtful debts	750
	1,020		1,020
2012			
Receivables	6,020		
Allowance for doubtful debts	6,750	Profit or loss	12,770
	12,770		12,770

Allowance for doubtful debts			
2010			
Bad and doubtful debts expense	250	Balance b/d	10,000
Balance c/d	9,750		
	10,000		10,000
2011			
Bad and doubtful debts expense	750	Balance b/d	9,750
Balance c/d	9,000		
	9,750		9,750
2012			
		Balance b/d	9,000
Balance c/d	15,750	Bad and doubtful debts exp.	6,750
	15,750		15,750

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	2010	2011	2012
	Rs.	Rs.	Rs.
Specific allowance	0	0	0
General allowance (receivables excluding bad, good and specific x %)			
2010: (196,860 – 1,860) x 5%	9,750		
2011: (151,020 – 1,020) x 6%		9,000	
2012: (216,020 – 6,020) x 7.5%			15,750
Total allowance required at period end	9,750	9,000	15,750
Less: Opening balance of the allowance account	(10,000)	(9,750)	(9,000)
Increase (Decrease) in the allowance account	(250)	(750)	6,750

▶ *Example 03:*

Homer commenced trading on 1 April 2010. He extracted the following list of balances from his sales ledger as at **31 March 2011**:

	Rs.
Bart	200,000
Lisa	400,000
Others	6,300,000
	6,900,000

In the year to 31 March 2011:

1. Bart emigrated leaving numerous debts.
2. Lisa is disputing certain invoices, amounting to Rs. 100,000, which have been outstanding for more than six months. Homer estimates that Lisa will eventually pay half the disputed amount.

In the year to 31 March 2012:

The sales ledger listing as at 31 March 2012 is as follows:	Rs.
Maggie	240,000
Marge	400,000
Lisa	60,000
Others	6,600,000
	7,300,000

1. Maggie has been declared bankrupt and her debt is to be written off.
2. Marge is experiencing cash flow difficulties. Homer considers a 50% allowance to be appropriate.
3. Homer is no longer supplying goods to Lisa. The balance, which is in respect of last year's disputed invoices, is to be written off.

In the year to 31 March 2013:

1. Total receivables per the sales ledger listing are Rs. 7,500,000 as at 31 March 2013.
2. There are no debts requiring specific allowance.
3. Rs. 50,000 has been received from Maggie.

Required:

Assuming that Homer requires a general allowance for doubtful debts of 5%, write up the bad and doubtful debt expense and allowance accounts for the three years to 31 March 2013.

▶ *ANSWER*

Bad and doubtful debts expense			
2011	**Rs.000**	**2011**	**Rs.000**
Bad debts (Bart)	200	Profit or loss	565
Allowance for doubtful debts	365		
	565		565

Bad and doubtful debts expense			
2012		**2012**	
Receivables	300	Profit or loss	465
Allowance for doubtful debts	165		
	455		465
2013		**2013**	
		Cash (Bad debts recovered)	50
Profit or loss	205	Allowance for doubtful debts	155
	205		205

Allowance for doubtful debts			
2011	**Rs.000**	**2011**	**Rs.000**
Balance c/d	365	Bad & doubtful debts exp.	365
	365		365
2012		**2012**	
		Balance b/d	365
Balance c/d	530	Bad & doubtful debts exp.	165
	530		530
2013		**2013**	
Bad & doubtful exp.	155	Balance b/d	530
Balance c/d	375		
	530		530

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	2011	2012	2013
	Rs.000	Rs.000	Rs.000
Specific allowance	50	200	0
General allowance (receivables excluding bad, good and specific x %)			
2011: (6900 – 200 – 350 – 50) x 5%	315		
2012: (7,300 – 300* – 200 – 200) x 5%		330	
2013: (7,500 – 0 – 0 – 0) x 5%			375
Total allowance required at period end	365	530	375
Less: Opening balance of the allowance account	0	(365)	(530)
Increase (Decrease) in the allowance account	365	165	(155)

*Maggie Rs. 240,000 + Lisa Rs. 60,000 = Rs. 300,000 Bad debts

▶ *Example 04:*

Abdullah has provided you with following information regarding his receivables as at end of YR06:

Category	Age	Receivable Rs.	% of general allowance	
A	More than 180 days	15,000	8%	***Note 1***
B	90 to 180 days	20,000	6%	***Note 2***
C	30 to 90 days	25,000	5%	***Note 3***
D	Less than 30 days	60,000	2%	***Note 4***
Total		120,000		

Note 1: This includes Rs. 2,000 disputed amount owed by Ali

Note 2: This includes Rs. 1,000 owed from Beenish who has gone bankrupt. Abdullah decides to write this off.

Note 3: This includes Rs. 5,000 owed from Usuf which are secured against property title documents.

Note 4: This includes Rs. 1,000 owed from Aman, Aman is disputing an invoice of Rs.200 but otherwise is a good customer and pays on time.

The balance on allowance for doubtful debts account at start of year YR06 has been Rs. 4,000.

Required:

Calculate the amount by which allowance needs to be created using the above aging analysis.

▶ *ANSWER*

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	YR06
	Rs.
Specific allowance (A 2,000 + D 200)	2,200
General allowance (receivables excluding bad, good and specific x %)	
A: (15,000 – 0 – 0 – 2,000) x 8%	1,040
B: (20,000 – 1,000 – 0 – 0) x 6%	1,140
C: (25,000 – 0 – 5,000 – 0) x 5%	1,000
D: (60,000 – 0 – 800 – 200) x 2%	1,180
Total allowance required at period end	6,560
Less: Opening balance of the allowance account	(4,000)
Increase (Decrease) in the allowance account	2,560

3 PRESENTATION IN FINANCIAL STATEMENTS

The relevant extracts of financial statements are as follows:

Statement of profit or loss (extracts)		Rs.
Bad & doubtful debts expense	(Note 1)	XX

Statement of financial position (extracts)		Rs.
Trade receivables	(Note 2)	XX
Less: Allowance for doubtful debts	(Note 3)	(X)
Net amount		XX

Note 1: This amount is taken from "Bad & doubtful debts expense" ledger. Alternatively, it may be calculated as follows:

= Bad debts written off + Increase (Decrease) in allowance – Bad debts recovered

Note 2: This amount is closing balance of "Receivables" ledger i.e. after deducting bad debts written off.

Note 3: This amount is closing balance of "Allowance for doubtful debts" i.e. total allowance (specific + general) required at period end.

▶ *Example 05:*

Shazim started a business of trading in law text books, on 1 January YR01.

On 31 December YR01:

- Shazim had receivables of Rs. 20,000 before writing off bad debts of Rs.500 which was owed from Amy.
- The receivables include Rs. 1,000 owed from Bernie and are secured against bank guarantee.
- The receivables include Rs.200 owed from Carl who is disputing an invoice of Rs.50 on account of incorrect specifications.
- He decides to make an allowance for doubtful debts at 5% for all other receivables.

On 31 December YR02:

- Shazim had receivables of Rs. 25,000 after writing off bad debts of Rs. 700.Unexpectedly, Amy paid Rs.200 to Shazim during the year.
- The receivables include Rs.300 from Dave for goods sold, Shazim also owes Dave Rs.700 for services rendered by Dave.
- He decided to make an allowance for doubtful debts at 6% for all other receivables.

Required:

Prepare relevant ledger accounts and relevant financial statements extracts of Shazim's business for above two years. Show necessary calculations.

ANSWER

Bad and doubtful debts expense			
YR01			
Receivable	500	Profit or loss	1,465
Allowance for doubtful debts	965		
	1,465		1,465

Bad and doubtful debts expense			
YR02			
Receivable	700	Cash (bad debts recovered)	200
Allowance for doubtful debts	517	Profit or loss	1,017
	1,217		1,217

Allowance for doubtful debts			
YR01			
		Balance b/d	0
Balance c/d	965	Bad & doubtful debts exp.	965
	965		965
YR02			
		Balance b/d	965
Balance c/d	1,482	Bad & doubtful debts exp.	517
	1,482		1,482

Financial Statement Extracts

Statement of Comprehensive Income (extracts)	YR01	YR02
For the year ended 31st December	Rs.	Rs.
Operating expenses		
Bad & doubtful debts (YR01: 500 + 965) (YR02: 700 + 517 – 200)	1,465	1,017

Statement of Financial Position (extracts)	YR01	YR02
As at 31st December	Rs.	Rs.
Current assets		
Receivables (YR01: 20,000 – 500) (YR02: 25,000 i.e. already after bad debts)	19,500	25,000
Less: Allowance for doubtful debts	965	1,482
	18,535	23,518

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	YR01	YR02
	Rs.	Rs.
Specific allowance	50	0
General allowance (receivables excluding bad, good and specific x %)		
YR01: (20,000 – 500 – 1,150* – 50) x 5%	915	
YR02: (25,000 – 300 good debts) x 6%		1,482
Total allowance required at period end	965	1,482
Less: Opening balance of the allowance account	0	(965)
Increase (Decrease) in the allowance account	965	517

*Good debts 1,000 Bernie + 150 Carl = Rs. 1,150

▶ *Example 06:*

In his first year of trading to 31 December 2011 Lopez made credit sales of Rs. 200,000 and received Rs. 150,000 from his credit customers.

At the end of the year he decided to write off Ludmila's debt of Rs. 8,000, make a specific allowance for Jozef's debt totalling Rs. 3,500 and create a general allowance of 5% of remaining trade receivables.

During his second year of trading he made sales on credit of Rs. 300,000 and received cash of Rs. 280,000 including Rs. 4,000 from Ludmila. At 31 December 2012, he decided to write off Jozef's debt, and create a specific allowance against 50% of Chokin's total debt of Rs. 6,000. He decided that his general allowance should now be 8% of remaining accounts receivable.

In the year to 31 December 2013 Lopez made credit sales of Rs. 500,000 and received cash of Rs. 400,000. Separate from this he also received a cheque from Chokin for Rs. 6,000.

At the year - end he decided to create a specific allowance against Paulo's debt of Rs. 50,000 and maintain his general allowance at 8%.

Required:

For each of the above years show the trade receivables account, bad debt expense account and allowance for doubtful debts account, and the statement of financial position extract as at each year end.

▶ *ANSWER*

Receivables Account			
2011	**Rs.**		**Rs.**
Sales	200,000	Collection from receivables	150,000
		Bad debts	8,000
		Balance c/d	42,000
	200,000		200,000
2012			
Balance b/d	42,000	Cash received from customers	276,000
Sales	300,000	Bad debts written off	3,500
		Balance c/d	62,500
	342,000		342,000

2013			
Balance b/d	62,500	Cash (400,000 + 6,000)	406,000
Sales	500,000	Balance c/d	156,500
	562,500		562,500

Bad and doubtful debts expense			
2011	Rs.	2011	Rs.
Receivables	8,000	Profit or loss	13,425
Allowance for doubtful debts	5,425		
	13,425		13,425

Bad and doubtful debts expense			
2012		2012	
Receivables	3,500	Cash (Bad debts recovered)	4,000
Allowance for doubtful debts	2,095	Profit or loss	1,595
	5,595		5,595
2013		2013	
Allowance for doubtful debts	51,000		
		Profit or loss	51,000
	51,000		51,000

Allowance for doubtful debts			
2011	Rs.	2011	Rs.
Balance c/d	5,425	Bad and doubtful debts exp.	5,425
	5,425		5,425
2012		2012	
		Balance b/d	5,425
Balance c/d	7,520	Bad and doubtful debts exp.	2,095
	7,520		7,520
2013		2013	
		Balance b/d	7,520
Balance c/d	58,520	Bad and doubtful debts exp.	51,000
	58,520		58,520

Lopez – Statement of Financial Position (extracts)	2011	2012	2013
As at 31st December	Rs.	Rs.	Rs.
Current assets			
Receivables	42,000	62,500	156,500
Less: Allowance for doubtful debts	(5,425)	(7,520)	(58,520)
	36,575	54,980	97,980

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	2011	2012	2013
	Rs.	Rs.	Rs.
Specific allowance	3,500	3,000	50,000
General allowance (receivables excluding bad, good and specific x %)			
2011: (42,000* – 0 – 3,500) x 5%	1,925		
2012: (62,500* – 3,000 – 3,000) x 8%		4,520	
2013: (156,500* – 0 – 50,000) x 8%			8,520
Total allowance required at period end	5,425	7,520	58,520
Less: Opening balance of the allowance account	0	(5,425)	(7,520)
Increase (Decrease) in the allowance account	5,425	2,095	51,000

*receivables after deducting bad debts

4 COMPREHENSIVE EXAMPLES

▶ *Example 07:*

You have been provided following information relating to the business of Ghazi Traders (GT) for the year ended 30 June 2015.

	Rupees
Sales	12,000,000
Sales return	700,000
Discount allowed (recorded in separate ledger account upon collection)	500,000
Collection from customers	8,540,000

i. Credit sales were 80% of the total sales.

ii. As at 1 July 2014, debtors account and allowance for doubtful debts account had a balance of Rs. 5,630,000 and 690,000 (comprising of specific allowance of Rs. 430,000) respectively.

iii. Details of specific allowance on 30 June 2014 and recoveries there against during the year ended 30 June 2015 are as follows:

	Amount due and provided	Recoveries
	--------- Rupees ---------	
Sabir Enterprises	100,000	50,000
Babur Traders	150,000	75,000
Zubair Associates	180,000	30,000
	430,000	155,000

Remaining debt from Zubair Associates needs to be written off.

iv. Specific allowance is also required to be made against the entire balances of the following debtors:

	Rupees
Rahil Stores	50,000
Adam Enterprises	75,000
Shahid Traders	25,000
	150,000

v. A customer Nadir who had a debit balance of Rs. 280,000 had also supplied goods to GT worth Rs. 250,000. The two balances were adjusted with mutual consent.

vi. Sales return and discount allowed pertain to credit sales only.

vii. GT follows a policy of making a general allowance of 5% against debtors.

viii. Collection from customers includes recovery against debts written off during the year ended 30 June 2014 amounted to Rs. 199,000.

Required:

Prepare debtors account and allowance for doubtful debts.

▶ *ANSWER*

Receivables			
Balance b/d	5,630,000	Sales return	700,000
Sales (80% of Rs. 12m)	9,600,000	Discount allowed	500,000
		Bank 8,540,000 – 199,000	8,341,000
		Bad debts	150,000
		Contra	250,000
		c/d	5,289,000
	15,230,000		15,230,000

Allowance for doubtful debts			
Bad debts expense	164,300	b/d	690,000
c/d	525,700		
	690,000		690,000

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	2015
	Rs.
Specific allowance [Sabir 50,000 + Babur 75,000 + New 150,000]	275,000
General allowance (receivables excluding bad, good and specific x %)	
(5,289,000* – 275,000 specific) x 5%	250,700
Total allowance required at period end	525,700
Less: Opening balance of the allowance account	690,000
Increase (Decrease) in the allowance account	(164,300)

* receivables after deducting bad debts and contra settlement.

▶ *Example 08:*

Ravi Enterprises (RE) maintains specific allowance for doubtful debts on the basis of individual assessment of its major customers. A general allowance is also made at 5% of the remaining month-end balances. Following information pertains to trade debtors and allowance for doubtful debts for the month of August 2016:

i. Opening balance:

		Rs. in million
Trade debtors		200.00
Allowance for doubtful debts:		
– Specific	BEE Traders, 100% of the balance	(8.00)
	RAY Brothers, 60% of the balance	(6.00)
– General	5% of the remaining balance	(9.10)
		176.90

ii. Credit sales for the month amounted to Rs. 900 million.

iii. Collections from customers were Rs. 850 million, which included:

- a recovery of Rs. 4.5 million against trade debts written-off in previous years; and
- an amount of Rs. 7.2 million received net of 10% discount in full and final settlement of invoices. Discount allowed is recorded in separate ledger account.

iv. RAY Brothers were declared bankrupt and their debt has to be written-off.

v. A customer, TAJ & Co. has disputed certain sales invoices aggregating Rs. 2.8 million which have been outstanding for more than one year. RE estimates that the customer will eventually pay half of the disputed amount.

vi. Amounts aggregating Rs. 1.5 million due from general customers are not recoverable and have to be written-off.

Required:

Prepare relevant ledger accounts for the month of August 2016.

▶ *ANSWER*

Ravi Enterprises (Rs. In million)

Bad debts expense			
RA (Ray brothers)	10	Cash (Bad debts recovered)	4.5
RA (other)	1.5	Allowance for doubtful debts	2.13
		PL	**4.87**
	11.5		11.5

Allowance for doubtful debts			
Bad debts expense	2.13	b/d [8 + 6 + 9.10]	23.1
c/d	20.97		
	23.1		23.1

Receivables			
Balance b/d	200	Discount 7.2 x 10/90	0.80
Sales	900	Bank 850 – 4.5	845.5
		Bad debts (Ray) 6 x 100/60	10
		Bad debts (other)	1.5
		c/d	242.2
	1,100		1,100

CALCULATION OF INCREASE OR DECREASE IN ALLOWANCE

	Aug 2016
	Rs. Million
Specific allowance [Taj 50% x 2.8 + BEE Traders 8]	9.4
General allowance (receivables excluding bad, good and specific x %)	
(242.2* – 1.4 – 9.4) x 5%	11.57
Total allowance required at period end	20.97
Less: Opening balance of the allowance account (8 + 6 + 9.1)	(23.1)
Increase (Decrease) in the allowance account	(2.13)

* receivables after deducting bad debts.

▶ *Example 09:*

Following information pertains to Global Network Supplies (GNS) for the year ended 30 June 2017:

	Rs. in '000
Trade debtors – as at 1 July 2016	55,975
Transactions for the year ended 30 June 2017:	
– Sales (including cash sales which is 20% of credit sales)	540,000
– Sales returns pertaining to credit sales	6,300
– Collection from credit customers (including Rs. 8.1 million from customers who availed 10% discount)	438,000

GNS maintains specific allowance for doubtful debts on the basis of assessment of its debtors. In addition, a general allowance is maintained at 4% of the remaining customers' balances.

The status of debtors being considered for the purpose of specific allowance is as under:

Customer's name	Balances as on		Specific allowance as at 1 July 2016	Adjustments required as at 30 June 2017
	1 July 2016	30 June 2017*		
	------ Rs. In 000 ------			
Mehran Link	400	320	65	Mehran Link is facing severe cash flow difficulties; therefore, a allowance at 30% of the outstanding balance is required.
Bolan Dialling	480	480	240	The entire amount needs to be written-off as Bolan Dialling has been declared bankrupt.
Khyber Cables	135	90	95	The balance is in respect of old disputed invoices and needs to be written-off.
Ravi Rays	460	460	-	Ravi Rays has stopped buying from GNS. It has been decided to set-off Rs. 120,000 payable by GNS to Ravi Rays and make allowance at 25% of the remaining balance.
	1,475	**1,350**	**400**	

*before adjustment

Required:

Prepare following ledger accounts for the year ended 30 June 2017:

a) Trade debtors

b) Allowance for doubtful debts

c) Bad debt expense

▶ *ANSWER*

(Rs. 000)

Trade debtors			
Balance b/d	55,975	Sales return	6,300
Credit Sales		Bank	438,000
(540,000 x 100/ 120)	450,000	Discount allowed	
		(8,100 x 10 / 90)	900
		Trade payables (Contra)	120
		Bad debts – Bolan Dialling	480
		Bad debts – Khyber Cables	90
		Balance c/d	60,085
	505,975		505,975

Allowance for doubtful debts			
Bad debts	40	b/d **W1**	2,598
c/d **W1**	2,558		
	2,598		2,598

Bad debts			
Receivables – Bolan Dialling	480	Allowance for doubtful debts	40
Receivables – Kyber Cables	90	Profit or loss	530
	570		570

	2016	2017
	Rs.	Rs.
Specific allowance	400	181
General allowance (receivables excluding bad, good and specific x %)		
2016: (55,975* – 615 – 400) x 4%	2,198	
2017: (60,085* – 479 – 181) x 4%		2,377
Total allowance required at period end	2,598	2,558
Less: Opening balance of the allowance account		(2,598)
Increase (Decrease) in the allowance account		(40)

* receivables after deducting bad debts and contra settlement.

Specific doubtful debts	2016	2017
Mehran Link 320 x 30%	(65)	(96)
Bolan Dialling	(240)	-
Khyber Cables	(95)	-
Ravi Rays 460 – 120 = 340 x 25%	-	(85)
	(400)	(181)

Specific doubtful debts	2016	2017
Good debts		
Mehran Link 320 x 70% ; 400 – 65	(335)	(224)
Bolan Dialling 480 – 240	(240)	-
Khyber Cables 135 - 95	(40)	-
Ravi Rays 460 – 120 = 340 x 75%	-	(255)
	(615)	(479)

▶ *Example 10:*

Following balances were extracted from the records of Automan Enterprises:

	31 Dec 2017	31 Dec 2016
Trade receivables	Rs. 618,500*	Rs. 558,800

*after writing off receivables of Rs. 32,000 during 2017

The following adjustments need to be made at 31 December 2017:

i. Cash of Rs. 17,850 was received from MJM Traders whose balance had been written off in 2016. The amount received was credited to suspense account.

ii. Receivable from Noor Merchant of Rs. 31,800 which had been specifically provided for in full in 2016 is to be written off.

iii. A specific allowance at 75% is to be made against balance of QT Bakers amounting to Rs. 24,200.

iv. A general allowance is always maintained at 4% of the remaining receivables.

Required:

Prepare following ledger accounts for the year ended 31 December 2017:

- Allowance for doubtful receivables
- Bad debt expense

▶ *ANSWER*

Allowance for doubtful debts			
Bad debts expense	12,230	Balance b/d	52,880
Balance c/d	40,650		
	52,880		52,880

Bad debts expense			
Receivable (Already)	32,000	Suspense (recovered)	17,850
Receivable (Noor garments)	31,800	Allowance for doubtful debts	12,230
		Profit or loss	***33,720***
	63,800		63,800

	2016	2017
	Rs.	Rs.
Specific allowance [2016: Noor Merchant 31,800] & [2017: QT 24,200 x 75%]	31,800	18,150
General allowance (receivables excluding bad, good and specific x %)		
2016: (558,800 – 31,800 Noor Merchant Specific) x 4%	21,080	
2017: (586,700* – Quality Traders 24,200 good and specific) x 4%		22,500
Total allowance required at period end	52,880	40,650
Less: Opening balance of the allowance account		(52,880)
Increase (Decrease) in the allowance account		(12,230)

* receivables after deducting bad debts 31,800 Noor Merchant (bad debts of Rs. 32,000 had already been accounted for).

5 OBJECTIVE BASED Q&A

1. The opening balance of "allowance for doubtful debts account" is Rs. 1,000 whereas the closing balance of Receivables account is Rs. 100,000.

   What amount of allowance for doubtful debts should be charged to statement of comprehensive income using a 5% allowance for doubtful debts for the current accounting period?

   a) Rs. 4,000
   b) Rs. 5,000
   c) Rs. 2,000
   d) Rs. 1,000

2. At December 31, 2018 an entity's receivable totalled Rs. 600,000 and an allowance for bad and doubtful debts of Rs. 60,000 had been brought down from last year.

   It was decided to write off the debts totalling Rs. 25,000 and to adjust allowance for receivable @ 10% of the receivable.

   At what amount receivables are to be shown in statement of financial position as at 31 December 2018?

   a) Rs. 572,500
   b) Rs. 517,500
   c) Rs. 540,000
   d) Rs. 575,000

3. A business has closing receivables balance is Rs. 75,000. It includes one of the accounts receivable named Ali, who is going through financial crisis. It is expected that he can pay 75% of his total debt of Rs. 5,000. Business has decided to calculate an allowance for doubtful debt at 5%.

   What is the amount of allowance to be deducted from receivable in statement of financial position?

   a) Rs. 3,500
   b) Rs. 3,750
   c) Rs. 7,250
   d) Rs. 4,750

4. The nature of "Allowance for doubtful debt" account is:

   a) Contra asset account
   b) Asset account
   c) Expense
   d) Liability account

5. At the end of accounting period, KLM Company finds out that its total Receivables are Rs. 10,000. On scrutiny of accounts, it turned out that a bad debt amounting to Rs. 1,000 was not recorded in the books of accounts. Furthermore, having considered the current economic situation, management of the company decided to increase the allowance for doubtful debts by Rs. 500.

   Find out what net amount to be expensed out in the statement of comprehensive income?

   a) Rs. 10,000
   b) Rs. 1000
   c) Rs. 11,000
   d) Rs. 1500

6. At January 1, 2017 the allowances for receivable of Sidra was Rs. 35,000. During the year ended 31 December 2017 debts totalling Rs. 15,000 were written off. It was decided that the allowance for doubtful debts should be Rs. 30,000 as at December 31, 2017.

   What amount should be charged to statement of comprehensive income of Sidra for bad and doubtful debts expense?

   a) Rs. 30,000
   b) Rs. 45,000
   c) Rs. 15,000
   d) Rs. 10,000

7. Which of the following can be most relevant to calculation of allowance for doubtful debts?

   a) Total credit sales
   b) Total credit purchases
   c) Total current assets
   d) Total current liabilities

8. At January 1, 2017 the balance in allowance for receivable showed Rs. 16,000. At the end of the year it is decided to write off Rs. 9,000 and adjust allowance for receivable to Rs. 18,000.

   What will be the effect of this decision on profit for the year?

   a) Decrease by Rs. 27,000
   b) Increase by Rs. 18,000
   c) Decrease by Rs. 11,000
   d) Decrease by Rs. 9,000

9. Sania creates allowance for doubtful debts after considering the length of time the debt remains outstanding.

   She has provided following data as at 31st March 2018

Debt amount Rs.	Days outstanding	Allowance required
130,000	30 days	Nil
75,000	31-60	2%
50,000	Over 60 days	5%

   Opening balance of allowance for doubtful debts was Rs. 3,500.

   What is the amount to be charged to statement of comprehensive income for the year?

   a) Rs. 4,000
   b) Rs. 3,500
   c) Rs. 500
   d) Rs. 7,500

10. Which of the following Receivables have highest probability to default on trade debts?

    a) Current month Receivables
    b) Over 90 days old Receivables
    c) 60 to 90 days old Receivables
    d) 30 to 60 days old Receivables

11. A business has received an amount of Rs. 1,000 from a receivable that had been previously written off as irrecoverable.

    What is the correct accounting entry to record the transaction?

    a) Dr Cash 1,000 Cr Bad and doubtful debts expense a/c Rs. 1,000
    b) Dr Cash 1,000 Cr Receivables Rs. 1,000
    c) Dr Statement of comprehensive income Rs. 1,000 Cr Receivables Rs. 1,000
    d) Dr Statement of comprehensive income Cr Cash Rs. 1,000

12. A business has provided following information;

	Rs.
Opening receivables	45,000
Credit sales	55,000
Cash sales	10,000
Cash received from customers	35,000
Bad debts written off	2,000
Discount received (separate ledger)	3,000

    The business maintains allowance at 2% of receivables each year.

    What accounting entry is to be passed to record the increase/ decrease of allowance to the statement of comprehensive income?

    a) Dr Bad and doubtful debts expense Rs. 360 Cr Allowance for doubtful debts Rs. 360
    b) Dr Allowance for doubtful debts Rs. 360 Cr Bad and doubtful debts expense Rs. 360
    c) Dr Bad and doubtful debts expense Rs. 360 Cr Receivables. 360
    d) Dr Receivables Rs. 360 Cr Bad and doubtful debts expense Rs. 360

13. At year end, the receivable balance on 31 March 2019 is Rs. 93,000. This includes a debt of Rs. 1,800 which needs to be written off.

    The business maintains allowance for doubtful debts at 5% of Receivable balance. And this year allowance has increased by 20% as compared to last year.

    What was the balance of Allowance for doubtful debts at 1 April 2018?

    a) Rs. 3,875
    b) Rs. 5,472
    c) Rs. 3,800
    d) Rs. 4,560

14. At 30 September 2012 an entity's allowance for receivables amounted to Rs. 38,000, which was five per cent of the receivables at that date.

    At 30 September 2013 receivables totalled Rs. 868,500. It was decided to write off Rs. 28,500 of debts as irrecoverable and, based on past experience, to keep the allowance for receivables at 5% of receivables.

    What should be the charge in the statement of comprehensive income for the year ended 30 September 2013 for the total of bad debts and the allowance for receivables?

    a) Rs. 42,000
    b) Rs. 33,925
    c) Rs. 70,500
    d) Rs. 32,500

15. The allowance for receivables in the accounts at 31 October 2011 was Rs. 9,000. During the year ended 31 October 2012, bad debts of Rs. 5,000 were written off.

    The receivables balance at 31 October 2012 was Rs. 120,000 and, based on past experience, the entity wishes to set the allowance at 5% of receivables.

    What is the total charge for bad debts and the allowance for receivables in the statement of comprehensive income for the year ended 31 October 2011?

    a) Rs. 2,000

    b) Rs. 3,000

    c) Rs. 5,000

    d) Rs. 8,000

16. Hamza has following information available for his business for the year ended 31st December 2017:

Opening allowance for doubtful debts	Rs. 5,000
Bad debts written off during the year	Rs. 3,000
Bad debts recovered	Rs. 1,500
Closing receivables	Rs. 90,000
Closing allowance for doubtful debts	5%.

    What is the net charge for bad and doubtful debts for statement of comprehensive income?

    Rs. _____

17. At June 30, 2016 an entity's allowance for receivable amounted to Rs. 25,000 which was 2% of the trade receivables at that date.

    At June 30, 2017 trade receivable amounted to Rs. 310,000. It was decided to write off Rs. 30,000 of debts as irrecoverable and to keep the allowance for receivable at 2% of trade receivable.

    At what amount receivables would be shown in statement of financial position at 30 June 2017?

    Rs. _____

18. At July 1, 2017Mira's allowance for receivable was Rs. 65,000.

    At June 30, 2018 trade receivable amounted to Rs. 650,000. It was decided to write off Rs. 95,000 of these debts and adjust the allowance for receivable to Rs. 75,000.

    At what amount receivables (net) to be appear in statement of financial position?

    Rs. _____

19. At January 1, 2018 the balance in allowance for receivable showed Rs. 38,000. At the end of the year it is decided to write off Rs. 16,000 and adjust allowance for receivable to Rs. 35,000.

    What will be the charge for bad and doubtful debts for the year?

    Rs. _____

20. After writing off bad debts, Rashid has outstanding receivables of Rs. 238,750. He identifies two specific amounts for which he wishes to make full allowance:

    - Rs. 450 owing by Syed
    - Rs. 1,200 owing by Raja

    Rashid also wishes to maintain a general allowance of 5% of outstanding receivables.

    What amount is shown on Rashid's statement of financial position in respect of receivables?

    Rs. _____

21. Which of the following is the effect on net profit if a business decreases allowance for doubtful debts?

    a) It will increase net profit
    b) It will decrease net profit
    c) It will increase gross and net profit
    d) No effect

22. What is the nature of allowance for doubtful debt account?

    a) An asset
    b) A liability
    c) An equity
    d) Contra asset account

23. Is there a difference in bad and double debts?

    a) No, they are inter-changeable
    b) Yes, bad debt refers to an account receivable that has been clearly identified as not being collectible. Whereas a doubtful debt is an account receivable that might become a bad debt at some point in the future
    c) Yes, doubtful debt refers to an account receivable that has been clearly identified as not being collectible. Whereas a bad debt is an account receivable that might become a bad debt at some point in the future
    d) They are synonymous

24. What is the double entry for recording write-off of any of debts?

    a) Bad debt expense (debit) and allowance for doubtful debts (credit)
    b) Bad debt expense (debit) and accounts receivable (credit)
    c) Allowance for doubtful debts (debit) and accounts receivable (credit)
    d) None of the above

25. On June 1, Rs. 800,000 of goods are sold with credit terms of 1/10, n/30. How much should the seller expect to receive if the buyer pays on June 8?

    a) 720,000
    b) 768,000
    c) 792,000
    d) No change

26. On June 1, Rs. 800,000 of goods are sold with credit terms of 1/10, n/30. On June 3, the customer returned Rs. 100,000 of the goods.

    How much should the seller expect to receive if the buyer pays on June 8?

    a) 692,000
    b) 693,000
    c) 694,000
    d) 700,000

27. Which account should be credited for Rs180,000 when writing off the account?

    a) Accounts receivable
    b) Allowance for doubtful debts
    c) Bad debts expense
    d) None of the above

28. Sorting an entity's accounts receivable into classifications such as current, 1-30 days past due, and 31-60 days past due etc. is known as the?

    a) Ratio analysis
    b) Trend analysis
    c) Debtor's analysis
    d) Aging analysis

29. The opening balance of "allowance for doubtful debts account" is Rs. 1,000 whereas the closing balance of Receivables account is Rs. 100,000.

    What amount of allowance for doubtful debts should be charged to statement of profit or loss using a 5% allowance for doubtful debts for the current accounting period?

    a) Rs.3,000
    b) Rs.4,000
    c) Rs.5,000
    d) Rs.6,000

30. The Allowance for doubtful debts account has a year-end credit balance, prior to adjustment of Rs.500. The allowance for doubtful debts is estimated at 7% of Rs. 60,000 of outstanding accounts receivable.

    After the appropriate adjusting entry to recognize the bad debt expense, the Allowance for Doubtful Accounts should have a _____ credit balance.

    a) Rs.4,200
    b) Rs.3,700
    c) Rs.3,200
    d) Rs.4,500

31. Good Traders (GT) accounts receivable totalled Rs. 80,000 at the year end. These include Rs. 900 of long overdue debts that might still be recoverable, but for which GT has created an allowance for doubtful debts. GT has also provided an allowance of Rs. 1,582, which is 2% of the other accounts receivable balances. What best describes GT's doubtful debt allowance as at its year end?

    a) A specific allowance of Rs. 900 and a general allowance of Rs. 1,582
    b) A specific allowance of Rs. 1,582 and a general allowance of Rs. 900
    c) A specific allowance of Rs. 2,482
    d) A general allowance of Rs. 2,482

32. The opening balance on Jamal Enterprises' receivables expense allowance was Rs. 1,000. Jamal wrote off Rs. 4,000 of bad debts during the year. The closing balance on the doubtful debts allowance was Rs. 1,200.

    What is the total charge to Jamal Enterprises' Statement of Profit or Loss in respect of receivables expense for the year?

    a) Rs. 200
    b) Rs. 3,800
    c) Rs. 4,000
    d) Rs. 4,200

33. The turnover in an entity was Rs. 2 million and its accounts receivable were 5% of turnover. The entity wishes to have an allowance for doubtful debts of 4% of receivables, which would make the allowance one-third higher than the current allowance. How will the profit for the period affected by the change in allowance?

    a) Profit will be reduced by Rs. 1,000
    b) Profit will be increased by Rs. 1,000
    c) Profit will be reduced by Rs. 1,333
    d) Profit will be increased by Rs. 1,333

34. The allowance for doubtful debts in the ledger of Boom Traders (BBT) at 31 October 2021 was Rs. 9,000. During the year ended 31 October 2022, irrecoverable debts of Rs. 5,000 were written off. Accounts receivable balances at 31 October 2022 were Rs. 120,000 and BBT policy is to have a general allowance of 5%. What is the charge for bad & doubtful debts expense in the Statement of Profit or Loss for the year ended 31 October 2022?

    a) Rs. 2,000
    b) Rs. 3,000
    c) Rs. 5,000
    d) Rs. 8,000

35. During the year ended 31 December 2019 Faisal Traders (FT) turnover totalled Rs. 3,000,000, its accounts receivable amounting to 4% of turnover for the year. FT wishes to maintain its doubtful debt allowance at 3% of accounts receivable, and discovers that the allowance, as a result is 25% higher than it was a year before. During the year specific irrecoverable debts of Rs. 3,200 were written off and irrecoverable debts (written off three years previously) of Rs. 150 were recovered.

    What is the net charge for bad and doubtful debts for the year ended 31 December 2019?

    a) Rs. 720
    b) Rs. 900
    c) Rs. 3,770
    d) Rs. 3,950

36. Which of the following statements concerning an allowance for receivables is INCORRECT?

    a) All businesses may create an allowance for doubtful debts in case credit sale customers do not pay their debts
    b) The receivables account balance is written off when a specific allowance for doubtful debts for that customer is created
    c) Setting up an allowance for doubtful debts account ensures that receivables are not overstated
    d) The allowance is usually expected to increase as the value of sales revenue recognized increases as a firm expands

37. An irrecoverable debt written off two years ago is unexpectedly recovered and entered in the cash book.

    What adjustment, if any, will be necessary?

    a) Credit Receivables
    b) Credit Bad debts expense
    c) Credit Suspense account
    d) No adjustment will be necessary

38. An increase in the allowance for doubtful debts results in:

    a) A decrease in current liabilities
    b) An increase in net profit
    c) An increase in current assets
    d) A decrease in current assets

39. At 30 September 2014, PL Traders had an allowance for doubtful debts of Rs. 37,000. During the year ended 30 September 2015 the PL Traders wrote off debts totalling Rs. 18,000 and at the end of the year it is decided that the allowance for doubtful debts should be Rs. 20,000.

    What should be included in the Statement of Profit or Loss for bad and doubtful debts?

    a) Rs. 35,000 debit
    b) Rs. 1,000 debit
    c) Rs. 38,000 debit
    d) Rs. 1,000 credit

40. At 31 March Salma was owed Rs. 47,744 by her customers. At the same date her doubtful debts allowance was Rs. 3,500. How should these balances be reported on Salma's statement of financial position at 31 March?

    a) Rs. 44,244 as a current asset
    b) Rs. 3,500 as a current asset and Rs. 47,744 as a current liability
    c) Rs. 47,744 as a current asset and Rs. 3,500 as a current liability
    d) Rs. 51,244 as a current asset

41. What is the purpose of maintaining an allowance for doubtful debts?

    a) An estimate of future irrecoverable debts
    b) Records the expense of irrecoverable debts
    c) Matches the estimated cost of future irrecoverable debts against the revenue earned in giving rise to the potential irrecoverable debts
    d) Records irrecoverable debts without taking them out of the books of an entity, thus showing the gross and expected amount owned by trade receivables as a current asset

42. The existence of an allowance for doubtful debts:

    a) Increases the total of current liabilities
    b) Reduces the cost of sales
    c) Reduces the total of current assets
    d) None of above

43. A transfer to close the bad and doubtful debts account is to:

    a) The statement of financial position
    b) The Statement of Profit or Loss
    c) The trading account
    d) The allowance for doubtful debts account

44. At 31 December 2022 an entity's receivables totalled Rs. 400,000 and an allowance for receivables of Rs. 50,000 had been brought forward from the year ended 31 December 2021. It was decided to write off debts totalling Rs. 38,000 and to adjust the allowance for receivables to 10% of the receivables. What charge for bad and doubtful debts should appear in the entity's Statement of Profit or Loss for the year ended 31 December 2022?

    a) Rs. 74,200
    b) Rs. 51,800
    c) Rs. 28,000
    d) Rs. 24,200

45. At 30 September 2022 an entity's allowance for receivables amounted to Rs. 38,000, which was 5% of the receivables at that date. At 30 September 2023 receivables totalled Rs. 868,500. It was decided to write off Rs. 28,500 of debts as irrecoverable and to keep the allowance for receivables at 5% of receivables. What should be the charge in the Statement of Profit or Loss for the year ended 30 September 2023?

    a) Rs. 42,000
    b) Rs. 33,925
    c) Rs. 70,500
    d) Rs. 32,500

46. Saima creates allowance for doubtful debts according to the length of time the debt has been outstanding. At 31 May 2021 the analysis of accounts receivable balances and the associated allowance was:

Time debt has been outstanding	Allowance required	Balance at 31 May 2021
Less than 31 days	Nil	32,700
31 – 60 days	4% of balances	16,900
Over 60 days	50% of balances	8,750

    If the balance at 1st June 2020 was Rs. 5,600, what adjustment should be made to the doubtful debts allowance?

    a) An increase of Rs. 5,051
    b) A decrease of Rs. 5,051
    c) An increase of Rs. 549
    d) A decrease of Rs. 549

47. MS Club receivables ledger account shows a balance at the end of the year of Rs. 58,200 before making the following adjustments:

    i. MS wishes to write off debts amounting to Rs. 8,900 as he believes they are irrecoverable.
    ii. MS also wishes to make specific allowance for LW' debt of Rs. 1,350 and IQ's debt of Rs. 750
    iii. MS wishes to maintain a general allowance of 3% of the year and receivables balance.

    MS's allowance for receivables at the last year end was Rs. 5,650. What is the charge to the Statement of Profit or Loss in respect of the above?

    a) Rs. 6,766
    b) Rs. 11,034
    c) Rs. 6,829
    d) Rs. 10,971

48. In the statement of financial position at 31 December 2015, KK (KK) reported gross receivables of Rs. 12,000. During 2016 KK made sales on credit of Rs. 125,000 and received cash from credit customers amounting to Rs.

115,500. At 31 December 2016, KK wished to write off debts of Rs. 7,100 and increase the allowance for receivable by Rs. 950 to Rs. 2,100. What is the net receivables figure at 31 December 2016?

a) Rs. 12,300
b) Rs. 13,450
c) Rs. 14,400
d) Rs. 15,550

49. In the year ended 30 September 2018. QG had sales of Rs. 7,000,000. Year-end receivables amounted to 5% of annual sales. QG wishes to maintain the allowance for receivables at 4% receivables and as a result discovers that the allowance is 20% higher than at the previous year end. During the year irrecoverable debts amounting to Rs. 3,200 were written off and debts amounting to Rs. 450 and previously written off were recovered.

What are the bad and doubtful debt expenses for the year?

a) Rs. 5,083
b) Rs. 5,550
c) Rs. 5,583
d) Rs. 16,750

50. PN started the year with total receivables of Rs. 87,000 and an allowance for receivables of Rs. 2,500. During the year, two specific debts were written off, one for Rs. 800 and the other for Rs. 550. A debt of Rs. 350 that had been written off as irrecoverable in the previous year was paid during the year. At the year end, total receivables were Rs. 90,000 and the allowance for receivables was Rs. 2,300.

What is the charge to the Statement of Profit or Loss for the year in respect of bad and doubtful debts?

a) Rs. 800
b) Rs. 1,00
c) Rs. 1,150
d) Rs. 1,550

ANSWERS

01.	**(a)**	Closing allowance = Rs. 100,000x5% = Rs. 5,000 Charge to statement of profit or loss = 5,000 - 1,000= Rs. 4,000
02.	**(b)**	<table><tr><td></td><td></td><td>Rs.</td></tr><tr><td>Closing receivables</td><td>600,000 - 25,000</td><td>575,000</td></tr><tr><td>Closing allowance</td><td>575,000x10%</td><td>57,500</td></tr><tr><td>Carrying amount of receivables</td><td>575,000 - 57,500</td><td>517,500</td></tr></table>
03.	**(d)**	Closing allowance = (Rs. 75,000 - 5000) x5% = Rs. 3,500 + (Rs. 5,000 x 25%) = Rs. 4,750
04.	**(a)**	The allowance account is not liability (i.e. it is not present obligation for outflow of economic benefits). The allowance account is not an asset account, it is deducted from asset and therefore it is "Contra Asset" Account. The allowance account itself is not an expense, only changes in its balance are recognised in profit or loss.
05.	**(d)**	Expense = Bad debts + increase in allowance = Rs. 1,000+500= Rs. 1,500
06.	**(d)**	Charge = Closing Allowance-Opening allowance + debts written off = Rs. 30,000 - Rs. 35,000 + Rs. 15,000 = Rs. 10,000
07.	**(a)**	Allowance for doubtful debts are calculated usually on the basis of receivables. However, second most reliable amount is of credit sales as debt arises because of credit sales and then the chance of recoverability is calculated.
08.	**(c)**	Expense = Rs. 9,000+ (Rs. 18,000-16,000) = Rs. 11,000 therefore, decrease the profit by Rs. 11,000
09.	**(c)**	Closing allowance = (Rs. 75,000 x 2%) + (Rs. 50,000 x 5%) = Rs. 4,000 Charge to statement of profit or loss = Rs. 500
10.	**(b)**	The older the debt, the higher the chances of default.
11.	**(a)**	The correct treatment is to reduce the expense previously recognised.
12.	**(a)**	Increase in allowance = Closing allowance – opening allowance = (Rs. 63,000x2%) - (45,000x2%) = Rs. 360 Closing receivables = 45,000 + 55,000 - 35,000 - 2,000 = Rs. 63,000
13.	**(c)**	Closing balance of allowance Rs. 93,000 – 1,800 bad debts = Rs. 91,200 x 5% = Rs. 4,560 Opening balance of allowance Rs. 4,560 x 100/120 = Rs. 3,800
14.	**(d)**	<table><tr><td></td><td>**Rs.**</td></tr><tr><td>Irrecoverable debts</td><td>28,500</td></tr><tr><td>Allowance c/f (5% × (Rs. 868,500 – Rs. 28,500))</td><td>42,000</td></tr><tr><td>Allowance b/f</td><td>(38,000)</td></tr><tr><td></td><td>4,000</td></tr><tr><td>Increase in allowance</td><td>32,500</td></tr></table>

15. (a)

	Rs.
Allowance at end of year (5% of Rs. 120,000)	6,000
Allowance at start of year	9,000
Decrease in allowance	(3,000)
Irrecoverable debts written off	5,000
Charge to SPL	2,000

16. Rs. 1,000

Closing allowance = Rs. 90,000x5% = Rs. 4,500
Bad debts are not to be deducted because already written off.

Charge for Statement of profit or loss	Rs.
Decrease in allowance	(Rs. 500)
Irrecoverable debts	3,000
Bad debts recovered	(1,500)
Profit or loss	1,000

17. Rs. 274,400

Receivables = (Rs. 310,000-Rs. 30,000) = Rs. 280,000
Carrying amount = Rs. 280,000 – (Rs. 280,000x2%) = Rs. 274,400

18. Rs. 480,000

	Rs.
Receivables Rs. 650,000 – 95,000 =	555,000
Less: Allowance	(75,000)
	480,000

19. Rs. 13,000

= Rs. 16,000 irrecoverable -Rs. 3,000 decrease in allowance =Rs. 13,000

20. Rs. 225,245

Allowance	**Rs.**	**Rs.**
Receivables	238,750	
Specific allowance		
Syed	(450)	450
Raja	(1,200)	1,200
General allowance @5%	237,100	11,855
Total allowance		13,505

Receivables (Statement of Financial Position)
Rs. 238,750 – Rs. 13,505 = Rs. 225,245

21. (a) It will increase net profit

22. (d) Contra asset account (it is deducted from asset)

23. (b) Yes, bad debt refers to an account receivable that has been clearly identified as not being collectible. Whereas a doubtful debt is an account receivable that might become a bad debt at some point in the future

24. (b) Bad debt expense (debit) and accounts receivable (credit)

25.	**(c)**	Rs. 800,000 – 1% discount as payment made within 10 days = Rs. 792,000
26.	**(b)**	Rs. 800,000 – 100,000 = Rs. 700,000 – 1% discount as payment made within 10 days = Rs. 693,000
27.	**(a)**	Accounts receivables
28.	**(d)**	Aging analysis
29.	**(b)**	Rs. 100,000 x 5% = Rs. 5,000 – Rs. 1,000 opening = Rs. 4,000
30.	**(a)**	Rs. 60,000 x 7% = Rs. 4,200 (credit) closing balance.
31.	**(a)**	A specific allowance of Rs. 900 and a general allowance of Rs. 1,582
32.	**(d)**	Rs. 4,000 bad debts + [1,200 – 1,000 doubtful debts] = Rs. 4,200
33.	**(a)**	Rs. 2,000,000 x 5% x 4% = Rs. 4,000 x 33.33/133.33 = Rs. 1,000 Increase in allowance would increase expense, resulting in reduction in profit.
34.	**(a)**	Rs. 5,000 bad debts + [(120,000 x 5%) – 9,000 doubtful debts] = Rs. 2,000
35.	**(c)**	Rs. 3,200 bad debts + [3,000,000 x 4% x 3% x 25/125 doubtful debts] – 150 recovered = Rs. 3,770
36.	**(b)**	The receivables account balance is NOT written off when a specific allowance for doubtful debts for that customer is created.
37.	**(b)**	Debit Cash and Credit Bad debts expense
38.	**(d)**	An increase in allowance would decrease the net receivables presented under current assets in the statement of financial position.
39.	**(b)**	Rs. 18,000 bad debts + [20,000 – 37,000 reduction in doubtful debts] = Rs. 1,000 debit (expense)
40.	**(a)**	Rs. 44,244 as a current asset
41.	**(d)**	Records irrecoverable debts without taking them out of the books of an entity, thus showing the gross and expected amount owned by trade receivables as a current asset.
42.	**(c)**	An increase in allowance would decrease the net receivables presented under current assets in the statement of financial position.
43.	**(b)**	All expenses are closed to profit or loss account.
44.	**(d)**	Rs. 38,000 bad debts + [((400,000-38,000) x 10%) – 50,000 doubtful debts] = Rs. 24,200
45.	**(d)**	Rs. 28,500 bad debts + [((868,500-28,500) x 5%) – 38,000 doubtful debts] = Rs. 32,500
46.	**(d)**	Allowance = (32,700 x 0%) + (16,900 x 4%) + (8,750 x 50%) = Rs. 5,051 Decrease in allowance = Rs. 5,051 – 5,600 opening = Rs. (549) decrease
47.	**(a)**	Bad debts Rs. 8,900 – reduction in allowance Rs. 2,134 = Rs. 6,766 expense Specific allowance Rs. 1,350 +750 = Rs. 2,100 General allowance Rs. 58,200 – 8,900 – 2,100 = Rs. 47,200 x 3% = Rs. 1,416 Reduction in allowance = (2,100 + 1,416) – 5,650 opening = Rs. 2,134
48.	**(a)**	b/d 12,000 + sales 125,000 – cash 115,500 – bad debts 7,100 = Rs. 14,400 Rs. 14,400 – allowance 2,100 = Rs. 12,300 net

49.	**(a)**	Rs. 3,200 bad debts + [7,000,000 x 5% x 4% x 20/120 doubtful debts] – 450 recovered = Rs. 5,083
50.	**(a)**	Bad debts Rs. 800 + 550 = Rs. 1,350 Reduction in allowance = Rs. 2,300 – 2,500 = Rs. (200) Bad debts recovered = Rs. (350) Charge as expense = Rs. 1,350 – 200 – 350 = Rs. 800

STICKY NOTES

Good debts

An accounts receivable that seems collectible without any difficulty.
No specific accounting treatment needed.

Bad debts

An accounts receivable that is not collectible, the receivable is written off (directly deducted from receivables).

When a debt is written off:

Bad debt expense	Debit	
Accounts receivable		Credit

When bad debts is recovered:

Bank	Debit	
Bad debt expense (or Recovered)		Credit

Doubtful debts

An accounts receivable that might not be collectible, recorded as an expense by creating allowance account (indirectly deducted from receivables).

Specific allowance on specific invoices or debts

General allowance on receivables excluding bad, good and specific doubtful.

When allowance is increased / Created

Doubtful debt expense	Debit	
Allowance for doubtful debt		Credit

When allowance is decreased

Allowance for doubtful debt	Debit	
Doubtful debt expense		Credit

Expense (charge) in profit or loss

Bad debts expense + Increase (decrease) in allowance – bad debts recovered

CHAPTER 6

PROPERTY, PLANT AND EQUIPMENT

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Non-Current Assets
2. Depreciation: Concept and Computation
3. Accounting for Depreciation
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Non-current assets are used in business for more than one accounting period. Acquisition and improvement costs are capitalised and other costs are charged as an expense.

One of the significant and common non-current asset classification is property, plant and equipment. Property, plant and equipment are tangible items that are expected to be used during more than one accounting period and are held:

- for use in the production or supply of goods or services,
- for rental to others, or
- for administrative purposes

Depreciation is an accounting method of allocating the depreciable amount of a tangible non-current asset over its useful life. Depreciation represents how much of an asset's value has been used up. Depreciating assets helps entities measure financial performance by comparing revenue earned by utilising an asset and expensing a portion of asset's cost each year.

There are mainly four types of depreciation methods that may be used;

- Straight line method (recognising depreciation evenly throughout useful life)
- Reducing balance method (amount of depreciation reduces as the life of the asset progresses)
- Units of production method (usage basis)
- Sum of the digit method (amount of depreciation, calculated as a fraction of remaining years and sum of years' digits, reduces as the life of the asset progresses)

Non-current assets are presented in statement of financial position at cost less accumulated depreciation. The accumulated depreciation is cumulative depreciation charged to date.

1 NON CURRENT ASSETS

Assets that have a long useful life and are expected to provide future economic benefits for the entity over a period of several years. Non-current assets may be intangible or tangible.

Intangible non-current assets do not have a physical existence such as patent rights, licensing, software etc.

Tangible non-current assets are assets having physical existence, such as land and buildings, plant and equipment, office equipment, furniture and fixture and motor vehicles. These are often referred to as 'property, plant and equipment'.

Property, plant and equipment are tangible items that are expected to be used during more than one accounting period and are held:

- for use in the production or supply of goods or services,
- for rental to others, or
- for administrative purposes

Distinguish non-current assets and Inventory

If an entity's main business is selling machines, then that machine does not classify as non-current asset rather the machinery used to produce the machines for sales is non-current asset. The machines manufactured for sale are classified as inventory. The same goes for real estate businesses. Their offices are non-current assets but the houses they sell are inventory.

As a practical expedient, immaterial items are not recognised as non-current assets even if they meet the definition criteria, for example, staplers and calculators etc.

▶ *Example 01:*

Complete the following table by stating whether the items listed below can be recognised as property, plant and equipment and reason if they cannot be so recognised:

Items	ANSWER
Small tools and spare parts	No. These are immaterial items
Standby generator expected to be used for 7 years	Yes.
An office building.	Yes.
A trademark	No. This is intangible non-current asset.
An office printer.	Yes, unless immaterial.
A plot of land held for resale	No. This is inventory.
A factory including building and machinery.	Yes.
A bus for pick-and-drop of staff members.	Yes.
A generator given to another entity on rent	Yes.

MEASUREMENT AT COST

An item of property, plant and equipment (PPE) is initially measured at cost. Therefore, the concept of distinguishing capital expenditure from revenue expenditures is important here. ***Capital expenditure*** is expenditure made to acquire or improve long term **assets** that are used by the business. ***Revenue expenditure*** is expenditure on day-to-day operating expenses, for example, repair and maintenance expenses or salaries.

A PPE is initially measured at its cost which comprises:

- its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

▶ *Examples of directly attributable costs are:*

- wages for the construction or acquisition;
- costs of site preparation including material and labour costs;
- initial delivery and handling costs (i.e. loading, unloading, carriage, freight);
- installation and assembly costs;
- costs of testing whether the asset is functioning properly; and
- professional fees such as architect and surveyor fee.

▶ *Example 02:*

An entity purchased some heavy machinery. The invoice for the machinery showed the following items:

	Rs.000
Cost of machinery	46,000
Cost of delivery	900
Cost of 12-month warranty on the machinery	1,600
Total amount payable	48,500

In addition, the entity incurred Rs.3.4 million in making modifications to its factory so that the heavy machinery could be installed. What should be the cost of the machinery in the entity's machinery account?

▶ *ANSWER*

Cost of machinery:	Rs. 000
Cost	46,000
Cost of delivery	900
Modification cost	3,400
Total	**50,300**

SUBSEQUENT EXPENDITURE

Subsequent expenditure relating to non-current assets, after their initial acquisition, should be capitalised (i.e. added to cost of the asset) if it meets the criteria for recognising an asset.

Improvements are capitalised

Expenditure on a non-current asset after acquisition is treated as capital expenditure when it represents an improvement. This is added to the cost of the original asset.

In practice, this means that expenditure is capitalised if it improves the asset (for example, by enhancing its performance or extending its useful life).

Repairs are expensed

Expenditure on a non-current asset after acquisition is treated as revenue expenditure when it is incurred to make a repair. This is recognised as an expense in the statement of comprehensive income.

Size of expenditure

A capital expenditure tends to involve larger monetary amounts than revenue expenditures. However, certain quite large expenditures can still be classified as revenue expenditures, as long they are directly associated with sales transactions or are period costs.

Consumption of economic benefits i.e. the rationale of depreciation

A capital expenditure is assumed to be consumed over the useful life of the related non-current asset. A revenue expenditure is assumed to be consumed within a very short period of time. Therefore, capital expenditures are charged to expense gradually via depreciation or amortisation and over a long period of time. Revenue expenditures are charged to expense in the current period.

▶ *Example 03:*

A business acquired new premises at a cost of Rs. 400 million on 1 January 2015. In the period to the year end of 31 March 2015 the following further costs were incurred.

	Rs.000
Costs of initial adaptation of the building	12,000
Legal costs relating to the purchase	2,500
Monthly cleaning contract	3,400
Cost of air conditioning unit necessary for machinery to be used	2,800
Cost of machinery	12,300

What amount should appear as the cost of premises in the entity's statement of financial position as on 31 March 2015?

▶ *ANSWER*

Cost of premises:	Rs. 000
Cost	400,000
Adaptation	12,000
Legal fees	2,500
Total	**414,500**

The journal entries relevant to acquisition of assets are as follows:

When payment is made in cash

Debit Non-current assets

Credit Cash / Bank

When payment is made in arrears

Debit Non-current assets

Credit Payable to Vendors

When payment is made in advance (at the date of payment)

Debit Advance to Vendor (Receivable)

Credit Cash / Bank

When payment is made in advance (at the date asset is recognised)

Debit Non-current assets

Credit Advance to Vendor (Receivable)

Note: the advance is an asset too but it is not depreciated

2 DEPRECIATION: CONCEPT AND COMPUTATION

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life.

In simple words, depreciation is an expense that matches the cost of a non-current asset to the benefit earned from its ownership. It is calculated so that a business recognises the full cost associated with a non-current asset over the entire period that the asset is used. In effect, the cost of the asset is transferred to the statement of comprehensive income over the life of the asset. This may be several years.

RELEVANT TERMINNOLOGY

Depreciable amount = Cost – residual value

The ***residual value*** of an asset is the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

Useful life is:

a) the period over which an asset is expected to be available for use by an entity; or

b) the number of production or similar units expected to be obtained from the asset by an entity.

Accumulated Depreciation is the depreciation charged to date (cumulative) on a non-current asset. This is contra asset account.

Carrying amount (also called net book value or written down value) is the amount at which an asset is presented in statement of financial position.

Carrying amount = *Cost – accumulated depreciation*

▶ *Example 04:*

An asset costs Rs. 100,000 and can be easily used for ten years. The management of the business entity intends to use the asset for six years at which point expected residual value will be Rs. 40,000 (at current prices).

Required:

What is depreciable amount and useful life of above asset?

▶ *ANSWER*

Depreciable amount = Rs. 100,000 – 40,000 = Rs. 60,000

Useful life is six years as intended by the management of the entity.

METHODS OF CALCULATING DEPRECIATION

The depreciation method used should reflect as fairly as possible the pattern in which the asset's economic benefits are consumed by the entity.

Straight line depreciation

In this method, the depreciable amount is charged in equal amounts to each reporting period over the expected useful life of the asset.

$$Depreciation\ for\ one\ year = \frac{Cost - Residual\ value}{Useful\ life}$$

$$Alternatively, depreciation = Cost \times Rate$$

$$Rate = \frac{Depreciable\ amount}{Cost \times Useful\ life} = \frac{Cost - Residual\ value}{Cost \times Useful\ life}$$

$$Accumulated\ depreciation = Annual\ depreciation \times number\ of\ years\ passed$$

▶ *Example 05:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using straight line method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *ANSWER*

$$Rate = \frac{100{,}000 - 10{,}000}{100{,}000 \times 5 years} = 18\%$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Rs. 100,000 x 18%	18,000	18,000	18,000	18,000	18,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(18,000)	(36,000)	(54,000)	(72,000)	(90,000)
	82,000	64,000	46,000	28,000	10,000

▶ *Example 06:*

An item of equipment costs Rs. 1,260,000. It has an expected useful life of six years and an expected residual value of Rs. 240,000. Using the straight-line method of depreciation, what is the annual depreciation charge and what will be the carrying amount of the asset after four years?

▶ *ANSWER*

Annual depreciation charge = Rs. (1,260,000 – 240,000) / 6 years = Rs. 170,000

	Rs.
Asset at cost	1,260,000
Less: Accumulated depreciation Rs. 170,000 x 4 years	(680,000)
	580,000

▶ *Example 07:*

The financial year of an entity is 1st January to 31st December. A non-current asset was purchased on 1st May for Rs. 60,000. Its expected useful life is five years and its expected residual value is zero. It is depreciated by the straight-line method.

Required:

What will be the charge for depreciation in the year of acquisition if a proportion of a full year's depreciation is charged, according to the period for which the asset has been held?

▶ *ANSWER*

Depreciation in year 1 = Rs. (60,000 – 0) / 5 years' x 8/12 = Rs. 8,000

Reducing balance method:

In this method, the annual depreciation charge is a fixed percentage of the carrying amount of the asset at the start of the period which results in gradually lower depreciation charge as asset's efficiency is reduced over its useful life.

$$Rate = 1 - \sqrt[Useful\ life]{\frac{Residual\ value}{Cost}}$$

$$Depreciation = Net\ book\ value \times Rate$$

$$Accumulated\ depreciation = Cost - [Cost \times (1 - Dep\%)^{Number\ of\ years\ passeed}]$$

▶ *Example 08:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using reducing balance method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *ANSWER*

$$Rate = 1 - \sqrt[5]{\frac{10,000}{100,000}} = 36.9\%$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Carrying amount x 36.9%	36,900	23,284	14,692	9,271	5,853
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(36,900)	(60,184)	(74,876)	(84,147)	(90,000)
	63,100	39,816	25,124	15,853	10,000

▶ *Example 09:*

A non-current asset cost Rs. 64,000. It is depreciated by the reducing balance method, at the rate of 25% each year. What is the annual depreciation charge in Year 1, Year 2 and Year 3 and what is net carrying amount at the end of third year?

▶ *ANSWER*

	Rs.
Cost of asset	64,000
Year 1 Depreciation (25%)	(16,000)
Carrying amount at the end of year 1	48,000
Year 2 Depreciation (25%)	(12,000)
Carrying amount at the end of year 2	36,000
Year 3 Depreciation (25%)	(9,000)
Carrying amount at the end of year 3	27,000

Net carrying amount = Rs. 64,000 x 75% x 75% x 75% = Rs. 27,000

Units of production method

In this method, depreciation is calculated by expressing the useful life of an asset in terms of its expected total output and allocating the annual charge to depreciation based on actual output. The higher the usage, the higher the depreciation charge and vice versa. This method is also called output method or usage method.

$$Rate\ per\ unit = \frac{Cost - Residual\ value}{Useful\ life\ in\ units}$$

$$Depreciation = Units\ used\ or\ produced \times Rate$$

$$Accumulated\ depreciation = Rate\ per\ unit \times Units\ produced\ to\ date$$

▶ *Example 10:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000 and the plant can be used to produce 7500 units over its life. The entity year ends on 31 December.

Actual production of units has been 1500 units, 1800 units, 1200 units, 2000 units and 1000 units from year 2021 to 2025 respectively.

Required:

Using units of production method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *ANSWER*

$$Rate = \frac{100{,}000 - 10{,}000}{7500\ units} = Rs.\ 12\ per\ unit$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Units produced x Rs. 12	18,000	21,600	14,400	24,000	12,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(18,000)	(39,600)	(54,000)	(78,000)	(90,000)
	82,000	60,400	46,000	22,000	10,000

Sum of digits method

In this method, depreciation is calculated by multiplying the depreciable amount by a fraction where numerator is the remaining life of the asset at the start of the period and the denominator is the sum of all the years' useful life at the start of ownership. This method results in step-wise lower depreciation in later years of useful life.

$$Depreciation = Depreciable\ amount \times \frac{Remaining\ years}{Sum\ of\ years'digits}$$

Sum of years' digits may also be calculated using the following formula:

$$= \frac{n(n+1)}{2}$$

$$Accumulated\ depreciation = Depreciable\ amount \times \frac{Cumulative\ digits\ of\ years\ passed}{Sum\ of\ years'digits}$$

▶ *Example 11:*

Plant bought on 1 January 2021 for Rs. 100,000 with expected useful life of 5 years and residual value of Rs. 10,000. The entity year ends on 31 December.

Required:

Using sum of digits method, calculate the amount of annual depreciation and carrying amount along with accumulated depreciation for the year 2021 to 2025.

▶ *ANSWER*

$$Sum\ of\ digits = \frac{n(n+1)}{2} = \frac{5(5+1)}{2} = 15$$

	2021	2022	2023	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.
Annual depreciation Rs. 90,000 x remaining years / 15	30,000	24,000	18,000	12,000	6,000
Cost	100,000	100,000	100,000	100,000	100,000
Accumulated depreciation	(30,000)	(54,000)	(72,000)	(84,000)	(90,000)
	70,000	46,000	28,000	16,000	10,000

▶ *Example 12:*

A motor vehicle cost Rs.400,000. It has an expected residual value after 5 years of Rs.40,000. If the sum of the digits method of depreciation is used, what will be the carrying amount of the asset at the end of Year 2?

▶ *ANSWER*

Sum of digits = 5 + 4 + 3 + 2 + 1 = 15

	Rs.
Cost of asset	400,000
Year 1 Depreciation (400,000 – 40,000) x 5/15	(120,000)
Carrying amount at the end of year 1	280,000
Year 2 Depreciation (400,000 – 40,000) x 4/15	(96,000)
Carrying amount at the end of year 2	184,000

DEPRECIATION CHARGE AND PERIOD

Depreciation should be charged as an **expense** in the statement of comprehensive income each year over the life of the asset even if the asset is idle and not being used. However, under usage methods of depreciation (sum of units' method), the depreciation charge can be zero while there is no production.

Land is not depreciated because it has indefinite useful life.

Commencement of depreciation

Depreciation must be charged from the date the asset is available for use. This may be earlier than the date it is actually brought into use.

End of depreciation

The depreciation is no more charged when the asset is derecognized or disposed of.

▶ *Example 13:*

An office property cost Rs. 5 million, of which the land value is Rs. 2 million and the cost of the building is Rs. 3 million. The building has an estimated life of 50 years. What is the annual depreciation charge on the property, using the straight-line method?

▶ *ANSWER*

Rs. 3,000,000 / 50 years = Rs. 60,000

Land is not depreciated.

▶ *Example 14:*

An entity constructed a building for its own use. The building was completed on 1 July 2008 and occupied on 1 September 2008. The entity used the building for a long time but then due to expansion in its business it decided on 1 July 2015 to shift to new rented premises. The entity shifted to new premises on 1 August 2015 and disposed of the old building on 31 December 2015.

Required:

Identify the date from which depreciation should be commenced and date when depreciation charge should cease.

▶ *ANSWER*

Commencement of depreciation: 1 July 2008 (when asset became available for use)

Cessation of depreciation: 31 December 2015 (when asset is disposed of)

CHANGE IN DEPRECIATION METHOD

A change from one method of providing depreciation to another method is permissible only on the grounds that the new method will give a fairer presentation of the results and of the financial position.

The carrying amount should be written off over the remaining useful life, commencing with the period in which the change is made.

▶ *Example 15:*

On 1 January 2001, Air Limited purchased an asset for Rs. 10,000 with nil residual value and is intended to be used for 10 years. The entity uses straight line method.

On 1 January 2003, Air Limited reconsidered the use of its depreciation methods and concluded that the straight-line method is not appropriate for this type of asset instead 25% depreciation on reducing balance method is appropriate.

Required:

Calculate depreciation expense from year 2001 to year 2004.

▶ *ANSWER*

Year	Calculation	Rs.
2001	Rs. 10,000 / 10 years	1,000
2002	Rs. 9,000 / 9 years	1,000
2003	Rs. 10,000 – 1,000 – 1,000 = Rs. 8,000 x 25%	2,000
2004	Rs. 8,000 – 2,000 = Rs. 6,000 x 25%	1,500

REVIEW OF USEFUL LIFE AND RESIDUAL VALUES

Useful life and residual value of tangible non-current assets should be reviewed at end of each reporting period and revised if expectations are significantly different from previous estimates.

The carrying amount of the asset at the date of revision less any residual value should be depreciated over the revised remaining useful life.

▶ *Example 16:*

On 1 January 2001, Water Limited purchased an asset for Rs. 12,000 with estimated residual value of Rs. 2,000 and is intended to be used for 10 years. The entity uses straight line method.

In 2003, Water Limited reviewed the useful life and residual value of the asset. It was estimated that the asset's remaining useful life is now only 5 years, however, the estimate of residual value has been increased to Rs. 3,000.

Required:

Calculate depreciation expense from year 2001 to year 2004.

▶ *ANSWER*

Year	Calculation	Rs.
2001	Rs. 12,000 – 2,000 = Rs. 10,000 / 10 years	1,000
2002	Same as above	1,000
2003	Rs. 12,000 – 1,000 – 1,000 = Rs. 10,000 – Rs. 3,000 = Rs. 7,000 / 5 years	1,400
2004	Same as above	1,400

3 ACCOUNTING FOR DEPRECIATION

The accounting entry for recognising the depreciation is as follows:

Debit **Depreciation expense** *[Profit or loss]*

Credit **Accumulated depreciation** *[deducted from asset]*

RELEVANT LEDGER ACCOUNTS:

Non-current asset			
Balance b/d	XXX		
Bank (new additions)	XXX	**Balance c/d (SFP)**	**XXX**
	XXX		XXX
Balance b/d	XXX		

Accumulated depreciation			
		Balance b/d	XX
Balance c/d (SFP)	**XX**	Depreciation expense	XX
	XX		XX
		Balance b/d	XX

Depreciation expense			
Accumulated dep.	XX	**Profit or loss**	**XX**
	XX		XX

PRESENTATION IN FINANCIAL STATEMENTS

STATEMENT OF PROFIT OR LOSS *(extracts)*	Rs.
Depreciation	XX

STATEMENT OF FINANCIAL POSITION *(extracts)*	Rs.
Non-current asset	XXX
Less: Accumulated depreciation	(XX)
Carrying amount (net book value)	XXX

▶ *Example 17:*

An item of equipment cost Rs. 40,000 at the beginning of Year 1. It has an expected life of 5 years. The annual depreciation charge is Rs. 8,000. Prepare relevant ledger accounts for Years 1 and 2 and extracts of financial statement for each period.

▶ *ANSWER*

Equipment					
Y 01	Bank (new additions)	40,000			
				Balance c/d	40,000
		40,000			**40,000**
Y 02	Balance b/d	40,000			
				Balance c/d	40,000
		40,000			**40,000**

Accumulated depreciation					
Y 01				Depreciation expense	8,000
	Balance c/d	8,000			
		8,000			**8,000**
Y 02				Balance b/d	8,000
	Balance c/d	16,000		Depreciation expense	8,000
		16,000			16,000

Depreciation Expense					
Y 01	Depreciation expense	8,000			
				Profit or loss	8,000
		8,000			**8,000**
Y 02	Depreciation expense	8,000			
				Profit or loss	8,000
		8,000			8,000

Statement of profit or loss (extracts)	Y 01	Y02
	Rs.	Rs.
Depreciation expense	8,000	8,000

Statement of financial position (extracts)	Y 01	Y02
	Rs.	Rs.
Non-current asset	40,000	40,000
Less: Accumulated depreciation	(8,000)	(16,000)
Carrying amount (net book value)	32,000	24,000

▶ *Example 18:*

Maturin bought a machine for Rs. 10,000 on 1 January 2012. He estimates a useful life of 8 years and a residual value of Rs.800. Depreciation is to be calculated on a straight-line basis.

Required:

a) Write up for 2012 and 2013 the

- Machinery account
- Accumulated depreciation account
- Depreciation expense account.

b) Show how the machine would be presented in the statement of financial positions as at 31 December 2012 and 31 December 2013.

▶ *ANSWER*

Part a

Machinery					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2012			2012		
1 Jan	Bank	10,000	31 Dec	Balance c/d	10,000
		10,000			10,000
2013			2013		
1 Jan	Balance b/d	10,000	31 Dec	Balance c/d	
		10,000			10,000

Accumulated Depreciation					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2012			2012		
31 Dec	Balance c/d	1,150	31 Dec	Depreciation	1,150
		1,150			1,150
2013			2013		
			1 Jan	Balance b/d	1,150
31 Dec	Balance c/d	2,300	31 Dec	Depreciation	1,150
		2,300			2,300

Depreciation expense					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2012			2012		
31 Dec	Acc. Dep	1,150	31 Dec	P & L	1,150
		1,150			1,150
2013			2013		
31 Dec	Acc. Dep	1,150	31 Dec	P & L	1,150
		1,150			1,150

Depreciation = [10,000 – 800] /8 years= Rs. 1,150

Part (b)

	2013	2012
Non-current assets	**Rs.**	**Rs.**
Machinery at cost	10,000	10,000
Acc. Depreciation	(2,300)	(1,150)
	7,700	8,850

4 COMPREHENSIVE EXAMPLES

▶ *Example 19:*

Since he commenced business on 1 January 2010 Sophie has purchased for cash the following three machines:

	Year of purchase	Cost Rs.	Rate of depreciation
Machine 1	2010	4,200	25%
Machine 2	2011	5,000	30%
Machine 3	2012	3,500	35%

Sophie's policy is to charge a full year's depreciation in the year of purchase irrespective of the date of purchase. The reducing balance method is used to calculate depreciation.

Accounts are prepared to 31 December each year.

Required:

a) Prepare the machinery account and accumulated depreciation account showing the charge to the depreciation account for each year.

b) Show the relevant statement of financial position extracts for each year.

▶ *ANSWER*

Part (a):

Machinery					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
2010			2010		
20 Jan	Bank	4,200	31 Dec	Balance c/d	4,200
		4,200			4,200
2011			2011		
1 Jan	Balance b/d	4,200			
17 Apr	Bank	5,000	31 Dec	Balance c/d	9,200
		9,200			9,200
2012			2012		
1 Jan	Balance b/d	9,200			
11 July	Bank	3,500	31 Dec	Balance c/d	12,700
		12,700			12,700

Accumulated Depreciation					
Date	Particulars	Rs.	Date	Particulars	Rs.
2010			2010		
31 Dec	Balance c/d	1,050	31 Dec	Depreciation- (W1)	1,050
		1,050			1,050
2011			2011		
			1 Jan	Balance b/d	1,050
31 Dec	Balance c/d	3,337	31 Dec	Depreciation- (W1)	2,287
		3,337			3,337
2012			2012		
			1 Jan	Balance b/d	3,337
31 Dec	Balance c/d	6,203	31 Dec	Depreciation- (W1)	2,866
		6,203			6,203

Part (b)

Statement of financial position (extract)	2012	2011	2010
Non-current assets	Rs.	Rs.	Rs.
Machinery at cost	12,700	9,200	4,200
Acc. Depreciation	(6,203)	(3,337)	(1,050)
	6,497	5,863	3,150

W1 – Depreciation			Rs.
Year 2010			
Machine 1		Rs.4, 200 x 25% =	1,050
			1,050
Year 2011			
Machine 1	Rs.4,200 – 1,050 =	Rs.3,150 x 25% =	787
Machine 2		Rs.5,000 x 30% =	1,500
			2,287
Year 2012			
Machine 1	Rs. 3,150 – 787 =	Rs.2,363 x 25% =	591
Machine 2	Rs.5000 – 1,500 =	Rs.3,500 x 30% =	1,050
Machine 3		Rs.3,500 x 35% =	1,225
			2,866

▶ *Example 20:*

Diana leases out German sports cars. She started business on 1 January 2010 and has decided to depreciate the cars on a straight line basis at 25% per annum on cost at the year-end. During the years 2010 to 2013 the following purchases took place.

2010	Acquired 20 Porsche 924 Turbos at a cost of Rs.18,600,000 each
2011	Purchased 6 Porsches for a total cost of Rs.108,600,000.
2012	Purchased a further two cars costing Rs.19,800,000 each.
2013	Purchased 15 cars for Rs.21,000,000 each.

Required:

Prepare a vehicle account, an accumulated depreciation account and a depreciation account for the years 2010 to 2013. Diana prepares accounts to 31 December each year.

▶ *ANSWER*

Vehicle					
Date	**Particulars**	**Rs.000**	**Date**	**Particulars**	**Rs.000**
2010			2010		
	Bank	372,000	31 Dec	Balance c/d	372,000
		372,000			372,000
2011			2011		
1 Jan	Balance b/d	372,000			
	Bank	108,600	31 Dec	Balance c/d	480,600
		480,600			480,600

Vehicle					
2012			**2012**		
1 Jan	Balance b/d	480,600			
	Bank	39,600	31 Dec	Balance c/d	520,200
		520,200			520,200
2013			2013		
1 Jan	Balance b/d	520,200			
	Bank	315,000	31 Dec	Balance c/d	835, 200
		835,200			835,200

Accumulated Depreciation					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
2010			2010		
31 Dec	Balance c/d	93,000	31 Dec	Depreciation- (W)	93,000
		93,000			93,000
2011			2011		
			1 Jan	Balance b/d	93,000
31 Dec	Balance c/d	213,150	31 Dec	Depreciation- (W)	120,150
		213,150			213,150
2012			2012		
			1 Jan	Balance b/d	213,150
31 Dec	Balance c/d	343,200	31 Dec	Depreciation- (W)	130,050
		343,200			343,200
2013			2013		
			1 Jan	Balance b/d	343,200
31 Dec	Balance c/d	552,000	31 Dec	Depreciation- (W)	208,800
		552,000			552,000

Depreciation expense					
Date	Particulars	Rs.000	Date	Particulars	Rs.000
2010			2012		
31 Dec	Acc. Dep	93,000	31 Dec	P & L	93,000
		93,000			93,000
2011			2013		
31 Dec	Acc. Dep	120,150	31 Dec	P & L	120,150
		120,150			120,150
2012			2013		
31 Dec	Acc. Dep	130,050	31 Dec	P & L	130,050
		130,050			130,050
2013			2013		
31 Dec	Acc. Dep	208,800	31 Dec	P & L	208,800
		208,800			208,800

Working (W)

Year	Calculation	Depreciation
2010	372,000 x 25%	93,000
2011	480,600 x 25%	120,150
2012	520,200 x 25%	130,050
2013	835,200 x 25%	208,800

▶ *Example 21:*

An entity started business on 1 January 2023, the financial year end being 31 December.

The machinery bought was:

2023	1 January	1 machine costing Rs. 1,400
2024	1 July	2 machines costing Rs. 600 each
	1 October	1 machine costing Rs. 1,000
2026	1 April	1 machine costing Rs. 400

Depreciation is over ten years, using the straight line method, machines being depreciated for the proportion of the year that they are owned.

Required:

i. The machinery account.

ii. The accumulated depreciation account.

iii. The statement of financial position extracts

for each of the years 2023, 2024, 2025, 2026.

▶ *ANSWER*

Machinery Account (i)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
01.01.23	Bank	1,400	31.12.23	Balance c/d	1,400
		1,400			1,400
01.01.24	Balance b/d	1,400			
01.07.24	Bank	1,200			
01.10.24	Bank	1,000	31.12.24	Balance c/d	3,600
		3,600			3,600
01.01.25	Balance b/d	3,600			
			31.12.25	Balance c/d	3,600
		3,600			3,600
01.01.26	Balance b/d	3,600			
01.04.26	Bank	400	31.12.26	Balance c/d	4,000
		4,000			4,000

Accumulated depreciation (ii)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
31.12.23	Balance c/d	140	31.12.23	Depreciation (W)	140
		140			140
			01.01.24	Balance b/d	140
31.12.24	Balance c/d	365	31.12.24	Depreciation (W)	225
		365			365
			01.01.25	Balance b/d	365
31.12.25	Balance c/d	725	31.12.25	Depreciation (W)	360
		725			725
			01.01.26	Balance b/d	725
31.12.26	Balance c/d	1,115	31.12.26	Depreciation (W)	390
		1,115			1,115

Depreciation (workings)		
2023	Rs. 1,400 x 10% x 12/12	Rs. 140
2024	Rs. 1,400 x 10% x 12/12 + Rs. 12,00 x 10% x 6/12 + Rs. 1,000 x 10% x 3/12	Rs. 225
2025	Rs. 3,600 x 10% x 12/12	Rs. 360
2026	Rs. 3,600 x 10% x 12/12 + Rs. 400 x 10% x 9/12	Rs. 390

Statement of financial position (extracts) (iii)				
	2023	**2024**	**2025**	**2026**
Machinery	1,400	3,600	3,600	4,000
Less: Accumulated depreciation	(140)	(365)	(725)	(1,115)
	1,260	3,235	2,875	2,885

▶ *Example 22:*

Sajid Limited (SL) purchased a plant on 1 January 2011 for Rs. 34,000 with expected life of 5 years and residual value of Rs. 4,000 at the end of its useful life. The entity uses reducing balance method for depreciation of plant.

SL purchased another plant on 1 Apr 2012 for Rs. 51,000 with expected life of 5 years and residual value of Rs. 6,000 at the end of its useful life.

SL purchased its third plant on 1 July 2013 for Rs. 68,000 with expected useful life of 5 years and residual value of Rs. 8,000 at the end of its useful life.

Required:

Prepare "Plant Account" and "Accumulated depreciation Account" for the year 2011 to 2013.

▶ *ANSWER*

Plant account					
Date	**Particulars**	**Rs**	**Date**	**Particulars**	**Rs**
01.01.11	Cash	34,000			
			31.12.11	Balance c/d	34,000
		34,000			34,000
01.01.12	Balance b/d	34,000			
01.01.12	Cash	51,000	31.12.12	Balance c/d	85,000
		85,000			85,000
01.01.13	Balance b/d	85,000			
01.07.13	Cash	68,000	31.12.12	Balance c/d	153,000
		153,000			153,000

Accumulated depreciation account					
Date	**Particulars**	**Rs**	**Date**	**Particulars**	**Rs**
			01.01.11	Balance b/d	0
31.12.11	Balance c/d	11,832	31.12.11	Depreciation (w-1)	11,832
		11,832			11,832
			01.01.12	Balance b/d	11,832
31.12.12	Balance c/d	32,857	31.12.12	Depreciation (w-2)	21,025
		32,857			32,857
			01.01.13	Balance b/d	32,857
31.12.13	Balance c/d	62,834	31.12.13	Depreciation (w-3)	29,977
		62,834			62,834

Depreciation Calculation	Cost	2011	NBV	2012	NBV	Dep
Asset 1 [12, 12, 12 months]	34,000	(11,832)	22,168	(7,714)	14,454	(5,030)
Asset 2 [0, 9, 12 months]			51,000	(13,311)	37,689	(13,115)
Asset 3 [0, 0, 6 months]					68,000	(11,832)
Total		(11,832)		(21,025)		(29,977)

Depreciation rates calculation:

$$Asset\ 1 = 1 - \sqrt[5]{\frac{4,000}{34,000}} = 34.8\%$$

$$Asset\ 2 = 1 - \sqrt[5]{\frac{6,000}{51,000}} = 34.8\%$$

$$Asset\ 3 = 1 - \sqrt[5]{\frac{8,000}{68,000}} = 34.8\%$$

▶ *Example 23:*

On 1 January 2013 Delta acquired a specialized machine for its production department. The available information is as follows:

	Rupees
List price of machine	9,200,000
Freight charges	263,000
Electrical installation cost	245,000
Staff training for use of machine	351,000
Pre-production testing	193,000
Purchase of a three-year maintenance contract	528,000
Estimated residual value	175,000
Discount (trade & settlement) on list price	5%
Estimated life (in machine hours)	12,000

Machine hours used during the years ended 31 December 2013, 2014 and 2015 were 2000, 3200 and 1400 respectively.

On 1 January 2015 Delta decided to upgrade the machine by adding new components at a cost of Rs. 1,753,000. This upgrade led to a reduction in the production time per unit of goods being manufactured by the machine. The upgrade also increased the estimated remaining life of the machine at 1 January 2015 to 8,000 machine hours and its estimated residual value to Rs. 350,000.

Required:

For the years ended 31 December 2013, 2014 and 2015, compute the relevant amounts to be included (under each head) in the statement of profit or loss and statement of financial position. Notes to the financial statements are not required.

▶ *ANSWER*

Year ended	**31-Dec-13**	**31-Dec-14**	**31-Dec-15**
Statement of profit or loss	---------- **Amount in Rs.** ----------		
Depreciation			
[9,441,000(W-1)-175,000]×2,000/12,000	1,544,333		
[9,441,000(W-1)-175,000]×3,200/12,000		2,470,934	
[7,178,733(W-2)-350,000]×1,400/8,000			1,195,028
Maintenance cost (528,000/3)	176,000	176,000	176,000
Administration expenses (Staff training)	351,000	-	-

As at	31-Dec-13	31-Dec-14	31-Dec-15
Statement of financial position:	---------- Amount in Rs. ----------		
Property, plant and equipment			
Cost (W-1)	9,441,000	9,441,000	*11,194,000
Accumulated depreciation	(1,544,333)	(4,015,267)	(5,210,295)
	7,896,667	5,425,733	5,983,705
Long term prepayment	176,000	-	-
Short term Prepayment	176,000	176,000	-

* [9,441,000+1,753,000]

W1: Cost price of machine	Rupees
List price	9,200,000
Less: Discount (9,200,000×5%)	(460,000)
Add: Freight charges	263,000
Electrical installation cost	245,000
Pre-production testing	193,000
	9,441,000

W2 – Valuation after upgrade	Rupees
Original cost **W1**	9,441,000
Depreciation up to 31-12-14 (1,544,333 + 2,470,934**)**	(4,015,267)
Carrying amount on 1-Jan-15	5,425,733
Capitalisation of upgrade	1,753,000
Valuation after capitalisation	7,178,733

5 OBJECTIVE BASED Q&A

1. Which of the following cannot be classified as tangible non-current asset:
   a) A commercial generator held for use in factory in case of electricity shortage
   b) A commercial generator held for earning by renting to customers
   c) A commercial generator held for use in office in case of electricity shortage
   d) A commercial generator held for resale to customers

2. Which of the following are items of property, plant and equipment?
   i. Standby generator expected to be used for seven years
   ii. A plot of land held for resale
   iii. A bus for pick-and-drop of staff members
   iv. A generator for rental to others
   a) (i) to (iv) all
   b) (i), (ii) and (iii) only
   c) (i), (iii) and (iv) only
   d) (ii), (iii) and (iv) only

3. Which of the following is not a property, plant and equipment?
   a) Tangible assets
   b) Assets held for the production or supply of goods or services
   c) Assets held for sale in the normal course of business
   d) Assets expected to be used for more than one period

4. A building contractor decides to construct an office building to be occupied by his own staff.

   Which TWO of the following costs incurred by the building contractor cannot be included as a part of the cost of the office building?
   a) Cement, iron, sand and crushed stone bought for construction
   b) A proportion of the contractor's general administration costs
   c) Hire of plant and machinery for use on the office building site
   d) Additional design work caused by initial design errors

5. Alpha Trading Limited (ATL) used its own staff, assisted by contractors when required, to construct a new warehouse for its own use.

   Identify the costs listed below that cannot be capitalized.
   a) Clearance of the site prior to commencement of construction
   b) Professional surveyor fees for managing the construction work
   c) ATL's own staff wages for time spent working on construction
   d) A proportion of ATL's administration costs, based on staff time spent

6. Which TWO of the following items should be capitalised within the initial carrying amount of an item of plant?
   a) Cost of transporting the plant to the factory
   b) Cost of installing a new power supply required to operate the plant
   c) A deduction to reflect the estimated residual value
   d) Cost of a three-year maintenance agreement

7. An entity purchases a machine for Rs. 500,000. The machine has an expected residual value of Rs. 50,000 and a useful life of 5 years. What is total depreciation over 3 years using straight line method and reducing balance method?

   a) Straight line method Rs. 250,000; Reducing balance method Rs. 350,000
   b) Straight line method Rs. 300,000; Reducing balance method Rs. 280,587
   c) Straight line method Rs. 275,000; Reducing balance method Rs. 380,500
   d) Straight line method Rs. 270,000; Reducing balance method Rs. 374,381

8. A vehicle costs Rs. 800,000 and is depreciated at 20% annually using the reducing balance method. Another identical vehicle is depreciated using the straight-line method over 4 years with a residual value of Rs. 160,000. What are their respective book values at the end of Year 2?

   a) Straight line method Rs. 480,000; Reducing balance method Rs. 512,000
   b) Straight line method Rs. 480,000; Reducing balance method Rs. 480,000
   c) Straight line method Rs. 512,000; Reducing balance method Rs. 480,000
   d) Straight line method Rs. 512,000; Reducing balance method Rs. 512,000

9. An entity has built a new factory incurring the following costs:

	Rs. '000
Land	1,200
Materials	2,400
Labour	3,000
Architect's fees	25
Surveyor's fees	15
Site overheads	300
Apportioned administrative overheads	150
Testing of fire alarms	10
Business rates for first year	12
	7,112

   What will be the total amount capitalised in respect of the factory?

   a) Rs. 6,112,000
   b) Rs. 6,950,000
   c) Rs. 7,112,000
   d) Rs. 7,100,000

10. On 1 March 2018 Mercury Limited (ML) acquired a machine from Plant under the following terms:

	Rs. 000
List price of machine	82,000
Import duty	1,500
Delivery fees	2,050
Electrical installation costs	9,500
Pre-production testing	4,900
Purchase of a five-year maintenance contract with Plant	7,000

In addition to the above information ML was granted a trade discount of 10% on the initial list price of the asset and a settlement discount of 5% on remaining amount if payment for the machine was received within one month of purchase. ML expected and paid for the plant on 25 March 2018.

On what amount, the plant should be initially measured on acquisition?

a) Rs. 98,750,000
b) Rs. 95,060,000
c) Rs. 91,750,000
d) Rs. 88,060,000

11. Construction of Venice Limited's new store began on 1 April 2019. The following costs were incurred on the construction:

	Rs. 000
Freehold land	4,500
Architect fees	620
Site preparation	1,650
Materials	7,800
Direct labour costs	11,200
Legal fees	2,400
General overheads	940

The store was completed on 1 January 2020.

Calculate the amount to be included as property, plant and equipment in respect of the new store

a) Rs. 28,170,000
b) Rs. 29,110,000
c) Rs. 25,770,000
d) Rs. 23,670,000

12. On 1 March 2010 Earth Limited (EL) purchased an upgrade package from Sun Limited at a cost of Rs. 18 million for the machine it originally purchased in 2008. The upgrade took a total of two days where new components were added to the machine. EL agreed to purchase the package as the new components would lead to a reduction in production time per unit of 15%. This will enable EL to increase production without the need to purchase a new machine.

What is appropriate accounting treatment?

a) EL should expense this additional expenditure
b) EL should capitalise this additional expenditure in the cost of existing plant
c) EL should capitalise the 15% of Rs. 18 million in the cost of existing plant
d) None of the above is appropriate treatment

13. A machine price was Rs.1, 000,000 and was carried through a truck. The truck's fares were Rs. 20,000. The engineers charged Rs. 45,000 for the installation.

The cost of the machine is?

a) Rs.1,000,000
b) Rs.1,020,000
c) Rs.1,045,000
d) Rs.1,065,000

14. Which of the following is not a component of cost of an asset?

    a) Purchase price
    b) Import duties
    c) Refundable sales tax
    d) Installation and assembly costs

15. Which of these cost is capitalised as cost of an asset?

    a) Professional fees
    b) General overheads
    c) Initial operating losses
    d) Administration expenses

16. Which of the following is not capitalised as a directly attributable cost of a machine?

    a) Site preparation
    b) Initial testing cost
    c) Carriage inwards for fuel for the machinery
    d) Installation and assembly costs

17. An entity just received civil work bill from their contractor of Rs. 580,000 for construction of a new guard room and repair of sewerage system. It is estimated that 15% of total bill relates to repair work. What amount should be capitalised and/or charged as an expense?

    a) Capitalise Rs. 580,000
    b) Expense Rs. 580,000
    c) Capitalise Rs. 493,000 and Expense Rs. 87,000
    d) Expense Rs. 493,000 and Capitalise Rs. 87,000

18. On 22nd February an equipment was purchased for Rs. 800,000. It was delivered immediately. The entity paid Rs. 500,000 immediately and remaining are to be paid on 4th March.

    What journal entry should be recorded on 22nd February?

    a) Debit Equipment Rs. 800,000; Credit Bank Rs. 500,000; Credit Advance Rs. 300,000
    b) Debit Equipment Rs. 800,000; Credit Payables Rs. 500,000; Credit Bank Rs. 300,000
    c) Debit Equipment Rs. 800,000; Credit Bank Rs. 500,000; Credit Payables Rs. 300,000
    d) Debit Equipment Rs. 800,000; Credit Advance Rs. 500,000; Credit Payables Rs. 300,000

19. On 22nd February an equipment was ordered for Rs. 800,000 by paying 20% advance. It was delivered on 4th March when the entity paid 50% of amount due and promised remaining to be paid on 25th April.

    What journal entry should be recorded on 4th March?

    a) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 400,000 & Payables Rs. 240,000
    b) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 740,000
    c) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 320,000 & Payables Rs. 320,000
    d) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Payables Rs. 640,000

20. On 22nd February an equipment was ordered for Rs. 800,000 by paying 20% advance. It was delivered on 4th March when the entity paid 50% of total bill and promised remaining to be paid on 25th April.

    What journal entry should be recorded on 4th March?

    a) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 400,000 & Payables Rs. 240,000
    b) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 740,000
    c) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Bank Rs. 320,000 & Payables Rs. 320,000
    d) Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 & Payables Rs. 640,000

21. The purpose of depreciation is to:

    a) Allocate the cost less residual value on a systematic basis over the asset's useful life
    b) Write the asset down to its realisable value each period
    c) Accumulate a fund for asset replacement
    d) Recognise that assets lose value over time

22. Depreciable amount means;

    a) Cost of an asset + Residual value
    b) Cost of an asset – Residual value
    c) Cost of an asset – Residual value / useful life
    d) Residual value – Cost of an asset

23. What is the net amount an entity expects to obtain for an asset at the end of its useful life?

    a) Residual value
    b) Depreciated value
    c) Present value
    d) Fair value

24. Huge Ltd. purchases the machine for Rs.6 million. It has an estimated salvage value of Rs.1 million and a useful life of five years.

    What is the depreciation charged for the year under the straight line method?

    a) Rs.1,200,000
    b) Rs.1,000,000
    c) Rs.800,000
    d) None of the above

25. Small Limited purchased a machine for Rs. 8 million. It has an estimated residual value of Rs. 1.5 million and useful life of seven years. Calculate depreciation percentage (to be applied to cost) under straight line method.

    a) 7%
    b) 12.7%
    c) 11.6%
    d) 7.11%

26. An item of plant was purchased on 1 April 2008 for Rs. 2,000,000 and is being depreciated at 25% on a reducing balance basis. What would be its residual value after its useful life of 5 years?

    a) Rs. 632,809
    b) Rs. NIL
    c) Rs. 474,609
    d) Rs. 400,000

27. Small Ltd. purchases the equipment for Rs. 600,000. It has an estimated salvage value of Rs. 100,000 and a useful life of five years.

    What is the book value of equipment under the reducing balance method at the end of its useful life?

    a) Rs.163,840
    b) Rs.165,000
    c) Rs.120,000
    d) Rs.100,000

28. Small Limited purchased a machine for Rs. 8 million. It has an estimated residual value of Rs. 1.5 million and useful life of seven years. Calculate depreciation percentage (to be applied to cost) under reducing balance method.

    a) 21.27%
    b) 22.63%
    c) 23.45%
    d) 24.55%

29. Under which of the following methods of depreciation the expense may be zero in the period in which asset is not used at all?

    a) Straight line method
    b) Reducing balance method
    c) Units of production method
    d) Sum of digits' method

30. An aeroplane engine was acquired for Rs. 75 million and has life of 48000 flying hours. The plane was flown 1800 hours during the year. What amount of depreciation should be charged in profit or loss?

    a) Rs. 2,812.5
    b) Rs. 2,500,000
    c) Rs. 2,500
    d) Rs. 2,812,500

31. A motor vehicle cost Rs. 400,000. It has an expected residual value after 5 years of Rs. 40,000.

    If the sum of the digits method of depreciation is used, what will be the carrying amount of the asset at the end of Year 2?

    a) Rs. 96,000
    b) Rs. 120,000
    c) Rs. 280,000
    d) Rs. 184,000

32. Medium Ltd. purchases the car for Rs. 2,200,000. It has an estimated salvage value of Rs. 200,000 and a useful life of five years.

    What is the depreciation charge for the first year under the sum-of-the-year digit method?

    a) Rs. 400,000
    b) Rs. 555,555
    c) Rs. 666,667
    d) None of the above

33. Normal Limited purchased premises for Rs. 16 million with no salvage value and useful life of 45 years.

    What is the depreciation charge for the fourth year under the sum-of-the-year digit method?

    a) Rs. 4,692,754
    b) Rs. 6,492,754
    c) Rs. 7,544,926
    d) Rs. 5,744,926

34. Hunza Limited acquired a new office building on 1 October 2014. Its initial carrying amount consisted of:

	Rs. 000
Land	2,000
Building structure	10,000
Air conditioning system	4,000
	16,000

    The estimated lives of the building structure and air conditioning system are 25 years and 10 years respectively.

    When the air conditioning system is due for replacement, it is estimated that the old system will be dismantled and sold for Rs. 500,000.

    Depreciation is time-apportioned where appropriate.

    At what amount will the non-current assets be shown in Hunza Limited's statement of financial position as at 31 March 2015?

    a) Rs. 15,625,000
    b) Rs. 15,250,000
    c) Rs. 15,585,000
    d) Rs. 15,600,000

35. An entity purchases land with an office building. The building has a useful life of 20 years. How should the land be depreciated?

    a) Depreciate over 20 years
    b) Depreciate over useful life of the land
    c) Do not depreciate the land
    d) None of these

36. If an asset is idle then?

    a) Depreciation is paused
    b) Depreciation for the entire period is ignored
    c) Depreciation is ignored only for the period in which asset is idle
    d) Depreciation continues to be charged

37. Tom Limited runs a sports equipment manufacturing business with a year end of 31 December 2019. On 1 April 2019, Tom Limited acquired a delivery truck at a cost of Rs. 4,800,000. The expected life of the truck is 8 years and residual value is expected to be nil. What is depreciation charge for 2019 on straight line basis?

    a) Rs. 600,000
    b) Rs. 800,000
    c) Rs. 450,000
    d) Rs. 500,000

38. An entity which makes up its accounts annually to 31 December provides for depreciation of its machinery at the rate of 10% per annum using the straight line method.

    On 31 December 2016, the machinery consisted of three items purchased as under:

On 1 January 2014	Machine A	Cost Rs. 3,000,000
On 1 April 2015	Machine B	Cost Rs. 2,000,000
On 1 July 2016	Machine C	Cost Rs. 4,000,000

    What would be depreciation charge for the year 2016?

    a) Rs. 600,000
    b) Rs. 628,000
    c) Rs. 700,000
    d) Rs. 900,000

39. An entity which makes up its accounts annually to 31 December provides for depreciation of its machinery at the rate of 10% per annum using the reducing balance method.

    On 31 December 2016, the machinery consisted of three items purchased as under:

On 1 January 2014	Machine A	Cost Rs. 3,000,000
On 1 April 2015	Machine B	Cost Rs. 2,000,000
On 1 July 2016	Machine C	Cost Rs. 4,000,000

    What would be depreciation charge for the year 2016?

    a) Rs. 600,000
    b) Rs. 628,000
    c) Rs. 700,000
    d) Rs. 900,000

40. An entity which makes up its accounts annually to 31 December provided for depreciation of its equipment at the rate of 10% per annum using the reducing balance method since it was bought on 1 January 2018 for Rs. 4,000,000.

    On 1 January 2021, the entity concluded that straight line method would be more appropriate for this equipment and estimated remaining useful life of 5 years with residual value of Rs. 500,000 at the end of useful life.

    What is depreciation expense for the year ended 31 December 2021?

    a) Rs. 816,097
    b) Rs. 460,000
    c) Rs. 700,000
    d) Rs. 483,200

41. An entity which makes up its accounts annually to 31 December provided for depreciation of its equipment at the rate of 10% per annum using straight line method since it was bought on 1 January 2018 for Rs. 4,000,000.

    On 1 January 2021, the entity concluded that reducing balance method would be more appropriate for this equipment and estimated remaining useful life of 5 years with residual value of Rs. 500,000 at the end of useful life.

    What is depreciation expense for the year ended 31 December 2021?

    a) Rs. 816,097
    b) Rs. 460,000
    c) Rs. 700,000
    d) Rs. 483,200

42. How often should the residual value of an asset be reviewed?

    a) Every six months
    b) As and when the market value will significantly change
    c) At the end of each reporting period
    d) Never

43. How often should the useful life of an asset be reviewed?

    a) Every six months
    b) As and when the market value will significantly change
    c) At the end of each reporting period
    d) Never

44. At financial year end of 31 December 2020, an entity reported the following in its statement of financial position:

		Rs. in million
Property, plant and equipment	– Cost	860
	– Accumulated depreciation	(260)
		600

    On 31 August 2021, the entity purchased another item of equipment for Rs. 100 million. Depreciation is charged at 20% per annum on pro rata basis using straight line method.

    What is the depreciation charge for the year ended 31 December 2021?

    a) Rs. 192 million
    b) Rs. 178.67 million
    c) Rs. 140 million
    d) Rs. 126.67 million

45. At financial year end of 31 December 2020, an entity reported the following in its statement of financial position:

		Rs. in million
Property, plant and equipment	– Cost	860
	– Accumulated depreciation	(260)
		600

    On 31 August 2021, the entity purchased another item of equipment for Rs. 100 million. Depreciation is charged at 20% per annum on pro rata basis using reducing balance method.

What is the depreciation charge for the year ended 31 December 2021?

a) Rs. 192 million
b) Rs. 178.67 million
c) Rs. 140 million
d) Rs. 126.67 million

46. At financial year end of 31 December 2020, an entity reported the following in its statement of financial position:

		Rs. in million
Property, plant and equipment	– Cost	860
	– Accumulated depreciation	(260)
		600

The cost amount of Rs. 860 million includes Rs. 150 million relating to freehold land. On 31 August 2021, the entity purchased another item of equipment for Rs. 100 million. Depreciation is charged at 20% per annum on pro rata basis using reducing balance method.

What is the depreciation charge for the year ended 31 December 2021?

a) Rs. 96.67 million
b) Rs. 106.67 million
c) Rs. 116.67 million
d) Rs. 126.67 million

47. A non-current asset was bought for Rs. 1,400,000 on 1 January 2019. It has estimated useful life of 3 years and residual value of Rs. 200,000. The entity uses reducing balance method of depreciation. What would be carrying amount of this asset on 31 December 2021?

a) Rs. 100,000
b) Rs. 200,000
c) Rs. 300,000
d) Rs. 400,000

48. A non-current asset was bought for Rs. 1,400,000 on 1 January 2019. It has estimated useful life of 3 years and residual value of Rs. 200,000. The entity uses reducing balance method of depreciation. Calculate the total depreciation to be charged throughout the useful life of the asset?

a) Rs. 1,000,000
b) Rs. 1,100,000
c) Rs. 1,200,000
d) Rs. 1,300,000

49. The following are details for two entities as at 30 June 2021:

	Entity A	Entity B
Property, plant and equipment	**Rs.**	**Rs.**
Cost	100,000,000	25,000,000
Less: Accumulated depreciation	(80,000,000)	(5,000,000)
	20,000,000	20,000,000

Which TWO of the following statements are correct?

a) The details above do not provide any comparable information.
b) Entity A has initially invested more in non-current assets as compared to Entity B
c) Entity A has older assets as compared to Entity B
d) Entity A profitability must be higher than Entity B

50. Jupiter Limited (JL) purchased a machine on 1 July 2017 for Rs. 500,000. It is being depreciated on a straight line basis over its expected life of ten years. Residual value is estimated at Rs. 20,000. On 1 January 2018, following a change in legislation, JL fitted a safety guard to the machine. The safety guard cost Rs. 25,000 and has a useful life of five years with no residual value.

What amount will be charged to profit or loss for the year ended 31 March 2018 in respect of depreciation on this machine?

Rs. _____

ANSWERS

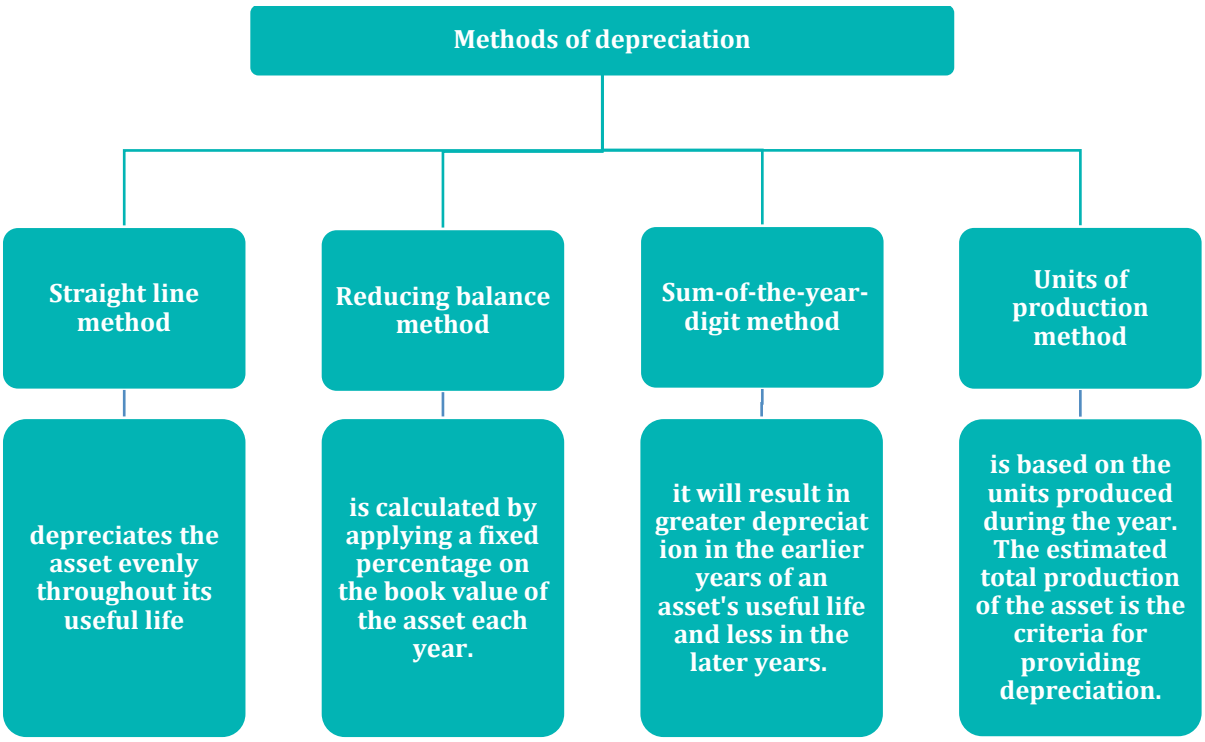
01.	**(d)**	Items held for resale are inventories and not property, plant and equipment.
02.	**(c)**	Plot of land held for resale is inventory and not property, plant and equipment.
03.	**(c)**	Assets held for sale in the normal course of business are inventories.
04.	**(b) & (d)**	Direct costs relating to the acquisition of the asset can be included such as materials and labour costs, the administration cost is not a direct cost. Also costs relating to errors or wastage cannot be capitalised.
05.	**(d)**	Administration costs or share thereof cannot be capitalised.
06.	**(a) & (b)**	The maintenance costs should be expensed as incurred over three years. The residual value should be taken into account for the purposes of calculating depreciation, but not for the amount to be capitalised.
07.	**(d)**	**Straight line method:** (Rs. 500,000 – 50,000) / 5 years x 3 years = Rs. 270,000 **Reducing balance rate =** $1-\sqrt[5]{\frac{50,000}{500,000}}$ =36.9% **Reducing balance method** Year 1 = Rs. 500,000 x 36.9% = 184,500 Year 2 = [Rs. 500,000 – 184, 500 = 315,500] x 36.9% = 116,420 Year 3 = [Rs. 315,500 – 116,420 = 199,080] x 36.9% = 73,461 Total over 3 years = Rs. 374,381
08.	**(a)**	**For the straight-line method:** Annual depreciation = (Cost - Residual) ÷ Useful life = (800,000 - 160,000) ÷ 4 = Rs. 160,000. After 2 years: Book value = 800,000 - (160,000 × 2) = Rs. 480,000. **For the reducing balance method (20% rate):** Year 1: 20% × 800,000 = 160,000 → Book value = 640,000. Year 2: 20% × 640,000 = 128,000 → Book value = 640,000 - 128,000 = Rs. 512,000. Thus, after 2 years, the reducing balance method results in a higher book value (Rs. 512,000) compared to straight-line (Rs. 480,000).
09.	**(b)**	**Rs. 000** Land 1,200 Materials 2,400 Labour 3,000 Architects fees 25 Surveyors fees 15 Site overheads 300 Testing fire alarms 10 6,950
10.	**(d)**	**Rs. 000** List price of machine 82,000 Less: trade discount 10% (8,200) 73,800

		Less: cash discount 5% (3,690) Import duty 1,500 Delivery fees 2,050 Electrical installation costs 9,500 Pre-production testing 4,900 88,060
11.	**(a)**	**Rs. 000** Freehold land 4,500 Architect fees 620 Site preparation 1,650 Materials 7,800 Direct labour costs 11,200 Legal fees 2,400 28,170
12.	**(b)**	The additional amount should be capitalised as it is probable that economic benefits would increase.
13.	**(d)**	Rs. 1,000,000 + 20,000 + 45,000 = Rs. 1,065,000
14.	**(c)**	Refundable sales tax is not a cost as it would be received back.
15.	**(a)**	Professional fees are directly attributable expenditure. Other items are not.
16.	**(c)**	Carriage inwards for fuel for the machinery are revenue expenditure.
17.	**(c)**	New room is improvement and the repair work is revenue expenditure. Capitalised Rs. 580,000 x 85% = Rs. 493,000 Expense Rs. 580,000 x 15% = Rs. 87,000
18.	**(c)**	Debit Equipment Rs. 800,000; Credit Bank Rs. 500,000; Credit Payables Rs. 300,000
19.	**(c)**	Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 [800,000 x 20%] Credit Bank Rs. 320,000 [(800,000 – 160,000) x 50%] Credit Payables Rs. 320,000 [(800,000 – 160,000) x 50%]
20.	**(a)**	Debit Equipment Rs. 800,000; Credit Advance Rs. 160,000 [800,000 x 20%] Credit Bank Rs. 320,000 [(800,000 x 50%] Credit Payables Rs. 320,000 [Remaining]
21.	**(a)**	The depreciation is systematic allocation of depreciable amount of an asset over its useful life.
22.	**(b)**	Depreciable amount = Cost less residual value
23.	**(a)**	Residual value is amount expected at the end of useful life.
24.	**(b)**	(Rs. 6m – 1m) / 5 years = Rs. 1 million
25.	**(c)**	= 6.5m / (8m x 7 years) = 11.6%
26.	**(c)**	Rs. 2,000,000 x $(0.75)^5$ = 474,609
27.	**(d)**	The carrying amount of an asset is equal to its residual value at the end of useful life, under any depreciation method.

28.	**(a)**	
29.	**(c)**	Units of production method
30.	**(d)**	Rs. 75,000,000 / 48,000 x 1,800 = Rs. 2,812,500
31.	**(d)**	***Sum of digits = 5 + 4 + 3 + 2 + 1 = 15*** **Rs.** Cost of asset 400,000 Year 1 Depreciation (400,000 – 40,000) x 5/15 (120,000) Carrying amount at the end of year 1 280,000 Year 2 Depreciation (400,000 – 40,000) x 4/15 (96,000) Carrying amount at the end of year 2 184,000
32.	**(c)**	Sum of digits = 5 + 4 +3 +2 +1 = 15 (Rs. 2,200,000 – 200,000) x 5/15 = Rs. 666,667
33.	**(b)**	Sum of digits = [45 (45+1)] /2 = 1035 Depreciation 4th year = Rs. 160m x 42/1035 = Rs. 6,492,754
34.	**(a)**	Six months' depreciation is required on the building structure and air conditioning system. **Rs. 000** Land (not depreciated) 2,000 Building structure (10,000 – (10,000/25 × 6/12)) 9,800 Air conditioning system (4,000 – (3,500/10 × 6/12)) 3,825 15,625
35.	**(c)**	Land is not depreciated because it has indefinite life.
36.	**(d)**	Depreciation continues even if the asset is not in use.
37.	**(c)**	Rs. 4,800,000/8 years = Rs. 600,000 x 9/12 = Rs. 450,000
38.	**(c)**	Rs. 3,000,000 x 10% x 12/12 = Rs. 300,000 Rs. 2,000,000 x 10% x 12/12 = Rs. 200,000 Rs. 4,000,000 x 10% x 6/12 = Rs. 200,000 Total Rs. 700,000
39.	**(b)**	(Rs. 3,000,000 – 300,000 – 270,000) x 10% x 12/12 = Rs. 243,000 (Rs. 2,000,000 – 150,000) x 10% x 12/12 = Rs. 185,000 Rs. 4,000,000 x 10% x 6/12 = Rs. 200,000 Total Rs. 628,000
40.	**(d)**	Carrying amount on 1 Jan 2021 = Rs. 4,000,000 x $(0.90)^3$=Rs. 2,916,000 Depreciation 2021 = Rs. (2,916,000 – 500,000) / 5 years = Rs. 483,200
41.	**(a)**	Carrying amount on 1 Jan 2021 = Rs. 4,000,000 - (400,000 x 3) = Rs. 2,800,000 Depreciation rate = 1 – (500,000/2,800,000) $^{(1/5)}$ = 29.15% Depreciation 2021 = Rs. 2,800,000 x 29.15% = Rs. 816,097
42.	**(c)**	Residual value is reviewed annually at the end of each reporting period
43.	**(c)**	Useful life is reviewed annually at the end of each reporting period

44.	**(b)**	Rs. 860 m x 20% x 12/12 = Rs. 172 million Rs. 100 m x 20% x 4/12 = Rs. 6.67 million Total Rs. 178.67 million
45.	**(d)**	Rs. 600 m x 20% x 12/12 = Rs. 120 million Rs. 100 m x 20% x 4/12 = Rs. 6.67 million Total Rs. 126.67 million
46.	**(a)**	Rs. (600 m – 150m) x 20% x 12/12 = Rs. 90 million [Depreciation of existing assets] Rs. 100 m x 20% x 4/12 = Rs. 6.67 million [Depreciation of new assets] Total Rs. 96.67 million [Total depreciation]
47.	**(b)**	At the end of useful life, the carrying amount of asset becomes equal to its residual value.
48.	**(c)**	The total depreciation throughout useful life is equal to depreciable amount. = Rs. 1,400,000 – 200,000 = Rs. 1,200,000
49.	**(b) & (c)**	Entity A has initially invested more in non-current assets as compared to Entity B. Entity A has older assets as compared to Entity B.
50.	**Rs. 37,250**	**Rs. '000** Machine ((500,000 – 20,000) / 10 × 9/12) 36,000 Safety guard ((25,000/5) × 3/12) 1,250 37,250

STICKY NOTES



Formula of methods of Depreciation

Formula: Straight-line method

$$\text{Depreciation charge} = \frac{\text{Cost of asset less expected residual value}}{\text{Expected useful life (years)}}$$

Formula: Reducing balance method

$$\text{Depreciation charge} = \text{Carrying amount at the start of the year} \times \text{Fixed \%}$$

Formula: Sum of the years digits method

$$\text{Sum of years digits} = \frac{n(n+1)}{2}$$

Where:

n = the useful life at the start of ownership

Formula: Units of production method

$$\text{Depreciation charge} = \frac{\text{Cost of asset less expected residual value}}{\text{Expected total output of asset over its life}} \times \text{Output this year}$$

CHAPTER 7

IAS 2: INVENTORIES

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Measurement: Lower of Cost and NRV
2. Cost Formulas: FIFO and Weighted Average
3. Recognition and Disclosures
4. Recording Inventories: Periodic vs Perpetual
5. Comprehensive Examples
6. Objective Based Q&A

STICKY NOTES

AT A GLANCE

Inventory represents unsold stock lying with the entity. It is the most important tangible current asset on an entity's statement of financial position. When an inventory item is sold, its carrying cost is transferred to the cost of goods sold and profit is recognised on such sale.

Inventories are measured at lower of cost and net realisable value (NRV). Cost comprises cost of purchases, conversion costs and other costs incurred in bringing the inventories to their present location and condition. NRV is net amount expected to be realised by selling inventories.

It must be noted that materials prices affect the value of entity's inventory, it is important to understand how an entity accounts for its inventory. Most common methods of inventory valuation are First-In, First Out (FIFO) method and Weighted average method.

There are two inventory recording systems. One is Periodic inventory system in which inventory is recorded on the basis of physical count periodically by passing an adjustment entry. Other method is perpetual inventory system, in which inventory account is updated with every transaction which increases or decreases the value of inventory, thus resulting in better control over inventory.

There are generally three reasons entities maintain inventories:

i. Meeting variation in production demand;

ii. Economies of scale in procurement;

iii. Guarding against price increases and stock outs.

1 MEASUREMENT: LOWER OF COST AND NRV

INTRODUCTION

IAS 2 Inventories deals with accounting for inventories.

Inventories are assets:

a) held for sale in the ordinary course of business (finished goods);

b) in the process of production for such sale (work in process); or

c) in the form of materials or supplies to be consumed in the production process or in the rendering of services (raw materials and other supplies).

Goods in transit

Goods in transit are also categorised as inventory of buyer entity, where control (risk and rewards) is transferred to the buyer.

The basic requirement for counting an item in inventory is economic control rather than physical possession (substance over form). Therefore, when an entity purchases inventory, the item is included in the inventory even if the purchaser does not have physical possession of those items.

Measurement

Inventories are measured at ***lower*** of cost and net realisable value (NRV).

COSTS OF INVENTORIES

The costs of inventories shall comprise:

a) all costs of purchase,

b) costs of conversion,

c) other costs incurred in bringing the inventories into their present location and condition e.g. it may be appropriate to include non- production overheads or the costs of designing products for specific customers.

Costs of Purchase

The following table summarises the measurement of costs of purchase.

Include	Exclude
Purchase price	
Non-refundable import duties	Refundable sales tax
Non-adjustable taxes	Adjustable income tax
Transport and handling costs	Costs not directly attributable to acquisition
Other costs directly attributable to acquisition	Discounts and rebates

▶ *Example 01:*

Sajid Ltd imported raw material for use in production of goods with following details:

	Rs (000)
Invoice value (List price Rs. 1,050,000; trade discount Rs. 50,000)	1,000
Custom duty	150
Federal excise duty	50
Non adjusting income tax	225
Refundable sales tax	180
Carriage	40
Commission paid to agent for clearance of raw materials	100

Required:

Calculate the cost of purchase on inventories.

▶ *ANSWER*

Cost of purchase	Rs (000)
Invoice value (net of discount)	1,000
Customs duty	150
Federal excise duty	50
Non-adjustable income tax	225
Carriage	40
Commission to agent	100
	1,565

Costs of Conversion

These include:

a) costs directly related to the units of production, such as direct labour

b) a systematic allocation of fixed and variable production overheads that are incurred in converting materials into finished goods.

Fixed production overheads

Fixed production overheads are those indirect costs of production that remain relatively constant regardless of the volume of production, such as depreciation and maintenance of factory buildings and equipment, and the cost of factory management and administration.

Variable production overheads

Variable production overheads are those indirect costs of production that vary directly, or nearly directly, with the volume of production, such as indirect materials and indirect labour.

Costs to be excluded

Examples of costs excluded from the cost of inventories and recognised as expenses in the period in which they are incurred are:

i. abnormal losses and wastages;

ii. storage costs, unless necessary for the production process;

iii. administrative overheads; and

iv. selling costs.

Storage costs of raw materials requiring further processing may be included in the cost of inventory. However, storage cost of finished goods is not included in the cost of inventory as it does not contribute to bringing the inventory to its present location and condition.

Level of Production

The conversion costs are included in inventory on the basis of following levels of production:

Cost	Level of activity
Direct labour and other direct costs	Actual level of production
Variable production overheads	Actual level of production
Fixed production overhead	Normal production capacity (actual production is used, if it exceeds normal capacity).

Normal capacity

Normal capacity is the production expected to be achieved on average over a number of periods or seasons under normal circumstances, taking into account the loss of capacity resulting from planned maintenance.

▶ *Example 02:*

Khewra Manufacturing was formed on 1 January 2015. The entity manufactures and sells a single product and values it on a first-in, first-out basis. One ton of raw material is processed into one ton of finished goods.

The following details relate to 2015.

Purchases of raw materials	
Purchases:	1,000 tons of raw materials per week
Price:	Rs. 100,000 per ton on 1 January, increasing to Rs.150,000 per ton on 1 July
Import duties:	Rs.10,000 per ton
Transport from docks to factory:	Rs.20,000 per ton
Production costs	
Production capacity:	1,000 tons per week
Variable costs:	Rs.25,000 per ton
Fixed costs:	Rs.30,000,000 per week
Inventories at 31 December 2015	
Raw materials:	2,000 tons
Finished goods:	2,000 tons

Required:

Calculate the cost of inventories at 31 December 2015 in accordance with IAS 2.

▶ *ANSWER*

	Rs.
Raw materials (2,000 tons x 180,000 **W1**)	360,000,000
Finished goods (2,000 tons x 235,000 **W1**)	470,000,000
	830,000,000

Working 1 – Cost per ton	Rs.
Raw material	150,000
Import duties	10,000
Transport cost	20,000
Raw material cost	180,000
Variable cost	25,000
Fixed cost (30,000,000 / 1,000 normal level of capacity)	30,000
Finished goods costs	235,000

▶ *Example 03:*

NKL Enterprises produces a single product. On July 31, 2015, the finished goods inventory consisted of 4,000 units valued at Rs. 220 per unit and the inventory of raw materials was worth Rs. 540,000. For the month of August 2015, the books of account show the following:

	Rupees
Raw material purchases	845,000
Direct labour	735,000
Selling costs	248,000
Depreciation on plant and machinery	80,000
Distribution costs	89,560
Factory manager's salary	47,600
Indirect labour	148,000
Indirect material consumed	45,000
Other production overheads	84,000
Other accounting costs	60,540
Other administration overheads	188,600

Other information:

i. 8,000 units of finished goods were produced during August 2015.

ii. The value of raw materials on August 31, 2015 amounted to Rs. 600,000.

iii. There was no work-in-progress at the start of the month. However, on August 31, the value of work-in-progress is approximately Rs. 250,000.

iv. 5,000 units of finished goods were available in inventory as on August 31, 2015.

Required:

Compute the value of closing inventory of finished goods as on August 31, 2015 based on weighted average cost method.

ANSWER

Cost of closing inventory 5,000 units x 212.88 **W1**= **Rs. 1,064,400**

W1 - Finished goods	Units	Amount
Opening inventory	4,000	880,000
Production **W2**	8,000	1,674,600
Total	**12,000**	**2,554,600**

Per unit cost of closing inventory = 2,554,600/12,000 = **Rs. 212.88**

W2 - Cost of production	Rupees
Raw material: Opening inventory	540,000
Purchases	845,000
Closing inventory	(600,000)
Raw material consumed	785,000
Direct labour	735,000
Depreciation cost	80,000
Factory manager's salary	47,600
Indirect labour	148,000
Indirect material consumed	45,000
Other production overheads	84,000
	1,924,600
Less: work-in-progress (closing)	(250,000)
Cost of 8,000 units of finished goods produced	**1,674,600**

NET REALISABLE VALUE (NRV)

NRV is the estimated selling price in the ordinary course of business

less the estimated costs of completion **and**

less the estimated costs necessary to make the sale.

The estimated selling price may or may not be equal to fair value depending upon how entity sells in the ordinary course of business.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Write down

The following points should be noted:

- Inventories are originally recorded at cost
- Inventories are to be measured at lower of cost and NRV

The above has following implication:

- If cost is lower, no adjustment is needed
- If NRV is lower, the carrying amount of inventories is reduced (written down) to its NRV and the difference is recorded (in periodic system, automatically) as an expense (loss).

The practice of writing inventories down below cost to NRV is consistent with the view that assets should not be carried in excess of amounts expected to be realised from their sale or use.

Reasons for write down

The cost of inventories may not be recoverable if:

- those inventories are damaged;
- wholly or partially obsolete;
- their selling prices have declined;
- the estimated costs of completion have increased; or
- the estimated costs to be incurred to make the sale have increased.

Item by Item

Inventories are usually written down to NRV item by item. In some circumstances, however, it may be appropriate to group similar or related items. It is not appropriate to write inventories down on the basis of a classification of inventory, for example, finished goods, or all the inventories in a particular operating segment.

NRV of raw material

Materials and other supplies held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost.

▶ *Example 04:*

Goods purchased to be resold, cost of Rs. 10,000 have been damaged. At the year-end their replacement buying price is Rs. 9,000. They can be sold in the normal course of business for Rs.14000, provided Rs. 4,500 is spent on rectifying the damage.

Required:

At what amount should the stock be valued?

▶ *ANSWER*

	Rs.
Cost	10,000
NRV (Rs. 14,000 – 4,500)	9,500
Value to be reported in financial statements (lower)	9,500
Write down to NRV (loss) Rs. 10,000 – 9,500	500

▶ *Example 05:*

Chintu Co. deals in two products namely product A and Product B, the details related to each product is as follows:

Product A

At 31 December 2001, Chintu Co. had 100,000 units of Product A with a carrying amount Rs. 400,000. Of this, 20,000 units had been set-aside for XYZ Limited in terms of a firm sales commitment at Rs. 6 per unit. The current selling price per unit is Rs. 4. Selling costs for the 20,000 unit is only Rs. 1,000 whereas the normal estimated selling costs are Re. 1 per unit.

Product B

Product B has been placed in a warehouse with little infra structure, the factory manager informed the management on 15 January 2002 that the entire warehouse and all the inventory contained therein, with a carrying amount of Rs. 900,000 – had been destroyed in a series of storms. The first storm hit the warehouse on 29 December 2001 destroying 70% of the inventory. He explained that the remaining inventory was quickly moved to higher ground but flood waters from a second storm on 5 January 2002 destroyed this too. He estimates that the entire inventory will be saleable as scrap for Rs. 100,000.

Costs to sell the entire inventory as scrap is estimated at Rs. 1,000. The normal sales value for the entire inventory would have been Rs. 1,500,000 and the selling costs would have been 10% thereof.

Required

Calculate net realisable value as at 31st December 2001.

▶ *ANSWER*

Product A

		Rs.
Estimated selling price	(20,000 x Rs. 6) + (80,000 x Rs. 4)	440,000
Less: Selling costs	(Rs. 1,000) + (80,000 x Re. 1)	(81,000)
		359,000

Product B

Estimated selling price	(Rs. 100,000 x 70%) + (Rs.1,500,000 x 30%)	520,000
Less: Selling costs	(Rs. 1,000 x 70%) + (Rs. 1,500,000 x 30% x 10%)	(45,700)
		474,300
Total Value		***833,300***

▶ *Example 06:*

HM has following products in hand as at 31st December 2001, the relevant information is as follows:

Product	Cost	Estimated selling price (ESP)	Estimated Selling Cost (ESC)	Estimated cost to complete sales (ECCS)	Ratio of credit sales based on past experience	Recovery cost	Bad debt expense
A	100,000	20% mark up	5% of ESP	15% of cost	60%	1% of cost	5%
B	270,000	15% margin	3% of ESP	7% of cost	40%	1% of cost	3%
C	830,000	25% mark up	6% of ESP	20% of cost	20%	1% of cost	2%
D	690,000	30% mark up	8% of ESP	22% of cost	0%	0%	0%
E	500,000	50% margin	10% of ESP	2% of cost	100%	2% of cost	10%

Based on above information, calculate the value of inventories to be shown in financial statements and NRV loss to be booked if any.

▶ *ANSWER*

Product	Cost	ESP	ESC	ECCS	NRV	Lower	(Loss)
	Rs.						
A	100,000	120,000	6,000	15,000	99,000	99,000	(1,000)
B	270,000	317,647	9,529	18,900	289,218	270,000	-
C	830,000	1,037,500	62,250	166,000	809,250	809,250	(20,750)
D	690,000	897,000	71,760	151,800	673,440	673,440	(16,560)
E	500,000	1,000,000	100,000	10,000	890,000	500,000	-
Total						2,351,690	(38,310)

▶ *Example 07:*

Marfani & Co. has purchased goods costing Rs. 100,000 at the start of 2001, however the goods remain unsold for 5 years and the estimated selling prices (ESP) and estimated cost of realisation (ECR) were as follows as at each year end:

	Estimated Selling price (ESP)	Estimated Cost of Realisation (ECR)
	Rupees	
01-Jan-01	220,000	20,000
31-Dec-01	135,000	15,000
31-Dec-02	100,000	10,000
31-Dec-03	90,000	15,000
31-Dec-04	110,000	15,000
31-Dec-05	120,000	10,000

Required:

As at each year end, calculate the value at which inventory should be reported in the financial statements of Marfani & Co. and NRV loss/reversal of any write down for each accounting year assuming year end is 31st December.

▶ *ANSWER*

Date	Cost	ESP	ECR	NRV	Lower	(Loss)/Reversal
	Rs.					
01.01.01	100,000	220,000	20,000	200,000	100,000	-
31.12.01	100,000	135,000	15,000	120,000	100,000	-
31.12.02	100,000	100,000	10,000	90,000	90,000	(10,000)
31.12.03	100,000	90,000	15,000	75,000	75,000	(15,000)
31.12.04	100,000	110,000	15,000	95,000	95,000	20,000
31.12.05	100,000	120,000	10,000	110,000	100,000	5,000

▶ *Example 08:*

M/S Lasani Associates have provided you with the following working papers regarding inventory on hand at 31 December 2002. The entity is a manufacturer of two product lines:

	Cost Rs.	NRV Rs.	Write Down Rs.
Raw Materials	200,000	150,000	50,000
-Air cooler parts	80,000	50,000	-
-Fans parts	120,000	100,000	-
Work In progress	160,000	170,000	-
-Air cooler	60,000	50,000	-
-Fans	100,000	120,000	-
Finished goods	320,000	330,000	-
-Air cooler	160,000	110,000	-
-Fans	160,000	220,000	-
	680,000	650,000	50,000

Due to the strengthening of the local currency, the parts used in the manufacture of both the air coolers and fans became cheaper. As a direct result thereof, the net realisable value of both the finished air coolers and fans also dropped.

Required:

Critically analyse, whether the write down has been calculated correctly.

▶ *ANSWER*

The calculation of possible write-downs of inventory must not be done based on the classifications (raw materials, work-in-progress and finished goods) but should be assessed on an item-by-item basis.

Although both items of raw materials have net realisable values that are lower than cost, raw materials should not be written-down unless the reason for the drop in the NRV of the raw materials has also resulted in the NRV of the related finished product also dropping.

Since the NRV of the finished air coolers has dropped below cost, air coolers (raw materials) should be written-down to their net realisable value (the NRV in this case is usually the net replacement cost).

Despite the NRV of the finished fans having dropped, the NRV of the fan parts has not dropped below cost. The fan parts (raw materials) should therefore not be written-down.

Calculation of write down	Cost Rs.	NRV Rs.	NRV Loss Rs.
Air coolers			
Raw Materials	80,000	50,000	30,000
WIP	60,000	50,000	10,000
Finished goods	160,000	110,000	50,000
Fans			
Raw Materials	120,000	100,000	-
WIP	100,000	120,000	-
Finished goods	160,000	220,000	-
			90,000

▶ *Example 09:*

Cheesecake Limited produces cheese cakes for the local market. At its financial year ended 30 September 2005, it had raw materials of Rs. 320,000 on hand (market value has declined to Rs. 300,000 only). It is expected that the cost to convert the raw materials into finished cheese cakes is Rs. 80,000.

Required

Calculate the net realisable value of the raw materials and amount of the write-down, if any, assuming that, once converted into the finished cheese cakes, the total inventory of cheese cakes would have a:

i. sales value of Rs. 480,000, where related selling costs would be Rs. 40,000.

ii. sales value of Rs. 400,000, where related selling costs would be Rs. 40,000.

▶ *ANSWER*

Part (i)

Finished goods are expected to sold at Rs. 440,000 (i.e. 480,000 – 40,000) which is above cost of such finished goods of Rs. 400,000 (i.e. Rs. 320,000 + 80,000). Materials are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost.

Further, NRV of raw material is Rs. 360,000 (i.e. Rs. 480,000 – 80,000 cost of completion – 40,000 selling costs) which is above its cost of Rs. 320,000. Therefore, no write down is required.

- Cost Rs. 320,000
- NRV Rs. 360,000
- Lower Rs. 320,000
- Write down not required.

Part (ii)

Finished goods are expected to sold at Rs. 360,000 (i.e. 400,000 – 40,000) which is NOT above cost of such finished goods of Rs. 400,000 (i.e. Rs. 320,000 + 80,000). Raw materials may be written down to its NRV in these circumstances.

NRV of raw material is Rs. 280,000 (i.e. Rs. 400,000 – 80,000 cost of completion – 40,000 selling costs) which is below its cost of Rs. 320,000. Therefore, write down by Rs. 40,000 is required.

- Cost Rs. 320,000
- NRV Rs. 300,000
- Lower Rs. 300,000
- Write down of Rs. 20,000 is required.

2 COST FORMULAS: FIFO AND WEIGHTED AVERAGE

COST FORMULAS

Specific identification of costs is necessary for:

- NOT ordinarily interchangeable goods.
- Goods produced and segregated for specific projects

However, an efficient way is to use any of the following cost formula for ordinarily interchangeable goods:

- First In First Out (FIFO): The FIFO formula assumes that the items of inventory that were purchased or produced first are sold first, and consequently the items remaining in inventory at the end of the period are those most recently purchased or produced.
- Weighted Average: Under the weighted average cost formula, the cost of each item is determined from the weighted average of the cost of similar items at the beginning of a period and the cost of similar items purchased or produced during the period. The average may be calculated on a periodic basis, or as each additional shipment is received, depending upon the circumstances of the entity.

Consistency

An entity shall use the same cost formula for all inventories having a similar nature and use to the entity.

For inventories with a different nature or use, different cost formulas may be justified. Difference in geographical location is not sufficient to justify using a different cost formula.

Impact on profit

Inventory valuation has a direct effect on profit measurement. In periods of inflation, FIFO method measures inventory (and thus, profit) at higher value as compared to weighted average method.

COST MEASUREMENT TECHNIQUES

Standard cost method

This method takes into account normal levels of materials and supplies, labour, efficiency and capacity utilisation. They are regularly reviewed and if necessary, revised in the light of current conditions.

Retail method

It is often used in the retail industry for measuring inventories of large numbers of rapidly changing items with similar margins for which it is impracticable to use other costing methods. The cost of the inventory is determined by reducing the sales value of the inventory by the appropriate percentage gross margin.

▶ *Example 10:*

The following information is available from records of K Limited, in respect of Chemical X, for the year ended December 31, 2007.

	Quantity (litres)	Rate per unit	Total value
Opening Inventory			
As at January 01, 2007	20,000	11	220,000
Purchases			
15 Jan	11,000	12	132,000
21 Apr	8,000	13	104,000
07 July	7,000	14	98,000
08 Nov	14,000	15	210,000
TOTAL	**40,000**		**544,000**

	Quantity (litres)	Rate per unit	Total value
Sold			
11 Jan	9,000	15	135,000
22 Apr	18,000	15	270,000
11 May	9,000	16	144,000
20 Dec	12,000	16	192,000
TOTAL	**48,000**		**741,000**

Required

Calculate closing inventory as at 31 December 2007 and prepare profit statement under perpetual and periodic method of FIFO and weighted average.

▶ *ANSWER*

FIFO - Perpetual									
Date	**Received**			**Issued / Sold**			**Balance**		
	Qty.	**@**	**Rs.**	**Qty.**	**@**	**Rs.**	**Qty.**	**@**	**Rs.**
01.01.07							20,000	11	220,000
11.01.07				9,000	11	99,000	11,000	11	121,000
15.01.07	11,000	12	132,000				11,000 11,000	11 12	121,000 132,000
21.04.07	8,000	13	104,000				11,000 11,000 8,000	11 12 13	121,000 132,000 104,000
22.04.07				11,000 7,000	11 12	121,000 84,000	4,000 8,000	12 13	48,000 104,000
11.05.07				4,000 5,000	12 13	48,000 65,000	3,000	13	39,000
07.07.07	7,000	14	98,000				3,000 7,000	13 14	39,000 98,000
08.11.07	14,000	15	210,000				3,000 7,000 14,000	13 14 15	39,000 98,000 210,000
20.12.07				3,000 7,000 2,000	13 14 15	39,000 98,000 30,000	***12,000***	***15***	***180,000***
	Purchases Rs. 544,000			**COS Rs. 584,000**			**Closing inventory ↑**		

FIFO – Periodic	
	Units
Opening inventory	20,000
Add: Purchases	40,000
Less: Sold	48,000
Closing inventory	12,000

Value of closing inventory	
Last 12,000 units were purchased at Rs. 15 per unit	***Rs. 180,000***

Weighted Average - Perpetual									
Date	**Received**			**Issued / Sold**			**Balance**		
	Qty.	**@**	**Rs.**	**Qty.**	**@**	**Rs.**	**Qty.**	**@**	**Rs.**
01.01.07							20,000	11	220,000
11.01.07				9,000	11	99,000	11,000	11	121,000
15.01.07	11,000	12	132,000				22,000	11.5	253,000
21.04.07	8,000	13	104,000				30,000	11.9	357,000
22.04.07				18,000	11.9	214,200	12,000	11.9	142,800
11.05.07				9,000	11.9	107,100	3,000	11.9	35,700
07.07.07	7,000	14	98,000				10,000	13.37	133,700
08.11.07	14,000	15	210,000				24,000	14.32	343,700
20.12.07				12,000	14.32	171,850	***12,000***	***14.32***	***171,850***
	Purchases Rs. 544,000			**COS Rs. 592,150**			**Closing inventory ↑**		

Weighted average – Periodic		
	Units	**Cost Rs.**
Opening inventory	20,000	220,000
Purchases during the period	40,000	544,000
	60,000	764,000
Weighted average rate for the period Rs. 764,000 / 60,000	**12.73**	

	Units
Opening inventory	20,000
Add: Purchases	40,000
Less: Sold	48,000
Closing inventory	12,000

Value of closing inventory	
12,000 units at Rs. 12.73 per unit	***Rs. 152,800***

Profit statement/ Trading account	First in First out		Weighted average	
	Perpetual	Periodic	Perpetual	Periodic
	Rs.			
Sales	741,000	741,000	741,000	741,000
Cost of sales				
Opening inventory	220,000	220,000	220,000	220,000
Purchases	544,000	544,000	544,000	544,000
	764,000	764,000	764,000	764,000
Closing inventory	**(180,000)**	**(180,000)**	**(171,850)**	**(152,800)**
	(584,000)	(584,000)	(592,150)	(611,200)
Gross profit	**157,000**	**157,000**	**148,850**	**129,800**

▶ *Example 11:*

Quality Products (QP) deals in various goods. Following information pertains to one of its product for the month of January 2016:

Date	Description	Units	Purchase / sale price per unit (Rs.)
6-Jan-2016	Purchase	15,000	150
10-Jan-2016	Sale	(18,000)	210
16-Jan-2016	Purchase	13,000	160
18-Jan-2016	Purchase return	(1,000)	150
25-Jan-2016	Sale	(12,000)	215
28-Jan-2016	Drawing	(2,000)	-
29-Jan-2016	Purchase	10,000	140
31-Jan-2016	Shortage	(800)	-

Opening inventory consisted of 10,000 units costing Rs. 1,480,000. Closing inventory includes 1,200 units found damaged during stock taking. Net realisable values (NRVs) of the damaged and the good units are Rs. 120 and Rs. 200 per unit respectively. QP uses perpetual inventory method to record the inventory.

Required:

Compute the value of closing inventory using Weighted average cost and FIFO.

▶ *ANSWER*

Weighted average cost

Date Jan 2016	Transactions	Balance		
		Quantity	Rate	Rs.
1	Balance	10,000	148.00	1,480,000
6	Purchases 15,000 @150 = Rs. 2,250,000	25,000	149.20	3,730,000
10	Sales 18,000 @149.20 = Rs. 2,685,600	7,000	149.20	1,044,400
16	Purchases 13,000 @160 = Rs. 2,080,000	20,000	156.22	3,124,400
18	Purchase returns 1,000 @150 = Rs. 150,000	19,000	156.55	2,974,400

Date Jan 2016	Transactions	Balance		
		Quantity	Rate	Rs.
25	Sales 12,000 @156.55 = Rs. 1,878,600	7,000	156.54	1,095,800
28	Drawings 2,000 @156.54 = Rs. 313,080)	5,000	156.54	782,720
29	Purchases 10,000 @140 = Rs. 1,400,000	15,000	145.51	2,182,720
31	Shortages 800@145.51@116,408	14,200	145.51	2,066,312

	Qty.	Cost per unit	NRV per unit	Closing inventory at lower Rs.
Good units (14,200 – 1,200)	13,000	145.51	200	1,891,630
Damaged units	1,200	145.51	120	144,000
	14,200			2,035,630

Closing inventory at lower of cost or NRV – using FIFO

	Qty.	Cost per unit	NRV per unit	Closing inventory at lower Rs.
Good units	10,000	140	200	1,400,000
Good units	3,000	160	200	480,000
Damaged units	1,200	160	120	144,000
	14,200			2,024,000

▶ *Example 12:*

The following information has been extracted from the books of Zamil Traders (ZT):

PRODUCT: VITA-PLUS			
Date	Description	No. of units	Purchase/sales price per unit (Rs.)
1-Feb-2017	Opening balance	4,500	120
3-Feb-2017	Purchases	2,700	125
8-Feb-2017	Sales	(2,800)	150
15-Feb-2017	Purchase return	(255)	120
18-Feb-2017	Purchases	2,650	130
20-Feb-2017	Drawings	(180)	125
23-Feb-2017	Sales return	300	150
25-Feb-2017	Sales	(3,200)	160
	Closing balance	**3,715**	

As per physical inventory carried out at month end, 315 units were found short and 400 units were found damaged. Out of damaged units, 300 units can be sold for Rs. 140 per unit after being repaired at a cost of Rs. 20 per unit. Remaining damaged units have no sales value.

ZT uses periodic inventory method and the inventory is valued at lower of cost determined on weighted average basis and net realisable value.

Required:

Compute value of closing inventory as would appear in ZT's financial statements for the month ended 28 February 2017.

▶ *ANSWER*

Weighted average cost per unit – periodic inventory

Particulars	Units	Rate	Rs.
Opening balance	4,500	120	540,000
Purchases	2,700	125	337,500
Purchases	2,650	130	344,500
Purchase return	(255)	120	(30,600)
Drawings	(180)	125	(22,500)
	4,915		628,900
	9,415		**1,168,900**

Weighted average cost per unit = Rs. 1,168,900 / 9,415 units = 124.15 per unit

	Good units	Shortage	Damaged - Saleable	Damaged - unsaleable	Total
Units	3,000	315	300	100	3,715
Cost (Rs.)	124.15	124.15	124.15	124.15	
NRV (Rs.)	160 last sales	0	120 (140- 20)	0	
Lower (Rs.)	**124.15**	**0**	**120**	**0**	
Value (Rs.)	372,450	0	36,000	0	**408,450**

▶ *Example 13:*

Following information relates to M/S Mola Bakhsh

Product A		Units		Rate
01-Jan-16	Opening stock	40	@	400
02-Jan-16	Purchases	100	@	500
03-Jan-16	Sales	50	@	1,000
04-Jan-16	Sales	10	@	1,500
05-Jan-16	Purchases	200	@	300
06-Jan-16	Purchases	300	@	700
07-Jan-16	Sales	200	@	500
08-Jan-16	Sales return	100	@	500
09-Jan-16	Purchases	200	@	400
10-Jan-16	Purchase return were 100 units of purchases on 9 Jan 2016			
11-Jan-16	Shortage	10 units		
12-Jan-16	Drawings	5 units		

At the end of the month the estimated Selling price of the product A was Rs.300 and the cost of realisation was Rs.150

Required

Calculate the value of closing stock under perpetual system using FIFO and weighted average.

▶ *ANSWER*

Perpetual System (FIFO)

	Inflows			Outflows			Stock balance		
	Unit	**Rate**	**Amount**	**Unit**	**Rate**	**Amount**	**Unit**	**Rate**	**Amount**
01-Jan-16							40	400	16,000
02-Jan-16	100	500	50,000				40 100	400 500	16,000 50,000
03-Jan-16				40 10	400 500	16,000 5,000	90	500	45,000
04-Jan-16				10	500	5,000	80	500	40,000
05-Jan-16	200	300	60,000				80 200	500 300	40,000 60,000
06-Jan-16	300	700	210,000				80 200 300	500 300 700	40,000 60,000 210,000
07-Jan-16				80 120	500 300	40,000 36,000	80 300	300 700	24,000 210,000
08-Jan-16				(80) (20)	500 300	(40,000) (6,000)	80 20+80 300	500 300 700	40,000 30,000 210,000
09-Jan-16	200	400	80,000				80 100 300 200	500 300 700 400	40,000 30,000 210,000 80,000
10-Jan-16	(100)	400	(40,000)				80 100 300 100	500 300 700 400	40,000 30,000 210,000 40,000
11-Jan-16				10	500	5,000	70 100 300 100	500 300 700 400	35,000 30,000 210,000 40,000
12-Jan-16				5	500	2,500	65 100 300 100	500 300 700 400	32,500 30,000 210,000 40,000
	700		**360,000**	**175**		**63,500**	**565**		**312,500**

Valuation of stock	Rs.	
Cost	312,500	
NRV	84,750	*(300-150) x 565*
Value	84,750	
NRV loss	227,750	

Perpetual System (Weighted Average)

	Inflows			Outflows			Stock balance		
Date	Unit	Rate	Amount	Unit	Rate	Amount	Unit	Rate	Amount
01-Jan-16							40	400	16,000
02-Jan-16	100	500	50,000				140	471	66,000
03-Jan-16				50	471	23,550	90	471	42,390
04-Jan-16				10	471	4,710	80	471	37,680
05-Jan-16	200	300	60,000				280	349	97,720
06-Jan-16	300	700	210,000				580	531	307,980
07-Jan-16				200	531	106,200	380	531	201,780
08-Jan-16				(100)	531	(53,100)	480	531	254,880
09-Jan-16	200	400	80,000				680	492	334,560
10-Jan-16	(100)	400	(40,000)				580	508	294,640
11-Jan-16				10	508	5,080	570	508	289,560
12-Jan-16				5	508	2,540	**565**	508	***287,020***
	700		***360,000***	***175***		***88,980***			

Valuation of stock	Rs.	
Cost	287,020	
NRV	84,750	*(300-150) x 565*
Value (lower)	84,750	
NRV loss	202,270	

3 RECOGNITION AND DISCLOSURE

RECOGNITION AS AN EXPENSE

When Inventories are sold

The carrying amount of those inventories shall be recognised as an expense in the period in which the related revenue is recognised i.e. cost of sales in statement of comprehensive income.

Write down and losses

Recognised as an expense in the period the write-down or loss occurs.

Reversal of write down

Recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

ALLOCATION TO OTHER ASSETS

Some inventories may be allocated to other asset accounts, for example, inventory used as a component of self-constructed property, plant or equipment. Inventories allocated to another asset in this way are recognised as an expense during the useful life of that asset.

DISCLOSURE REQUIREMENTS OF IAS 2

The disclosure requirements of IAS 2 include:

- the accounting policies adopted in measuring inventories, including the cost formula used
- the total carrying amount of inventories and the carrying amount in classifications appropriate to the entity
- the amount of inventories recognised as an expense during the period
- the amount of any write-down of inventories recognised as an expense in the period

▶ *ILLUSTRATIVE DISCLOSURE*

Notes to the Financial Statements

Significant Accounting Policies

Inventories are measured at lower of cost and net realisable value. Cost is measured by using weighted average formula.

Inventories	Rs.
Raw Material	5,000
Work in process	6,000
Finished goods	7,000
Total	18,000

Inventories sold and recognised as an expense	288,000
Amount of write down to NRV recognised as an expense	400

▶ *Example 14:*

A company deals in Solar Panels which are imported from China. The company follows a perpetual inventory system and values its inventory on weighted average basis. Details of sales and purchases during the year ended 30 June 2015 are as follows:

i. Opening inventory on 1 July 2014 amounted to Rs. 49,000,000 and consisted of 2,450 solar panels.

ii. Purchases during the year were as follows:

Date	Quantity (units)	Price Rs. in '000'
30-Sep-2014	4,200	78,120
31-Mar-2015	4,350	87,000

Costs related to imports were 29% of purchase cost, of which 17% is refundable.

iii. Sales during the year were as follows:

Date	Quantity (units)	Price Rs. in '000'
31-Jul-2014	2,100	52,500
31-Oct-2014	2,050	48,750
28-Feb-2015	2,300	55,200
15-May-2015	2,260	53,110

iv. Sale on 31 October 2014 includes 100 solar panels which were damaged during the year and sold at Rs. 12,000 per unit.

v. On 31 May 2015, 50 solar panels were totally damaged and were written off.

vi. On 30 June 2015 there was a significant decline in the prices of solar panels as a new type of solar panel was introduced in the market. Selling prices are now Rs. 18,500 per unit. However, the company has made some modification in its product which will enable it to sell it at Rs. 22,000 per unit. Cost of modification is Rs. 2,500 per unit.

Required:

Prepare disclosure of inventories in the financial position as at 30 June 2015 in accordance with the requirements of IAS-2 'Inventories'.

▶ *ANSWER*

		2015
		Rs. in '000'
20	**Closing inventory**	
	Finished goods **(W-1)**	43,680

20.1	Closing inventory includes items costing Rs. 50,015,000 valued at net realisable value of Rs. 43,680,000.
20.2	The inventory expenses (cost of sales) for the year is Rs. 190,254,000 **(W-4)**
20.3	Damaged inventory of Rs. 1,116,000 **(W-1)** has been written off.

W - 1: Determination of value of closing inventory under perpetual inventory system

Date	Description	QTY	Price/unit (Rs.)		Value (Rs. in '000')
01-Jul-14	Opening	2,450	20,000		49,000
31-Jul-14	Issue	2,100	20,000		42,000
	Balance	350	20,000		7,000
30-sep-14	Purchase	4,200	20,832	**W-2**	87,494
	Balance	4,550	20,768		94,494
31-Oct-14	Issue	2,050	20,768		42,574
28-Feb-15	Issue	2,300	20,768		47,766
	Balance	200	20,768		4,154
31-Mar-15	Purchase	4350	22,400	**W-2**	97,440
	Balance	4550	22,328		101,594
15-May-15	Issue	2,260	22,328		50,462
	Balance	2,290	22,328		51,132
30-Jun-15	Units w/off	50	22,328		1,116
		2,240	22,328		50,015
30-Jun-15	NRV adjustment **(W-3)**	-	-		6,335
30-Jun-15		2,240	19,500		43,680

W – 2

Purchase cost per unit	September	March
	Rs.	Rs.
Purchase price / unit	18,600	20,000
Non-refundable import costs12% (29% - 17%)	2,232	2,400
	20,832	22,400

W – 3

NRV of Solar Panel	Rs.
Cost	22,328
Selling price	22,000
Less: Cost of modification	(2,500)
NRV per unit	19,500
Decline in value(22,328-19,500)	2,828
Expense (2,240 × Rs. 2,828)	6,335,000

W – 4

Cost of sales	Rs. in'000'
Opening stock	49,000
Purchases	184,934
	233,934
Less: Closing stock	(43,680)
	190,254

4 RECORDING INVENTORIES: PERIODIC VS PERPETUAL

The two main methods of recording inventory to calculate cost of sales are:

- Periodic inventory system (period end system)
- Perpetual inventory system

Each method uses a ledger account for inventory, but these have different roles. It is possible that an entity will use the periodic system in its general ledger and use a different computer system outside of its general ledger to track the flow of goods in and out of inventory.

Periodic Inventory System	Perpetual Inventory System
Inventory and cost of goods sold are not updated continuously. Instead purchases are recorded in ***Purchases account*** and each sale transaction is recorded via a single journal entry. Thus, cost of goods sold account does not exist during the accounting period. It is determined at the end of accounting period via a closing entry.	***Inventory*** is updated continuously on each transaction relevant to inventory movement, for example, purchase, sales, sale return, purchase return, drawings, abnormal loss etc.. Purchases are directly debited to inventory account whereas for each sale and sales return two journal entries are made: one to record sale value of inventory and other to record cost of goods sold.
Purchases and purchase return accounts are maintained.	These accounts are not required.
Any loss of inventory is automatically dealt with and does not require a special accounting treatment. However, in this way losses may go un-noticed as well.	Any loss detected by comparing physical inventory-count and perpetual records is to be recorded in inventory account. Most losses are identified in this way (see below).
This system is suitable to large size items or low value inventory.	This system is suitable to high value inventories or where inventory movements are frequent.

POSSIBLE CAUSES OF DIFFERENCE

Possible causes of difference between the balance on the inventory account and the physical inventory counted include the following.

- Theft of inventory.
- Incorrect posting of inventory receipts or issues (to different item category).
- Damage to inventory with failure to record that damage.
- Failure to record a receipt.
- Failure to record an issue.

JOURNAL ENTRIES	
Periodic Inventory System	***Perpetual Inventory System***
All entries are recorded at cost except entry of write down to NRV and entries to sales and sales returns account which are based on selling price.	
Opening inventory	
Dr. Cost of Sales Cr. Inventory	b/d balance of inventory account

JOURNAL ENTRIES	
Periodic Inventory System	***Perpetual Inventory System***
Purchases	
Dr. Purchases Cr. Payables / Cash	Dr. Inventory Cr. Payables / Cash
Freight or carriage or other direct costs	
Dr. Carriage in / production costs Cr. Payables / Cash	Dr. Inventory Cr. Payables / Cash
Settlement discount on purchases	
Dr. Payables Cr. Purchases / Discount received	Dr. Payables Cr. Inventory
Returns to suppliers	
Dr. Payables / Cash Cr. Purchases returns	Dr. Payables / Cash Cr. Inventory
Sales	
Dr. Receivables / Cash Cr. Sales	Dr. Receivables / Cash Cr. Sales
	Dr. Cost of Sales Cr. Inventory
Returns from customers	
Dr. Sales returns Cr. Receivables / Cash	Dr. Sales returns Cr. Receivables / Cash
	Dr. Inventory Cr. Cost of sales
Abnormal loss	
Dr. Abnormal loss Cr. Purchases	Dr. Abnormal loss Cr. Inventory
Drawings	
Dr. Drawings Cr. Purchases	Dr. Drawings Cr. Inventory
Free samples / Charity	
Dr. Marketing expense / Charity expense Cr. Purchases	Dr. Marketing expense / Charity expense Cr. Inventory
Inventory used to construct non-current assets	
Dr. Non-current assets Cr. Purchases	Dr. Non-current assets Cr. Inventory

JOURNAL ENTRIES	
Periodic Inventory System	*Perpetual Inventory System*
Normal loss	
No entry required	Dr. Cost of Sales Cr. Inventory
Write down to NRV – identified BEFORE final adjustment of closing inventory	
No entry required	Dr. Cost of Sales Cr. Inventory
Closing inventory (year-end adjustment)	
Dr. Inventory Cr. Cost of Sales	The closing balance of inventory account.
Write down to NRV – identified AFTER final adjustment of closing inventory	
Dr. Cost of Sales Cr. Inventory	Dr. Cost of Sales Cr. Inventory

▶ *Example 15:*

Medium Savings sells goods at cost plus 30% and uses periodic inventory method to record the inventory. The following transactions pertain to August 2017:

04-Aug	Purchased goods on cash for Rs. 568,000.
07-Aug	Sold goods on credit for Rs. 2,418,000.
10-Aug	Returned goods to a supplier costing Rs. 87,000.
13-Aug	Purchased goods on credit for Rs. 2,360,000.
13-Aug	Paid carriage inward of Rs. 48,000.
20-Aug	A customer returned goods which had been invoiced at Rs. 58,500.
24-Aug	Cash sales of Rs. 120,000 net of a special discount of Rs. 10,000.
31-Aug	Physical inventory count revealed that goods having list price of Rs. 26,000 have expired and had to be scrapped. This has been considered abnormal loss.

Required:

Prepare journal entries to record the above transactions.

▶ *ANSWER*

Journal entries			
Date	**Particulars**	**Dr. Rs.**	**Cr. Rs.**
04 Aug 17	Purchases	568,000	
	Cash		568,000
	(To record cash purchases)		
07 Aug 17	Receivables	2,418,000	
	Sales		2,418,000
	(To record credit sales)		
10 Aug 17	Payables	87,000	
	Purchases return		87,000
	(To record goods returned to suppliers)		
13 Aug 17	Purchases	2,360,000	
	Payables		2,360,000
	(To record purchase of inventory on credit)		
13 Aug 17	Carriage inwards (Purchase expenses)	48,000	
	Cash / Bank		48,000
	(To record carriage inwards)		
20 Aug 17	Sales return	58,500	
	Receivable		58,500
	(To record sales returns)		
24 Aug 17	Cash	120,000	
	Sales		120,000
	(To record sales)		
31 Aug 17	Abnormal loss (26,000 x 100 /130)	20,000	
	Purchases		20,000
	(To record inventory losses)		

▶ *Example 16:*

Max Savings sells goods at cost plus 30% and uses perpetual inventory method to record the inventory. The following transactions pertain to August 2017:

04-Aug	Purchased goods on cash for Rs. 568,000.
07-Aug	Sold goods on credit for Rs. 2,418,000.
10-Aug	Returned goods to a supplier costing Rs. 87,000.
13-Aug	Purchased goods on credit for Rs. 2,360,000.
13-Aug	Paid carriage inward of Rs. 48,000.
20-Aug	A customer returned goods which had been invoiced at Rs. 58,500.
24-Aug	Cash sales of Rs. 120,000 net of a special discount of Rs. 10,000.
31-Aug	Physical inventory count revealed that goods having list price of Rs. 26,000 have expired and had to be scrapped. This has been considered abnormal loss.

Required:

Prepare journal entries to record the above transactions.

▶ *ANSWER*

Journal entries			
Date	**Particulars**	**Dr. Rs.**	**Cr. Rs.**
04 Aug 17	Inventory	568,000	
	Cash		568,000
	(To record cash purchases)		
07 Aug 17	Receivables	2,418,000	
	Sales		2,418,000
	Cost of sales (2,418,000 x 100 / 130)	1,860,000	
	Inventory		1,860,000
	(To record sales and cost of sales)		
10 Aug 17	Payables	87,000	
	Inventory		87,000
	(To record goods returned to suppliers)		
13 Aug 17	Inventory	2,360,000	
	Payables		2,360,000
	(To record purchase of inventory on credit)		
13 Aug 17	Inventory	48,000	
	Cash / Bank		48,000
	(To record carriage inwards)		
20 Aug 17	Sales return	58,500	
	Receivable		58,500
	Inventory (58,500 x 100 /130)	45,000	
	Cost of Sales		45,000
	(To record sales returns)		
24 Aug 17	Cash	120,000	
	Sales		120,000
	Cost of sales (120,000+10,000= 130,000 x 100 / 130)	100,000	
	Inventory		100,000
	(To record sales and cost of sales)		
31 Aug 17	Abnormal loss (26,000 x 100 /130)	20,000	
	Inventory		20,000
	(To record inventory losses)		

▶ *Example 17:*

The following transaction relate to Multan Trading Company (MTC) for the year ended 31 December 2017:

- They had opening inventory of Rs. 10,000
- Purchases during the year amounted to Rs. 150,000
- Freight on the purchases amounted to Rs. 8,000
- The goods costing Rs. 22,000 were returned to Vendors during the year.
- The sales amounted to Rs. 170,000 (these goods had cost MTC Rs. 145,000).
- The customers returned goods worth Rs. 25,000 (the cost of these goods was Rs. 20,000).
- During December, loss was caused by flood which amounted to Rs. 7,000
- MTC estimates that 1% of stock purchased is usually lost in handling every time.
- Physical stock-take was carried on December 31, 2017 and stock was valued at Rs. 12,500

Required:

Prepare relevant ledgers and trading account under periodic inventory system and perpetual inventory system.

▶ *ANSWER*

PERIODIC INVENTORY SYSTEM

Inventory					
1 Jan	b/d	10,000		Transfer to PL	10,000
31 Dec	Cost of sales (closing)	12,500		c/d	12,500
		22,500			22,500
1.01.18	b/d	12,500			

Purchases					
	Payables	150,000		Loss by flood	7,000
			31 Dec	Transfer to PL	143,000
		150,000			150,000

Purchases return					
31 Dec	Transfer to PL	22,000		Payables (returns)	22,000
		22,000			22,000

Freight					
	Cash	8,000	31 Dec	Transfer to PL	8,000
		8,000			8,000

Trading Account	Rs.
Sales (Rs. 170,000 – 25,000)	145,000
Cost of sales	
Opening inventory	10,000
Purchases	143,000
Add: Freight in	8,000
Less: Purchase return	(22,000)
	139,000
Closing inventory	(12,500)
	(126,500)
Gross profit	**18,500**

PERPETUAL INVENTORY SYSTEM

Inventory Account					
01 Jan	b/d	10,000		Payables (P. Returns)	22,000
	Payables (purchases)	150,000		COS (Sales)	145,000
	Cash (Freight)	8,000		Loss by Flood	7,000
	COS (S. Return)	20,000		COS (normal loss)	1,500
			31 Dec	c/d	12,500
		188,000			188,000
1.01.18	b/d	12,500			

Cost of sales					
	Inventory (sales)	145,000		Inventory (S Return)	20,000
	Inventory (normal loss)	1,500			
			31 Dec	**Transfer to PL**	**126,500**
		146,500			146,500

Trading Account	Rs.
Sales (Rs. 170,000 – 25,000)	145,000
Cost of sales	(126,500)
Gross profit	**18,500**

5 COMPREHENSIVE EXAMPLES

▶ *Example 18:*

Kidz Party & Co. (KPC) manufactures and sells toys. Following information is available regarding four of its inventory items as on 31 December 2017:

Items	Units	Cost per unit (Rs.)	Normal selling price per unit (Rs.)
Toy cars	10,000	1,250	1,200
Doll houses	5,000	1,800	2,700
Stuffed toys	1,850	1,200	1,900
Minion costumes	870	1,500	2,500

Following information is also available:

i. A sales order for 3,000 toy cars @ Rs. 1,100 per unit is in hand. The remaining units can be sold at normal selling price after incurring selling cost of Rs. 150 per unit.

ii. Doll houses include 1,000 defective units with no scrap value. 20% of the remaining doll houses are damaged and can be sold at 50% of cost.

iii. Stuffed toys costing Rs. 420,000 were accidentally damaged and are beyond repair. KPC plans to sell these toys as scrap. Proceeds from such sale are estimated at Rs. 175,000 and the sale would require transportation cost of Rs. 6,300.

iv. All minion costumes have manufacturing faults and can be sold in present condition at Rs. 1,350 per unit. However, 60% of the units can be rectified at a cost of Rs. 200 per unit after which they can be sold at Rs. 1,600 per unit.

Required:

Calculate the amount at which above inventory items should be carried as on 31 December 2017 in accordance with IAS 2 'Inventories'.

▶ *ANSWER*

Inventory valuation as on 31 December 2017

	Units	Cost per unit	Normal selling price per unit	Cost to sell per unit	NRV per unit	Inventory valuation at lower of cost and NRV	
	1	2	3	4	5=(3–4)	6	
	Rupees						
Toy cars	7,000	1,250	1,200	150	1,050	NRV	7,350,000
	3,000	1,250	1,100	-	1,100	NRV	3,300,000
	10,000						**10,650,000**
Doll houses	1,000	1,800	-		-	NRV	-
	800 **W1**	1,800	900 **W2**	-	900	NRV	720,000
	3,200	1,800	2,700	-	2,700	Cost	5,760,000
	5,000						**6,480,000**
Stuffed toys	350 **W3**	1,200	500 **W4**	18 **W5**	482	NRV	168,700
	1,500	1,200	1,900	-	1,900	Cost	1,800,000
	1,850						**1,968,700**
Minion costumes	522 **W6**	1,500	1,600	200	1,400	NRV	730,800
	348	1,500	1,350	-	1,350	NRV	469,800
	870						**1,200,600**
							20,299,300

W1 ➔ [5,000-1,000]) × 20% = 800
W2 ➔ 1800 x 50% = 900
W3 ➔ (420,000 / 1,200) = 350
W4 ➔ (175,000 / 350) = Rs. 500
W5 ➔ (6,300 / 350) = 18
W6 ➔ (870×60%) = 522

▶ *Example 19:*

AK Limited follows a perpetual inventory system. Following information is available from the accounting records for the month of January 2016:

	Quantity	Amount (Rs.)
Inventory as at 31 December 2015	3,500	35,000
Purchase on 7 January 2016	3,700	44,400
Purchase on 13 January 2016	4,200	58,800
Purchase on 31 January 2016	2,000	26,000
Sale on 12 January 2016	3,000	60,000
Sale on 25 January 2016	5,500	115,500

Additional information:

i. 100 units out of 4,200 units purchased on 13 January 2016 were found defective and returned to supplier on 28 January 2016.

ii. Inventory count conducted on 31 January 2016 revealed that 4,820 units were physically available.

Required:

a) Prepare inventory cards for the month of January 2016 under the perpetual system showing quantity, unit cost and value under FIFO and weighted average methods of inventory valuation.

b) Record journal entries for additional information provided above.

▶ *ANSWER*

Part (a)

FIFO Method

Date	Description	Transaction			Balance		
		Quantity	Unit cost	Rs.	Quantity	Unit cost	Rs.
1/01/15	Opening Inventory	--	--	--	3,500	10	35,000
7/01/15	Purchase	3,700	12	44,400	3,500 3,700	10 12	35,000 44,400
12/01/15	Sale	(3,000)	10	30,000	500 3,700	10 12	5,000 44,400
13/01/15	Purchase	4,200	14	58,800	500 3,700 4,200	10 12 14	5,000 44,400 58,800
25/01/15	Sale	(500) (3,700) (1,300)	10 12 14	5,000 44,400 18,200	2,900	14	40,600
28/01/15	Purchase return	(100)	14	1,400	2,800	14	39,200
31/01/15	Purchase	2,000	13	26,000	2,800 2,000	14 13	39,200 26,000
31/01/15	Surplus inventory	20	14	280	2,820 2,000	14 13	39,480 26,000

Weighted average method

Date	Description	Transaction			Balance		
		Qty.	Unit cost	Rs.	Qty.	Unit cost	Rs.
1/01/15	Opening Inventory				3,500	10.00	35,000
7/01/15	Purchase	3,700	12.00	44,400	7,200	11.03	79,400
12/01/15	Sale	(3,000)	11.03	(33,083)	4,200	11.03	46,317
13/01/15	Purchase	4,200	14.00	58,800	8,400	12.51	105,117
25/01/15	Sale	(5,500)	12.51	(68,826)	2,900	12.51	36,291
28/01/15	Purchase return	(100)	14.00	(1400)	2,800	12.46	34,891
31/01/15	Purchase	2,000	13.00	26,000	4,800	12.69	60,891
31/01/15	Surplus inventory	20	12.69	254	4,820	12.69	61,145

Part (b) Journal Entries

Date	Description	Debit	Credit
		----------Rupees--------	
28/01/2015	Payables(58,800/4,200×100)	1,400	
	Inventory (returns)		1,400
31/01/2015	Inventory(4,820-4,800)×12.96	254	
	Miscellaneous income		254

▶ *Example 20:*

Multan Traders (MT) held 200 units of product A valued at Rs. 175 each on 1 December 2018. Following transactions related to product A have occurred during December 2018:

Date	Description
07	Purchased 400 units from Alpha on credit for Rs. 80,700. Alpha gave further 50 units at no cost under a promotion scheme.
13	Sold 360 units on cash for Rs. 72,000.
16	Purchased 500 units from Bravo on credit for Rs. 89,000. MT also incurred transportation cost of Rs. 1,580.
21	Sold 440 units for Rs. 92,400 on credit to Charlie. To avail the 5% discount on early payment, Charlie paid the amount on 24 December 2018.
25	Purchased 350 units from Delta on credit. Delta offered discount of 8% on list price of Rs. 200 per unit if at least 250 units were purchased. Delta also offered further 2% discount if payment was made within 10 days. MT expects to pay in 30 days.
27	30 units were found in unsaleable condition and were removed from the inventory.
28	Sold 300 units on cash for Rs. 61,000. MT incurred cost of Rs. 1,600 for delivery.

MT follows weighted average method for valuation of its inventory.

Required:

a) Prepare inventory ledger card for product A for the month of December 2018 under perpetual inventory system.

b) Compute gross profit on sale of product A for December 2018.

ANSWER

Part (a)

Multan Traders – Inventory Ledger Card (Weighted Average) – December 2018

Date	Received			Issued			Balance		
	Q	R	V	Q	R	V	Q	R	V
01							200	175	35,000
07	450	179.33	80,700				650	178	115,700
13				360	178	64,080	290	178	51,620
16	500	181.16	90,580				790	180	142,200
21				440	180	79,200	350	180	63,000
25	350	184	64,400				700	182	127,400
27				30*	182	5,460	670	182	121,940
28				300	182	54,600	***370***	***182***	***67,340***
	Purchases Rs. 235,680			***COS Rs. 203,340***			***Closing inventory ↑***		

***Unsaleable**

Part (b)

Multan Traders – Gross Profit Computation (Product A) – December 2018

	Rs.
Sales [72,000 + 92,400 x 95% + 61,000]	220,780
Cost of sales [part (a)]	(203,340)
Gross profit	17,440

Example 21:

Omikron Traders (OT) deals in one product. Following information for the month of June 2019 has been collected for preparation of trading account:

Description	Units	Rupees	Remarks
Opening inventory	4,000	745,000	At cost
Purchases	11,000	2,340,000	Inclusive of sales tax
Sales	12,000	4,800,000	Exclusive of sales tax

Additional information:

i. Sales tax @ 17% on purchases is adjustable against sales tax payable by OT.

ii. Handling and transportation costs to OT's premises are Rs. 20 per unit.

iii. Units purchased are polished at a cost of Rs. 10 per unit prior to transferring to the warehouse.

iv. Units are stored in a warehouse which is acquired at a monthly rent of Rs. 380,000.

v. 350 units were withdrawn for personal use during the month.

vi. During the month-end physical inventory verification, it was observed that:

- 20 units were found short.
- 150 units were damaged during handling and are saleable at 40% of its selling price after incurring an additional cost of Rs. 15 per unit.
- Shortages/damages up to 200 units in a month are treated as normal loss.

vii. OT uses periodic inventory method and cost is determined using weighted average cost method.

Required:

Prepare 'Trading account' for the month of June 2019.

▶ *ANSWER*

Omikron Traders

Trading account for the month of June 2019

	Units		Rupees
Sales	12,000	@400 per unit	4,800,000
Cost of sales:			
Opening stock	4,000		745,000
Purchases	11,000	2,340 / 117 x 100	2,000,000
Handling and transportation		11,000 × 20	220,000
Cost of polishing		11,000 × 10	110,000
			3,075,000
Goods withdrawn	(350)	205 **W2**	(71,750)
Closing stock (balancing units)	**(2,650)**	**W1**	(530,150)
	12,000		(2,473,100)
Gross profit			2,326,900

W1 Closing stock	Units	Cost	NRV	Rs.
Inventory shortage	20	205	0	-
Damaged units at NRV	150	205	400 x 40% – 15 = Rs 145	21,750
Good units at cost (remaining)	2,480	205	400	508,400
	2,650			530,150

W2 Cost per unit	Rs.
Cost of (opening stock + purchases)	3,075,000
Units of (opening stock + purchases)	15,000
Weighted average cost per unit (3,075,000 / 15,000)	***205***

6 OBJECTIVE BASED Q&A

1. Which of the following is included in the cost of purchases?

   a) Administrative Salaries
   b) Abnormal loss
   c) Freight in
   d) Rent of store

2. Which of the following costs are included in conversion costs?

   a) Commission of selling staff
   b) Carriage in
   c) Carriage outwards
   d) Factory supervisor's wages

3. After preparing draft accounts, Saima reviews her closing inventory. She discovers that some items included at cost of Rs. 2,600 can be sold for Rs. 2,550 after incurring selling costs of Rs. 65.

   What effect will any required adjustment have on Saima's profits?

   a) Profit decreases by Rs. 65
   b) Profit decreases by Rs. 115
   c) No change to profit
   d) Profit decreases by Rs. 50

4. Tasweeb Corporation sells three products – Alpha, Beta and Gamma. The following information was available at the yearend:

	Alpha	Beta	Gamma
	Rs. per unit	Rs. per unit	Rs. per unit
Original cost	10	13	15
Estimated selling price	15	14	14
Selling and distribution costs	3	5	2
	Units	Units	Units
Inventory: units held	300	380	240

   The value of inventory at the end of year should be?

   a) Rs. 8,300
   b) Rs. 5,700
   c) Rs. 9,300
   d) Rs. 6,150

5. The following information is related to a mobile dealer about his inventory at year end.

Mobile Set	Cost value (Rs.)	Net realisable value (Rs.)
A	5,000	3,300
B	13,000	13,500
C	14,200	13,900
D	14,900	15,000

What value of inventory should be shown in his Statement of Financial Position prepared at the year end?

a) Rs. 39,800
b) Rs. 45,900
c) Rs. 40,000
d) Rs. 45,100

6. The closing stock of Daniel amounts to Rs. 130,200. But later on it was discovered that some damaged items were included having cost of Rs. 25,000. Total repair cost is expected to be Rs. 3,500. After repair these could be sold for Rs. 18,000.

What is the correct value of Daniel inventory?

Rs. _____

7. Following is the detail of inventory of Hamid at December 31, 2018:

Product	Cost value (Rs.)	Net realisable value (Rs.)
A	15,000	17,000
B	12,000	10,000
C	13,500	11,000
D	12,600	14,000
TOTAL	**53,100**	**52,000**

What value of inventory should be shown by the corporation in its Statement of Financial Position at year end?

Rs._____

8. Which of the following is not permitted as a cost of inventory?

a) Non-recoverable taxes
b) Storage costs
c) Shipping
d) Fixed manufacturing overheads

9. An entity sold goods of worth Rs.1 million, the manufacturing cost of the goods were Rs. 600,000. The carriage outwards are Rs. 50,000 and commission paid to agent were also Rs. 50,000. What is the gross and net profit?

a) Gross profit = 600,000 and net profit = 250,000
b) Gross profit = 300,000 and net profit = 200,000
c) Gross profit = 400,000 and net profit = 300,000
d) Gross profit = 350,000 and net profit = 300,000

10. Bazuka Limited (BL) manufacturers and sells office equipment for workplaces. The stock of equipment was included in the closing inventory as of 31 December 2019 at a cost of Rs. 50,000 per equipment.

    During the final audit, the auditors noted that the subsequent selling price for the inventory at 15th January 2020 was Rs. 40,000 per item. Furthermore, inquiry reveals that during the physical stock take, a water leakage has damaged the equipment. Accordingly, in the following week, BL spent a total of Rs. 15,000 per equipment for repairing the equipment.

    The net realizable value and inventory write-down (loss) amount to?

    a) Rs. 40,000 and Rs.10,000 respectively
    b) Rs. 25,000 and Rs. 25,000 respectively
    c) Rs. 35,000and Rs. 25,000 respectively
    d) Rs. 30,000 and Rs.15,000 respectively

11. Which of the following is allowed as a cost of inventory?

    a) Abnormal waste
    b) Storage costs
    c) Selling costs
    d) Variable manufacturing overheads

12. Spice Limited, imported raw materials from China worth Rs.10 million. They paid Rs. 800,000 as import duties and Rs. 200,000 as import taxes (the import taxes were subsequently refunded by the government). They paid Rs. 150,000 for transportation of the materials from China and another Rs. 200,000 as port handling charges for loading the materials at China. Marketing expenses were Rs. 100,000 and the general administrative overheads amounted to Rs. 200,000.

    What will be the value of inventories?

    a) Rs.11,600,000
    b) Rs.11,400,000
    c) Rs.11,150,000
    d) Rs.10,950,000

13. Any amount of write-down of inventories to net realisable value should?

    a) Treated as a deferred expense and written off based on the average inventory holding period
    b) Recognised as an expense in the period in which the write-down occurs
    c) Recognised as an expense in the subsequent period in which such write-down is warranted
    d) Recognized as a current liability in the statement of financial position

14. The estimated selling price in the ordinary course of business less estimated cost of completion and estimated cost of sale is called

    a) Market value
    b) Fair value
    c) Net realisable value
    d) Current value

15. Which of the following costs must be expensed?

a) Costs of purchase that are paid to the suppliers of raw materials
b) Import duties on raw materials that are paid to the authorities
c) Variable production overheads that are allocated to each unit based on actual usage
d) Distribution cost

16. Kamran is an antiques dealer. His inventory includes a clock which cost Rs. 158,000. Kamran expects to spend Rs. 7,000 on repairing the clock which will mean that he will be able to sell it for Rs. 260,000. To replace the same item of inventory would cost Rs. 255,000. At what value should the clock be included in Kieron's inventory?

a) Rs. 151,000
b) Rs. 158,000
c) Rs. 253,000
d) Rs. 260,000

17. What is the unit cost of the following item?

Raw Materials	Rs. 500
Labour	Rs. 300
Manufacturing overheads	Rs. 100
Variable administrative overheads	Rs. 250

a) Rs. 500
b) Rs. 800
c) Rs. 900
d) Rs. 1,150

18. Jazib Associates has 40 units of inventory, out of which 10 units are damaged. The cost per unit is Rs. 2,554 and normal selling price is Rs. 2,900. The damaged units are expected to be sold at 60% of normal selling price. The selling cost of Rs. 150 are incurred on each unit sold, whether normal or damaged. What is the amount of write down of inventory, if any?

a) Rs. 964
b) Rs. 9,640
c) Rs. 92,520
d) Rs. Nil

19. Ghalib Associates has 20 units of Product C4 at cost of Rs. 3,660 each. The product has been sold at Rs. 4,000 per unit and Rs. 150 commission is paid on each unit sold.

A new product has been introduced by a competitor. It is similar to product C4 and is being marketed at Rs. 3,200 per unit. Ghalib is of the opinion that in future, it will also have to reduce the price to Rs. 3,500 per unit. Calculate NRV per unit of Product C4.

a) Rs. 3,510
b) Rs. 3,850
c) Rs. 3,050
d) Rs. 3,350

20. Arma Associates has 40 units of inventory, out of which 10 units are damaged. The cost per unit is Rs. 2,000 and normal selling price is Rs. 3,000. The damaged units are expected to be sold at 80% of normal selling price. The selling cost of Rs. 100 are incurred on each unit sold, whether normal or damaged. What is the amount of write down of inventory, if any?

    a) Rs. 600
    b) Rs. 6,000
    c) Rs. 80,000
    d) Rs. Nil

21. In preparing its financial statements for the current year, an entity's closing inventory was understated by Rs. 200,000.

    What will be the effect of this error if it remains uncorrected?

    a) The current year's profit will be overstated and next year's profit will be understated
    b) The current year's profit will be understated and next year's profit will be overstated
    c) The current year's profit will be understated but there will be no effect on next year's profit
    d) The current year's profit will be overstated but there will be no effect on next year's profit

22. Maria had opening inventory of 900 units at Rs. 5 units at 01 January 2019. During the month she made following purchases and sales transactions:

January 05	Purchased 1,000 units at Rs. 6 per unit
January 09	Sold 1,250 units
January 15	Purchased 600 units at Rs. 7 per unit
January 28	Sold 550 units

    Maria uses periodic weighted average cost method for inventory valuation. What is value of closing inventory at 31 January 2019?

    a) Rs. 4,800
    b) Rs. 4,116
    c) Rs. 6,468
    d) None of the above

23. What is impact on closing inventory if an item having cost of Rs. 2,500 and a net realizable value of Rs. 3,000 has been omitted from year - end inventory count?

    a) Understated by Rs. 2,500
    b) Understated by Rs. 3,000
    c) Overstated by Rs. 2,500
    d) Understated by Rs. 500

24. If closing inventory is accounted for as Rs.240,000 instead of Rs.180,000 then;

    a) Gross profit as well as net profit will be exaggerated
    b) Gross profit and net profit would both be understated
    c) Gross profit will be exaggerated, and net profit understated
    d) Gross profit will be exaggerated but net profit correctly reported

25. An organization had opening inventory of 35,000 units @Rs. 3.5 per unit. During the month it made purchases of 40,000 units @Rs. 5 per unit. Sales were 50,000 units.

    What is value of cost of goods sold during the month if the entity uses continuous weighted average method for inventory valuation?

    a) Rs. 107,500
    b) Rs. 215,000
    c) Rs. 197,500
    d) Rs. 75,000

26. On 1st July 2018, Imad had opening inventory of 50 units at a cost of Rs. 60 per unit. During July 2018 he has made following purchases and sales:

July 09	120 units purchased at a cost of Rs. 65 per unit
July 16	65 units sold
July 24	45 units purchased at a cost of Rs. 67 per unit
July 30	100 units sold

    What is the value of inventory at 31 March using the FIFO method?

    Rs._____

27. Which of the following cost models is not permitted under IAS 2?

    a) First in, First out ('FIFO')
    b) Last in, First out ('LIFO')
    c) Weighted Average
    d) Actual cost

28. Phill Morris Limited (PML) is in the business of procuring a specific type of machine and sells them to international markets. During the year, PML bought four machines costing Rs.12million, Rs.14 million, Rs.13 million and Rs.10 million respectively. During the year it sold only one machine for Rs.14 million and follows the FIFO method of valuation.

    Which of the following statements is TRUE?

    a) The cost of Inventory is Rs.37 million and the cost of sales is Rs.10 million
    b) The cost of Inventory is Rs.39 million and the cost of sales is Rs.14 million
    c) The cost of Inventory is Rs.37million and the cost of sales is Rs.12 million
    d) The cost of Inventory is Rs.37 million and the cost of sales is Rs.13 million

29. The following information relates to Shazim Enterprise (SE) for the month of March 2020:

1 March	Opening inventory of 400 units @ Rs. 100 each = Rs. 40,000
8 March	Purchased 100 units @ Rs. 150 each = Rs. 15,000
24 March	Purchased 300 units @ Rs. 200 each = Rs. 60,000

    No units were sold during March 2020. What would be cost of closing inventory per unit of SE as at 31 March 2020 valued on weighted average (perpetual)?

    a) Rs. 110 per unit
    b) Rs. 143.75 per unit
    c) Rs. 150 per unit
    d) Rs. 187.5 per unit

30. The following information relates to Shazil Enterprise (SE) for the month of March 2020:

1 March	Opening inventory of 400 units @ Rs. 100 each = Rs. 40,000
8 March	Purchased 100 units @ Rs. 150 each = Rs. 15,000
24 March	Purchased 300 units @ Rs. 200 each = Rs. 60,000

No units were sold during March 2020. What would be cost of closing inventory per unit of SE as at 31 March 2020 valued on weighted average (periodic)?

a) Rs. 110 per unit
b) Rs. 143.75 per unit
c) Rs. 150 per unit
d) Rs. 187.5 per unit

31. Which of the following items should be disclosed as per the requirements of IAS 2?

a) Average holding period of inventories of the entity as at the end of the reporting period
b) List of major customers to whom the inventories were sold during the reporting period
c) Amount of expense recognised due to write down of inventories
d) Average lead time of procurement for major classes of inventories

32. Which of the following is NOT a disclosure requirement of IAS 2?

a) The accounting policies adopted in measuring inventories
b) The cost formula used
c) The amount of any write-down of inventories recognised as an expense in the period
d) Location of each place where entity keeps its inventory

33. Super electronics bought 10 air conditioners for Rs. 50,000 each. Two of these were installed in office, three have been sold to customers at a profit margin and remaining are held in stock for resale. Which of the following represents correct accounting treatment?

a) Cost of sales Rs. 100,000; Inventory Rs. 400,000
b) Cost of sales Rs. 500,000; Inventory Rs. 400,000
c) Cost of sales Rs. 150,000; Inventory Rs. 350,000
d) Cost of sales Rs. 150,000; Inventory Rs. 250,000

34. Hulk Building Materials used 500 cement bags from inventory for constructing parking area of their office building. How these 500 cement bags should be accounted for?

a) It should remain included in inventory at cost
b) It should remain included in inventory at lower of cost and NRV
c) It should be charged as an expense when used
d) It should be allocated to building asset in which it has been used

35. Which TWO of the following are recognised as expense under IAS 2?

a) Inventory sold during the period
b) Inventory remained unsold at the end of period
c) Inventory pledged with the bank as security for the loan financing
d) Amount of writ down to NRV

36. At 01 December 2018 Nida had opening inventory of Rs. 20,000 and at 31 December 2018 Nida had closing inventory of Rs. 35,000.

    Which of the following entries are required to account for opening and closing inventory when preparing financial statements of the business?

    a) Dr Cost of sales Rs. 20,000 Cr Inventory Rs. 20,000 and Dr Inventory Rs. 35,000 Cr Cost of sales Rs. 35,000
    b) Dr Cost of sales Rs. 35,000 Cr Inventory Rs. 35,000 and Dr Inventory Rs. 20,000 Cr Cost of sales Rs. 20,000
    c) Dr Cost of sales Rs. 20,000 Dr Inventory Rs. 20,000 and Dr Inventory Rs. 35,000 Dr Cost of sales Rs. 35,000
    d) Cr Cost of sales Rs. 35,000 Cr Inventory Rs. 35,000 and Cr Inventory Rs. 20,000 Cr Cost of sales Rs. 20,000

37. Ali had opening inventory of Rs. 1,500,000. Purchases made during the period were Rs. 2,550,000. Sales during the period were Rs. 4,500,000 and he had closing inventory of Rs. 1,000,000.

    Gross profit for the period was?

    a) Rs. 1,950,000 Profit
    b) Rs. 450,000 Profit
    c) Rs. 1,450,000 Profit
    d) Rs. 550,000 Loss

38. What is correct entry for goods taken by owner for personal use?

    a) Cr Purchases account and Dr Drawings account with the cost price of the goods.
    b) Cr Opening Inventory account and Dr Drawings account with cost price of the goods.
    c) Cr Trading account and Dr Drawings account with the selling price of the goods.
    d) Cr Sales account and Dr Drawings account with the sale price of the goods.

39. Bulk Building Materials used 500 cement bags from inventory for constructing parking area of their office building. How these 500 cement bags should be accounted for under periodic inventory recording system?

    a) Debit Inventory & Credit Purchases
    b) Debit Non-Current assets & Credit Inventory
    c) Debit Non-Current assets & Credit Purchases
    d) Debit Inventory & Credit Non-current assets

40. If trial balance includes “purchase” and “purchase return” account, it is an indication of:

    a) Weighted average method
    b) FIFO method
    c) Perpetual inventory recording system
    d) Periodic inventory recording system

41. In which TWO of the following circumstances, a periodic inventory system might be more suitable?

    a) Large size items
    b) High value items
    c) Low value items
    d) Where inventory movements are frequent

42. In which TWO of the following circumstances, a perpetual inventory system might be more suitable?

a) Large size items
b) High value items
c) Low value items
d) Where inventory movements are frequent

43. An entity uses periodic inventory system, which of the following TWO are correct for recoding a credit sales transaction?

a) Debit Receivables & Credit Sales
b) Debit Cost of sales & Credit Purchases
c) Debit Cost of sales & Credit Inventory
d) No other entry is required

44. An entity uses perpetual inventory system, which of the following is required to incorporate closing year inventory at the time of preparing financial statements?

a) Debit Inventory & Credit Cost of sales
b) Debit Cost of sales & Credit Inventory
c) Debit Cost of sales & Credit purchases
d) No adjustment is required

45. An entity uses periodic inventory system, which of the following is required to incorporate normal loss of inventory?

a) Debit Loss & Credit Inventory
b) Debit Loss & Credit Purchases
c) Debit Loss & Credit Cost of sales
d) No journal entry is required

46. An entity uses periodic inventory system, which of the following TWO are correct for recoding a credit sales return transaction?

a) Debit Sales Return & Credit Receivables
b) Debit Inventory & Credit Cost of sales
c) Debit Cost of sales & Credit Inventory
d) No other entry is required

47. Kind General Mills gave 1000 bags of flour to flood affected community for free. What is correct journal entry to record this transaction under perpetual inventory method?

a) No entry is required
b) Debit Drawings & Credit Purchases
c) Debit Expenses & Credit Inventory
d) Debit Expenses & Credit Purchases

48. Jaffer Associates sold a generator to Sajid Enterprises for Rs. 1,440,000. This price is net of Rs. 60,000 special discount. Jaffer Associates normally sells items at 25% mark-up and uses perpetual inventory system to record its inventory. Which of the following entry is correct to update the inventory?

    a) Debit Cost of Sales Rs. 1,152,000 & Credit Inventory Rs. 1,152,000
    b) Debit Cost of Sales Rs. 1,200,000 & Credit Inventory Rs. 1,200,000
    c) Debit Cost of Sales Rs. 1,104,000 & Credit Inventory Rs. 1,104,000
    d) Debit Inventory Rs. 1,500,000 & Credit Cost of sales Rs. 1,500,000

49. An entity uses perpetual inventory system, which of the following TWO are correct for recoding a credit sales return transaction?

    a) Debit Sales Return & Credit Receivables
    b) Debit Inventory & Credit Cost of sales
    c) Debit Cost of sales & Credit Inventory
    d) No other entry is required

50. An entity uses perpetual inventory system, which of the following TWO are correct for recoding a credit sales transaction?

    a) Debit Receivables & Credit Sales
    b) Debit Cost of sales & Credit Purchases
    c) Debit Cost of sales & Credit Inventory
    d) No other entry is required

ANSWERS

01. (c) Freight in is necessary to bring the inventory in its present condition and location. All other costs are period costs.

02. (d) Conversion costs include direct labour and manufacturing overheads. Only supervisor's wages are part of overheads.

03. (b) The cost is Rs. 2,600 and NRV is Rs. 2,485 (2,550 – 65)
As NRV is lower, inventory will be written down by Rs. 115 (2,600 – 2,485). This would reduce the profit by Rs. 115 as well.

04. (c)

	Alpha	Beta	Gamma
	Rs. per unit	**Rs. per unit**	**Rs. per unit**
Original cost	10	13	15
NRV	12	9	12
Inventory: units held	300	380	240
Valuation Rs.	3,000	3,420	2,880

Total valuation = 3,000 + 3,420 + 2,880 = Rs. 9,300

05. (d) Rs. 3,300 + 13,000 + 13,900 + 14,900 = Rs. 45,100

06. Rs. 119,700
Balance given= Rs. 130,200
Less: cost of damaged item already included= Rs. 25,000
Add: NRV of damaged item Rs. 18,000-Rs. 3,500 = Rs. 14,500
Correct value of inventory Rs. 119,700

07. Rs. 48,600
Product A Rs. 15,000+ Product B Rs. 10,000+Product C Rs. 11,000+Product D Rs. 12,600 = Rs. 48,600
Cost and NRV comparison are to be made on item by item basis and not on the basis of totals.

08. (b) Storage costs

09. (c) Gross profit = Rs. 1,000,000 – 600,000 = Rs. 400,000
Net profit = Rs. 400,000 – 50,000 – 50,000 = Rs. 300,000

10. (b) NRV = Rs. 40,000 estimated sale price – 15,000 cost of repairs = Rs. 25,000
Write down = Rs. 50,000 Cost – Rs. 25,000 NRV = Rs. 25,000

11. (d) Variable manufacturing overheads

12. (c) Rs. 10,000,000 + 800,000 + 150,000 + 200,000 = Rs. 11,150,000

13. (b) Recognised as an expense in the period in which the write-down occurs

14. (c) Net realisable value

15. (d) Distribution cost

16. (b) Cost Rs. 158,000 is lower
NRV Rs. 253,000 (i.e. Rs. 260,000 – 7,000) is higher
Replacement cost Rs. 255,000 is irrelevant

17. (c) Administration costs (whether variable or fixed) are not included in cost of inventory.

18.	**(b)**	No write down on normal units Cost Rs. 2,554 and NRV Rs. 2,750 On damaged units Cost Rs. 2,554 and NRV Rs. 1,590 (i.e. Rs. 2,900 x 60% - 150) = Rs. 964 per unit x 10 units = Rs. 9,640
19.	**(d)**	Rs. 3,500 – 150 = Rs. 3,350
20.	**(d)**	No write down on normal units Cost Rs. 2,000 and NRV Rs. 2,900 No write down on damaged units Cost Rs. 2,000 and NRV Rs. 2,300 (i.e. Rs. 3,000 x 80% - 100)
21.	**(b)**	Closing inventory is understated so current year's profit will be understated as well. However next year the effect will be opposite as it would become opening inventory.
22.	**(b)**	Closing inventory units = 900+1,000+600-1,250-550 = 700 Average cost per unit = ((900x5) +(1,000x6) +(600x7))/2,500 units = Rs. 5.88 Closing inventory = 700xRs. 5.88 = Rs. 4,116
23.	**(a)**	Inventory is valued at lower of cost and NRV which is Rs. 2,500 in this case. Omission would understate the inventory.
24.	**(a)**	Gross profit as well as net profit will be exaggerated
25.	**(b)**	Cost per unit = [(35,0000x3.5) +(40,000x5)]/ (35,000+40,000) =Rs. 4.3 Cost of goods sold = 50,000 x Rs. 4.3 = Rs. 215,000
26.	**Rs. 3,340**	The closing inventory units 50+120+45 – 65 – 100 = 50 units 45 units @ Rs. 67 per unit and 5 units @ Rs. 65 per unit = Rs. 3,340
27.	**(b)**	Last in, First out (LIFO)
28.	**(c)**	Cost of machine sold = Rs. 12 million Cost of machines not sold yet (inventories) = Rs. 14m + 13m + 10m = Rs. 37 million
29.	**(b)**	8 March (Rs. 40,000 + 15,000)/ (400+100 units) = Rs. 110 per unit 8 March (Rs. 55,000 + 60,000)/ (500+300 units) = Rs. 143.75 per unit
30.	**(b)**	Total value [Rs. 40,000 + (15,000 + 60,000)] = Rs. 115,000 Total Units [400 + (100 + 300)] = 800 Rate = Rs. 115,000 / 800 units = Rs. 143.75 per unit
31.	**(c)**	Amount of expense recognised due to write down of inventories
32.	**(d)**	Location of each place where entity keeps its inventory is not required disclosure under IAS 2
33.	**(d)**	Cost of sales Rs. 150,000; Inventory Rs. 250,000
34.	**(d)**	It should be allocated to building asset in which it has been used
35.	**(a) & (d)**	Inventory sold during the period Amount of write down to NRV
36.	**(a)**	Opening inventory is charged to cost of sales and closing inventory is credited in cost of sales.

37.	**(c)**	Sales – costs of sales = gross profit Rs. 4,500,000 – (Rs. 1,500,000+2,550,000-1,000,000) = Rs. 1,450,000
38.	**(a)**	The correct entry for drawings is Debit Drawings and Credit Purchases (or Cost of Sales). The cost price of goods is relevant, not selling price.
39.	**(c)**	Debit Non-Current assets & Credit Purchases
40.	**(d)**	Periodic inventory recording system
41.	**(a) & (c)**	Large size items Low value items
42.	**(b) & (d)**	High value items Where inventory movements are frequent
43.	**(a) & (d)**	Debit Receivables & Credit Sales No other entry is required
44.	**(d)**	No adjustment is required. Simply balance the inventory account.
45.	**(d)**	No journal entry is required
46.	**(a) & (d)**	Debit Sales Return & Credit Receivables No other entry is required
47.	**(c)**	Debit Expenses & Credit Inventory
48.	**(b)**	Debit Cost of Sales Rs. 1,200,000 & Credit Inventory Rs. 1,200,000 Rs. 1,440,000 + 60,000 = Rs. 1,550,000 x 100/125 = Rs. 1,200,000
49.	**(a) & (b)**	Debit Sales Return & Credit Receivables Debit Inventory & Credit Cost of sales
50.	**(a) & (c)**	Debit Receivables & Credit Sales Debit Cost of sales & Credit Inventory

STICKY NOTES

Inventories include raw material and supplies, work in process and finished goods held for resale.

Inventory is measured at lower of cost and NRV.

Cost = Cost of purchase + Conversion costs+ other direct costs
Cost of inventory does not include admin, selling and non-production overheads.

NRV is the expected revenue from the sale of inventory after deducting any further costs that are necessary in order to sell the inventory.

Cost of inventory may be determined by:

- **Actual cost (for non-interchangeable goods)**
- **First in First out formula**
- **Weighted average formula (perpetual & periodic)**

Valuation of inventories affects profit. The higher the value of closing inventory, the higher the amount of profit.

Recognition

- **Inventories sold are recognised as an expense.**
- **In addition, write off of inventory to NRV is also charged as an expense.**
- **Inventory used in construciton of non-current assets is allocated to those assets.**

Inventory Recording systems – Differences

PERIODIC	PERPETUAL
Adjustment entry for opening and closing balances	No adjustment required. Balance b/d and c/d of inventory account, only.
Purchase and purchase return accounts are maintained.	No need of these accounts, rather inventory is debited and credited.
No additional entry required in case of sales and sales return.	Additional entries are required to update the inventory with each transaction.
Purchases account is credited in case of abnormal loss, drawings, free sample etc.	Inventory account is credited in case of abnormal loss, drawings, free sample etc.
No entry is required in case of normal loss.	Debit Cost of sales Credit Inventory

CHAPTER 8

CORRECTION OF ERRORS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Types of errors
2. Correcting errors
3. Impact of correcting errors on financial statements
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

An error in accounting is a non-fraudulent mistake in recording double-entry bookkeeping transactions. The errors may occur due to lack of expertise, carelessness, lack of appropriate controls, incorrect source document, etc.

Some errors may be identified quickly while others take time. It is easier to identify errors when the debits do not equal the credits in the trial balance. Until source and reason of error is not identified, the difference is posted in a temporary suspense account. Suspense account is also created temporarily when a bookkeeper is unsure where to post an item and enters it to a suspense account pending instructions.

The harder errors to identify do not affect the trial balance. Whenever an error is identified, investigative measures should be taken; and corrections made as soon as possible.

The best way for preventing accounting errors is to utilise services of a qualified and professional bookkeeper who is familiar with all the sources of errors and uses proven techniques to ensure that mistakes do not make their way into the financial information used for decision making.

When an error is identified, there are two ways of correcting it:

- reverse the incorrect entry and then use a second journal entry to record the transaction correctly; or
- prepare a single journal entry that, when combined with the original but incorrect entry, fixes the error.

The impact of errors on financial statements may be material or immaterial, therefore, it is important to quantify this impact. This can be calculated as difference of 'the amount if error is not corrected' and 'the corrected amount.'

1 TYPES OF ERRORS

1.1 Introduction

Accounting errors can occur in double entry bookkeeping for several reasons including, but not limited to, human factor. These errors can occur at any stage of accounting process, for example, recording, posting, totalling, balancing, etc. Transposition errors are quite common where the wrong sequence of individual characters within a number is entered, for example, Rs. 142 entered instead of Rs. 124.

An accounting error can cause the trial balance not to balance, which is easier to spot, or the error can be such that the trial balance will still balance, usually making it more difficult to identify the error.

1.2 Errors where trial balance does not balance

One way of finding some errors in the accounting records is to extract a trial balance from the general ledger. If the total of the debit balances does not equal the total of the credit balances on the general ledger accounts, then an error or several errors have been made. The following six types of errors will cause a trial balance not to balance i.e., total debits shall not agree with total credits.

1.2.1 Casting error

Incorrect addition in any individual account, i.e., under-casting or over-casting.

- *Example 01:*

In the sales daybook, the column for total sales has been added up incorrectly. The total should be Rs. 26,420, but the total was undercast by Rs. 1,000. (The total was added up as Rs. 25,420).

The correct total amount receivable was entered in the receivables account in the general ledger.

This type of error is called casting error.

1.2.2 Balancing error

Opening balance not brought down or brought down on wrong side or with wrong amount.

- *Example 02:*

Prepaid insurance amounting to Rs. 740,000 pertaining to the last year was not brought forward from the previous year.

This type of error is called balancing error.

1.2.3 Extraction error

The ledger balance omitted or placed in trial balance at wrong side or with incorrect amount.

- *Example 03:*

Fixture and fittings account balance (debit) of Rs. 460,000 has been included in the trial balance at credit side.

This type of error is called extraction error because it is caused at the time trial balance is being extracted from ledger accounts.

1.2.4 Posting error

Part of the transaction not posted, or transaction posted with incorrect amount or posting to wrong side of an account.

- *Example 04:*

Salaries paid of Rs. 909,000 were correctly recorded in cash book but posted to credit side of Salaries account in general ledger.

This type of error is called posting error.

1.2.5 Error of part omission

A debit entry has been made but no corresponding credit entry or vice versa i.e., single sided entry.

- *Example 05:*

Cash sales of Rs. 6,000 was correctly recorded in cash book but not recorded anywhere else in the general ledger.

This type of error is called error of part omission.

1.2.6 Different amounts

Debit and credit entries have been made but at different amounts.

- *Example 06:*

Sales return of Rs. 4,600 was recorded correctly in Sales Return Account in general ledger but included on credit side of relevant receivable account at Rs. 6,400.

This type of errors is called error of different amounts.

1.3 Errors where trial balance still balances

A trial balance is only useful in helping to identify errors where the debit and credit entries in the general ledger accounts do not match. It does not help with the identification of errors where there has not been a mismatch between debit and credit entries.

The following six types of errors result in situation where errors are not highlighted by extraction of trial balance.

1.3.1 Error of complete omission

Entry missed from the accounting records completely.

- *Example 07:*

Journal entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000

The journal entry was omitted i.e., nothing was recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.

This type of error is called error of complete omission.

1.3.2 Error of commission

Correct amount and type of account but wrong individual account.

- *Example 08:*

Journal entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000

Journal entry that was recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ATC & Co (Payables)			450,000

This type of error is called error of commission.

1.3.3 Error of principle

Correct amount but wrong type of account.

- *Example 09:*

Journal entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000

Journal entry that was recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Plant & machinery		450,000	
	ABC & Co (Payables)			450,000

This type of error is called error of principle.

1.3.4 Compensating errors

Two or more errors may balance each other out.

- *Example 10:*

Journal entries that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000
31 Aug	Salaries expense		999,000	
	Bank			999,000

Journal entries that were recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		540,000	
	ABC & Co (Payables)			450,000
31 Aug	Salaries expense		909,000	
	Bank			999,000

This type of errors is called compensating errors.

1.3.5 Error of original entry

Correct accounts but wrong amounts on both side of an entry.

- *Example 11:*

Journal entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000

Journal entry that was recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		540,000	
	ABC & Co (Payables)			540,000

This type of error is called error of original entry.

1.3.6 Complete reversal of entries

Correct accounts and amounts but sides (debit & credit) reversed.

- *Example 12:*

Journal entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Purchases		450,000	
	ABC & Co (Payables)			450,000

Journal entry that was recorded (causing the error)

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	ABC & Co (Payables)		450,000	
	Purchases			450,000

This type of error is called complete reversal of entries.

2 CORRECTING ERRORS

2.1 Suspense account

A suspense account is a temporary account that is required until the sufficient information is received, and errors are identified and corrected. Suspense accounts are temporarily classified as a statement of financial position account, usually under the heading of current assets or current liabilities depending on the balance (debit or credit).

There are two main reasons for creation of suspense account:

2.1.1 Trial balance does not agree

Irrespective of the reasons why a trial balance may not balance, as a temporary measure the difference in the trial balance is allocated to a suspense account and a suspense account reconciliation is carried out at a later stage.

▶ *Example 13:*

A trial balance showed total debits of Rs. 97,000 but total credits of Rs. 94,000 leaving a difference of Rs. 3,000.

Trial balance as at 30 June 2021 (extracts only)			
Account code	**Particulars**	**Debit Rs.**	**Credit Rs.**
	Total	**97,000**	**94,000**
TMP-05	Suspense account		3,000
	Total	**97,000**	**97,000**

This way a suspense account has been created to tally the trial balance temporarily until the error is identified and corrected.

2.1.2 Unknown entry

In some instances, a suspense account will be opened deliberately by the bookkeeper, if the bookkeeper is uncertain, where to post one side of the double entry. This is later transferred to proper account when relevant information is received.

▶ *Example 14:*

A bookkeeper has noticed the credit transfer by a customer of Rs. 450,000 in bank statement but which of the customers exactly made that payment. He may temporarily record it in suspense account.

Date	Particulars	LF	Debit Rs.	Credit Rs.
17 Aug	Bank		450,000	
	Suspense			450,000

Later, it was discovered that the credit transfer was from O&J Traders, the suspense account can be eliminated now by transferring the amount to correct account.

Date	Particulars	LF	Debit Rs.	Credit Rs.
19 Oct	Suspense		450,000	
	O&J Traders			450,000

2.2 Approach to correction of errors

The correction of errors would require the consideration of following three steps:

- What double entry should have been recorded?
- What double entry was recorded, in actual, including suspense account where the error caused it?
- What correction is required?

Note: Assume that if one side of double entry is not mentioned, it has been correctly recorded.

The correction process would require:

- to reverse what had been recorded incorrectly; and
- to record what had been omitted.

▶ *Example 15:*

Sales returns of Rs. 800 were recorded correctly in the receivables account in the general ledger, but they have been recorded incorrectly as a credit entry in the purchases returns account.

Required: What shall be the correcting entry?

▶ *Answer:*

Double entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Sales return		800	
	Receivables			800

Double entry as recorded (including Suspense effect, if any)

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Suspense (balancing)		1,600	
	Purchase return			800
	Receivable			800

The correcting entry shall be:

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Sales return		800	
	Purchase return		800	
	Suspense			1,600

Note: only correcting entry is answer (other entries have been mentioned to understand the correction process).

▶ *Example 16:*

In the sales daybook, the column for total sales has been added up incorrectly. The total should be Rs. 26,420, but the total was undercast by Rs. 1,000. (The total was added up as Rs. 25,420). The correct total amount receivable was entered in the receivables account in the general ledger.

Required:

What shall be the correcting entry?

▶ *Answer:*

Double entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Receivables		26,420	
	Sales			26,420

Double entry as recorded (including Suspense effect, if any)

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Receivables		26,420	
	Sales			25,420
	Suspense (balancing)			1,000

The correcting entry shall be:

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Suspense		1,000	
	Sales			1,000

Note: only correcting entry is answer (other entries have been mentioned to understand the correction process).

▶ *Example 17:*

A cheque of Rs. 10,800 was paid to a creditor who allowed 10% cash discount. The payment was correctly entered in the bank book but was posted to purchase account as Rs. 1,080 only therefrom. No other entry was made.

Required:

What shall be the correcting entry?

▶ *Answer:*

Double entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Trade payables [10,800 x 100/90]		12,000	
	Purchases/Discount received			1,200
	Bank			10,800

Double entry as recorded (including Suspense effect, if any)

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Purchases		1,080	
	Suspense (balancing)		9,720	
	Bank			10,800

The correcting entry shall be:

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Trade payables		12,000	
	Purchases/Discount received			1,200
	Purchases			1,080
	Suspense			9,720

Note: only correcting entry is answer (other entries have been mentioned to understand the correction process).

▶ *Example 18:*

Sales commission of Rs. 3,500 was paid but was credited twice, once in the bank account and again in the commission account.

Required:

What shall be the correcting entry?

▶ *Answer:*

Double entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Selling costs (commission)		3,500	
	Bank			3,500

Double entry as recorded (including Suspense effect, if any)

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Suspense (balancing)		7,000	
	Bank			3,500
	Selling costs (commission)			3,500

The correcting entry shall be:

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Selling costs (commission)		7,000	
	Suspense			7,000

Note: only correcting entry is answer (other entries have been mentioned to understand the correction process).

▶ *Example 19:*

Goods costing Rs. 10,000 were taken by the owner for personal use and goods worth of Rs. 2,000 were used for office repairs. However, recording these was omitted by the bookkeeper.

Required:

What shall be the correcting entry?

▶ *Answer:*

Double entry that should have been recorded

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Drawings		10,000	
	Office repairs		2,000	
	Purchases			12,000

No entry was recorded (Error of complete omission)

The correcting entry shall be:

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Drawings		10,000	
	Office repairs		2,000	
	Purchases			12,000

Note: only correcting entry is answer (other entries have been mentioned to understand the correction process).

3 IMPACT OF CORRECTING ERRORS ON FINANCIAL STATEMENTS

3.1 Impact of errors on financial statements

The impact of errors on financial statements may be material or immaterial, therefore, it is important to quantify this impact. This can be calculated as difference of 'the amount if error is not corrected' and 'the corrected amount.' The same impact may also be quantified by looking at debit and credit items of correcting journal entry.

Often the most common analysis in this respect is the effect of correcting entries on profit and non-current assets.

3.2 Effect of correcting entries on profit

We must also understand the effect of an error on reported profit and effect of correcting an error on reported profit as well. Sometimes, exam questions also provide the figure of reported profits before the correction of errors and require recalculating the profit after the corrections have been made.

The following points are relevant in this regard:

- All accounts of income and expenses are called nominal accounts.
- The net profit shall increase due to all nominal accounts credited in correcting entries.
- The net profit shall decrease due to all nominal accounts debited in correcting entries.
- The gross profit shall increase due to nominal accounts, related to revenue and cost of sales only, credited in correcting entries.
- The gross profit shall decrease due to nominal accounts, related to revenue and cost of sales only, debited in correcting entries.

▶ *Example 20:*

The following correcting entry has been passed to correct the error given in example 15.

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Sales return		800	
	Purchase return		800	
	Suspense			1,600

Required:

What shall be impact of correction on gross profit and net profit?

▶ *Answer:*

Impact on gross profit: Rs. 800 debit + 800 debit = Rs. 1,600 Decrease

Impact on net profit: Same as gross profit = Rs. 1,600 Decrease

▶ *Example 21:*

The following correcting entry has been passed to correct the error given in example 16.

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Suspense		1,000	
	Sales			1,000

Required:

What shall be impact of correction on gross profit and net profit?

- *Answer:*

Impact on gross profit: Rs. 1,000 credit = Rs. 1,000 Increase

Impact on net profit: Same as gross profit = Rs. 1,000 Increase

- *Example 22:*

The following correcting entry has been passed to correct the error given in example 17.

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Trade payables		12,000	
	Purchases/Discount received			1,200
	Purchases			1,080
	Suspense			9,720

Required:

What shall be impact of correction on gross profit and net profit?

- *Answer:*

Impact on gross profit: Rs. 1,200 credit + 1,080 credit = Rs. 2,280 Increase

Impact on net profit: Same as gross profit = Rs. 2,280 Increase

- *Example 23:*

The following correcting entry has been passed to correct the error given in example 18.

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Selling costs (commission)		7,000	
	Suspense			7,000

Required:

What shall be impact of correction on gross profit and net profit?

- *Answer:*

Impact on gross profit: No effect.

Impact on net profit: Rs. 7,000 debit = Rs. 7,000 Decrease

- *Example 24:*

The following correcting entry has been passed to correct the error given in example 19.

Date	Particulars	LF	Debit Rs.	Credit Rs.
	Drawings		10,000	
	Office repairs		2,000	
	Purchases			12,000

Required:

What shall be impact of correction on gross profit and net profit?

▶ *Answer:*

Impact on gross profit: Rs. 12,000 credit = Rs. 12,000 Increase

Impact on net profit: Rs. 12,000 credit – 2,000 debit = Rs. 10,000 Increase

3.3 Calculating revised profit

The exam questions may also require calculating revised profit after the corrections are made.

▶ *Example 25:*

A bookkeeper in error recorded the purchase cost of a new item of equipment as Rs. 36,000 when it should have been Rs. 360,000.

A draft profit of Rs. 2,560,000 for the period was calculated before the discovery of the error. This included a depreciation charge of 10% (Rs. 3,600) for the equipment.

Required:

What is the correct figure for profit?

▶ *Answer:*

	Rs.
Draft profit	2,560,000
Add back: Depreciation incorrectly charged	3,600
	2,563,600
Deduct: Correct depreciation charge (10% × Rs. 360,000)	(36,000)
Adjusted figure for profit	**2,527,600**

▶ *Example 26:*

A bookkeeper in error recorded the Rs. 60,000 purchase cost of a new machine as repairs and maintenance costs.

A draft profit of Rs. 300,000 for the period was calculated before the discovery of the error. Depreciation on machinery is charged at 20% on cost, with a full year's charge in the year of acquisition.

Required:

What is the correct figure for profit?

▶ *Answer:*

	Rs.
Draft profit	300,000
Add back: Repair costs incorrectly charged	60,000
	360,000
Deduct: Depreciation charge (20% × Rs. 60,000)	(12,000)
Adjusted figure for profit	**348,000**

3.4 Effect of correcting entries on other line items of financial statements

Impact on other line items in the financial statements may be calculated in the same way, for example, assets would increase when related account is debited in correcting entry and decrease when related account is credited in correcting entry. Similarly, liabilities would increase when related account is credited in correcting entry and decrease when related account is debited in correcting entry.

▶ *Example 27:*

While reviewing the draft financial statements of Sky Electronics (SE) for the year ended 31 December 2017, following errors have been identified:

Computers costing Rs. 240,000 purchased on 1 September 2017 for office use were debited to purchases account. SE depreciates computers at 20% per annum using straight line method.

The net book value of property, plant and equipment before the correction of above errors is Rs. 9,800,000.

Required:

a) Prepare rectification entries to correct the above errors. (Narrations are not required)

b) Calculate the net book value of property, plant and equipment after correction of above errors.

▶ *Answer:*

Part (a) Accounting entries for correction of the errors

Date	Description	Debit	Credit
		Rupees	
(i)	Computers (PPE)	240,000	
	Purchases		240,000
(ii)	Depreciation expense **[240,000×20%×4/12]**	16,000	
	Accumulated depreciation		16,000

Part (b) Corrected amount of Property, plant and equipment

	Rupees
Property, plant and equipment (before corrections)	9,800,000
Add: Computers	240,000
Less: Depreciation on computers	(16,000)
Property, plant and equipment after correction	**10,024,000**

▶ *Example 28:*

Financial statements of Zeta Traders (ZT) for the year ended 30 June 2019 is under preparation. Following information has been gathered in respect of trade receivables as at 30 June 2019:

	Rupees
Trade receivables	2,500,000
Allowance for doubtful debts	(400,000)
Net trade receivables	2,100,000

It was noted that:

- an old outstanding balance of Rs. 250,000 which was written off previously was settled during the year at 20% discount. The amount received was credited to trade receivables.
- purchase return amounting to Rs. 500,000 was mistakenly debited to trade receivables.
- Rana and Sons having a balance of Rs. 80,000 due for more than one year was declared bankrupt and its balance needs to be written off.

ZT maintains allowance for doubtful debts:

- at 25% for balances outstanding for more than six months. As at 30 June 2019, such balances are aggregated to Rs. 600,000 (excluding balance of Rana and Sons); and
- at 5% for the remaining balances

Required:

a) Prepare correcting entries for the year ended 30 June 2019. (Narrations are not required)

b) Compute the correct figures for gross and net receivables for ZT as at 30 June 2019.

Answer:

Part (a) Correcting entries

General journal			
Sr #	**Description**	**Debit**	**Credit**
		------ Rupees ------	
(i)	Trade receivables	200,000	
	Bad debt expense/Bad debts recovered		200,000
(ii)	Trade payables	500,000	
	Trade receivables		500,000
(iii)	Bad debts expense	80,000	
	Trade receivables		80,000
(iv)	Allowance for doubtful debts **(W-1)**	174,000	
	Bad debt expense		174,000

W-1: Allowance for doubtful debts:		**Rupees**
Allowance for bad debts as at 1 July 2018		400,000
Allowance required as at 30 June 2019:		
- 25% on balances outstanding for more than 6 months [600,000×25%]		150,000
- 5% on other balances [(2,120,000 **(part b)** – 600,000) ×5%]		76,000
		226,000
Excess allowance to be reversed		**(174,000)**

Part (b) Corrected amount of receivables

	Rupees
Trade receivables [2,500,000 + 200,000 – 500,000 – 80,000]	2,120,000
Less: Allowance for doubtful debts **W1**	(226,000)
Net trade receivables	**1,894,000**

4 COMPREHENSIVE EXAMPLES

▶ *Example 29:*

During the review of accounting records and financial statements for the year ended 30 June 2022 of Tally Traders, following errors were highlighted:

i. Sales included an outstanding balance of Rs. 500,000 for which a customer would need to pay Rs. 485,000 only if payment is made within 30 days. The customer is expected to pay within 30 days.

ii. An item was included in closing inventory at its net realizable value of Rs. 490,000. However, the item had a cost of Rs. 450,000.

Periodic inventory method is used to record the inventory transactions.

iii. A sub-total of Rs. 234,000 was carried forward in the purchase day book as Rs. 432,000.

Control accounts are not maintained for Debtors and Creditors.

iv. A credit note issued to a customer of Rs. 128,000 was recorded as credit note received from supplier.

Required:

Prepare journal entries to correct the above errors. ***(Narrations are not required)***

▶ *Answer:*

Journal entries

Sr. #	Particulars	Debit Rs.	Credit Rs.
(i)	Revenue [500,000 – 485,000]	15,000	
	Receivables		15,000
(ii)	Cost of sales [490,000 – 450,000]	40,000	
	Inventory		40,000
(iii)	Suspense account [432,000 – 234,000]	198,000	
	Purchases		198,000
(iv)	Sales return	128,000	
	Purchase return	128,000	
	Receivables		128,000
	Payables		128,000

▶ *Example 30:*

The trial balance of Moon Mart (MM) did not agree as at 31 December 2021 and the shortage of Rs. 215,000 on the debit side was carried to suspense account. The financial statements prepared from the trial balance showed net profit of Rs. 1,431,000.

During review, following matters were noted:

i. A return outward of Rs. 18,000 was posted to the debit of return inward account in general ledger.

ii. A sales invoice of Rs. 42,000 was posted twice in sales ledger.

iii. Balance of accumulated depreciation of equipment was brought forward as Rs. 641,000 instead of Rs. 461,000 on 1 January 2021.

iv. Following entries in cash book were not posted to general ledger:

- Receipt of annual rent for the period ending 31 March 2022 amounting to Rs. 336,000.
- Payment of Rs. 220,000 for equipment purchased on 1 May 2021.
- Cash purchases of Rs. 50,000.

Additional information:

i. After passing all the adjustments, the remaining amount of suspense account is to be considered as loss from embezzlement.

ii. MM uses periodic inventory method. Control accounts are not maintained for trade receivables and payables. Equipment are depreciated at 15% using reducing balance method.

Required:

a) Prepare suspense account.

b) Compute the corrected net profit.

Answer:

Part (a)

Suspense account				
	Rs. 000			Rs. 000
Balance	215		Accumulated dep. (iii)	180
Return inward/outward (i)	36		Equipment (iv)	220
Account receivable (ii)	42		Purchases (iv)	50
Rent (iv)	336		Embezzlement loss (bal.)	179
	629			629

Part (b) Corrected net profit

	Rs. 000
Net profit as per question	1,431
Return inward/outward (i)	36
Rent income (iv)	252
Purchases (iv)	(50)
Depreciation (iii) & (iv) [(641 – 461) x 15%] + [220 x 15% x 8/12]	(49)
Loss from embezzlement	(179)
Corrected net profit	**1,441**

Example 31:

Following draft statement of financial position as on 31 December 2019 of Naltar Establishment (NE) is under review:

Assets	Rs. 000	Equity & liabilities	Rs. 000
Fixed assets – net	22,590	Opening capital	32,240
		Net profit for the year	9,360
			41,600

Current assets:	Rs. 000	Current liabilities:	Rs. 000
Stock	15,320	Trade payables	17,332
Trade receivables	19,730	Other payables	2,680
Drawings	1,400	Accrued expenses	798
Cash & bank	3,850	Discount received	480
	40,300		21,290
	62,890		**62,890**

The following matters are identified:

i. Goods costing Rs. 5,800,000 received on 31 December 2019 were included in the year-end physical count. However, these goods were recorded in purchases daybook on 5 January 2020 on receipt of the invoice.

ii. Goods sold on credit at a trade discount of 10% were recorded at gross amount of Rs. 6,400,000.

iii. A cheque of Rs. 500,000 issued by a customer as an advance was dishonoured and returned by the bank on 31 December 2019. No entry was made on return of cheque.

iv. An upgradation of a plant to improve quality and efficiency was completed on 1 July 2019 at a cost of Rs. 2,500,000. The cost was charged to repair and maintenance expense.

Other information:

NE uses periodic stock method. The plant is depreciated at 20% using diminishing balance method.

Required:

Prepare corrected statement of financial position as on 31 December 2019.

▶ *Answer:*

Naltar Establishment

Statement of financial position as at 31 December 2019

		Rs. 000
Assets		
Fixed assets – net	22,590 + 2,500 (iv) – 250 (iv)	24,840
Current assets:		
Inventory (closing)		15,320
Trade receivables	19,730 – 640 (ii)	19,090
Cash & bank	3,850 – 500 (iii)	3,350
		37,760
		62,600

		Rs. 000
Equity & liabilities		
Opening capital		32,240
Net profit for the year	**(W1)**	5,650
Drawings		(1,400)
Net equity		36,490
Current liabilities:		
Trade payables	17,332 + 5,800 (i)	23,132
Other payables	2,680 – 500 (iii)	2,180
Accrued expenses		798
Discount received	480 – 480 (in PL)	-
		26,110
		62,600

W1: Corrected net profit for the year		**Rs. 000**
Balances as per draft financial statements		9,360
Corrections:		
	Discount received (incorrectly shown as a liability)	480
(i)	Purchases of Dec. 2019 recorded in Jan. 2020	(5,800)
(ii)	10% trade discount [6,400×10%]	(640)
(iv)	Reversal of repair and maintenance expense	2,500
(iv)	Depreciation expense [2,500×20%×6÷12]	(250)
Revised net profit		**5,650**

▶ *Example 32:*

Following information has been extracted from the draft financial statements of Smart Establishment (SE) for the year ended 31 December 2022:

Statement of profit or loss	**Rs. in '000**
Revenue	3,500
Cost of sales	(2,000)
Gross profit	1,500
Administrative expenses	(800)
Selling expenses	(550)
Operating profit	150
Other expenses	(60)
Other income	200
Net profit	**290**

During the review following matters were identified:

i. Discounts received of Rs. 32,000 in January 2022 have been posted to the debit of the discounts allowed account.

ii. Salaries of Rs. 29,000 paid in February 2022 have not been posted from the cash book.

iii. A remittance of Rs. 94,000 received from Tariq (a customer) in November 2022 has been posted to the credit of Babar (another customer).

iv. In December 2022, SE took advantage of an opportunity to purchase a large quantity of stationery at a bargain price of Rs. 20,000. No adjustments have been made in the accounts for the fact that three-quarters, in value, of this stationery was in stock at year end.

v. A payment of Rs. 41,000 to Waqas (a supplier) in January 2022 has been posted in his personal account as Rs. 14,000.

vi. A remittance of Rs. 30,000 received from Naveed (a customer) in April 2022 has been credited to sales.

SE does not maintain control accounts for receivables or payables.

Required:

Pass correcting entries and prepare corrected statement of profit or loss for the year ended 31 December 2022.

▶ *Answer:*

Correcting entries

Sr. #	Particulars	Debit	Credit
		Rs. 000	Rs. 000
(i)	Suspense account	64	
	Discount received		32
	Discount allowed		32
(ii)	Salaries expense	29	
	Suspense account		29
(iii)	Babar (Receivable)	94	
	Tariq (Receivable)		94
(iv)	Office supplies (stationery) stock	15	
	Office supplies expense [20 x ¾]		15
(v)	Waqas (Payables) [41 – 14]	27	
	Suspense account		27
(vi)	Sales	30	
	Naveed (Receivables)		30

Statement of profit or loss (Corrected)	Rs. in '000
Revenue [3,500 + 32 (i) – 30 (vi)]	3,502
Cost of sales [2,000 – 32 (i)]	(1,968)
Gross profit	1,534
Administrative expenses [800 + 29 (ii) – 15 (iv)]	(814)
Selling expenses	(550)
Operating profit	170
Other expenses	(60)
Other income	200
Net profit	**310**

5 OBJECTIVE BASED Q&A

1. Amna wrongly credited return inwards of Rs. 3,500 to returns outward although Receivable Account was correctly credited.

   What will be the difference in trial balance prepared at the year end?

   a) Total of trial balance on the debit side will be Rs. 3,500 more than total of credit side
   b) Total of trial balance on credit side will be Rs. 3,500 more than the total of debit side
   c) Total of trial balance on the debit side will be Rs. 7,000 more than total of credit side
   d) Total of trial balance on credit side will be Rs. 7,000 more than the total of debit side

2. For the year ended 31 December 2018 Ahmad showed a profit of Rs. 15,500.

   It was further discovered; during the year he purchased a piece of equipment for Rs. 5,000. Transaction was recorded as Debit Repairs account and Credit Cash account. It is policy to depreciate equipment at 10% and charging full year's deprecation in the year of purchase.

   What is the impact of correcting the error on statement of profit or loss for the year?

   a) Profit will be increased by Rs. 5,000
   b) Profit will be reduced by Rs. 5,000
   c) Profit will be increased by Rs. 4,500
   d) Profit will be decreased by Rs. 4,500

3. Which of the following errors will require creating a suspense account?

   a) Repairs expense was considered a purchase of asset
   b) Purchase of inventory was considered purchase of non–current asset
   c) An invoice of Rs. 2,500 was totally omitted from the books
   d) Petty cash expenses of Rs. 500 were only credited to bank account

4. Zahid granted an early settlement discount of Rs. 1,500 to one of its customers. The discount amount was correctly entered in the receivable account, but it was wrongly credited to revenue account. The sales to this customer were originally recorded at gross amount and Zahid does not maintain separate discount allowed account.

   In order to balance the trial balance at year end, what should be the balance of suspense account in trial balance?

   a) Rs. 3,000 Cr
   b) Rs. 3,000 Dr
   c) Rs. 1,500 Dr
   d) Rs. 1,500 Cr

5. The suspense account shows a debit balance of Rs. 500. Which of the following errors could be the cause of suspense?

   a) Overstatement of salaries expense by Rs. 500
   b) Overcasting sales account by Rs. 500
   c) Under-casting of sales by Rs. 500
   d) Payment to supplier Rs. 500 was wrongly omitted (completely) from records

6. Interest expense of Rs. 100 has been wrongly debited to stationery expense. What entry is required to correct the error?

   a) Dr Interest expense Rs. 100; Cr Suspense Account Rs. 100
   b) Dr Interest expense Rs. 100; Cr Stationery expense Rs. 100
   c) Dr Suspense Account Rs. 100; Dr Interest expense Rs. 100 Cr Stationery expense Rs. 200
   d) Dr Suspense Account Rs. 100, Cr Stationery expense Rs. 100

7. Which of the following errors will not affect a trial balance?

   a) Rs. 5,000 utility expenses were entirely omitted from recording
   b) Rent paid Rs. 2,500 has been recorded as Rs. 1,500 in rent account.
   c) Sales revenue account was under-casted by Rs. 10,000
   d) Cash paid Rs. 3,000 for repair of equipment was credited to repairs account

8. Which error will cause an entry in the suspense account?

   a) a transposition error when transferring a ledger account balance to the trial balance
   b) an error of commission where the wrong account is used for a transaction, but it is the correct type of account
   c) an error of omission
   d) an error of principle

9. The correction of which of the following error would require an entry in the suspense account?

   a) A cheque, Rs. 2,000, paid to Asif had been debited to Arif's account.
   b) A purchase of stationery, Rs. 80, had been debited to the purchases account.
   c) Commission income, Rs. 120, had been debited to a loan interest account.
   d) Salaries account had been undercast by Rs. 300 and the entertainment account had been overcast by Rs. 300.

10. A trial balance was extracted from the books of Nizam. It was found that debit side exceeded credit side. Following errors were identified:

   (i) Purchases account was over-casted by Rs. 120,000.
   (ii) An amount paid to Sajjad was debited to his account as Rs. 98,000 instead of Rs. 89,000.
   (iii) Sales account was under-casted by Rs. 11,000.

   What was the balance of suspense account before correction of errors?

   a) Rs. 140,000 Credit
   b) Rs. 140,000 Debit
   c) 0
   d) Rs. 271,000 Debit

11. The credit side of a business trial balance is Rs. 2,000 more than the debit side. Which one of the following could be the reason for that?

   a) Credit purchase of Rs. 6,000 was recorded in Purchase daybook as Rs. 4,000
   b) Cash paid to supplier Rs. 2,000 was omitted from books
   c) Overpayment of Rs. 2,000 was received from a customer
   d) Credit sales of Rs. 7,000 was posted to receivables account as Rs. 5,000 while it was correctly entered in sales account

12. A suspense account was opened when a trial balance failed to agree. The following errors were discovered afterwards:

    i. An electricity bill of Rs. 620 had been recorded in the electricity charges account as Rs. 250
    ii. A discount allowed of Rs. 200 was wrongly credited to revenue account
    iii. Interest given by bank Rs. 450 was debited to bank account only.

    At what amount the suspense account should be shown in trial balance in order to make trail balance agree?

    a) Rs. 320 Dr
    b) Rs. 320 Cr
    c) Rs. 120 Dr
    d) Rs. 120 Cr

13. Trial balance of a business did not agree, and a suspense account was created. On investigation it was revealed that while posting payments from bank book, insurance expense was posted as Rs. 254,000 instead of Rs. 245,000.

    What entry is required to correct the error?

    a) Dr Suspense Rs. 9,000 Cr Insurance expense Rs. 9,000
    b) Cr Suspense Rs. 9,000 Dr Insurance expense Rs. 9,000
    c) Dr Insurance expense Rs. 245,000 Cr Cash Rs. 245,000
    d) Cr Insurance expense Rs. 245,000 Dr Suspense Rs. 245,000

14. A sales return of Rs. 400 has been wrongly posted to the credit of the purchases return account but has been correctly entered in the customer's account.

    Which of the following will be the effects of the error?

    a) Profit for the year will be overstated by Rs. 400
    b) Profit for the year will be overstated by Rs. 800
    c) Credit side of the trial balance will be Rs. 400 more than debit side
    d) Debit side of the trial balance will be Rs. 800 more than credit side

15. A company's trial balance failed to agree, the total being:

    Debit Rs. 950,300
    Credit Rs. 955,300

    Which one of the following is the reason of this difference?

    a) Utilities expense of Rs. 5,000 entirely omitted from recording
    b) Transportation in of Rs. 5,000 is recorded as transportation out
    c) Purchase return Rs. 2,500 debited in error to the Sales return account, while transaction was correctly posted to party's account.
    d) Sales return Rs. 2,500 was wrongly recorded as Purchase return, while transaction was correctly posted to party's account.

16. Following errors occurred in books of Majid & Co.

    (1) Carriage inwards of Rs. 100 was debited to carriage outwards
    (2) Purchase of inventory Rs. 5,000 was debited to repairs account
    (3) Rent expense was Rs. 200 and it was credited to rent account.

    What will be the balance of Suspense account before correction of above errors?

    a) Rs. 100
    b) Rs. 200
    c) Rs. 400
    d) Rs. 5,400

17. A return inward of Rs. 180 has been wrongly recorded as carriage inwards and a repair expense of Rs. 250 was wrongly debited to salaries account. What is the impact on net profit of the correction of these errors?

    a) Rs. Nil
    b) Rs. 180 Decrease
    c) Rs. 250 Decrease
    d) Rs. 70 Decrease

18. A suspense account was opened when a trial balance failed to agree. The following errors were discovered afterwards:

    i. A payment of Rs. 5,000 to a supplier was credited to his account
    ii. A return outwards of Rs. 400 was wrongly debited to return inwards account
    iii. Payment for establishment of petty cash fund by Rs. 1,000 was only credited to bank account

    At what amount the suspense account would have been created before correction of these errors?

    a) Rs. 5,400 Credit
    b) Rs. 10,200 Debit
    c) Rs. 5,400 Debit
    d) Rs. 10,200 Credit

19. After extracting trial balance, a business has identified following errors:

    i. Owner's home rent paid Rs. 1,500 has been debited to business rent account
    ii. Purchase of stationery Rs. 500 has been debited to machinery account. Depreciation rate is 10%
    iii. Freight paid Rs. 150 for inventory sold has been debited to stationery account

    Profit for the year before correction of these errors was Rs. 10,500.

    What is the amount of corrected profit?

    a) Rs. 11,500
    b) Rs. 11,550
    c) Rs. 11,600
    d) Rs. 11,750

20. A cash refund of Rs. 20,000 due to customer A was correctly treated in the cash book and then credited to the accounts receivable ledger of customer B.

    At what amount the suspense account should be shown in trial balance in order to make trial balance agree?

    a) Rs. 20,000 debit
    b) Rs. 20,000 credit
    c) Rs. 40,000 debit
    d) Rs. 40,000 credit

21. "Treating a revenue expense as a capital expenditure" is an example of?

    a) Compensating errors
    b) Error of omission
    c) Error of commission
    d) Error of principle

22. If an effect of an error is cancelled by the effect of some other error, it is commonly known as

    a) Errors of principle
    b) Errors of omission
    c) Compensating errors
    d) Errors of commission

23. Goods of Rs.100,000 purchased from Abbas Traders were recorded in sales book, the rectification of this error will

    a) Increase the gross profit
    b) Reduce the gross profit
    c) Have no effect on gross profit
    d) None of the given options

24. What would be the total of the trial balance if a purchase return of Rs. 84,000 has been wrongly posted to the debit of the sales return account, but had been correctly entered in the supplier's account?

    a) The credit side to be Rs.84,000 more than debit side
    b) The debit side to be Rs.84,000 more than credit side
    c) The credit side to be Rs.168,000 more than debit side
    d) The debit side to be Rs.168,000 more than credit side

25. When opening stock is overstated, net profit for the accounting period will be

    a) Overstated
    b) Understated
    c) No effect
    d) None of the above

26. Difference of totals of both debit and credit side of the trial balance is transferred to

    a) Difference account
    b) Trading account
    c) Miscellaneous account
    d) Suspense account

27. Goods purchased from supplier worth Rs.200,000, no entry made in purchases book is an example of

    a) Error of posting
    b) Error of omission
    c) Error of principle
    d) Compensating errors

28. Purchase of fuel for the car is capitalised to motor vehicles. It is a type of

    a) Error of posting
    b) Error of omission
    c) Error of principle
    d) Compensating errors

29. A company incorrectly recorded a credit sales invoice of Rs. 45,000 as Rs. 54,000. What is the appropriate entry, the company should follow regarding the error of Rs. 9,000?

    a) Add Rs. 9,000 to its Cash account
    b) Sales (Dr) and Receivable (Cr) with Rs. 9,000
    c) Receivable (Dr) and Sales (Cr) with Rs. 9,000
    d) None of the above

30. Which of the following account(s) will be affected, while rectifying the error of Carriage paid Rs. 50,000 for the newly purchased machinery mistakenly debited to carriage account?

    a) Only machinery account
    b) Only carriage account
    c) Both carriage and machinery account
    d) Only cash account

31. If a cash sale is made for Rs. 400,000 and posted as follows:

Account	Debit	Credit
Sales	400,000	
Cash		400,000

    What would be the correcting entry?

    a) Sales (debit) = Rs. 800,000 and Cash (credit) = Rs. 800,000
    b) Cash (debit) = Rs. 400,000 and Sales (credit) = Rs. 400,000
    c) Cash (debit) = Rs. 600,000 and Sales (credit) = Rs. 600,000
    d) Cash (debit) = Rs. 800,000 and Sales (credit) = Rs. 800,000

32. Received cheque from debtor – Faraz worth Rs. 100,000 was treated as received from debtor- Sarfaraz. What would be correcting entry?

    a) Sales (debit) = Rs. 100,000 and debtor - Faraz (credit) = Rs. 100,000
    b) Debtor - Faraz (debit) = Rs. 100,000 and debtor – Sarfaraz (credit) = Rs. 100,000
    c) Debtor - Sarfaraz (debit) = Rs. 100,000 and debtor –Faraz (credit) = Rs. 100,000
    d) Sales (debit) = Rs. 100,000 and debtor – Sarfaraz (credit) = Rs. 100,000

33. Which of the following errors will create balance in a suspense account?

    a) Repairs expense was considered as purchase of asset
    b) Purchase of inventory was considered as purchase of non-current asset
    c) An invoice of Rs. 2,500 was totally omitted from the books
    d) Petty cash expenses of Rs. 500 were only credited to bank account

34. Office supplies purchased (and held in stock) were mistakenly debited to Purchases account. This type of error is called:

    a) error of omission
    b) compensating error
    c) error of principle
    d) error of transposition

35. While reviewing the draft financial statements of Sky Electronics (SE) for the year ended 31 December 2017, following error has been identified:

    Computers costing Rs. 240,000 purchased on 1 September 2017 for office use were debited to purchases account. SE depreciates computers at 20% per annum using straight line method.

    What would be the impact of correcting the above error on property, plant and equipment as at 31 December 2017?

    a) Increase by Rs. 240,000
    b) Increase by Rs. 224,000
    c) Increase by Rs. 200,000
    d) Increase by Rs. 192,000

36. While reviewing the draft financial statements of Sky Electronics (SE) for the year ended 31 December 2017, following error has been identified:

    Trade receivables include a balance of Rs. 180,000 which is irrecoverable but has not been written-off. Further, a recovery of Rs. 96,000 against receivables written off in prior years was credited to trade receivables. As per SE's policy, allowance for doubtful receivables has already been made at 5% on year-end balance.

    If the profit before correcting the above was Rs. 800,000, what would be amount of corrected profit?

    a) Rs. 716,000
    b) Rs. 720,200
    c) Rs. 711,800
    d) None of above

37. While reviewing the draft financial statements of Sky Electronics (SE) for the year ended 31 December 2017, following error has been identified:

    A cheque of Rs. 192,000 was received after a discount of 4% from a customer. The related revenue was recorded at gross amount. However, in the cash book, the amount received was entered in the discount allowed column and the amount of discount was entered in the bank column. SE does not maintain separate account for discount allowed and any revenue reversal is directly posted to Sales account.

    What would be the correcting entry for above?

    a) Debit Bank Rs. 192,000 and Credit Sales Rs. 192,000
    b) Debit Bank Rs. 184,000 and Credit Sales Rs. 184,000
    c) Debit Sales Rs. 192,000 and Credit Bank Rs. 192,000
    d) Debit Sales Rs. 184,000 and Credit Bank Rs. 184,000

38. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that an invoice of Rs. 3,700 was debited to purchases but the goods were received after year-end and were not included in the closing inventory.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 846,300 & Net Profit Rs. 456,300
    b) Gross Profit Rs. 853,700 & Net Profit Rs. 463,700
    c) Gross Profit Rs. 850,000 & Net Profit Rs. 463,700
    d) Gross Profit Rs. 853,700 & Net Profit Rs. 460,000

39. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that transportation inward amounting to Rs. 2,000 was included in transportation outward.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 848,000 & Net Profit Rs. 460,000
    b) Gross Profit Rs. 852,000 & Net Profit Rs. 462,000
    c) Gross Profit Rs. 848,000 & Net Profit Rs. 462,000
    d) Gross Profit Rs. 852,000 & Net Profit Rs. 458,000

40. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that the sub-total of a closing stock sheet had been carried forward as Rs. 21,830 instead of Rs. 21,380.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 850,450 & Net Profit Rs. 460,450
    b) Gross Profit Rs. 849,550 & Net Profit Rs. 459,550
    c) Gross Profit Rs. 850,450 & Net Profit Rs. 459,550
    d) Gross Profit Rs. 849,550 & Net Profit Rs. 460,450

41. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that a receipt of Rs. 24,000 was credited to sales. The amount was received from a credit customer who availed a cash discount of Rs. 1,000 on this payment. It was already expected that this customer will avail the cash discount at the time of sale.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 826,000 & Net Profit Rs. 436,000
    b) Gross Profit Rs. 874,000 & Net Profit Rs. 484,000
    c) Gross Profit Rs. 825,000 & Net Profit Rs. 435,000
    d) Gross Profit Rs. 875,000 & Net Profit Rs. 485,000

42. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that purchase of office computer on 1 April 2017 amounting to Rs. 42,000 was entered in the purchase account. Depreciation on office computer is provided at the rate of 25%.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 892,000 & Net Profit Rs. 491,500
    b) Gross Profit Rs. 892,000 & Net Profit Rs. 494,125
    c) Gross Profit Rs. 808,000 & Net Profit Rs. 491,525
    d) Gross Profit Rs. 808,000 & Net Profit Rs. 428,500

43. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that goods having sales value of Rs. 4,500 were used for office repairs. No entry has been made in the books. TE uses periodic inventory method and goods are sold at cost plus mark up of 25%.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 853,600 & Net Profit Rs. 460,000
    b) Gross Profit Rs. 846,400 & Net Profit Rs. 464,500
    c) Gross Profit Rs. 854,500 & Net Profit Rs. 455,500
    d) Gross Profit Rs. 845,500 & Net Profit Rs. 459,100

44. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that purchase return amounting to Rs. 6,700 has been recorded as sales return.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 856,700 & Net Profit Rs. 467,700
    b) Gross Profit Rs. 863,400 & Net Profit Rs. 473,400
    c) Gross Profit Rs. 843,300 & Net Profit Rs. 453,300
    d) Gross Profit Rs. 836,600 & Net Profit Rs. 446,600

45. Draft income statement of Timothy Enterprises (TE) for the year ended 31 December 2017 shows gross profit of Rs. 850,000 and net profit of Rs. 460,000.

    It was subsequently discovered that the owner had withdrawn goods costing Rs. 4,680 for personal use. No entry has been made in the books. TE uses periodic inventory method and goods are sold at cost plus mark up of 25%.

    Compute the corrected gross profit and net profit for the year.

    a) Gross Profit Rs. 854,680 & Net Profit Rs. 464,680
    b) Gross Profit Rs. 855,850 & Net Profit Rs. 465,850
    c) Gross Profit Rs. 845,320 & Net Profit Rs. 455,320
    d) Gross Profit Rs. 844,150 & Net Profit Rs. 454,150

46. A cheque dated 25 June 2019 for Rs. 150,000 was received from an insurance company and deposited by the owner in his personal bank account. The cheque was received in settlement of an inventory loss claim. Actual inventory loss was determined at Rs. 180,000. No entries have been made for loss of inventory and insurance claim. The business uses periodic inventory method.

    Which of the following effect would be part of correcting entry?

    a) Debit Abnormal loss Rs. 30,000
    b) Debit Drawings Rs. 150,000
    c) Credit Purchases Rs. 180,000
    d) All of above

47. Goods amounting to Rs. 350,000 received from a supplier after proper inspection on 30 June 2019 were included in the year-end physical inventory count but recorded in purchases daybook on 1 July 2019. The business uses periodic inventory method.

    What would be appropriate correcting entry if the year-end is June 30, 2019?

    a) Trade payables Debit Rs. 350,000 and Purchases Rs. 350,000
    b) Drawings Debit Rs. 350,000 and Purchases Rs. 350,000
    c) Purchases Debit Rs. 350,000 and Trade payables Rs. 350,000
    d) None of above

48. Zeta Traders (ZT) has prepared its draft financial statements for the year ended on 30 June 2019. On review it was discovered that third party stock of Rs. 500,000 lying on ZT premises has been included in ZT's year-end inventory. ZT uses periodic inventory method.

    What correcting entry is required?

    a) No entry is required.
    b) Inventory (debit) Rs. 500,000 and Cost of Sales (credit) Rs. 500,000
    c) Third party (debit) Rs. 500,000 and Purchase return (credit) Rs. 500,000
    d) Cost of Sales (debit) Rs. 500,000 and Inventory (credit) Rs. 500,000

49. On 1 July 2021, a repair expense of Rs. 100,000 was debited to office machinery account. Depreciation of 15% has been recorded at year end of 31 December 2021. What will be impact of correcting above error on gross profit?

    a) Rs. Nil
    b) Rs. 100,000 Decrease
    c) Rs. 85,000 Decrease
    d) Rs. 92,500 Decrease

50. 'Correct accounts, correct amounts but incorrect sides,' which of the following type of error is indicated by preceding phrase?

    a) Error of commission
    b) Error of principle
    c) Error of original entry
    d) Complete reversal of entries

51. After the preparation of the draft financial statements, it was discovered that inventory items lost in a fire incident were ignored altogether. If the entity follows periodic inventory system, what would be the effect of the correction?

	Gross profit	**Net Profit**
a)	Increase	No impact
b)	Decrease	Decrease
c)	No impact	No impact
d)	Increase	Decrease

52. During the review of accounting records and financial statements of Jelly Traders (JT) for the year ended 30 June 2023, the following error was highlighted:

    A payment of Rs. 90,000 to a supplier was recorded as purchase of inventory on cash. JT uses the perpetual inventory method. JT makes a profit of 25% on sales.

    What is journal entry to correct the above error?

    a) Debit Trade payables Rs. 90,000 & Credit Cash Rs. 90,000
    b) Debit Inventory Rs. 90,000 & Credit Cash Rs. 90,000
    c) Debit Inventory Rs. 90,000 & Credit Trade payables Rs. 90,000
    d) Debit Trade payables Rs. 90,000 & Credit Inventory Rs. 90,000

53. During the review of accounting records and financial statements of Jelly Traders (JT) for the year ended 30 June 2023, the following error was highlighted:

    Inventory withdrawn by owner for personal use was recorded as a credit sale for Rs. 460,000. JT uses the perpetual inventory method. JT makes a profit of 25% on sales.

    Which of the following TWO journal entries should be recorded to correct the above error?

    a) Debit Sales Rs. 460,000 & Credit Trade receivables Rs. 460,000
    b) Debit Drawings Rs. 460,000 & Credit Cost of Sales Rs. 460,000
    c) Debit Drawings Rs. 345,000 & Credit Purchases Rs. 345,000
    d) Debit Drawings Rs. 345,000 & Credit Cost of Sales Rs. 345,000

54. During the review of accounting records and financial statements of Jelly Traders (JT) for the year ended 30 June 2023, the following error was highlighted:

    Inventory returned by a customer, with a selling price of Rs. 540,000, were debited to inventory and credited to receivables at the selling price. JT uses the perpetual inventory method. JT makes a profit of 25% on sales.

    What is journal entry to correct the above error?

    a) Debit Sales return Rs. 540,000 & Credit Trade receivables Rs. 540,000
    b) Debit Inventory Rs. 405,000 & Credit Cost of sales Rs. 405,000
    c) Debit Inventory Rs. 540,000 & Credit Trade receivables Rs. 540,000
    d) Debit Sales return Rs. 540,000, Credit Inventory Rs. 135,000 & Credit Cost of sales Rs. 405,000

55. The accountant of Midjourney Enterprises (ME) prepared the draft statement of profit or loss for the year ended 31 December 2023. The following error was found on a detailed review of the draft financial statements:

    Purchase returns of Rs. 20,000 were recorded as sales returns of Rs. 2,000

    What would be impact of correcting above error on gross profit and net profit?

    a) Increase in gross profit Rs. 22,000 & Increase in net profit Rs. 22,000
    b) Decrease in gross profit Rs. 22,000 & Decrease in net profit Rs. 22,000
    c) Increase in gross profit Rs. 18,000 & Increase in net profit Rs. 18,000
    d) Decrease in gross profit Rs. 18,000 & Decrease in net profit Rs. 18,000

56. The accountant of Midjourney Enterprises (ME) prepared the draft statement of profit or loss for the year ended 31 December 2023. The following error was found on a detailed review of the draft financial statements:

    Free samples of goods costing Rs. 30,000 were distributed to potential customers, but were mistakenly recorded as credit sales at a mark-up of 30% on cost. ME uses periodic inventory system for recording its inventory.

    What would be impact of correcting above error on gross profit and net profit?

    a) Increase in gross profit Rs. 9,000 & Increase in net profit Rs. 9,000
    b) Decrease in gross profit Rs. 9,000 & Increase in net profit Rs. 9,000
    c) Decrease in gross profit Rs. 9,000 & Decrease in net profit Rs. 39,000
    d) Decrease in gross profit Rs. 30,000 & Decrease in net profit Rs. 30,000

57. The accountant of Midjourney Enterprises (ME) prepared the draft statement of profit or loss for the year ended 31 December 2023. The following error was found on a detailed review of the draft financial statements:

    Transportation outward, amounting to Rs. 240,000, was recorded as transportation inward.

    What would be impact of correcting above error on gross profit and net profit?

    a) No effect on gross profit & No effect on net profit
    b) Increase in gross profit Rs. 240,000 & No effect on net profit
    c) Decrease in gross profit Rs. 240,000 & Decrease in net profit Rs. 240,000
    d) No effect on gross profit & Increase in net profit Rs. 240,000

58. The trial balance of Lava Pura Stores (LPS) did not agree as at 30 June 2024 and the shortage was carried to suspense account. Subsequently, the following error was identified:

    A sale of Rs. 56,000 was entered in sales daybook as Rs. 65,000 and posted to customer's account as Rs. 6,500. Control accounts are not maintained for trade receivables and payables.

    What is journal entry to correct the above error?

    a) Debit Trade receivables Rs. 6,500, Debit Suspense Rs. 58,500 & Credit Sales Rs. 65,000
    b) Debit Sales Rs. 65,000, Credit Trade receivable Rs. 6,500 & Credit Suspense Rs. 58,500
    c) Debit Trade receivables Rs. 49,500, Debit Sales 9,000 & Credit Suspense Rs. 58,500
    d) Debit Suspense Rs. 58,500, Credit Trade receivables Rs. 49,500 & Credit Sales 9,000

59. The trial balance of Lava Pura Stores (LPS) did not agree as at 30 June 2024 and the shortage was carried to suspense account. Subsequently, the following error was identified:

    A credit note amounting to Rs. 120,000 received from a supplier for goods returned was recorded as credit note issued to a customer for goods returned.

    Which TWO of the following journal entries are required to correct the above error?

    a) Debit Trade payables Rs. 120,000 & Credit Purchase return Rs. 120,000
    b) Debit Trade receivables Rs. 120,000 & Credit Sales return Rs. 120,000
    c) Debit Purchase return Rs. 120,000 & Credit Trade payables Rs. 120,000
    d) Debit Sales return Rs. 120,000 & Credit Trade receivables Rs. 120,000

60. The trial balance of Lava Pura Stores (LPS) did not agree as at 30 June 2024 and the shortage was carried to suspense account. Subsequently, the following error was identified:

    A machine was purchased on 1 March 2024. The list price of the machine was Rs. 900,000 but it was purchased for Rs. 750,000. The discount of Rs. 150,000 was recorded as other income. Depreciation on the machinery is charged at 10% per annum.

    Which TWO of the following journal entries are required to correct the above error?

    a) Debit Machine Rs. 150,000 & Credit Other income Rs. 150,000
    b) Debit Other income Rs. 150,000 & Credit Machine Rs. 150,000
    c) Debit Accumulated depreciation Rs. 15,000 & Credit Depreciation expense Rs. 15,000
    d) Debit Accumulated depreciation Rs. 5,000 & Credit Depreciation expense Rs. 5,000

ANSWERS

01.	**(d)**	Instead of debiting returns inwards, returns outwards have been credited. Hence the effect of error is that credit side exceeds by double amount = Rs. 3,500x2 = Rs. 7,000
02.	**(c)**	Profit will be increased by Rs. 5,000 as repairs expense will be reversed. Depreciation expense of Rs. 5,000x10%= Rs. 500 will be charged. So, the total net impact is Rs. 4,500 increase in profit.
03.	**(d)**	Petty cash transaction has not been debited anywhere. Suspense account is created when debit and credit side of trial balance are not equal. This does not arise when an entry is posted to incorrect account or totally omitted.
04.	**(b)**	Since the amount that should have been debited to revenue account has been credited to revenue account; hence total of credit side exceeds debit side by double amount i.e., Rs. 3,000.
05.	**(b)**	Sales are credit and over casting it is excess credit side (debit side short by Rs. 500), so suspense account of Rs. 500 balance would be created on debit side.
06.	**(b)**	Interest expense was incorrectly not debited, it should be debited now. Stationery expense was incorrectly debited; it should be credited now to reverse the effect.
07.	**(a)**	There is no impact of complete omission of double entry on trial balance since neither debit nor credit entry has been recorded.
08.	**(a)**	Any error while transferring balance of ledger account to trial balance would affect one balance (and one side) only, and suspense account would be created.
09.	**(c)**	Commission income is credited but it was incorrectly debited to interest account, creating a difference by double amount.
10.	**(a)**	Debit120,000+ Debit (98,000 - 89,000) + Debit 11,000=Rs. 140,000 In all three corrections, the suspense account would be debited, and it means, before correction it had balance on credit side.
11.	**(d)**	Debit and credit sides of the entry are not equal hence suspense arises.
12.	**(a)**	(i) Dr side short (Rs. 620-250) =Rs. 370 (ii) Dr side short 200 x 2 =Rs. 400 (iii) Credit side short = Rs. 450 Total = Rs. 370 + Rs. 400 - Rs. 450= Debit side short by Rs. 320 (net).
13.	**(a)**	Insurance expense was overstated, and now to correct this, it is to be credited with the difference of Rs. 9,000, and suspense account will be debited.
14.	**(b)**	Not recording sales return, increased the profit by Rs. 400 and Incorrect recording of purchase returns, further increased the profit by Rs. 400 hence profit increased by Rs. 800 in total due to error.
15.	**(d)**	Difference = Rs. 955,300 Credit – 950,300 Debit = Rs. 5,000 Debit side is shorter The option (a) & (b) would not result in disagreement of trial balance. The option (c) would create shorter credit side of trial balance. Impact of recording sale return Rs. 2,500 as purchase return of Rs. 2,500 is that the debit side is short by Rs. 5,000
16.	**(c)**	Error (1) and (2) do not affect trial balance Error (3) is single side error and affects trial balance with double amount as rent expense should have been debited and it was rather credited. Rs. 200 x 2 = Rs. 400

17.	**(a)**	The recording of return inwards (sales return) would have reduced the profit by Rs. 180, the same was effect of recoding carriage inwards (an expense), there is no effect of correction of this error on profit. Same reason for the other transaction.
18.	**(b)**	(i) Double impact Rs. 10,000 debit side short (ii) Double impact Rs. 800 credit side short (iii) Rs. 1,000 debit side short Net impact is = Rs. 10,000+1,000-800 = Rs. 10,200 debit
19.	**(b)**	Owner's home rent is drawings not business expense, so expense shall be reversed. Impact of asset related error would be net of depreciation. Debiting one expense instead of other does not affect profit. Corrected profit = Rs. 10,500 + 1,500 - (500 x 90%) = Rs. 11,550
20.	**(c)**	Effect on trial balance is double of the amount on debit side since amount has been posted on wrong side (credit side).
21.	**(d)**	Error of principle: Correct amount but wrong type of account.
22.	**(c)**	Compensating errors: Two or more errors balance each other out.
23.	**(b)**	Correction would reduce revenue and increase purchases (and cost of sales), both would reduce gross profit.
24.	**(d)**	Not recording purchase return (credit side short by Rs. 84,000) Recording incorrect sales return (credit side short by further Rs. 84,000)
25.	**(b)**	Overstatement of opening stock would lead to overstatement of cost of sales resulting in understatement of gross profit and net profit.
26.	**(d)**	Suspense account is created temporarily for the difference in trial balance.
27.	**(b)**	Error of omission: Entry missed from the accounting records completely.
28.	**(c)**	Error of principle: Correct amount but wrong type of account.
29.	**(b)**	Receivables and sales both were overstated by Rs. 9,000.
30.	**(c)**	Machinery account shall be debited, and carriage account shall be credited to correct the error.
31.	**(d)**	The error was complete reversal of entry. It must be rectified by recording the double amount now.
32.	**(c)**	Receipt of cheque from customer does not affect sales. The relevant customer account should be credited for cheque received.
33.	**(d)**	Petty cash expenses of Rs. 500 were only credited to bank account, no account was debited that would cause trial balance to disagree resulting in suspense account.
34.	**(c)**	Error of principle: Correct amount but wrong type of account.
35.	**(b)**	Recording of computer would increase PPE by Rs. 240,000 Then depreciation of Rs. 16,000 (Rs. 240,000 x 20% x 4/12) would decrease PPE by year-end. The net increase would be by Rs. 224,000
36.	**(b)**	Bad debts expense Rs. 180,000 would decrease profit. Recovery of bad debts Rs. 96,000 would increase profit. Receivables would decrease by Rs. 84,000 due to above two corrections (i.e., credited by 180,000 and debited by Rs. 96,000) Decrease in allowance for doubtful debts will increase profit by Rs. 4,200 (i.e., Rs. 84,000 x 5%).

		Corrected profit = Rs. 800,000 – 180,000 + 96,000 + 4,200 = Rs. 720,200
37.	**(b)**	The revenue reversal should have been Rs. 8,000 (i.e., Rs. 192,000 x 4/96). Instead, it was recorded at Rs. 192,000 (overstating the debit to revenue by Rs. 184,000). Similarly, the bank should have been debited by Rs. 192,000 but it was debited by only Rs. 8,000, causing understatement of Rs. 184,000.
38.	**(b)**	Reversal of purchase would increase gross profit by Rs. 3,700 (same effect will carry to net profit).
39.	**(a)**	Recording of transportation inwards would increase cost of sales, hence, decreasing gross profit by Rs. 2,000. However, there would be zero impact on net profit (increase in transportation in expense and same decrease in transportation out expense).
40.	**(b)**	Decreasing the closing stock would increase cost of sales, resulting in decrease of gross profit by Rs. 450. The effect of gross profit shall carry to net profit as well.
41.	**(a)**	The receivable should have been credited by Rs. 24,000 and not sales. Therefore, now sales shall be debited resulting in decrease in gross profit and net profit. No impact of discount allowed is required as sales would have already been recorded at net amount.
42.	**(b)**	Purchases shall be reduced by Rs. 42,000 (impact on GP and NP both). Depreciation of Rs. 7,875 (i.e., Rs. 42,000 x 25% x 9/12) would affect net profit only.
43.	**(a)**	Correcting entry would be Repairs debit and Purchases credit by Rs. 3,600 (i.e., Rs. 4,500 / 125%). Gross profit would increase but there would be net impact on net profit of Rs. Nil.
44.	**(b)**	Recording of purchase return would increase GP and NP by Rs. 6,700. Also, reversal of sales return would increase GP and NP by further Rs. 6,700.
45.	**(a)**	The correcting entry would be Drawings debit and Purchases credit by Rs. 4,680. The reduction in purchase would increase gross profit and net profit. The drawings will decrease owner's capital but would not affect profit.
46.	**(d)**	The option (a) to (c) reflect complete correcting entry.
47.	**(c)**	The control of goods was taken on June 30, 2019; therefore, purchase should be recorded in year 2019 and not in next year. Purchases Debit Rs. 350,000 and Trade payables Rs. 350,000
48.	**(d)**	Third party stock is not stock of the entity. Simply record the reversal of inventory adjustment. Cost of Sales (debit) Rs. 500,000 and Inventory (credit) Rs. 500,000
49.	**(a)**	Repair expense and depreciation of office machinery will affect net profit, but it has no effect on gross profit.
50.	**(d)**	Complete reversal of entries: Correct accounts and amounts but sides (debit & credit) reversed.
51.	**(a)**	Debit Abnormal loss [Decreases net profit only] Credit Purchases [Increases gross profit and net profit, both]
52.	**(d)**	Debit Trade payables Rs. 90,000 & Credit Inventory Rs. 90,000
53.	**(a) and (d)**	Debit Sales Rs. 460,000 & Credit Trade receivables Rs. 460,000 Debit Drawings Rs. 345,000 & Credit Cost of Sales Rs. 345,000 Cost = Rs. 460,000 / 100 x 75 = Rs. 345,000
54.	**(d)**	Debit Sales return Rs. 540,000 Credit Inventory Rs. 135,000 [Rs. 540,000 – 405,000] Credit Cost of sales Rs. 405,000

55.	**(a)**	Reversal of sales return	Rs. 2,000
		Recording purchase return	Rs. 20,000
		Increase in gross profit	Rs. 22,000
		Increase in net profit (same)	Rs. 22,000
56.	**(c)**	Reversal of sales	(Rs. 39,000)
		Reduction in purchases	Rs. 30,000
		Decrease in gross profit	(Rs. 9,000)
		Recording of marketing expense	(Rs. 30,000)
		Decrease in net profit	(Rs. 39,000)
57.	**(b)**	Reversal of transportation in	Rs. 240,000
		Increase in gross profit	Rs. 240,000
		Recording of transportation out	(Rs. 240,000)
		Effect on net profit	Rs. NIL
58.	**(c)**	Debit Trade receivables Rs. 49,500 [56,000 – 6,500] Debit Sales 9,000 [56,000 – 65,000] Credit Suspense Rs. 58,500	
59.	**(a) and (b)**	To record receipt of credit note (purchase return): Debit Trade payables Rs. 120,000 Credit Purchase return Rs. 120,000 To reverse the incorrect issue of credit note (sales return): Debit Trade receivables Rs. 120,000 Credit Sales return Rs. 120,000	
60.	**(b) and (d)**	To reverse other income and recording machine at net amount: Debit Other income Rs. 150,000 Credit Machine Rs. 150,000 To reverse extra depreciation charged [Rs. 150,000 x 10% x 4/12]: Debit Accumulated depreciation Rs. 5,000 Credit Depreciation expense Rs. 5,000	

STICKY NOTES

Types of errors – where trial balance does not balance		
1.	Casting error	Incorrect addition in any individual account, i.e. under-casting or over-casting.
2.	Balancing error	Opening balance not brought down or brought down on wrong side or with wrong amount.
3.	Extraction error	The ledger balance omitted or placed in trial balance at wrong side or with incorrect amount.
4.	Posting error	Part of the transaction not posted or transaction posted with incorrect amount or posting to wrong side of an account.
5.	Error of part omission	A debit entry recorded but no corresponding credit entry or vice versa i.e. single sided entry.
6.	Different amounts	Debit and credit entries recorded but at different amounts.

Types of errors – where trial balance still balances		
1.	Error of omission	Entry missed from the accounting records completely.
2.	Error of commission	Correct amount and type of account but wrong individual account.
3.	Error of principle	Correct amount but wrong type of account.
4.	Compensating errors	Two or more errors may balance each other out.
5.	Error of original entry	Correct accounts but wrong amounts on both side of an entry.
6.	Complete reversal of entries	Correct accounts and amounts but sides (debit & credit) reversed.

Creation of temporary suspense account	
1.	When trial balance does not agree
2.	For temporarily recording unknown entry

Correcting errors

Considerations	
1.	What double entry should have been recorded?
2.	What double entry was recorded, in actual, including suspense account where the error caused it?
3.	What correction is required?
Process	
1.	to reverse what had been recorded incorrectly
2.	to record what had been omitted

Impact of errors on financial statement items

Item	Increases	Decreases
Net profit	When any item of income or expense is credited in correcting entry	When any item of income or expense is debited in correcting entry
Gross profit	When revenue and cost of sales items are credited in correcting entry	When revenue and cost of sales items are debited in correcting entry
Any asset, expense or drawings	When such item is debited in correcting entry	When such item is credited in correcting entry
Any liability, income or capital account	When such item is credited in correcting entry	When such item is debited in correcting entry

CHAPTER 9

BANK RECONCILIATIONS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. Bank Balance: Sources and Differences
2. Reconciling the Balance
3. Corrections in books of accounts
4. Comprehensive Examples
5. Objective Based Q&A

STICKY NOTES

AT A GLANCE

The purpose of a bank reconciliation statement is to reconcile the difference between the cash book balance (business' record of their bank account) and the bank statement balance the bank's record of the bank account of that particular business.

The debits and credits are reversed in bank statements because the bank records the transaction from its point of view for each of its customers' accounts separately.

Ideally, the bank balance amount from both sources should match but it is not usually the case.

The difference arises due to any of the following:

- Errors and omissions (unrecorded items) in cash book.
- Errors and omissions by bank (these are quite rare but do happen.
- Timing differences (unpresented cheques and uncredited cheques).

The preparation of bank reconciliation statement ensures that all differences are known and accounted for and there is no embezzlement of funds or uncorrected errors in accounting records relating to bank balance.

The reconciliation is carried out frequently, usually at the end of each month.

1 BANK BALANCE: SOURCES AND DIFFERENCES

METHODS OF RECEIPTS AND PAYMENTS

There are many different methods by which a business might make payment to suppliers and receive payment from customers. These methods may include:

- Cash is ready money. For accounting purposes, cash includes money in hand and petty cash.
- Cheques - A cheque is an agreement of payment between two individuals or organizations. So when you write a cheque, you are agreeing to pay another individual or organization money that you owe them and you are instructing your bank to make that payment.
- Pay order – It is issued by the bank on behalf of customer stating an order to pay a specified amount to a specified person. A pay order is pre-printed with the word "Not Negotiable". There is no chance of dishonouring as the amount is prepaid. Once issued pay-order is valid for certain period.
- Bank transfers – An amount transferred directly from a bank account holder's account to the bank account of another party on the instruction of the first person.
- Credit and debit cards – People often use these to pay for goods and services purchased from businesses. Once a sale is made the business asks the credit (debit) card company to make the payment on behalf of the card holder. The credit (debit) card company then recovers the cash from the card holder.
- Online payments – Many modern businesses now accept online payment for sales of goods and provision of services. Payment is often received through the use of credit cards and debit cards in the usual way or through the action of a third party (for example, Pay pal).
- Standing order – An instruction a bank account holder (the payer) gives to their bank to pay a set amount at regular intervals to another party's (the payee's) account.
- Direct debit – A method of payment in which, a person (payer) allows another party to collect different amount from payer's account on regular basis on specific date.

CASH BOOK (Bank Column) / BANK BOOK

The cash book provides us with the balance we have in our bank account and for each bank account separate record is maintained.

The balance as per cash book is:

- Normal or favourable balance ➔ Debit
- Overdrawn, overdraft or unfavourable balance ➔ Credit

▶ *Illustration: Cash Book*

The cash book (bank transactions only) maintained by Maria Traders is as follows for the month of January 2022:

Cash Book (Bank Column)					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
1 Jan	Balance b/d	300,000	6 Jan	Supplier Y	900,000
3 Jan	Customer A	1,200,000	10 Jan	Rent	400,000
21 Jan	Customer B	1,300,000	23 Jan	Supplier Z	1,000,000
			31 Jan	Bank charges	3,000
				Balance c/d	497,000
		2,800,000			**2,800,000**

BANK STATEMENT / PASS BOOK

The bank also provides us with a statement of our account. This statement records transactions from bank's point of view, therefore, the amounts are same but debits and credits are opposite from that of cash book.

The balance as per bank statement is:

- Normal or favourable balance ➔ Credit
- Overdrawn, overdraft or unfavourable balance ➔ Debit

▶ *Illustration: Bank Statement*

Maria Traders received this bank statement from their bank for the month of January 2022:

Date	Details	Debit Rs.	Credit Rs.	Balance Rs.
1 Jan	Opening balance			300,000 Cr.
3 Jan	Deposit: A		1,200,000	1,500,000 Cr.
6 Jan	Withdrawal: Y	900,000		600,000 Cr.
10 Jan	Withdrawal: Rent	400,000		200,000 Cr.
21 Jan	Deposit: B		1,300,000	1,500,000 Cr.
23 Jan	Withdrawal: Z	1,000,000		500,000 Cr.
31 Jan	Bank charges	3,000		497,000 Cr.

CAUSES OF DIFFERENCES

In ideal situation, the amount of bank balance obtained from both of above sources should match with only difference of debit and credit as what is an asset (positive balance) for a business is a liability for the bank to pay back to its customer.

However, the balance from two sources may not match due to following factors:

- Errors or omissions in cash book: Bank charges, interest, etc. may appear on bank statement but the business was not aware of the transaction date and/or amount until it receives and reviews the bank statement.
- Timing differences (unpresented cheques): A cheque payment is recorded in cash book when the cheque is despatched. The bank only records it when it is paid by bank, which may be few days later.
- Timing differences (uncredited items): A cheque deposit is recorded in cash book at the date of deposit. The bank only records it in customer's account when it goes through clearing process, which may take few days.
- Errors or omissions by the bank (rare, but may happen).

PURPOSE OF RECONCILIATION

The balance as per cash book and as per bank statements must be reconciled to ensure that all of known cause of difference have been recorded, corrected or reconciled. If the balance is not reconciled even after incorporating all the available information, it indicates either uncorrected errors/omissions or embezzlement, which should be investigated.

2 RECONCILING THE BALANCE

RECORDING AND CORRECTIONS IN CASH BOOK

The logical way to deal with errors and omission in cash book is to record the unrecorded items and correct the errors in accounting records.

One or more of the following adjustments may be required:

a) Bank charges: This should be recorded on payment side of cash book.

b) Dividend/interest received: This should be recorded on receipt side of cash book.

c) Interest on overdraft balance charged by bank: This should be recorded on payment side of cash book.

d) Standing orders: This is an instruction by account-holder to its bank to pay/transfer a same amount at regular intervals to another party's (the payee's) account. This method is usually used for monthly rent payments and periodic subscriptions. This should be recorded on payment side of the cash book.

e) Direct debits: In this method, an account-holder allows another party to directly collect amounts on regular basis from its bank, amount may be different in different periods. This method is usually used for monthly utility bills or credit card bills. This should be recorded on payment side of the cash book.

f) Direct credits: These are amounts directly credited into accounts by another party. For example, a customer deposits/transfers the amount due directly into the bank account of the business. This should be recorded on receipt side of cash book.

g) Dishonoured cheques received from customers: These should be reversed in cash book. As when deposited, these are included on the receipt side, on reversal, these are recorded on payment side.

h) Errors in cash book: There may be casting errors, balancing errors, etc. in cash book. These need to be adjusted on receipt side or payment side accordingly. When an item is incorrectly included on the other side of cash book (debit instead of credit or vice versa), the correction is made by adjusting twice the amount on correct side.

i) Post-dated cheques: If these have been included in cash book, a reversal should be made.

j) Time-barred cheques: A cheque becomes time-barred after six month have passed from the date mentioned on it and the bank might not pay it anymore. Therefore, these are cancelled and reversal is to be recorded.

k) Cancelled cheques: A cheque may also be cancelled for other reasons, for example, incorrect name was mentioned, the payment was made using another method, a replacement cheque has been issued and parties intend to cancel the old one. In these cases, a reversal should be recorded in cash book.

Adjusted Balance of Cash Book

This is the balance as per cash book after all the errors and omissions in the cash book have been corrected and adjusted. This is also called true balance of cash and this is the amount to be presented in the statement of financial position.

This amount is also used for reconciling balance with bank statement's balance in bank reconciliation statement.

BANK RECONCILIATION STATEMENT (BRS)

The following items are reconciled in bank reconciliation statement:

- Unpresented cheques (also called outstanding cheques): This timing difference will come to an end when bank eventually records payment of the cheques. The amount to be reconciled in BRS must exclude post-dated, cancelled and time-barred cheques.
- Uncredited items (also called outstanding deposits or lodgements): This timing difference will come to an end when the cheque is cleared/collected/ credited by the bank. The amount to be reconciled in BRS must exclude post-dated, cancelled, time-barred and dishonoured cheques.
- Error or omission by bank: The identified error is communicated to the bank for correction. The correction process may take some time, meanwhile the error is mentioned in BRS as a reconciling item.

Format

Bank Reconciliation Statement as at _____

Particulars		Rs.
Balance as per bank statement	**(Dr) / Cr**	**500,000**
Less: Unpresented cheques		(40,000)
Add: Uncredited items		60,000
Less: Amounts incorrectly credited by bank		(18,000)
Add: Amounts incorrectly debited by bank		10,000
Adjusted balance as per Cash Book	**Dr / (Cr)**	**512,000**

Alternative Format

Bank Reconciliation Statement as at _____

Particulars		Rs.
Adjusted balance as per Cash Book	**Dr / (Cr)**	**512,000**
Add: Unpresented cheques		40,000
Less: Uncredited items		(60,000)
Add: Amounts incorrectly credited by bank		18,000
Less: Amounts incorrectly debited by bank		(10,000)
Balance as per bank statement	**(Dr) / Cr**	**500,000**

▶ *Example 01:*

The bank transactions records of Adeel Traders for the month of August are as follows:

Cash at Bank					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
1 Aug	b/d	37,000	1 Aug	Kashif & Co [Chq. 33]	35,000
3 Aug	Rizwan & Co.	90,000	7 Aug	Jazib & Co [Chq. 34]	45,000*
11 Aug	Ahmad & Co.	11,000	15 Aug	Ghalib & Co [Chq. 35]	55,000
11 Aug	Chenab Traders	27,000	17 Aug	Asif & Co [Chq. 36]	12,000
15 Aug	Din Enterprises	50,000	25 Aug	Asim & Co [Chq. 37]	8,000
21 Aug	Salman & Co	40,000	28 Aug	Rent [Chq. 38]	28,000
24 Aug	Sales	6,000			
29 Aug	Hamid Traders	20,000	31 Aug	c/d	98,000
		281,000			**281,000**

Bank Statement

Date	Details	Debit Rs.	Credit Rs.	Balance Rs.
1 Aug	Opening balance			37,000 Cr.
8 Aug	Cheque # 33: Kashif & Co.	35,000		2,000 Cr.
8 Aug	Deposit: Rizwan & Co.		90,000	92,000 Cr.
8 Aug	Bank charges	2,000		90,000 Cr.
11 Aug	Deposit: Ahmad & Co.		11,000	101,000 Cr.
12 Aug	Standing order: lease payment	45,000		56,000 Cr.
13 Aug	Cheque # 34: Jazib & Co.	54,000		2,000 Cr.
16 Aug	Deposit: Chenab Traders		27,000	29,000 Cr.
16 Aug	Deposit: Din Enterprises		50,000	79,000 Cr.
17 Aug	Cheque # 35: Ghalib & Co.	55,000		24,000 Cr.
22 Aug	Direct credit: Mansoor & Co.		26,000	50,000 Cr.
22 Aug	Deposit: Salman & Co.		44,000*	94,000 Cr.
24 Aug	Deposit: Cash		6,000	100,000 Cr.
30 Aug	Cheque # 36: Asif & Co.	12,000		88,000 Cr.

*These amounts have been incorrectly recorded.

Required:

For Adeel Traders:

a) Update cash book for the month of August.

b) Prepare bank reconciliation statement as at 31 August.

▶ *ANSWER*

Part (a)

The bank transactions records of Adeel Traders for the month of August are as follows:

Cash at Bank					
Date	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
31 Aug	b/d (as given)	98,000	31 Aug	Jazib & Co. [54,000 – 45,000]	9,000
	Mansoor & Co.	26,000		Bank charges	2,000
				Standing order	45,000
				c/d (Adjusted)	68,000
		124,000			**124,000**

Part (b)

Bank Reconciliation Statement as at 31 August

Particulars		Rs.
Balance as per bank statement	**(Dr) / Cr**	**88,000**
Less: Unpresented cheque # 37: Asim & Co.		(8,000)
Less: Unpresented cheque # 38: Rent		(28,000)
Add: Uncredited item: Cheque by Hamid Traders		20,000
Less: Reversal of extra credited by bank [44,000 – 40,000]		(4,000)
Adjusted balance as per Cash Book	**Dr / (Cr)**	**68,000**

3 CORRECTIONS IN BOOKS OF ACCOUNTS

It is important to notice that unpresented cheques and uncredited items are not required to be corrected in books of accounts of the entity as these are simply timing differences and such differences will be eliminated later when cheques are presented or credited. Similarly, any error or omission in the bank statement is to be corrected in the records of the bank and not in the books of the entity.

However, the process of preparing bank reconciliation statement also highlights the errors and omissions in books of accounts. These identified errors and omissions need to be corrected in the books of accounts. The following guidance is relevant in this context:

COMPLETE OMISSION OF A RECEIPT OR PAYMENT

While reconciling the bank balance, it may be identified that some receipts or payments have been omitted from being recorded in the cash book. The examples may include bank charges, dividend or interest received, interest on bank overdraft, standing order payments, direct debits and direct credits.

The logical way to correct and update the records of the entity is to simply record these transactions.

▶ *Example 02:*

The accountant of Irfan Traders identified the following omissions in the records while preparing bank reconciliation statement:

i. Bank charges of Rs. 500 shown in bank statements are not yet recorded in cash book.

ii. Interest received of Rs. 15,800 on fixed deposits is shown on credit side of bank statement but not recorded yet in cash book.

iii. Interest charged by the bank on last month overdraft balance amounting to Rs. 7,300 has not been recorded in cash book.

iv. Irfan Traders had given the bank standing order instructions to pay monthly rent of Rs. 85,000 on 5th of each month. The amount is included in bank statement but not yet recorded in cash book for last month.

v. Electricity bill of Rs. 32,550 was paid by the bank on direct debit instructions of Irfan Traders. However, this was omitted in the cash book.

vi. The bank statement showed a direct credit. On inquiry, it was revealed that customer Jamal Enterprises had directly deposited Rs. 90,000 in the bank account of Irfan Traders. This amount is yet to be recorded in books of accounts.

Required:

Briefly discuss the accounting treatment in cash book's bank column of Irfan Traders in respect of above issues.

▶ *ANSWER*

i. Bank charges of Rs. 500 shall be recorded on payment side of cash book.

ii. Interest income of Rs. 15,800 shall be recorded on receipt side of cash book.

iii. Interest expense of Rs. 7,300 shall be recorded on payment side of cash book.

iv. Rent expense of Rs. 85,000 shall be recorded on payment side of cash book.

v. Electricity bill of Rs. 32,550 shall be recorded on payment side of cash book.

vi. The cash received from customer/receivable of Rs. 90,000 shall be recorded on receipt side of cash book.

EVENTS REQUIRING COMPLETE REVERSAL

Some events require that an entry recorded earlier in cash book is now completely reversed. The examples may include dishonoured cheques, inclusion of post-dated cheques, cheques becoming time-barred, cancellation of cheques and recording the entries that should not have been recorded in cash book.

In such case, the records are corrected and updated by passing the exact opposite/reversal of entries that was recorded when such cheques were initially recorded.

▶ *Example 03:*

The accountant of Zahra Traders identified the following issues while preparing bank reconciliation statement as at 30 June 2022:

i. A cheque of Rs. 25,000 was received from Yum Traders and was deposited and recorded in the bank account on 25th June 2022. Few days later, the bank informed that the cheque has been dishonoured due to insufficient balance in bank account of the customer.

ii. A cheque issued on 20th June 2022 (but dated 15th July 2022) Rs. 56,000 has been recorded on payment side of cash book.

iii. A cheque of Rs. 37,000 was issued to supplier on 27th December 2021. This cheque has not been presented yet (cheques become time-barred after six months).

iv. A cheque of Rs. 20,000 was issued to a supplier on 18th June 2022 and recorded correctly on the same date. However, on 28th June 2022, supplier was paid in cash and cheque issued earlier was returned and cancelled.

v. Drawings of goods amounting to Rs. 18,000 was recorded on payment side of cash book.

Required:

Briefly discuss the accounting treatment in cash book's bank column of Zahra Traders in respect of above issues.

▶ *ANSWER*

i. In order to reverse the receipt of cheque recorded earlier, Rs. 25,000 shall be recorded on payment side of cash book when intimation of dishonoured cheque is received.

ii. The post-dated cheque should not have been recorded in the month of June 2022. Now, Rs. 56,000 shall be recorded on receipt side of cash book to reverse the incorrect recording of this cheque.

iii. The time-barred cheque must be cancelled. This requires reversing the amount recorded on payment side earlier. Now, Rs. 37,000 shall be recorded on receipt side of cash book to account for cancellation of the cheque.

iv. The cancelled cheque must be reversed. Now, Rs. 20,000 shall be recorded on receipt side of cash book to reverse the earlier payment recorded.

v. Drawings of goods is not a cash transaction. Now Rs. 18,000 shall be recorded on receipt side to record the reversal.

UNDER-CASTING AND OVERCASTING ERRORS

Incorrect amounts may be calculated while totalling or balancing the cash book. Similarly, it is possible that incorrect amount of receipt or payment is recorded on correct side (debit or credit).

In case of understatement, include the differential amount on same side and in case of overstatement, include the differential amount on opposite side.

▶ *Example 04:*

The accountant of Maria Enterprises identified following errors while preparing bank reconciliation statement as at June 30, 2022:

i. The receipt side of cash book had been totalled as Rs. 45,000 (correct total would have been Rs. 48,000).

ii. The payment side of cash book had been totalled as Rs. 37,000 (correct total would have been Rs. 33,000).

iii. The opening balance (debit) brought forward was recorded on 1st June 2022 at Rs. 45,000. The closing balance carried forward on 31st May 2022 was correctly calculated as Rs. 54,000.

iv. A cheque issued of Rs. 27,000 was incorrectly recorded at Rs. 17,000 on payment side of cash book.

v. A cheque received of Rs. 36,000 was incorrectly recorded at Rs. 63,000 on receipt side of cash book.

Required:

Briefly discuss the accounting treatment in cash book's bank column of Maria Enterprises in respect of above issues.

▶ *ANSWER*

i. The receipt side has been understated by Rs. 3,000 i.e. Rs. 48,000 – 45,000. Now, Rs. 3,000 (more) shall be recorded on receipt side.

ii. The payment side has been overstated by Rs. 4,000 i.e. Rs. 37,000 – 33,000. Now, Rs. 4,000 shall be recorded on receipt side to reverse the overstatement.

iii. The receipt side has been understated by Rs. 9,000 i.e. Rs. 54,000 – 45,000. Now, Rs. 9,000 (more) shall be recorded on receipt side.

iv. The payment side has been understated by Rs. 10,000 i.e. Rs. 27,000 – 17,000. Now, Rs. 10,000 (more) shall be recorded on payment side.

v. The receipt side has been overstated by Rs. 27,000 i.e. Rs. 63,000 – 36,000. Now, Rs. 27,000 shall be recorded on payment side to reverse the overstatement.

ERRORS OF CORRECT AMOUNT ON OPPOSITE SIDE

Sometimes, the correct amount may be recorded but on incorrect side of cash book i.e. debit entry recorded on credit side or credit entry recorded on debit side.

In order to correct such errors, the double amount is included on correct side, once for reversal of incorrect recording and once for recording the correct entry.

▶ *Example 05:*

The accountant of Mansoor Traders identified the following errors in the records while preparing bank reconciliation statement as at 30 June 2022:

i. A cheque received of Rs. 32,000 was incorrectly recorded on payment side of cash book.

ii. A cheque issued of Rs. 28,000 was incorrectly recorded on receipt side of cash book.

Required:

Briefly discuss the accounting treatment in cash book's bank column of Mansoor Traders in respect of above issues.

▶ *ANSWER*

i. In order to correct this error, now Rs. 64,000 (i.e. Rs. 32,000 x 2) shall be recorded on receipt side of cash book.

ii. In order to correct this error, now Rs. 56,000 (i.e. Rs. 28,000 x 2) shall be recorded on payment side of cash book.

ERRORS OF INCORRECT AMOUNT ON OPPOSITE SIDE

It is possible that a combination of errors occur at once, for example, not only the amount recorded is incorrect but it is also recorded on incorrect side of cash book i.e. debit entry recorded on credit side or credit entry recorded on debit side.

In order to correct such errors, the amount to be included on correct side of cash book is:

= Correct amount + Incorrect amount

▶ *Example 06:*

The accountant of Salman Traders identified the following errors in the records while preparing bank reconciliation statement as at 30 June 2022:

i. A cheque received of Rs. 32,000 was incorrectly recorded on payment side of cash book at Rs. 23,000.

ii. A cheque issued of Rs. 28,000 was incorrectly recorded at Rs. 38,000 on receipt side of cash book.

Required:

Briefly discuss the accounting treatment in cash book's bank column of Salman Traders in respect of above issues.

▶ *ANSWER*

i. In order to correct this error, now Rs. 55,000 (i.e. Rs. 32,000 + 23,000) shall be recorded on receipt side of cash book.

ii. In order to correct this error, now Rs. 66,000 (i.e. Rs. 28,000 + 38,000) shall be recorded on payment side of cash book.

4 COMPREHENSIVE EXAMPLES

▶ *Example 07:*

On 31 December 2014 the bank book of Badami Enterprise (BE) reflected a favourable balance of Rs. 34,000 while the bank statement showed an overdraft of Rs. 1,712,000.

On scrutinizing the two records, following discoveries were made:

i. Cheques of Rs. 325,000 issued to suppliers were not yet presented to the bank.

ii. Bank made payment of Rs. 35,000 in relation to e-payment charges on BE's account.

iii. BE had instructed the bank to transfer interest of Rs. 45,000 earned on a deposit account to its current account. The bank did not transfer the amount till 15 January 2015 whereas the amount had already been recorded in the bank book.

iv. Cheques of Rs. 630,000 received from customers and deposited to the bank had not been credited by the bank.

v. The receipt side of the bank book was over-casted by Rs. 90,000.

vi. The payment side of the bank book was under-casted by Rs. 42,000.

vii. BE made e-payments of Rs. 720,000 to overseas suppliers. However, these payments were not posted to the bank book.

viii. A cheque of Rs. 30,000 drawn in favour of a supplier was recorded in the bank statement as Rs. 300,000.

ix. A cheque of Rs. 65,000 issued to one of the suppliers had been wrongly posted on the receipt side of the bank book.

x. A cheque of Rs. 80,000 received from Mr. Barkat had been entered twice in the bank book.

xi. Dividend of Rs. 54,000 collected by the bank was recorded at Rs. 63,000 in the bank book.

xii. A standing order for payment of annual subscription fees of Rs. 20,000 for a magazine had not been recorded in the bank book.

Required:

Determine the correct balance that should be reported in the bank book and prepare a bank reconciliation statement reconciling the amended balance with that shown in the bank statement.

▶ *ANSWER*

Cash Book (Bank Column)			
Particulars	**Rs.**	**Particulars**	**Rs.**
b/d (as given)	34,000	e-payment charges (ii)	35,000
		Over-casting receipts (v)	90,000
		Under-casting payments (vi)	42,000
		Overseas e-payments (vii)	720,000
		Wrong posting [65,000 x 2] (ix)	130,000
		Deposit duplication (x)	80,000
		Dividend [63,000 – 54,000] (xi)	9,000
c/d (adjusted balance)	1,092,000	Subscription fees (xii)	20,000
	1,126,000		**1,126,000**

Bank Reconciliation Statement as at 31 December 2014

Particulars		Rs.
Balance as per bank statement	**(Dr) / Cr**	**(1,712,000)**
Less: Unpresented cheques (i)		(325,000)
Add: Interest on deposit not yet posted by bank (iii)		45,000
Add: Uncredited items (iv)		630,000
Add: Incorrectly debited [300,000 – 30,000] (viii)		270,000
Adjusted balance as per Cash Book	**Dr / (Cr)**	**(1,092,000)**

▶ *Example 08:*

Following information has been extracted from the records of Unique Traders:

Bank book for the month of February 2018

Date	Receipts	Rupees	Date	Payments	Cheque	Rupees
01	Balance	133,500	03	Salaries	X09	225,000
05	Debtors	315,000	05	Utilities	X10	352,000
09	Sales	525,000	08	Purchases	X11	622,000
12	Rentals	615,000	15	Rental	X12	608,000
18	Security deposit	200,000	20	Purchases	X13	71,000
25	Advance from customers	182,000	28	Balance		441,500
26	Debtors	294,000				
28	Cash deposited in bank	55,000				
		2,319,500				**2,319,500**

Bank statement for the month of February 2018

Date	Description	Cheque	Withdrawals	Deposits	Balance
			---------- Rupees ----------		
01	Balance				127,500
03	Cheque withdrawal	X09	225,000		(97,500)
05	Reversal of credited mistakenly		48,000		(145,500)
09	Cheque withdrawal	X05	63,000		(208,500)
14	Outward cheque clearing			315,000	106,500
20	Outward cheque clearing			525,000	631,500
22	Cheque withdrawal	X10	325,000		306,500
24	Payment – standing instructions		15,000		291,500
25	Outward cheque clearing			615,000	906,500
26	Outward cheque clearing			200,000	1,106,500
26	Transfer (from a debtor)			38,000	1,144,500
27	Cheque returned		200,000		944,500
28	Cheque withdrawal	X12	608,000		336,500
28	Cheque withdrawal	X13	71,000		265,500
28	Cash deposit			55,000	320,500
28	Bank charges		4,500		316,000
			1,559,500	**1,748,000**	

(All amounts appearing in the above bank statement are correct)

Bank reconciliation statement as on 31 January 2018

Description	Bank book	Bank Statement
	---------- Rupees ----------	
Balance	(133,500)	127,500
Un-presented cheques:		
Cheque X05 dated 28 January 2018		(63,000)
Cheque X06 dated 31 January 2018		(150,000)
Amount mistakenly credited by bank		(48,000)
Corrected balance	**(133,500)**	**(133,500)**

Required:

Prepare bank reconciliation statement as on 28 February 2018, showing the correct balance as per bank book and bank statement.

ANSWER

Cash Book (Bank Column)			
Particulars	**Rs.**	**Particulars**	**Rs.**
b/d (as given)	441,500	Opening balance correction [133,500 x 2 times]	267,000
Chq. X10 [352,000 – 325,000]	27,000	Standing order	15,000
Direct transfer	38,000	Dishonoured cheque	200,000
		Bank charges	4,500
		c/d (Corrected)	20,000
	506,500		**506,500**

Bank Reconciliation Statement as at 28 February 2018

Particulars		Rs.
Balance as per bank statement	**(Dr) / Cr**	**316,000**
Less: Unpresented cheque X06		(150,000)
Less: Unpresented cheque X11		(622,000)
Add: Uncredited items: Advance from customer		182,000
Add: Uncredited items: Cheque from debtor		294,000
Adjusted balance as per Cash Book	**Dr / (Cr)**	**20,000**

Example 09:

Lamda Establishment is preparing bank reconciliation statement on 30 June 2019. In this respect, the following information is available:

i. Cash book showed an overdrawn balance of Rs. 3,928,000.

ii. Cheques outstanding as at 30 June 2019 amounting to Rs. 1,250,000 included:

- a cheque of Rs. 10,000 dated 8 December 2018 issued to a welfare organization for donation.
- a cheque of Rs. 150,000 dated 20 June 2019 mailed to a supplier on 10 July 2019.

iii. A cheque of Rs. 391,000 issued to a supplier was recorded in the cash book as Rs. 319,000.

iv. Cheques received from customers amounting to Rs. 670,000 were recorded in the cash book but not credited in bank statement. These cheques included a cheque dated 10 July 2019 amounting to Rs. 25,000 received from a customer on 28 June 2019.

v. A bank debit advice dated 30 June 2019 for interest charges amounting to Rs. 80,000 was received in July 2019.

Required:

a) Compute the corrected cash book balance as at 30 June 2019.

b) Compute the bank balance as would be appearing in the bank statement as at 30 June 2019.

ANSWER

Cash Book (Bank Column)			
Particulars	**Rs.**	**Particulars**	**Rs.**
Donation (time-barred)	10,000	b/d (as given)	3,928,000
Payables (despatched later)	150,000	Payables [391,000 – 319,000]	72,000
		Receivables (post-dated)	25,000
c/d	3,945,000	Interest charges	80,000
	4,105,000		**4,105,000**

Bank Reconciliation Statement as at 30 June 2019

Particulars		**Rs.**
Adjusted balance as per Cash Book	**Dr / (Cr)**	**(3,945,000)**
Add: Unpresented cheques 1,250,000 – 10,000 – 150,000		1,090,000
Less: Uncredited items 670,000 – 25,000		(645,000)
Balance as per bank statement	**(Dr) / Cr**	**(3,500,000)**

5 OBJECTIVE BASED Q&A

1. The following bank reconciliation statement has been prepared by a business.

Bank reconciliation statement as at April 30, 2018	Rs.
Balance as per bank statement (Cr)	45,200
Add: Outstanding cheques	11,500
Less: Uncleared lodgements	13,100
Balance as per cash book (Dr)	43,600

Assuming that all items other than balance as per cash book is correct; what is the correct balance as per cash book?

a) Rs.43,600 Dr as per statement in question
b) Rs.43,600 Cr
c) Rs.46,800 Dr
d) Rs.46,800 Cr

2. Debit balance of Rs.5,000 as per bank statement means:

a) Rs.5,000 payable to business by the bank
b) Rs.5,000 receivable from business by the bank
c) Rs.5,000 deposited by the business during the month
d) Rs.5,000 withdrawn from the bank by business during the year

3. The following bank reconciliation statement has been prepared by a trainee accountant:

	Rs.
Overdraft as per bank statement	6,980
Less: Outstanding cheques	10,460
	3,480
Add: Deposits credited after date	11,800
Cash at bank as per cash book	15,280

What should be the correct balance as per cash book?

a) Rs.15,280 balance at bank as stated
b) Rs.5,640 balance at bank
c) Rs.15,280 overdrawn
d) Rs.5,640 overdrawn

4. At the end of 31 March 2019, balance as per cash book of Imtiaz is Rs.10,200 (Dr) which did not agree with the balance as per the bank statement. On investigation following information was identified;

- A standing order of Rs.350 was paid by the bank did not appear in the cash book.
- Dividend received directly in the bank was Rs.30
- Bank credited interest for the quarter Rs.350; it was included in cash book as Rs.530
- A customer cheque deposited in the bank Rs.120 was dishonoured

What is the corrected balance as per cash book?

a) Rs.10,170 Dr
b) Rs.10,170 Cr
c) 9,580 Dr
d) 9,580 Cr

5. A business identified that there is a difference between balance of cash book and the balance as per bank statement at end of 28 February 2019. On investigation it was revealed that:

- Bank debits account of business for bank charges Rs.30 and standing order Rs.150.
- Bank erroneously debits bank account of business for a cheque of Rs.40.
- Business has credited the bank account for quarterly interest income Rs.150.

What is the total amount of adjustment to be made in cash book of business?

a) Rs.180 Cr and Rs.150 Dr
b) Rs.180 Cr and Rs.300 Dr
c) Rs.220 Cr and Rs.300 Dr
d) Rs.220 Dr and Rs.300 Cr

6. Balance of bank account as per cash book is Rs.35,000 (Dr) while balance as per bank statement is Rs.32,500 (Cr). Difference is explained as Uncleared lodgements of Rs.2,500 not included in the bank statement.

What is the amount of bank balance to be reported in Statement of financial Position?

a) Rs.35,000 Cash at bank
b) Rs.35,000 Overdraft
c) Rs.32,500 Cash at bank
d) Rs.32,500 Overdraft

7. A business is in process of reconciling its cash book with banks statement. Which of the following item require entry in cash book?

a) Bank service charges
b) Deposits credited by the bank after the date of the bank statement
c) Cheque of another account erroneously credited by bank
d) Cheques presented by suppliers after the date of bank statement

8. A business is in process of preparing its bank reconciliation statement. The balance of cash book did not agree with the balance in bank statement. The following information is available:

- Balance as per cash book before comparing bank statement Rs. 11,000 (Dr)
- Outstanding Cheques Rs.1,550
- Outstanding lodgements Rs.1,200
- Bank charges Rs.50
- Bank interest income Rs.100

What is the balance as per bank statement?

a) Rs.11,200 Dr
b) Rs.11,400 Dr
c) Rs.11,400 Cr
d) Rs.11,200 Cr

9. A business received a bank statement showing a credit balance of Rs.7,400. On investigation its accountant discovered that the bank statement does not show cheques received from customers Rs.16,200 and banked and same for cheque payments to suppliers Rs.18,500. The bank statement also shows bank charges of Rs.250 which has not yet been recorded in ledger.

   What is the current balance as per cash book?

   a) Rs.5,350 Cr
   b) Rs.5,350 Dr
   c) Rs.5,100 Dr
   d) Rs.5,100 Cr

10. Following information has been collected from the books of Murtaza as at 31 January 2019:

    Balance as per cash book Rs.15,000 (Dr)

    On scrutiny of bank statement it was found:

    - Unpresented Cheques Rs.2,500
    - Uncredited lodgements Rs.1,500
    - Bank charges Rs.200
    - Bank debits Murtaza for bank interest Rs.120 instead of Rs.150. No amount was recorded in cash book of Murtaza

    Further it was found that:

    - Receipt of Rs.1,500 was recorded on credit side of cash book
    - Payment of Rs.1,200 was recorded on debit side of cash book

    What is the corrected cash book balance of Murtaza?

    a) Rs.15,370 Dr
    b) Rs.15,250 Dr
    c) Rs.15,250 Cr
    d) Rs.15,370 Cr

11. A bank statement shows a balance of Rs.4,000 in credit. On examining the bank statement, it was found that the cheques of Rs.600 deposited in bank as per the cash book not yet on the bank statement and cheques of Rs.1,000 issued out but not yet appeared on the bank statement.

    Furthermore, the cash book shows deposit interest received of Rs.100 but this is not yet on the statement. This was duly communicated to bank and is to be considered as an omission by the bank.

    What is the balance as per cash book?

    a) Rs.3,700
    b) Rs.4,500
    c) Rs.5,000
    d) Rs.3,900

12. If it was found that the receipt side of the cash book has been under-casted, then in preparing bank reconciliation statement, it should be:

    a) Deducted from balance as per cash book
    b) Added in balance as per bank statement
    c) Added in balance as per cash book
    d) Deducted from balance as per bank statement

13. Which of the following statements is correct?

    a) Credit balance as per bank statement means a bank overdraft
    b) Debit balance as per bank statement means a bank overdraft
    c) Debit balance as per cash book means a bank overdraft
    d) Credit balance as per cash book means an asset

14. Which of the following require deduction from cash book balance while preparing bank reconciliation statement?

    a) Direct deposit by a customer into bank but not yet entered in cash book
    b) Standing orders paid by the bank not yet entered in cash book
    c) Unpresented cheques not yet paid by bank
    d) Bank debits interest Rs. 2,500 instead of Rs. 5,200, the correct amount has been included in cash book.

15. The following information relates to bank reconciliation:

    - The bank balance in the cash book before taking the items below into account was Rs.9,870 overdrawn
    - Bank charges of Rs.750 on the bank statement have not been entered in the cash book
    - The bank has credited the account in error with Rs.645 which belongs to another customer
    - Cheque payments totalling Rs.4,385 have been entered in the cash book but have not been presented by payment
    - Cheques totalling Rs.6,500 have been correctly entered on the debit side of the cash book but have not been paid in at the bank

    What was the balance as shown by the bank statement?

    a) Rs.10,970 overdrawn
    b) Rs.12,200 overdrawn
    c) Rs.12,090 overdrawn
    d) Rs.11,550 overdrawn

16. Balance as per bank statement of Asim was Rs.11,600 credit as on April 30, 2018, which was not in agreement with the balance as per cash book.

    On investigation the following items were detected:

    - Cheques issued and paid by the bank for Rs.5,500 but recorded in the cash book as Rs.500
    - Bank service charges not entered in the cash book Rs.420
    - Outstanding lodgements Rs.1,300
    - Bank has erroneously debited a cheque of Rs.900 to Asim actually the cheque was issued by Asif.
    - Unpresented cheques Rs.1,200

    What should be the balance as per cash book before adjustments?

    a) Rs. 18,020 Debit
    b) Rs. 18,020 Credit
    c) Rs. 12,600 Debit
    d) Rs. 12,600 Credit

17. Following information is available regarding cash at bank of a business:

- Cash at bank as per bank column of the cash book Rs.4,910
- Unpresented cheques Rs.630
- Cheques received & paid into the bank, but not yet entered on the bank statement Rs.460
- Credit transfers from customers entered on the bank statement but not entered in the cash book Rs.340

What is Cash at bank as per bank statement?

a) Rs. 5,420 Debit
b) Rs. 5,420 Credit
c) Rs. 5,250 Debit
d) Rs. 5,250 Credit

18. The bank column of a cash book showed a credit balance of Rs.8,000. There were unpresented cheques amounting to Rs.2,500. The bank statement showed bank charges, Rs.900, which were not recorded in the cash book.

What is the balance on the bank statement?

a) Rs. 6,400 Normal
b) Rs. 6,400 Overdraft
c) Rs. 8,900 Normal
d) Rs. 8,900 Overdraft

19. When preparing a bank reconciliation statement the following information is available.

- Balance as per cash book Rs.25,000 (Dr)
- Outstanding cheques Rs.1,500
- uncleared lodgements 1,300
- Standing order shown on the bank statement (not appearing in a cash book) Rs.200
- Dividend directly deposited in the bank (not appearing in the cash book) Rs.25

What is the balance as per bank statement?

a) Rs. 25,025 Normal
b) Rs. 25,025 Overdraft
c) Rs. 24,825 Normal
d) Rs. 24,825 Overdraft

20. Balance as per bank statement was Rs.1,000 in debit. Comparison of bank statement with cash book revealed that cheques of Rs.3,200 paid in per the cash book but not yet on the bank statement and cheques of Rs.500 paid out but not yet appeared on the bank statement. In addition the bank statement shows direct deposit of Rs.800 by a customer but it is not recorded in cash book.

What is the balance as per cash book after adjustments?

a) Rs. 2,500 Overdraft
b) Rs. 2,500 Positive Balance
c) Rs. 1,700 Overdraft
d) Rs. 1,700 Positive Balance

21. The main purpose of preparing a bank reconciliation statement is?
    a) To know the bank balance
    b) To know the balance of bank statement
    c) To correct the cash book
    d) To identify causes of difference between cash book balance and bank statement balance

22. Bank Reconciliation Statement is prepared by
    a) Bank of the business entity
    b) Accountant of the business entity itself
    c) Major customer of the business
    d) Auditors of the business

23. Bank reconciliation statement is
    a) Part of bank statement
    b) Part of the cash book
    c) A separate statement
    d) A sub-division of journals (day books)

24. Favourable bank balance means?
    a) Credit balance in the cash book
    b) Credit balance in Bank statement
    c) Debit balance in cash book
    d) Both (b) and (c)

25. Unfavourable bank balance means (Pick any two)?
    a) Credit balance in the cash book
    b) Credit balance in Bank statement
    c) Debit balance in cash book
    d) Debit balance in Bank Statement

26. When a cheque is not paid by the bank on account of insufficient balance, it is called?
    a) Stale cheque
    b) Dishonoured cheque
    c) Bearer cheque
    d) None of the above

27. Which of the following would not affect bank reconciliation?
    a) Cancelled cheques
    b) Time barred cheques
    c) Post-dated cheques
    d) All of above

28. An amount of Rs. 1,000 is debited twice in the bank statement instead of once. When overdraft balance as per the cash book of Rs. 5,000 is the starting point for preparing bank reconciliation statement, what will be the balance as per bank statement containing the above error?

    a) Rs. 5,000 + 1,000 = Rs. 6,000 Overdraft
    b) Rs. 5,000 – 1,000 = Rs. 4,000 Overdraft
    c) Rs. 5,000 + 2,000 = Rs. 7,000 Overdraft
    d) Rs. 5,000 – 2,000 = Rs. 3,000 Overdraft

29. Bank sent debit advice of Rs. 50,000 to company being interest on overdraft. It was not entered in cash book.

    Identify the correct adjustment in cash book?

    a) Rs. 50,000 will be debited
    b) Rs. 50,000 will be credited
    c) No adjustment
    d) Rs. 100,000 will be subtracted

30. A customer paid Rs. 80,000 but the cashier entered Rs. 88,000 in cash book.

    What should be the adjustment in cash to work out the correct balance of cash book?

    a) Rs. 8,000 will be debited in cash book
    b) Rs. 8,000 will be credited in cash book
    c) Rs. 16,000 will be debited in cash book
    d) Rs. 16,000 will be credited in the cash book

31. A business deposited Rs. 50,000 cash into its bank account after banking hours on 30th June 2021 and recorded the deposit on same date. The bank manager accepted the cash and issued the deposit slip of next working day stating that entry will be posted immediately on next working day. Which of the following would be appropriate way to account for this deposit?

    a) Include this item in BRS just like outstanding cheques are included.
    b) Include this item in BRS just like uncredited items are included.
    c) Debit Suspense and Credit Bank (Reverse when entry is posted by bank)
    d) The business may choose any of the above methods as per its own discretion.

32. Monthly interest credited in the bank statement but not appearing in cash book should be dealt in following ways:

    a) Record as receipts in cash book
    b) Record as payment in cash book
    c) Record in BRS as uncredited item
    d) Inform the bank to reverse the entry as this does not match the cash book

33. While reviewing bank statement you noticed that bank inadvertently charged your bank account for another business' bank charges. Which of the following action would be appropriate?

    a) Record these bank charges on payment side of cash book and wait if bank notices the error itself and corrects it in future.
    b) Record these bank charges on payment side of cash book and formally inform the bank about error and request the correction of it.
    c) Include these bank charges in BRS and wait if bank notices the error itself and corrects it in future.
    d) Include these bank charges in BRS and formally inform the bank about error and request the correction of it.

34. A company had a receipt of Rs.989,000 and correctly prepared its bank deposit slip for Rs.989,000. However, the company recorded the receipt in its Cash account as Rs.998,000.

    How is the difference of Rs.9,000 handled on the bank reconciliation?

    a) Include on receipt side of cash book
    b) Include on payment side of cash book
    c) Add to bank statement balance in BRS
    d) Deduct from bank statement balance in BRS

35. For reconciling bank balances, unpresented cheques should be:

    a) added to balance of bank statement and deducted from balance of cash book
    b) deducted from balance of bank statement or added to balance of cash book
    c) deducted from balance of bank statement and added to balance of cash book
    d) added to balance of bank statement or deducted from balance of cash book

36. Determine the balance as per bank statement using the following information:

    - Balance as per cash book Rs. 49,100
    - Cheques received and deposited into the bank, but not yet credited in the bank statement Rs. 4,600
    - Unpresented cheques Rs. 6,300
    - Credit transfers appearing in the bank statement but not entered in the cash book Rs. 3,400

    a) Rs. 52,500
    b) Rs. 54,200
    c) Rs. 58,800
    d) Rs. 50,800

37. Following information has been extracted from the records of Eden Garments (EG), as at 30 June 2016:

    Balance as per bank statement (overdraft) Rs. 1,490,850

    Outstanding cheques amount to Rs. 3,856,300 and include:

    - a cheque of Rs. 50,000 issued to a supplier bearing an incorrect payee's name. The cheque was returned and recorded on 15 July 2016.
    - a cheque issued to a supplier for Rs. 85,000 (included in above amount correctly) was recorded in bank book as Rs. 58,000.
    - a cheque dated 20 December 2015 for Rs. 4,630 issued for repair of a car was misplaced. The repair charges were paid in cash and the misplacement of the cheque was not recorded.

    Assuming that cash book balance has been corrected and adjusted, what amount of bank balance shall be reported in statement of financial position?

    a) Rs. 5,292,520 Overdraft
    b) Rs. 2,310,820 Positive balance
    c) Rs. 5,347,150 Overdraft
    d) Rs. 2,365,450 Positive balance

38. Following information has been extracted from the records of Eden Garments (EG), as at 30 June 2016:

    Balance as per bank statement (overdraft) Rs. 1,490,850

    Un-cleared cheques amount to Rs. 6,460,000 and include:

    - a cheque of Rs. 366,000 received from a customer was returned by the bank as amount in words was not in conformity with the amount in figures. The return was not recorded and the cheque was sent to the customer for replacement.
    - a cheque of Rs. 76,000 received from a customer in settlement of an invoice availing payment discount of 5%. The collection was recorded by EG at gross amount of invoice.

    Assuming that cash book balance has been corrected and adjusted, what amount of bank balance shall be reported in statement of financial position?

    a) Rs. 7,584,850 Overdraft
    b) Rs. 4,603,150 Positive balance
    c) Rs. 7,950,850 Overdraft
    d) Rs. 4,969,150 Positive balance

39. Following information has been extracted from the records of Eden Garments (EG), as at 30 June 2016:

    Balance as per bank statement (overdraft) Rs. 1,490,850

    An unidentified credit of Rs. 354,000 was appearing in the bank statement. It was found that a customer had made an online transfer by 30 June 2016.

    Following debit/credit advice dated 30 June 2016 were received from the bank on 5 July 2016:

    - Bank charges amounting to Rs. 7,850. It has been noted that the bank had over charged EG by Rs. 1,250.
    - Dividend collected by the bank amounting to Rs. 50,000.
    - Payment on EG's standing instruction of an annual subscription for a magazine amounting to Rs. 12,000.

    Assuming that cash book balance has been corrected and adjusted, what amount of bank balance shall be reported in statement of financial position?

    a) Rs. 1,489,600 Overdraft
    b) Rs. 760,000 Positive balance
    c) Rs. 1,492,100 Overdraft
    d) Rs. 803,030 Positive balance

40. The bank statements showed that cheques for Rs. 70,000, Rs.90,000 and Rs.100,000 had not been presented for payment and that lodgements totalling Rs.210,000 had not been cleared. The balance on the bank statement at 30 June was Rs. 1,550,000.

    What is balance as per cash book?

    a) Rs. 1,600,000 debit
    b) Rs. 1,600,000 credit
    c) Rs. 1,500,000 debit
    d) Rs. 1,500,000 credit

41. The balance in Jabbar's cash account at 30 June showed an asset of Rs.1,660,000 (unadjusted). His bank statement showed an overdraft of Rs.450,000.

    On reconciling the cash account he discovers the following:

    - The debit side of the cash account had been undercast by Rs.200,000.
    - A total on the receipts side of the cash account of Rs.2,475,000 had been brought forward as Rs.4,275,000.
    - A cheque received by Jabbar for Rs.220,000 had bounced. No entry was made in records by Jabbar.
    - Bank charges of Rs.184,000 had been omitted from the cash account.
    - Un-presented cheques totalled Rs.520,000 and un-cleared lodgements Rs.626,000.

    Determine the balance as per cash book as to be reported in statement of financial position?

    a) Rs. 344,000 in current assets
    b) Rs. 344,000 in current liabilities
    c) Rs. 970,000 in current assets
    d) Rs. 970,000 in current liabilities

42. The balance in Jabbar's cash account at 30 June showed an asset of Rs.1,660,000 (unadjusted). His bank statement showed an overdraft of Rs.450,000.

    On reconciling the cash account he discovers that un-presented cheques totalled Rs.520,000 and un-cleared lodgements Rs.626,000.

    Determine the balance as per cash book as to be reported in statement of financial position?

    a) Rs. 344,000 in current assets
    b) Rs. 344,000 in current liabilities
    c) Rs. 970,000 in current assets
    d) Rs. 970,000 in current liabilities

43. While reconciling the bank statement with the cash/bank book of ABC Textiles for the year ended December 31, 2013, you noted the following:

Balance as per bank statement at December 31, 2013, overdrawn	Rs. 806,436
Cheques drawn but not presented till December 31, 2013,	Rs. 377,784

    A time-barred cheque of Rs. 5,000 was replaced with a new cheque on December 30, 2013, and entered in the cash/bank book without the previous cheque being cancelled / reversed. Both the cheques are included in above unpresented cheques.

    Assuming that cash book balance has been corrected and adjusted, what amount of bank balance shall be reported in statement of financial position?

    a) Rs. 1,179,220 debit
    b) Rs. 1,179220 credit
    c) Rs. 433,652 debit
    d) Rs. 433,652 credit

44. While reconciling the bank statement with the cash/bank book of ABC Textiles for the year ended December 31, 2013, you noted the following:

    Balance as per bank statement at December 31, 2013, overdrawn Rs. 806,436

    Cheques drawn but not presented till December 31, 2013, Rs. 377,784

    The above unpresented cheques include a cheque of Rs. 25,000 issued to supplier that is time barred as of January 3, 2014.

    Assuming that cash book balance has been corrected and adjusted, what amount of bank balance shall be reported in statement of financial position?

    a) Rs. 1,159,220 credit
    b) Rs. 453,652 credit
    c) Rs. 428,652 credit
    d) Rs. 1,184,220 credit

45. While reconciling the bank statement with the cash/bank book of ABC Textiles for the year ended December 31, 2013, you noted the following:

    i. A cheque for Rs. 125,000 drawn by the company to pay for a new item of plant had been mistakenly entered in the cash/bank book as Rs. 12,500

    ii. A cheque issued of Rs. 13,200 by the company has been entered in the credit column of the bank statement.

    What would be appropriate action for above issues while reconciling the bank balance?

    a) Record Rs. 112,500 on receipt side, item (ii) has already been accounted for correctly.
    b) Record Rs. 112,500 on payment side, item (ii) has already been accounted for correctly.
    c) Record Rs. 112,500 on payment side, include adjustment of Rs. 13,200 in bank reconciliation statement.
    d) Record Rs. 112,500 on payment side, include adjustment of Rs. 26,400 in bank reconciliation statement.

46. On 30 June 2015, the bank book and bank statement of Ranjha Enterprises (RE) reflected overdraft but with different amounts. On scrutinizing the record, it was discovered that cheques deposited in bank in the last week of June 2015, amounting to Rs. 1,550,000 were wrongly credited in the bank book. Out of these, cheques amounting to Rs. 1,050,000 were cleared by the bank in July 2015 whereas a cheque of Rs. 500,000 deposited on 29 June 2015 was dishonoured by the bank on 2 July 2015.

    What will be appropriate action to reconcile or adjust the above issue?

    a) Include Rs. 1,550,000 on receipt side of cash book and adjust uncredited cheques of Rs. 1,550,000 in bank reconciliation statement
    b) Include Rs. 3,100,000 on receipt side of cash book and adjust uncredited cheques of Rs. 1,550,000 in bank reconciliation statement
    c) Include Rs. 3,100,000 on receipt side of cash book and Rs. 500,000 on payment side of cash book and adjust uncredited cheques of Rs. 1,550,000 in bank reconciliation statement
    d) Include Rs. 3,100,000 on receipt side of cash book and Rs. 500,000 on payment side of cash book and adjust uncredited cheques of Rs. 1,050,000 in bank reconciliation statement

47. On 30 June 2015, the bank book and bank statement of Ranjha Enterprises (RE) reflected overdraft but with different amounts. On scrutinizing the record, it was discovered that financial charges on bank overdraft amounting to Rs. 750,000 were recorded in the bank statement. However, review by the Accounts Officer indicated an error and RE recorded the correct amount of Rs. 510,000 in the bank book. The error was corrected by the bank on 10 July 2015.

    What will be appropriate action to reconcile or adjust the above issue?

    a) Record Rs. 510,000 bank charges on payment side of cash book
    b) Record reversal of bank charges of Rs. 240,000 on receipt side of cash book
    c) Include Rs. 240,000 as reconciling item in bank reconciliation statement due to error by bank
    d) Include Rs. 750,000 as reconciling item in bank reconciliation statement due to error by bank

48. On 30 June 2015, the bank book and bank statement of Ranjha Enterprises (RE) reflected overdraft but with different amounts. On scrutinizing the record, it was discovered that a cheque issued to a supplier amounting to Rs. 4,005,000 was entered in the bank book as Rs. 4,050,000. However, the bank erroneously recorded the amount as Rs. 4,500,000.

    What will be appropriate action to reconcile or adjust the above issue?

    a) Include Rs. 45,000 on payment side of cash book and also include Rs. 495,000 as reconciling item in the bank reconciliation statement
    b) Include Rs. 45,000 on receipt side of cash book and also include Rs. 45,000 as reconciling item in the bank reconciliation statement
    c) Include Rs. 45,000 on receipt side of cash book and also include Rs. 495,000 as reconciling item in the bank reconciliation statement
    d) Include Rs. 495,000 on payment side of cash book and also include Rs. 495,000 as reconciling item in the bank reconciliation statement

49. On 30 June 2015, the bank book and bank statement of Ranjha Enterprises (RE) reflected overdraft but with different amounts. On scrutinizing the record, it was discovered that a supplier was issued a cheque of Rs. 125,000 in place of a time barred cheque on 25 June 2015 and was cleared on the next day. However, the cancellation of time barred cheque was not recorded by RE.

    What will be appropriate action to reconcile or adjust the above issue?

    a) Include Rs. 125,000 on receipt side of cash book and unpresented cheques in BRS shall be Rs. Nil.
    b) Include Rs. 125,000 on payment side of cash book and unpresented cheques in BRS shall be Rs. 125,000
    c) Include Rs. 250,000 on receipt side of cash book and unpresented cheques in BRS shall be Rs. 125,000
    d) Include Rs. 250,000 on payment side of cash book and unpresented cheques in BRS shall be Rs. 125,000

50. On 30 June 2015, the bank book and bank statement of Ranjha Enterprises (RE) reflected overdraft but with different amounts. On scrutinizing the record, it was discovered that a payment of Rs. 50,000 through cheque was recorded twice in the bank book.

    What will be appropriate action to reconcile or adjust the above issue?

    a) Include Rs. 50,000 on receipt side of cash book
    b) Include Rs. 50,000 on payment side of cash book and inform the bank about double payment and request for necessary correction in their record
    c) Include Rs. 100,000 on receipt side of cash book and inform the bank about double payment and request for necessary correction in their record
    d) Include Rs. 100,000 on payment side of cash book

ANSWERS

01.	**(c)**	Bank Reconciliation Statement: Rs. 45,200 Bank Statement – 11,500 Unpresented + 13,100 Uncredited = Rs. 46,800 Cash Book (Adjusted)
02.	**(b)**	The debit balance as per bank statement means credit balance as per cash book i.e. a liability of the business and an asset (receivable) of the bank.
03.	**(d)**	Bank Reconciliation Statement: Rs. (6,980) Bank Statement – 10,460 Unpresented + 11,800 Uncredited = Rs. (5,640) i.e. overdrawn or negative balance
04.	**(c)**	Cash Book: Rs. 10,200 (unadjusted) – 350 Standing order + 30 Dividend received – 180 correction of interest income – 120 dishonoured cheque = Rs. 9,580 (Adjusted)
05.	**(b)**	Adjustments in cash book On debit side Rs. 150 interest income x 2 = Rs. 300 On credit side Rs. 30 bank charges + Rs. 150 Standing order = Rs. 180
06.	**(a)**	The balance as per cash book i.e. Rs. 35,000 Debit.
07.	**(a)**	Bank service charges are to be recorded in cash book. All other items shall be included in bank reconciliation statement.
08.	**(c)**	Cash Book: Rs. 11,000 (unadjusted) – 50 bank charges + 100 interest income = Rs. 11,050 (Adjusted) Bank Reconciliation Statement: Rs. 11,050 (Adjusted Cash Book) + 1,550 Unpresented – 1,200 Uncredited = Rs. 11,400 (Bank Statement)
09.	**(b)**	Bank Reconciliation Statement: Rs. 7,400 (Bank Statement) – 18,500 Unpresented + 16,200 Uncredited = Rs. 5,100 (Adjusted Cash Book) Cash Book: Rs. ? (unadjusted) – 250 bank charges = Rs. 5,100 (Adjusted) Unadjusted Balance calculated from above equation = Rs. 5,350 (Positive balance)
10.	**(b)**	Cash Book: Rs. 15,000 (unadjusted) – 200 bank charges - 150 interest charged + 1,500 Receipts x 2 times – 1,200 payments x 2 times = Rs. 15,250 (Adjusted)
11.	**(a)**	Bank Reconciliation Statement: Rs. 4,000 Bank Statement – 1,000 Unpresented + 600 Uncredited + 100 Interest transfer omitted by bank = Rs. 3,700
12.	**(c)**	Under-casting on receipt side has caused cash balance to be reported at lower amount than it actually is, therefore, the amount should be added in balance as per cash book to report it correctly.
13.	**(b)**	Normal positive balance as per bank statement is indicated by Debit and credit balance indicates the negative or overdraft balance.
14.	**(b)**	Standing order shall be recorded as payment. Direct deposit shall not be deducted rather added to cash balance. Unpresented cheques and error by bank shall be included in BRS.
15.	**(c)**	Cash Book: Rs. (9,870) (unadjusted) – 750 bank charges = Rs. (10,620) (Adjusted) Bank Reconciliation Statement: Rs. (10,620) (Adjusted Cash Book) + 4,385 Unpresented – 6,500 Uncredited + 645 error = Rs. (12,090) (Bank Statement)
16.	**(a)**	Bank Reconciliation Statement: Rs. 11,600 (Bank Statement) – 1,200 Unpresented + 1,300 Uncredited + 900 error = Rs. 12,600 (Adjusted Cash Book) Cash Book: Rs. ? (unadjusted) – 5,000 unrecorded payments – 420 bank charges = Rs. 12,600 (Adjusted) Unadjusted Balance calculated from above equation = Rs. 18,020 (Positive balance)

17.	**(b)**	Cash Book: Rs. 4,910 (unadjusted) + 340 Credit transfers = Rs. 5,250 (Adjusted) Bank Reconciliation Statement: Rs. 5,250 (Adjusted Cash Book) + 630 Unpresented – 460 Uncredited = Rs. 5,420 (Bank Statement)
18.	**(b)**	Cash Book: Rs. (8,000) (unadjusted) – 900 Bank charges = Rs. (8,900) (Adjusted) Bank Reconciliation Statement: Rs. (8,900) (Adjusted Cash Book) + 2,500 Unpresented = Rs. (6,400) (Bank Statement)
19.	**(a)**	Cash Book: Rs. 25,000 (unadjusted) – 200 Standing order + 25 Dividend = Rs. 24,825 (Adjusted) Bank Reconciliation Statement: Rs. 24,825 (Adjusted Cash Book) + 1,500 Unpresented – 1,300 Uncredited = Rs. 25,025 (Bank Statement)
20.	**(d)**	Bank Reconciliation Statement: Rs. (1,000) (Bank Statement) – 500 Unpresented + 3,200 Uncredited = Rs. 1,700 (Adjusted Cash Book)
21.	**(d)**	The BRS identifies and reconciles the differences between cash book balance and balance as per bank statement.
22.	**(b)**	The BRS is control tool for the business and business has to prepare itself and almost always this responsibility is given to the accountant.
23.	**(c)**	The BRS is separate statement to identify the difference in bank balances.
24.	**(d)**	Favourable bank balance means debit balance in cash book and credit balance in bank statement.
25.	**(a) & (d)**	Unfavourable bank balance means credit balance in cash book and debit balance in bank statement.
26.	**(b)**	A cheque is refused to be paid (dishonoured) when sufficient balance is not available in the account.
27.	**(d)**	Cancelled cheques, time-barred cheques and post-dated cheques must be excluded from unpresented cheques and uncredited cheques while preparing BRS.
28.	**(a)**	Rs. 1,000 extra debit by bank means overdraft would have been overstated by Rs. 1,000, therefore, the balance would be Rs. 6,000 overdraft.
29.	**(b)**	Debited by bank, will be credited in cash book.
30.	**(b)**	Rs. 8,000 extra incorrectly entered on debit side, for correction will be credited in cash book now.
31.	**(b)**	Include this item in BRS just like uncredited items are included.
32.	**(a)**	This shall be recorded on receipts side of cash book.
33.	**(d)**	Include these bank charges in BRS and formally inform the bank about error and request the correction of it.
34.	**(b)**	Include on payment side of cash book
35.	**(b)**	Deducted from balance of bank statement or added to balance of cash book
36.	**(b)**	Cash Book: Rs. 49,100 (unadjusted) + 3,400 Credit transfers = Rs. 52,500 (Adjusted) Bank Reconciliation Statement: Rs. 52,500 (Adjusted Cash Book) + 6,300 Unpresented – 4,600 Uncredited = Rs. 54,200 (Bank Statement)
37.	**(a)**	Correct Unpresented cheques = Rs. 3,856,300 – 50,000 cancelled – 4,630 cancelled = Rs. 3,801,670 Bank reconciliation statement: Rs. (1,490,850) bank statement – 3,801,670 unpresented = Rs. (5,292,520) Adjusted cash book

38.	**(b)**	Uncredited items = Rs. 6,460,000 – 366,000 dishonoured cheque = Rs. 6,094,000 Bank reconciliation statement: Rs. (1,490,850) bank statement + 6,094,000 Uncredited = Rs. 4,603,150 Adjusted cash book
39.	**(a)**	Bank reconciliation statement: Rs. (1,490,850) bank statement + 1,250 over-charge of bank charges = Rs. 1,489,600 Adjusted cash book
40.	**(c)**	Total of unpresented cheques = Rs. 70,000 + 90,000 + 100,000 = Rs. 260,000 Bank reconciliation statement: Rs. 1,550,000 bank statement – 260,000 unpresented + 210,000 uncredited = Rs. 1,500,000 Adjusted cash book
41.	**(b)**	Cash Book: Rs. 1,660,000 (unadjusted) + 200,000 under-casting debit side – 1,800,000 transposition error – 220,000 dishonoured cheque – 184,000 bank charges = Rs. (344,000) (Adjusted)
42.	**(b)**	Bank reconciliation statement: Rs. (450,000) bank statement – 520,000 unpresented + 626,000 uncredited = Rs. (344,000) Adjusted cash book
43.	**(b)**	Unpresented cheques = Rs. 377,784 – 5,000 cancelled = Rs. 372,784 Bank reconciliation statement: Rs. (806,436) – 372,784 unpresented = Rs. (1,179,220) Adjusted cash book
44.	**(d)**	Bank reconciliation statement: Rs. (806,436) – 377,784 unpresented = Rs. (1,184,220) Adjusted cash book
45.	**(d)**	Record Rs. 112,500 on payment side, include adjustment of Rs. 26,400 (wrong side error by bank) in bank reconciliation statement.
46.	**(d)**	Include Rs. 3,100,000 (Rs. 1,550,000 x 2 times) on receipt side of cash book and Rs. 500,000 (cheque dishonoured) on payment side of cash book and adjust uncredited cheques of Rs. 1,050,000 (excluding dishonoured cheque) in bank reconciliation statement
47.	**(c)**	Include Rs. 240,000 as reconciling item in bank reconciliation statement due to error by bank. Cash book already incorporated correct amount.
48.	**(c)**	Include Rs. 45,000 (i.e. 4,005,000 – 4,500,000) on receipt side of cash book and also include Rs. 495,000 (i.e. 4,005,000 – 4,500,000) as reconciling item in the bank reconciliation statement
49.	**(a)**	Include Rs. 125,000 on receipt side of cash book and unpresented cheques in BRS shall be Rs. Nil. One cheque has been cancelled and the other has been presented for payment, there is no cheque outstanding.
50.	**(a)**	Include Rs. 50,000 on receipt side of cash book. There is no error in records maintained by bank.

STICKY NOTES

The balance as per cash book is:

Normal or favourable balance ➔ Debit

Overdrawn, overdraft or unfavourable balance ➔ Credit

The balance as per bank statement is:

Normal or favourable balance ➔ Credit

Overdrawn, overdraft or unfavourable balance ➔ Debit

List of common adjustments in cash book

1.	Bank charges	2.	Dividend/interest received
3.	Interest charged on overdraft	4.	Standing order payments
5.	Direct debits	6.	Direct credits (credit transfer)
7.	Dishonoured cheques	8.	Post-dated cheques
9.	Time-barred cheques	10.	Cancelled cheques
11.	Casting errors	12.	Balancing error
13.	Incorrect amount error	14.	Wrong side posting error

Items to be included in Bank Reconciliation Statement

Reconciling item		Starting point*	
		Bank statement	Adjusted Cash Balance
1.	Unpresented cheques	Less	Add
2.	Uncredited items	Add	Less
3.	Errors by Bank: incorrectly debited in bank statement	Add	Less
4.	Errors by Bank: incorrectly debited in bank statement	Less	Add

*in case of overdraft, negative figure is used as starting point.

CHAPTER 10

PREPARATION OF FINANCIAL STATEMENTS

IN THIS CHAPTER:

AT A GLANCE

SPOTLIGHT

1. IAS 1 Presentation of Financial Statements
2. Preparing Financial Statements
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STICKY NOTES

AT A GLANCE

The published financial statements are available for review of external stakeholders (e.g. owners, lenders, suppliers, customers etc.), who use it to evaluate the financial performance, financial position, liquidity and cash flows of an entity.

The preparation of financial statements involves the process of aggregating accounting information from the trial balance and year-end adjustments.

It is necessary to incorporate double entry effect of year-end adjustments as opposed to the balances in trial balance which are already the result of double entry bookkeeping process.

Statement of financial position is a snapshot of the entity's financial position at a point in time that enlists assets, liabilities and equity of an entity at a particular date.

Statement of comprehensive income is a combination of profit or loss and other comprehensive income. Profit or loss shows the financial results for a period by summarising income earned and expenses incurred during that particular period.

An adjusted trial balance is a comprehensive list of general ledger account balances at period end, reflecting updates from adjusting entries, such as accrued expenses or depreciation. It provides a basis of preparing financial statement with ease and accuracy.

Profit or loss appropriation is prepared for the distribution of the net profit (or loss) among the partners in a partnership business, according to the terms set in the partnership agreement. This may include allocations for salaries, interest on capital, or sharing profits and losses based on an agreed ratio.

1 IAS 1 PRESENTATION OF FINANCIAL STATEMENTS

IAS 1 Presentation of Financial Statements prescribes the basis for presentation of general purpose financial statements to ensure comparability both with the entity's financial statements of previous periods and with the financial statements of other entities. It sets out overall requirements for the presentation of financial statements, guidelines for their structure and minimum requirements for their content.

GENERAL REQUIREMENTS

True and fair view

Financial statements should present fairly the financial position, financial performance and cash flows of the entity.

Comparatives

Comparative information for the immediately preceding accounting period should be disclosed (you will not be asked to provide comparative information).

Identification

Each component of the financial statements must be properly identified with the following information displayed prominently:

- the name of the reporting entity
- the date of the end of the reporting period or the period covered by the statement, whichever is appropriate
- the currency in which the figures are reported
- the level of rounding used in the figures (for example, whether the figures thousands of rupees or millions of rupees).

Other titles

IAS 1 does not specify what the statements must be called and allows the use of other terminology. For example, a statement of financial position is often called a balance sheet and a statement of profit or loss is often called an income statement.

REQUIREMENTS AS TO STATEMENT OF FINANCIAL POSITION

Current and non-current assets

IAS 1 states that an asset should be classified as a current asset if it satisfies any of the following criteria:

- The entity expects to realise the asset, or sell or consume it, in its normal operating cycle.
- The asset is held for trading purposes.
- The entity expects to realise the asset within 12 months after the reporting period.
- It is cash or a cash equivalent unless the asset is restricted from being used for at least 12 months after the reporting date. (Note: An example of 'cash' is money in a current bank account. An example of a 'cash equivalent' is money held in a term deposit account with a bank.)

All other assets should be classified as non-current assets.

This definition allows inventory or trade receivables to qualify as current assets, even if they may not be realised into cash within 12 months, provided that they will be realised in the entity's normal operating cycle or trading cycle.

Current and non-current liabilities

IAS 1 also states that a liability should be classified as a current liability if it satisfies any of the following criteria:

- The entity expects to settle the liability in its normal operating cycle.
- The liability is held primarily for the purpose of trading. This means that all trade payables are current liabilities, even if settlement is not due for over 12 months after the end of the reporting period.
- It is due to be settled within 12 months after the end of the reporting period.
- The entity does not have the unconditional right to defer settlement of the liability for at least 12 months after the end of the reporting period.

All other liabilities should be classified as non-current liabilities.

▶ *Illustration:*

If a company obtains a five-year bank loan, where none of the loan principal is repayable until the end of the loan period, the loan will be a non-current liability for the first four years and will then become a current liability in fifth year when it is repayable within 12 months.

Accrued expenses (and deferred income) are current liabilities as these are monies due to a third party but not yet paid; for example, wages payable

Operating cycle

The operating cycle of an entity is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. When the entity's normal operating cycle is not clearly identifiable, it is assumed to be twelve months. This is almost always the case.

Minimum face items

IAS 1 provides a list of items that, as a minimum, must be shown on the face of the statement of financial position as a 'line item' (in other words, on a separate line in the statement):

Assets

- Property, plant and equipment
- Intangible assets
- Long-term investments
- Inventories
- Trade and other receivables
- Cash and cash equivalents.

Liabilities

- Trade and other payables
- Bank loans etc
- Current tax liabilities (but possibly assets)

Equity

- Issued capital and reserves attributable to the owners of the entity. (The term 'owners', refers to the equity holders.)

Additional line items

Additional line items should be included in the statement of financial position when presenting them separately and is relevant to an understanding of the entity's financial position.

Face or Notes

Some of the line items in the statement of financial position should be sub-classified into different categories, giving details of how the total figure is made up. This sub-classification may be presented either:

- as additional lines on the face of the statement of financial position (adding up to the total amount for the item as a whole) or
- in notes to the financial statements.

▶ *For example:*

- Tangible non-current assets should be divided into sub-categories, as required by IAS 16
- Receivables should be sub-classified into trade receivables, receivables from related parties, prepayments and other amounts.
- Inventories are sub-classified in accordance with IAS 2 into categories of materials, work in progress and finished goods.

Statement of financial position

As at 31 December 202X

	Rs. m
Assets	
Non-current assets	
Property, plant and equipment (details are usually provided in notes)	100
Intangible assets	100
Investments	100
	300
Current assets	
Inventories (usually nil in service organization)	50
Trade and other receivables (details are usually provided in notes)	50
Other current assets (prepayments and accrued income)	50
Cash and cash equivalent	50
	200
	500
Equity and liabilities	Rs. m
Equity	
Owners' Capital	200
Profit (loss) for the period	100
Less: Drawings	(50)
	250
Non-current liabilities	
Long term borrowings	150
	150

	Rs. m
Current liabilities	
Trade payables	20
Other payables (unearned income and accrued expenses)	20
Short term borrowings / Bank overdraft	20
Current portion of long-term borrowing	20
Current tax payable	20
	100
	500

REQUIREMENTS AS TO STATEMENT OF COMPREHENSIVE INCOME

A single statement or two statements

This statement provides information about the performance of an entity in a period. It consists of two parts:

- a statement of profit or loss – a list that summarizes the revenues, costs and expenses incurred during a specified period which result in a profit or loss for the period; and
- a statement of other comprehensive income – a list of other gains and losses that have arisen in the period.

The statement of comprehensive income shows the performance of the business in terms of its main activities. It is a structured presentation of all revenue, other income earned in a period and the costs of earning those.

IAS 1 allows an entity to present the two sections in a single statement or in two separate statements. If two separate statements are used, they should include all the information that would otherwise be included in the single statement of comprehensive income.

Total comprehensive income

Total comprehensive income during a period is the sum of:

- the profit or loss for the period and
- other comprehensive income.

Minimum face items

As a minimum, IAS 1 requires that the statement of comprehensive income should include line items showing the following amounts for the financial period:

- revenue
- finance costs (for example, interest costs)
- tax expense
- profit or loss
- each component of 'other comprehensive income
- total comprehensive income.

Additional line items

Additional line items should be presented on the face of the statement of comprehensive income when it is relevant to an understanding of the entity's financial performance.

Face or Notes

The following information may be shown either on the face of the statement of comprehensive income or in a note to the financial statements:

- material items of income and expense

- an analysis of expenses, providing either:
  - expenses analysed by their nature, or
  - expenses analysed by the function that has incurred them.

Examples of material items

Material items that might be disclosed separately include:

- a write-down of inventories from cost to net realisable value, or a write-down of items of property, plant and equipment to recoverable amount
- disposals of items of property, plant and equipment
- litigation settlements

Analysis of expense by nature

When expenses are analysed according to their nature, the categories of expenses will vary according to the nature of the business.

In a manufacturing business, expenses would probably be classified as:

- raw materials and consumables used;
- staff costs ('employee benefits costs'); and
- depreciation.

Items of expense that are immaterial are presented as 'other expenses'.

There will also be an adjustment for the increase or decrease in inventories of finished goods and work-in-progress during the period.

Other entities (non-manufacturing entities) may present other expenses that are material to their business.

Statement of comprehensive income (ANALYSIS OF EXPENSE BY NATURE)

For the year ended 31 December 202X

	Rs. m
Revenue	1,250
Other income	100
	1,350
Changes in inventories of WIP and finished goods	(600)
Raw material and consumables used	(200)
Staff costs	(200)
Depreciation	(150)
Other expenses	(50)
Finance cost	(50)
Profit before tax	**100**
Tax	-
Profit after tax	100
Other comprehensive income:	
Gain on revaluation	0
Other gain or losses	0
	0
Total comprehensive income	**100**

▶ *Example 01:*

The following is data relating to the accounts of Entity Red.

	Rs. 000
Increase in inventories of finished goods and work-in-progress	86
Revenue	14,823
Raw materials and consumables	5,565
Depreciation	1,533
Other income	22
Staff costs	4,926
Other operating expenses	2,118

The first part of Entity Red's statement of comprehensive income using the 'nature of expenditure' method, down to the operating profit level shall be as follows:

Entity Red: Statement of comprehensive income for the year ended 30 June 20X5		
	Rs. 000	Rs. 000
Revenue		14,823
Other income		22
		14,845
Changes in inventories of finished goods and work-in-progress (reduction = expense, increase = negative expense)	(86)	
Raw materials and consumables used	5,565	
Staff costs (employee benefits costs)	4,926	
Depreciation and amortisation expense	1,533	
Other operating expenses	2,118	
		14,056
Profit before tax		789

Analysis of expense by function

When expenses are analysed according to their function, the functions are commonly 'cost of sales', 'distribution costs', 'administrative expenses' and 'other expenses'. This method of analysis is also called the 'cost of sales method'. In practice, most entities use this method.

Statement of comprehensive income (ANALYSIS OF EXPENSE BY FUNCTION)

For the year ended 31 December 202X

	Rs. m
Revenue	1,250
Cost of sales (details are usually provided in notes)	(950)
Gross profit	300
Other income	100
Admin expenses (details are usually provided in notes)	(100)
Distribution expenses (details are usually provided in notes)	(100)
Other expenses (e.g. research and development expense)	(50)
Finance cost	(50)
Profit before tax	**100**
Tax	-
Profit after tax	100
Other comprehensive income:	
Gain on revaluation	0
Other gain or losses	0
	0
Total comprehensive income	**100**

▶ *Example 02:*

The following is an extract from the accounts of Entity Red for the year to 30 June 20X5, after the year-end adjustments had been made:

	Debit	Credit
	Rs. 000	Rs. 000
Cost of sales	6,214	
Distribution costs	3,693	
Revenue		14,823
Other expenses	248	
Administrative expenses	3,901	
Other income		22

The first part of Entity Red's statement of comprehensive income using the 'cost of sales' analysis method shall be as follows:

Entity Red: Statement of comprehensive income for the year ended 30 June 20X5

	Rs. 000
Revenue	14,823
Cost of sales	6,214
Gross profit	8,609
Other income	22
Distribution costs	(3,693)
Administrative expenses	(3,901)
Other expenses	(248)
Profit before tax	789

FINANCIAL STATEMENTS OF A SERVICE ORGANISATIONS

Service organizations do not sell goods but provides services to its clients by using the innovative and technical skillset and expertise of its personnel. Examples include investment banking, consulting, audit, accounting and advisory firms.

Financial Statements of Merchandise/trading Company	Financial Statements of Service Company
A large percentage of the assets comprise inventory.	A large percentage of the assets comprise receivables.
They have less cash on hand than service businesses as their capital is tied up in relatively less liquid assets.	The funds of service companies are usually tied up towards accounts receivable.
Such companies' income statement shows calculation of costs of goods sold.	There is no line item for the cost of goods sold in the income statement of service companies.

- *Illustration: Statement of financial position of an advertising agency*

Statement of Financial Position at June 30, 2018

	2018
	Rs. '000'
Current assets	
Cash and cash equivalents	120,000
Short term investments	50,000
Trade receivables	150,000
Other receivables	5,000
Total current assets	**325,000**
Non-current assets	
Property, plant and equipment	70,000
Other receivables	3,000
Website and domains	46,000
Other intangible assets	37,000
Total non-current assets	**156,000**
Total assets	**481,000**

	2018
	Rs. '000'
Current liabilities	
Trade and other payables	45,000
Short term bank borrowings	50,000
Income tax payable	25,000
Total current liabilities	**120,000**
Non-current liabilities	
Long term bank borrowings	60,000
Other non-current liabilities	20,000
Total non-current liabilities	**80,000**
Total Liabilities	**200,000**
Equity	
Owner's equity	**281,000**
Total of equity and liabilities	**481,000**

- *Illustration: Statement of comprehensive income of an advertising agency*

Statement of comprehensive income for the year ended June 30, 2018

	Rs. in '000'
Revenue	400,000
Cost of revenues	(250,000)
Gross profit	**150,000**
Research and development expenses	(30,000)
Selling and marketing expenses	(60,000)
General and administrative expenses	(40,000)
Operating profit	20,000
Finance expense	(2,000)
Profit for the year	**18,000**

2 PREPARING FINANCIAL STATEMENTS

The statement of financial position and the statement of comprehensive income can be prepared in any order but the statement of financial position can only be completed after the profit or loss for the period is known because this figure becomes part of the equity capital.

OPENING AND CLOSING INVENTORY AND THE COST OF SALES

The cost of sales in the statement of comprehensive income is not the cost of goods purchased or the cost of goods produced. It must be the cost of the goods sold. The accruals or matching concept must be applied.

When there are differences between the quantity of materials purchased or made, and the quantity of materials used or sold, there is an increase or decrease in inventory during the period.

To calculate the cost of sales for a statement of comprehensive income, it is necessary to make an adjustment for changes in the amount of inventory.

▶ *Illustration: Cost of sales*

	Rs.	
Opening inventory	5,000	
Purchases	45,000	
	50,000	This is the total amount of goods that were available to be sold.
Less: Closing inventory	(12,000)	This is the total amount of goods still held at the end of the period.
Cost of sales	38,000	Therefore, this is the total amount of goods that were sold.

YEAR-END ADJUSTMENTS

In order to prepare a statement of financial position and statement of comprehensive income from a trial balance you need to develop a good technique in order to execute such tasks in an effective way.

A typical question provides trial balance with few adjustments and requires preparing the financial statements. The rest of this chapter illustrates how such questions might be approached.

Step 1:

Prepare formats of statement of financial position and statement of comprehensive income.

Step 2:

Transfer amounts from trial balance to the formats. Ensure that no amount is omitted or duplicated.

Step 3:

Incorporate the double entry effect of adjustments in the relevant figures in the format

Step 4:

Perform sub-totals and grand totals in the format.

▶ *Example 03:*

ABC – Trial balance as at 31 December 2013

	Rs.	Rs.
Sales		428,000
Purchases	304,400	
Wages and salaries	64,000	
Rent	14,000	
Heating and lighting	5,000	
Inventory as at 1 January 2013	15,000	
Drawings	22,000	
Allowance for doubtful debts		4,000
Non-current assets	146,000	
Accumulated depreciation:		32,000
Trade receivables	51,000	
Trade payables		42,000
Cash	6,200	
Capital as at 1 January 2013		121,600
	627,600	627,600

Further information:

a) Rs. 400 is owed for heating and lighting expenses.

b) Rs. 700 has been prepaid for rent.

c) It is decided that a bad debt of Rs. 1,200 should be written off, and that the allowance for doubtful debts should be increased to Rs. 4,500.

d) Depreciation is to be provided for the year at 10% on cost

e) Inventory at 31st December 2013 was valued at Rs. 16,500.

Required:

Prepare statement of comprehensive income for the year ended 31 December 2013 and statement of financial position as at that date.

ANSWER

ABC – Statement of comprehensive income for the year ended 31 December 2013

	Rs.	Rs.
Revenue		428,000
Cost of sales*		
Opening inventory	15,000	
Purchases	304,400	
	319,400	
Closing inventory	(16,500)[e]	
		(302,900)
Gross profit		125,100
Expenses:		
Wages and salaries	64,000	
Depreciation **(Rs. 146,000 x 10%)**	14,600[d]	
Rent (14,000 – 700[b])	13,300	
Heating and lighting (5,000 + 400[a])	5,400	
Bad and doubtful debts (1,200[c] + 500[c])	1,700	
		(99,000)
		26,100

*Alternatively cost of sales may be presented in single line item supported by details given in notes.

ABC – Statement of financial position as at 31 December 2013

Assets	Rs.	Rs.
Non-current assets		
Cost	146,000	
Accumulated depreciation (32,000 + 14,600[d])	(46,600)	
		99,400
Current assets		
Inventories	16,500[e]	
Trade receivables (51,000 – 1,200[c])	49,800	
Allowance for doubtful debts (4,000 + 500[c])	(4,500)	
	45,300	
Prepayments	700[b]	
Cash	6,200	
		68,700
Total assets		168,100
Equity and liabilities		
Capital		
At start of year	121,600	
Profit for the year	26,100	
Drawings	(22,000)	
		125,700
Current liabilities		
Trade payables	42,000	
Accruals (and prepaid income)	400[a]	
		42,400
Total equity and liabilities		168,100

Note that adjustments have two effects, while amounts from trial balance have been included only once.

▶ *Example 04:*

The following trial balance was extracted from the main ledger of Steven Chee, a sole trader, as at 31 May 2013 – the end of his financial year.

Steven Chee: Trial balance as at 31 May 2013

	DR	CR
	Rs.(000)	Rs.(000)
Land and buildings at cost	120,000	
Equipment at cost	80,000	
Accumulated depreciation (as at 1 June 2012)		
On land and buildings		20,000
On equipment		38,000
Purchases	250,000	
Revenue		402,200
Inventory as at 1 June 2012	50,000	
Discounts allowed	18,000	
Discounts received		4,800
Returns outwards		15,000
Wages and salaries	61,800	
Bad debts	4,600	
Loan interest	2,100	
Other operating expenses	17,700	
Trade payables		36,000
Trade receivables	38,000	
Cash in hand	300	
Bank	1,300	
Drawings	24,000	
Allowance for doubtful debts		500
7% long-term loan		30,000
Capital as at 1 June 2012		121,300
	667,800	667,800

The following additional information is available:

a) Inventory as at 31 May 2013 has been valued at cost at Rs. 42,000,000.

b) There are accrued wages and salaries of Rs. 800,000.

c) Other operating expenses are prepaid by Rs. 300,000.

d) The allowance for doubtful debts is to be adjusted so that it is 2% of trade receivables.

e) Depreciation for the year ended 31 May 2013 should be provided for as follows:

- Land and buildings – 1.5% per annum on cost, using the straight-line method.
- Equipment – 25% per annum, using the reducing balance method.

Required:

Steven Chee's statement of comprehensive income for the year ended 31 May 2013 and his statement of financial position as at that date.

ANSWER

Statement of comprehensive income for the year ended 31 May 2013

	Rs.(000)
Revenue (W1)	384,200
Cost of sales (W2)	(238,200)
Gross profit	**146,000**
Operating expenses (W3)	(99,260)
Net profit	**46,740**

Statement of financial position as at 31 May 2013

Non-current assets	
Land and buildings (W5)	98,200
Equipment (W5)	31,500
	129,700
Current assets:	
Inventory	42,000
Trade receivables (W6)	37,240
Prepayment	300
Bank	1,300
Cash in hand	300
	81,140
Total assets	**210,840**
Owner's Equity (W7)	**144,040**
Non-current liabilities	
7% long-term loan	30,000
Current liabilities	
Trade payables	36,000
Accrued wages and salaries	800
	36,800
Total equity and liabilities	**210,840**

W1 – Sales / Revenue	Rs.(000)
Sales	402,200
Less: Discount	(18,000)
	384,200

W2 – Cost of sales	Rs.(000)
Opening inventory at 1 June 2012	50,000
Purchases less returns and discounts (250,000 – 15,000 – 4,800)	230,200
	280,200
Less: Closing inventory at 31 May 2013	(42,000)
Cost of sale	238,200

W3 – Operating expenses	
Wages and salaries (61,800 + accrual 800)	62,600
Other operating expenses (17,700 – prepayment 300)	17,400
Depreciation, land and buildings: (1.5% x 120,000,000)	1,800
Depreciation, equipment: (25% x (80,000 – 38,000))	10,500
Loan interest	2,100
Bad debts	4,600
Increase in allowance for doubtful debts (W4)	260
	99,260

W4 – Increase in allowance	
Allowance for doubtful debts at 31 May 2013: (2% x 38,000)	760
Allowance for doubtful debts at 1 June 2012	(500)
Increase in allowance	260

W5 – Property, plant and equipment

	Cost	Accumulated depreciation	Carrying Amount
	---------- Rs.(000) ----------		
Land and buildings	120,000	21,800	98,200
Equipment	80,000	48,500	31,500
	200,000	70,300	129,700

W6 – Trade receivable	Rs.(000)
Trade receivables	38,000
Less allowance for doubtful debts **(W4)**	(760)
	37,240

W7 – Owners' Equity	Rs.(000)
At 1 June 2012	121,300
Net profit for the year	46,740
	168,040
Drawings	(24,000)
At 31 May 2013	144,040

3 ADJUSTED TRIAL BALANCE

What is Adjusted Trial Balance?

An adjusted trial balance is a list of all the accounts in the general ledger, along with their balances, at period end, after all necessary adjustments (adjusting entries) have been made.

Adjusting entries are journal entries made at the end of an accounting period to update account balances for things like accrued expenses, unearned income, depreciation, and other changes that have occurred but haven't been recorded in the unadjusted trial balance.

Purpose

The adjusted trial balance serves as a basis for preparing the financial statements. It helps to ensure that the financial statements are accurate and reliable, which is crucial for making informed business decisions and for providing a clear picture of the entity's financial health to stakeholders.

For example, a business has an unadjusted trial balance that shows Rs. 100,000 in trade receivables. However, it turns out that Rs. 5,000 of those receivables are uncollectible. An adjusting entry would be made to reduce the trade receivables balance to Rs. 95,000, and the adjusted trial balance would reflect this updated balance.

Unadjusted vs Adjusted trial balance

All trial balance reports, whether adjusted or unadjusted, must match debits to credits. This ensures that the entries made into the accounting system are in proper alignment with the double-entry bookkeeping system. Even if debits and credits balance out, it is still possible that mistakes were made. But if debits and credits do not balance, then it is certain that one mistake or more were made.

The comparison between unadjusted and adjusted trial balance can be summarised as follows:

Aspect	Unadjusted trial balance	Adjusted trial balance
Timing	Prepared at period-end but before adjustments.	Prepared at period-end after all necessary adjustments.
Period-end adjustments	No period-end adjustments included.	Includes all necessary adjustments like inventory, depreciation, accrual and prepayments, etc.
Accuracy	It might contain account balances which are not accurate due to lack of period-end adjustments.	It reflects updated balances reflecting adjustments for preparing accurate financial statements.
Purpose	This is an initial arithmetical check for balanced debits and credits.	This also provides arithmetical check for balanced debits and credits as well as basis for preparing financial statements easily.
Reliability	Not reliable for final financial reporting.	Reliable for preparing final financial statements.

▶ *Example 05:*

ABC – Unadjusted Trial balance as at 31 December 2013

	Rs.	Rs.
Sales		428,000
Purchases	304,400	
Wages and salaries	64,000	
Rent	14,000	
Heating and lighting	5,000	
Inventory as at 1 January 2013	15,000	
Drawings	22,000	
Allowance for doubtful debts		4,000
Non-current assets	146,000	
Accumulated depreciation:		32,000
Trade receivables	51,000	
Trade payables		42,000
Cash	6,200	
Capital as at 1 January 2013		121,600
	627,600	**627,600**

Further information:

a) Rs. 400 is owed for heating and lighting expenses.

b) Rs. 700 has been prepaid for rent.

c) It is decided that a bad debt of Rs. 1,200 should be written off, and that the allowance for doubtful debts should be increased to Rs. 4,500.

d) Depreciation is to be provided for the year at 10% on cost

e) Inventory at 31st December 2013 was valued at Rs. 16,500.

Required:

Prepare adjusted trial balance for ABC as at 31 December 2013.

▶ *ANSWER*

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Sales		428,000				428,000
Purchases	304,400				304,400	
Wages and salaries	64,000				64,000	
Rent	14,000			700 (b)	13,300	
Heating and lighting	5,000		400 (a)		5,400	
Inventory as at 1 January 2013	15,000				15,000	
Drawings	22,000				22,000	
Allowance for doubtful debts		4,000		500 (c)		4,500
Non-current assets	146,000				146,000	
Accumulated depreciation		32,000		14,600 (d)		46,600
Trade receivables	51,000			1,200 (c)	49,800	
Trade payables		42,000				42,000
Cash	6,200				6,200	
Capital as at 1 January 2013		121,600				121,600
Accrued expenses				400 (a)		400
Prepaid rent			700 (b)		700	
Bad and doubtful debts exp.			1,700 (c)		1,700	
Depreciation exp **W1**			14,600 (d)		14,600	
Inventory (31 Dec 2013)			16,500 (e)		16,500	
Cost of sales (inventory)				16,500 (e)		16,500
	627,600	**627,600**	**33,900**	**33,900**	**659,600**	**659,600**

W1:

Rs. 146,000 x 10% = 14,600

▶ *Example 06:*

The following trial balance was extracted from the main ledger of Steven Chee, a sole trader, as at 31 May 2013 – the end of his financial year.

Steven Chee: Trial balance as at 31 May 2013

	DR	CR
	Rs.(000)	Rs.(000)
Land and buildings at cost	120,000	
Equipment at cost	80,000	
Accumulated depreciation (as at 1 June 2012)		
On land and buildings		20,000
On equipment		38,000
Purchases	250,000	
Revenue		402,200
Inventory as at 1 June 2012	50,000	
Discounts allowed	18,000	
Discounts received		4,800
Returns outwards		15,000
Wages and salaries	61,800	
Bad debts	4,600	
Loan interest	2,100	
Other operating expenses	17,700	
Trade payables		36,000
Trade receivables	38,000	
Cash in hand	300	
Bank	1,300	
Drawings	24,000	
Allowance for doubtful debts		500
7% long-term loan		30,000
Capital as at 1 June 2012		121,300
	667,800	667,800

The following additional information is available:

a) Inventory as at 31 May 2013 has been valued at cost at Rs. 42,000,000.

b) There are accrued wages and salaries of Rs. 800,000.

c) Other operating expenses are prepaid by Rs. 300,000.

d) The allowance for doubtful debts is to be adjusted so that it is 2% of trade receivables.

e) Depreciation for the year ended 31 May 2013 should be provided for as follows:

- Land and buildings – 1.5% per annum on cost, using the straight-line method.
- Equipment – 25% per annum, using the reducing balance method.

Required:

Steven Chee's adjusted trial balance as at 31 May 2013.

▶ *ANSWER*

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Land and buildings at cost	120,000				120,000	
Equipment at cost	80,000				80,000	
Accumulated dep. (1 June 2012)						
On land and buildings		20,000		1,800 (e)		21,800
On equipment		38,000		10,500 (e)		48,500
Purchases	250,000				250,000	
Revenue		402,200				402,200
Inventory as at 1 June 2012	50,000				50,000	
Discounts allowed	18,000				18,000	
Discounts received		4,800				4,800
Returns outwards		15,000				15,000
Wages and salaries	61,800		800 (b)		62,600	
Bad debts	4,600		260 (d) **W1**		4,860	
Loan interest	2,100				2,100	
Other operating expenses	17,700			300 (c)	17,400	
Trade payables		36,000				36,000
Trade receivables	38,000				38,000	
Cash in hand	300				300	
Bank	1,300				1,300	
Drawings	24,000				24,000	
Allowance for doubtful debts		500		260(d)		760
7% long-term loan		30,000				30,000
Capital as at 1 June 2012		121,300				121,300
Inventory (current asset)			42,000 (a)		42,000	
Cost of sales (inventory)				42,000 (a)		42,000
Accrued expenses				800 (b)		800
Prepaid expenses			300 (c)		300	
Depreciation **W2 + W3**			12,300 (e)		12,300	
	667,800	**667,800**	**55,400**	**55,400**	**723,160**	**723,160**

W1: Rs. 38,000 x 2% = Rs. 760 – 500 = Rs. 260 increase in allowance

W2: Rs. 120,000 x 1.5% = Rs. 1,800

W3: Rs. 80,000 – 38,000 = Rs. 42,000 x 25% = Rs. 10,500

▶ *Example 07:*

Following is the summarised unadjusted trial balance of Radiant Lights (RL) for the year ended 31 December 2016:

	Debit	Credit
	Rs. in million	
Capital – 1 January 2016		70
Drawings	50	
Fixed assets – cost	270	
Accumulated depreciation – 1 January 2016		150
Closing inventory	170	
Trade debtors	400	
Allowance for doubtful debts		12
Prepayments	45	
Cash and bank	20	
10% Long-term loan		120
Trade creditors		240
Accruals & other payables		28
Sales		750
Cost of sales	304	
Selling and administration expenses	146	
Financial charges	10	
Miscellaneous income		45
	1,415	**1,415**

Additional information:

i. RL uses perpetual inventory method to record its inventory. During the physical inventory count carried out on 31 December 2016, following matters were noted:

- Inventory shortages amounted to Rs. 2 million which is considered to be normal.
- Goods costing Rs. 15 million were damaged in fire and have no sales value.

ii. Goods sold on credit at a trade discount of 5% were recorded at gross amount of Rs. 100 million.

iii. Rs. 2 million were recovered in full and final settlement of an old outstanding balance of Rs. 3 million which had been written-off last year. The amount recovered was credited to trade debtors' account.

iv. RL wants to decrease allowance for doubtful debts by Rs. 3m.

v. Miscellaneous income includes Rs. 12 million received against an annual maintenance contract expiring on 30 April 2017.

vi. Annual rent amounting to Rs. 24 million was paid in advance on 1 October 2016 and charged as an expense.

vii. Long-term loan was acquired on 1 February 2016 and is repayable in 2020. Interest thereon is due semi-annually on 1 August and 1 February each year. Interest is charged to expenses at the time of payment.

viii. Depreciation on fixed assets is to be charged at 15% per annum using reducing balance method.

Required:

a) Prepare adjusted trial balance for RL as at 31 December 2016.

b) Using the adjusted trial balance of RL, prepare statement of profit or loss for the year ended on 31 December 2016; and statement of financial position as at 31 December 2016.

▶ *ANSWER*

Part (a) Adjusted trial balance of RL as at 31 December 2016

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m	Rs. m
Capital – 1 January 2016		70				70
Drawings	50				50	
Fixed assets – cost	270				270	
Accumulated dep. – 1 Jan 2016		150		18 **W4**		168
Closing inventory	170			17	153	
Trade debtors	400		2	5	397	
Allowance for doubtful debts		12	3			9
Prepayments	45		18 **W2**		63	
Cash and bank	20				20	
10% Long-term loan		120				120
Trade creditors		240				240
Accruals & other payables		28		4 **W1**		32
Sales		750	5			745
Cost of sales	304		2		306	
Selling & administration exp.	146		15+18 **W4**	2+3+18 **W2**	156	
Financial charges	10		5 **W3**		15	
Miscellaneous income		45	4 **W1**			41
Interest payable				5 **W3**		5
	1,415	**1,415**	**72**	**72**	**1,430**	**1,430**

W1: Rs. 12m x 4/12 = Rs. 4m

W2: Rs. 24m x 9/12 = Rs. 18m

W3: Rs. 120m x 10% x 5/12 = Rs. 5m

W4: [Rs. 270m – 150m] x 15% = Rs. 18m

Part (b) Financial statements

RL – Statement of comprehensive income for the year ended 31 December 2016

	Rs. m
Revenue	745
Less: Cost of sales	(306)
Gross profit	439
Selling and admin expenses	(156)
Operating profit	283
Other income	41
Financial charges	(15)
Net profit	**309**

RL – Statement of financial position as at 31 December 2016

Assets	**Rs. m**
Non-current assets	
Cost	270
Accumulated depreciation	(168)
	102
Current assets	
Inventories	153
Trade receivables	397
Allowance for doubtful debts	(9)
	388
Prepayments	63
Cash	20
Total current assets	624
Total assets	**726**
Equity and liabilities	
Capital	
At start of year	70
Profit for the year	309
Drawings	(50)
	329
Non-current liabilities	
Long term loan	120
Current liabilities	
Trade payables	240
Accruals (and other payables)	32
Interest payable	5
Total current liabilities	277
Total equity and liabilities	**726**

4 DISTRIBUTION OF PROFITS AMONG PARTNERS

Introduction to partnership

Partnerships in Pakistan are subject to rules set out in The Partnership Act 1932. This law defines a partnership business as the relationship between persons who have agreed to share the profits of a business carried on by all or any of them, acting for all.

Persons who have entered into partnership with one another are called individually partners and collectively a firm and the name under which their business is carried on is called the firm name.

Partnership accounts vs sole trader accounts

Financial statements	Partnership accounts are the financial statements of a partnership business. The financial statements of partnerships are the same as those of a sole proprietor with the exception of capital (as explained below).
Several capital accounts	The major difference between a partnership and a sole proprietor business is that a partnership has several business owners. The accounts of the partnership must record the capital and profits that are attributable to each individual partner separately. Usually, Each partner contributes capital to the business and shares in the profit (or loss) of the business. The capital of each partner must be identified separately.
Profit sharing	The profit of a sole proprietor is simply added to the capital balance brought forward. In the case of a partnership the profit belongs to more than one partners so there must be a mechanism by which this is shared. Partners' shares are then added to their personal capital accounts.

Profit (or loss) appropriation

Profit for the period	The profit or loss for the financial period is calculated according to the normal rules (as described already for a sole trader). This total profit or loss figure is then divided between the partners and credited to their capital account. The notional amounts sharing among the partners (as mentioned below, for example, salaries to partner and interest on capital of partners, etc.) must not be included in profit or loss of the period
Sharing the profits	The partners are free to decide on how the profit (or loss) of the partnership is shared between the partners. The profit sharing arrangements are set out in the partnership agreement. ▪ The profit for the period might be shared in agreed profit sharing ratio. This is sometimes abbreviated as PSR. (The term profit sharing ratio covers the sharing of both profit and loss). ▪ Alternatively, there might be other means of allocating a first share of profit (by notional methods) with the residual profit being shared in the agreed profit sharing ratio.
PSR	Partners can agree to share profits/losses in any ratio or any way that they may wish. However, it is often thought by students that profits should be shared in the same ratio as that in which capital is contributed. For example, suppose the capitals were Ahmad and Bilal are Rs. 20,000 and Rs. 10,000. Some would assume that the partners would share the profits in the ratio of two-thirds to one-third, even though the work to be done by each partner is similar. The profit sharing ratio may be whatever the partners agree to.
Notional amounts	The notional amounts (e.g. salary to partners) are not business expense in the same way other business expenses (e.g. salary to employees) are. These amounts are just another way of sharing the profits.

Notional amounts sharing – first share of profit

Salaries	One partner may have more responsibility or tasks than the others. As a reward for this, rather than change the profit and loss sharing ratio, the partner may have a **partnership salary** which is deducted before sharing the balance of profits.
Notional commission	Partners may agree that commission or performance-related bonuses be payable to some or all the partners linked to their individual performance. As with salaries, these would be deducted before sharing the balance of profits.
Interest on capital	If the work to be done by each partner is of equal value but the capital contributed is unequal, it is reasonable to pay interest on the partners' capitals out of partnership profits. The rate of interest is a matter of agreement between the partners.
Interest on drawings	To deter the partners from taking out cash unnecessarily the concept can be used of charging the partners interest on each withdrawal, calculated from the date of withdrawal to the end of the financial year. The amount charged to them helps to swell the profits divisible between the partners.
In absence of agreement	Where no partnership agreement exists, express or implied, ***Partnership Act 1932*** governs the situation. The accounting content of this law states: • Profits and losses are to be shared equally. • There is to be no interest allowed on capital. • No interest is to be charged on drawings. • Salaries are not allowed. • Partners who put a sum of money into a partnership in excess of the capital they have agreed to subscribe are entitled to interest at the rate of 6 per cent per annum on such an advance.

▶ *Example 08:*

The PQR Partnership has three partners, P, Q and R.

The partnership agreement provides for the residual profit (or loss) to be shared between them in the ratio 4:3:2, after allowing a notional salary of Rs. 30,000 to R.

The profit for the year is Rs. 345,000

Required:

A statement appropriating the profit between partners.

▶ *ANSWER:*

Profit and loss Appropriation

Particulars	P	Q	R	Total
Profit				345,000
Salaries			30,000	(30,000)
				315,000
Profit 4:3:2	140,000	105,000	70,000	(315,000)
	140,000	105,000	100,000	-

▶ *Example 09:*

A, B and C are in partnership sharing profits and losses in the ratio of 2:2:1.

B is allowed a salary of Rs. 10,000 per annum and C is allowed a salary of Rs. 15,000 per annum.

The net profit for year was Rs. 100,000.

Required:

Show how profit should be shared between the partners.

ANSWER:

Profit and loss Appropriation

Particulars	A	B	C	Total
Profit				100,000
Salaries		10,000	15,000	(25,000)
				75,000
Profit 2:2:1	30,000	30,000	15,000	(75,000)
	30,000	40,000	30,000	-

Example 10:

Partnership DEF has three partners, D, E and F.

Partner D has contributed Rs. 100,000 of capital, Partner E Rs. 120,000 and Partner F Rs. 60,000.

They have agreed to share profits in the following way:

- Partner D to receive a salary of Rs. 4,000 and Partner F a salary of Rs. 7,000.
- All three partners receive interest at 5% on the capital contributed.
- Residual profit or loss to be shared between D, E and F in the ratio 3:5:2.

The profit of the partnership for the year is Rs. 95,000.

Required:

Show how profit should be shared between the partners.

ANSWER:

Profit and loss Appropriation

Particulars	D	E	F	Total
Profit				95,000
Salaries	4,000		7,000	(11,000)
Interest 5%	5,000	6,000	3,000	(14,000)
				70,000
Profit 3:5:2	21,000	35,000	14,000	(70,000)
	30,000	41,000	24,000	-

Example 11:

G, H and I are in partnership. The profit of the partnership for the year is Rs. 1,146,000. Partner G has contributed Rs. 500,000 of capital, Partner H Rs. 400,000 and Partner I Rs. 300,000.

The partners have agreed to share profits in the following way:

- Partner H should receive a salary of Rs. 50,000 and Partner I a salary of Rs. 100,000.
- All three partners should receive interest at 8% on the capital contributed.
- Residual profit (or losses) should be shared between G, H and I in the ratio 3: 2: 1.

Required:

Show how the partnership profits should be shared between the partners.

ANSWER:

Profit and loss Appropriation

Particulars	G	H	I	Total
Profit				1,146,000
Salaries		50,000	100,000	(150,000)
Interest 8%	40,000	32,000	24,000	(96,000)
				900,000
Profit 3:2:1	450,000	300,000	150,000	(900,000)
	490,000	382,000	274,000	-

Example 12:

There are three partners in the ABC Partnership, A, B and C. The capital accounts of the partners at the beginning of the year and drawings of each partner were as follows:

Partner	Capital account Rs.	Drawings Rs.
A	100,000	20,000
B	200,000	25,000
C	160,000	40,000

The profit for the year was Rs. 97,050.

Profit sharing agreement:

- Partner A is given a salary of Rs. 17,000 and Partner C has a salary of Rs. 15,000
- The partners pay themselves interest on capital at 5% per year. However, partners are also charged interest on drawings at 7% per annum.
- The residual profit or loss is shared between A, B and C in the ratio 1:3:2.

Required:

Show how the partnership profits should be shared between the partners and also prepare the partners' capital accounts.

ANSWER:

Profit and loss Appropriation

Particulars	A	B	C	Total
Profit				97,050
Interest on drawings 7%	(1,400)	(1,750)	(2,800)	5,950
				103,000
Salaries	17,000		15,000	(32,000)
Interest on capital 5%	5,000	10,000	8,000	(23,000)
				48,000
Profit 1:3:2	8,000	24,000	16,000	(48,000)
	28,600	**32,250**	**36,200**	**-**

Partners' Capital Accounts

Particulars	A	B	C	Total
Beginning of the year	100,000	200,000	160,000	460,000
Add: share of profit	28,600	32,250	36,200	97,050
	128,600	232,250	196,200	557,050
Deduct: Drawings	(20,000)	(25,000)	(40,000)	(85,000)
Balance at end of year	**108,600**	**207,250**	**156,200**	**472,050**

▶ *Example 13:*

X, Y and Z are in partnership.

Partner	Capital account Rs.	Drawings Rs.
X	1,000,000	780,000
Y	800,000	580,000
Z	600,000	350,000

The profit for the year was Rs. 1,944,000.

Profits are shared as follows:

- The partners pay themselves interest on capital at 6% per year.
- The residual profit or loss is shared between X, Y and Z in the ratio 4: 3: 2.

Required:

Show how the profits should be shared between the partners, and show their capital accounts as at the end of the year.

▶ *ANSWER:*

Profit and loss Appropriation

Particulars	X	Y	Z	Total
Profit				1,944,000
Interest on capital 6%	60,000	48,000	36,000	(144,000)
				1,800,000
Profit 4:3:2	800,000	600,000	400,000	(1,800,000)
	860,000	648,000	436,000	-

Partners' Capital Accounts

	X	Y	Z	Total
Beginning of the year	1,000,000	800,000	600,000	2,400,000
Add share of profit	860,000	648,000	436,000	1,944,000
	1,860,000	1,448,000	1,036,000	4,344,000
Deduct Drawings	(780,000)	(580,000)	(350,000)	(1,710,000)
Balance at end of year	**1,080,000**	**868,000**	**686,000**	**2,634,000**

Additional issues

Guaranteed minimum profit share	A partnership agreement might guarantee a minimum profit share for one (or more) of the partners. In these cases: ▪ The partnership profits are shared according to the partnership agreement, ignoring the minimum profit agreement. ▪ If the normal sharing mechanism does not result in a partner receiving the minimum guaranteed profit the other partners must make up the shortfall out of their profit share, in their profit-sharing ratio.
Change in PSR	The agreement on how the partners should share the profits of the business may be changed during a financial year. When this happens, the total profits for the year should be apportioned, on a time basis, between: ▪ profits of the business during the time of the 'old' profit-sharing arrangements, and ▪ profits of the business during the time of the 'new' profit-sharing arrangements. The profits for each time period are then shared between the partners in accordance with the agreement for that period.

▶ *Example 14:*

The XYZ Partnership has three partners, X, Y and Z. The partnership agreement provides for Partner X to receive a notional salary of Rs. 20,000 and residual profits or losses are shared between X, Y and Z in the ratio 2:4:6.

In addition, the agreement guarantees a minimum profit share of Rs. 32,000 to Partner Y.

The partnership profit for the current year is Rs. 80,000.

Required:

Show how the partnership profits should be shared between the partners.

▶ *ANSWER:*

Profit and loss Appropriation

Particulars	X	Y	Z	Total
Profit				80,000
Salaries	20,000			(20,000)
				60,000
Profit 2:4:6	10,000	20,000	30,000	(60,000)
	30,000	20,000	30,000	-
Adjustment for minimum guarantee (Transfer 2:6)	(3,000)	12,000	(9,000)	-
	27,000	32,000	21,000	-

▶ *Example 15:*

The DEF Partnership has three partners, D, E and F. In the first half of year 1, to 30 June Year 1, Partner D and Partner F each received an annual salary of Rs. 30,000.

Residual profits or losses are shared between D, E and F in the ratio 3:5:2. (There is no interest on capital.)

In the second half of the year, from 1 July to 31 December, Partner D's annual salary was increased to Rs. 40,000, and the partners altered the profit-sharing ratio to 1:3:1 for D:E:F). The salary of Partner F was unchanged at Rs. 30,000 per year.

The profit for the year was Rs. 220,000 (arising evenly throughout the year).

Required:

Show how the partnership profits should be shared between the partners.

▶ *ANSWER:*

Profit and loss Appropriation

Particulars	D	E	F	Total
First half of year				
Profit [220,000 x 6/12]				110,000
Salaries (half year salary)	15,000		15,000	(30,000)
				80,000
Profit 3:5:2	24,000	40,000	16,000	(80,000)
	39,000	40,000	31,000	-
Second half of year				
Profit [220,000 x 6/12]				110,000
Salaries (half year salary)	20,000		15,000	(35,000)
				75,000
Profit 1:3:1	15,000	45,000	15,000	(75,000)
	35,000	45,000	30,000	-
Total Profit	**74,000**	**85,000**	**61,000**	**-**

5 COMPREHENSIVE EXAMPLES

▶ *Example 16:*

The following trial balance has been extracted from the ledger of Herbert, a sole trader, as at 31 May 2013, the end of his most recent financial year.

Herbert: Trial balance as at 31 May 2013

	DR	CR
	Rs. 000	Rs.000
Land and buildings at cost	90,000	
Equipment at cost	57,500	
Accumulated depreciation (as at 1 June 2012)		
On land and buildings		12,500
On equipment		32,500
Inventory as at 1 June 2012	27,400	
Revenue		405,000
Purchases	259,600	
Discounts allowed	3,370	
Discounts received		4,420
Wages and salaries	52,360	
Bad debts	1,720	
Loan interest	1,560	
Other operating expenses	38,800	
Trade receivables	46,200	
Trade payables		33,600
Allowance for doubtful debts		280
Cash in hand	151	
Bank overdraft		14,500
Carriage out	5,310	
Drawings	28,930	
10% loan		15,600
Capital as at 1 June 2012		94,501
	612,901	**612,901**

The following additional information as at 31 May 2013 is available:

a) Inventory as at 31 May 2013 was valued at Rs. 25,900,000.

b) Depreciation for the year ended 31 May 2013 has yet to be provided as follows:

- Property – 1% using the straight-line method;
- Equipment – 15% using the straight-line method.

c) There are accrued wages and salaries of Rs. 140,000.

d) Other operating expenses include some prepaid expenses of Rs. 500,000 and some accrued expenses of Rs. 200,000.

e) The allowance for doubtful debts should be adjusted to 5% of trade receivables as at 31 May 2013.

f) The amount for purchases includes goods valued at Rs. 1,040,000 which were withdrawn by Herbert for his own personal use.

Required:

Prepare Herbert's:

a) Adjusted trial balance as at 31 May 2013.

b) Statement of comprehensive income for the year ended 31 May 2013.

c) Statement of financial position as at 31 May 2013.

▶ *ANSWER:*

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Land and buildings at cost	90,000				90,000	
Equipment at cost	57,500				57,500	
Accumulated depreciation						
On land and buildings		12,500		900 **W1**		13,400
On equipment		32,500		8,625 **W2**		41,125
Inventory (opening)	27,400				27,400	
Revenue		405,000				405,000
Purchases	259,600			1,040	258,560	
Discounts allowed	3,370				3,370	
Discounts received		4,420				4,420
Wages and salaries	52,360		140		52,500	
Bad debts	1,720				1,720	
Loan interest	1,560				1,560	
Other operating expenses	38,800		200 + 2,030 **W3**	500	40,530	
Trade receivables	46,200				46,200	
Trade payables		33,600				33,600
Allowance for doubtful debts		280		2,030 **W3**		2,310
Cash in hand	151				151	
Bank overdraft		14,500				14,500
Carriage out	5,310				5,310	
Drawings	28,930		1,040		29,970	
10% loan		15,600				15,600
Capital as at 1 June 2012		94,501				94,501
Inventory (current asset)			25,900		25,900	
Cost of sales (inventory)				25,900		25,900
Depreciation **W1+W2**			9,525		9,525	
Accrued expenses				140 + 200		340
Prepaid expenses			500		500	
	612,091	**612,091**	**39,335**	**39,335**	**650,696**	**650,696**

W1: Depreciation building Rs. 90,000 x 1% = Rs. 900

W2: Depreciation equipment Rs. 57,500 x 15% = Rs. 8,625

W3: Allowance Rs. 46,200 x 5% = Rs. 2,310 – opening balance 280 = Rs. 2,030 increase

Part (b)

Statement of comprehensive income for the year ended 31 May 2013

	Rs. 000
Revenue 405,000 – 3,370 discount	401,630
Cost of sales 27,400 + 258,560 – 4,420 – 25,900	(255,640)
Gross profit	**145,990**
Operating expenses 52,500 + 1,720 + 1,560 + 40,530 + 5,310 + 9,525	(111,145)
Net profit	**34,845**

Part (c)

Statement of financial position as at 31 May 2013

	Rs. 000
Non-current assets	
Land and buildings 90,000 – 13,400	76,600
Equipment 57,500 – 41,125	16,375
	92,975
Current assets	
Inventory	25,900
Trade receivables (46,200 – 2,310)	43,890
Prepayments	500
Cash in hand	151
	70,441
Total assets	**163,416**
Owner's Equity	
At 1 June 2012	94,501
Net profit for the year	34,845
Drawings	(29,970)
At 31 May 2013	99,376
Non-current liabilities	
10% loan	15,600
Current liabilities	
Bank overdraft	14,500
Trade payables	33,600
Accruals	340
	48,440
Total equity and liabilities	**163,416**

Example 17:

The following trial balance has been extracted from the ledger of Bradbury and Co, as at 31 December 2013, the end of its most recent financial year.

Bradbury and Co: Trial balance as at 31 December 2013

	DR	CR
	Rs.	Rs.
Plant and machinery at cost	920,000	
Accumulated depreciation (as at 1 January 2013)		215,000
Inventory as at 1 January 2013	39,000	
Revenue		1,292,000
Purchases	550,000	
Capital		173,000
Distribution expenses	116,000	
Administrative expenses	241,000	
Bad debts	23,500	
Loan (charging interest at 6%)		400,000
Trade receivables	200,000	
Trade payables		73,500
Allowance for doubtful debts		6,000
Interest paid on loan	12,000	
Bank	58,000	
	2,159,500	**2,159,500**

The following additional information as at 31 December 2013 is available:

a) Inventory as at 31 December 2013 was valued at Rs. 35,000.

b) Depreciation on plant and machinery for the year ended 31 December 2013 is to be provided at the rate of 10% of cost.

c) There are accrued distribution expenses of Rs. 7,500 and prepaid administrative expenses of Rs. 4,000.

d) The allowance for doubtful debts should be adjusted to 2% of trade receivables as at 31 December 2013. Bad and doubtful debts expense is included in distribution expenses.

e) Interest has not been accrued on the loan at year end.

Required:

Prepare for Bradbury and Co:

a) Adjusted trial balance as at 31 December 2013.

b) Statement of comprehensive income for the year ended 31 December 2013.

c) Statement of financial position as at 31 December 2013.

▶ *ANSWER:*

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Plant and machinery at cost	920,000				920,000	
Accumulated depreciation		215,000		92,000		307,000
Inventory (opening)	39,000				39,000	
Revenue		1,292,000				1,292,000
Purchases	550,000				550,000	
Capital		173,000				173,000
Distribution expenses	116,000		7,500		123,500	
Administrative expenses	241,000			4,000	237,000	
Bad debts	23,500			2,000	21,500	
Loan (charging interest at 6%)		400,000				400,000
Trade receivables	200,000				200,000	
Trade payables		73,500				73,500
Allowance for doubtful debts		6,000	2,000			4,000
Interest expense	12,000		12,000		24,000	
Bank	58,000				58,000	
Inventory (current asset)			35,000		35,000	
Cost of sales (inventory)				35,000		35,000
Depreciation			92,000		92,000	
Accrued expenses				7,500		7,500
Prepaid expenses			4,000		4,000	
Interest payable				12,000		12,000
	2,159,500	**2,159,500**	**152,500**	**152,500**	**2,304,000**	**2,304,000**

W1: Depreciation Rs. 920,000 x 10% = Rs. 92,000

W2: Allowance Rs. 200,000 x 2% = Rs. 4,000 – 6,000 = Rs. 2,000 decrease

W3: Interest Payable Rs. 400,000 x 6% = 24,000 – 12,000 already recorded = Rs. 12,000

Part (b)

Bradbury: Statement of comprehensive income for the year ended 31 December 2013

	Rs.
Revenue	1,292,000
Cost of sales 39,000 + 550,000 – 35,000	(554,000)
Gross profit	**738,000**
Distribution expenses 123,500 + 21,500	(145,000)
Administrative expenses 237,000 + 92,000	(329,000)
Finance cost	(24,000)
Net Profit	**240,000**

Part (c)

Bradbury: Statement of financial position as at 31 December 2013

Non-current assets	**Rs.**
Plant and machinery 920,000 – 307,000	613,000
Current assets	
Inventory	35,000
Receivables (200,000 – 4,000 allowance)	196,000
Prepayment	4,000
Bank	58,000
	293,000
Total assets	**906,000**

	Rs.
Owner's Equity	
Capital at 1 January 2013	173,000
Profit for the year	240,000
Capital at 31 December 2013	413,000
Non-current liabilities	
Loan	400,000
Current liabilities	
Payables	73,500
Accruals	19,500
Total equity and liabilities	**906,000**

▶ *Example 18:*

The following information relates to the business of Maria for the year ended 31 December 2012.

	Rs.	Rs.
Capital account, 1 January 2012		13,640
Freehold properties at cost	7,500	
Furniture and fittings at cost	2,000	
Motor cars at cost	6,300	
Accumulated depreciation to 1 January		
Freehold properties		450
Furniture and fittings		800
Motor cars		2,370
Inventory 1 January	6,740	
Purchases	54,520	
Revenue		79,060
Salaries	8,760	
Rates	1,170	
Office expenses	3,950	
Motor expenses	3,790	
Drawings	4,800	
Allowance for doubtful debts 1 January		600
Loan		4,000
Trade receivables	9,240	
Trade payables		10,040
Bank balance	2,190	
	110,960	110,960

You are also supplied with the following information.

1. Inventory at 31 December 2012 was Rs. 7,330.
2. Rates paid in advance at 31 December 2012 amounted to Rs.250.
3. Allowance for doubtful debts is to be made equal to 5% of accounts receivable at 31 December 2012.
4. Depreciation is to be provided for the year at the following annual rates calculated on cost at the year end
   - Freehold properties 1%
   - Furniture and fittings 10%
   - Motor cars 20%
5. Interest on the loan at 5% per annum is to be provided.

Required:

Prepare for Maria:

a) Adjusted trial balance as at 31 December 2012.

b) Statement of comprehensive income for the year ended 31 December 2012.

c) Statement of financial position as at 31 December 2012.

▶ ANSWER:

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Capital account		13,640				13,640
Freehold properties at cost	7,500				7,500	
Furniture and fittings at cost	2,000				2,000	
Motor cars at cost	6,300				6,300	
Accumulated depreciation						
Freehold properties		450		75		525
Furniture and fittings		800		200		1,000
Motor cars		2,370		1,260		3,630
Inventory (Opening)	6,740				6,740	
Purchases	54,520				54,520	
Revenue		79,060				79,060
Salaries	8,760				8,760	
Rates	1,170			250	920	
Office expenses	3,950				3,950	
Motor expenses	3,790				3,790	
Drawings	4,800				4,800	
Allowance for doubtful debts (1 January)		600	138			462
Loan		4,000				4,000
Trade receivables	9,240				9,240	
Trade payables		10,040				10,040
Bank balance	2,190				2,190	
Inventory (current asset)			7,330		7,330	
Cost of sales (inventory)				7,330		7,330
Prepayments			250		250	
Doubtful debts expense				138		138
Depreciation exp. **W1, W2, W3**			1,535		1,535	
Finance cost			200		200	
Interest payable				200		200
	110,960	**110,960**	**9,453**	**9,453**	**120,025**	**120,025**

W1: Allowance Rs. 9,240 x 5% = Rs. 462 – 600 opening = Rs. 138 Decrease

W2: Depreciation Freehold Properties Rs. 7,500 x 1% = Rs. 75

W3: Depreciation Furniture and Fittings Rs. 2,000 x 10% = Rs. 200

W4: Depreciation Motor Cars Rs. 6,300 x 20% = Rs. 1,260

W5: Interest Rs. 4,000 x 5% = Rs. 200

Part (b)

MARIA's Statement of Comprehensive Income

For the year ended 31 December 2012

	Rs.
Sales	79,060
Cost of sales 6,740 + 54,520 – 7,330	(53,930)
Gross profit	25,130
Operating expenses 8,760 + 920 + 3,950 + 3,790 – 138 + 1,535	(18,817)
Finance costs	(200)
Net profit	6,113

Part (c)

MARIA's Statement of Financial Position

As at 31 December 2012

Non-current assets	**Rs.**
Property, plant & equipment 7,500 + 2,000 + 6,300 – 525 – 1,000 – 3,630	10,645
Current assets	
Stock	7,330
Debtors (net) 9,240 - 462	8,778
Prepaid rates	250
Cash at Bank	2,190
	18,548
	29,193

Owner's equity	**Rs.**
Capital	13,640
Add Net profit	6,113
Less Drawings	(4,800)
	14,953
Non-Current liabilities	
Long term loan	4,000
Current liabilities	
Creditors	10,040
Interest accrued	200
	10,240
	29,193

▶ *Example 19:*

Stewart is a sole trader, supplying building materials to local builders. He prepares his accounts to 30 June each year. At June 30, 2013, his trial balance was as follows:

	Dr	Cr
	Rs.	Rs.
Capital at 1 July 2012		55,550
Purchases and sales	324,500	625,000
Returns	2,300	1,700
Discounts	1,500	2,500
Building materials inventory at 1 July 2012	98,200	
Packing materials purchased	12,900	
Distribution costs	17,000	
Rent, rates and insurance	5,100	
Telephone	3,200	
Car expenses	2,400	
Wages	71,700	
Allowance for doubtful debts at 1 July 2012		1,000
Heat and light	1,850	
Sundry expenses	6,700	
Delivery vehicles – cost	112,500	
Delivery vehicles – Accumulated dep. at 1 July 2012		35,000
Equipment – cost	15,000	
Equipment – Accumulated depreciation at 1 July 2012		5,000
Trade receivables	95,000	
Trade payables		82,000
Loan		10,000
Loan repayments	6,400	
Bank deposit account	15,000	
Bank current account	26,500	
	817,750	**817,750**

The following additional information at 30 June 2013 is available:

a) Inventory of building materials Rs. 75,300 and Inventory of packing materials Rs.700. There was also an unpaid invoice of Rs.200 for packing materials received and consumed during the year.

b) Prepayments: rent, rates and insurance Rs.450

c) Accrued expenses: heat and light Rs.400 and telephone Rs.500

d) Wages include Rs. 23,800 cash withdrawn by Stewart.

e) Trade receivables have been analysed as follows:

	Rs.
Current month	60,000
30 to 60 days	20,000
60 to 90 days	12,000
over 90 days	3,000

Allowance is to be made for doubtful debts as follows:

30 to 60 days	1%
60 to 90 days	2.5%
over 90 days	5% (after writing off Rs. 600)

f) Sundry expenses includes Rs. 3,500 for Stewart's personal tax bill.

g) The loan was taken out some years ago, the final payment is due on 31 March 2014. The figure shown in the trial balance for "loan repayments" includes interest of Rs.800 for the year.

h) The bank deposit account was opened on 1 January 2013 as a short-term investment; interest is credited at 31 December annually; the average rate of interest since opening the account has been 6% per annum.

i) At 1 July 2012, Stewart decided to bring one of his family cars, valued at Rs. 8,000, into the business. No entries have been made in the business books for its introduction. Depreciation is to be provided as follows:

- 20% on cost for delivery vehicles
- 25% on the reducing balance for the car
- 25% on the reducing balance for the equipment

Required:

Prepare for Stewart:

a) Adjusted trial balance as at 30 June 2013

b) Statement of comprehensive income for the year ended 30 June 2013

c) Statement of financial position as at 30 June 2013

▶ *ANSWER*

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Capital		55,550		8,000		63,550
Purchases and sales	324,500	625,000			324,500	625,000
Returns	2,300	1,700			2,300	1,700
Discounts	1,500	2,500			1,500	2,500
Building materials Inventory (opening)	98,200				98,200	
Packing materials purchased	12,900		200	700	12,400	
Distribution costs	17,000				17,000	

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Rent, rates and insurance	5,100			450	4,650	
Telephone	3,200		400		3,600	
Car expenses	2,400		500		2,900	
Wages	71,700			23,800	47,900	
Allowance for doubtful debts 1 July 2012		1,000	380			620
Heat and light	1,850				1,850	
Sundry expenses	6,700			3,500	3,200	
Delivery vehicles – cost	112,500				112,500	
Accumulated depreciation (DV)		35,000		22,500		57,500
Equipment – cost	15,000				15,000	
Accumulated depreciation (EQ)		5,000		2,500		7,500
Trade receivables	95,000			600	94,400	
Trade payables		82,000				82,000
Loan		10,000	5,600			4,400
Loan repayments	6,400			800 & 5600		0
Bank deposit account	15,000		450		15,450	
Bank current account	26,500				26,500	
Inventory (building material)			75,300		75,300	
Cost of sales (inventory)				75,300		75,300
Packing material stock			700		700	
Accrued expenses				200 & 400 & 500		1,100
Prepaid expenses			450		450	
Drawings			23,800 & 3,500		27,300	
Bad debts expense			600	380 **W1**	220	
Finance cost			800		800	
Interest income				450		450
Car			8,000		8,000	
Depreciation exp. **W3, W4, W5**			27,000		27,000	
Accumulated dep. of Car				2,000		2,000
	817,750	**817,750**	**147,680**	**147,680**	**923,620**	**923,620**

W1: Allowance: 20,000 x 1% + 12,000 x 2.5% + (3,000 – 600) x 5% = Rs. 620 – 1,000 = Rs. 380 decrease

W2: Interest income Rs. 15,000 x 6% x 6/12 = Rs. 450

W3: Depreciation delivery vehicles Rs. 112,500 x 20% = Rs. 22,500

W4: Depreciation Car (Rs. 8,000 – 0) x 25% = Rs. 2,000

W5: Depreciation Equipment (Rs. 15,000 – 5,000) x 25% = Rs. 2,500

Part (b)

STEWART's Statement of Comprehensive Income

For the year ended 30 June 2013

	Rs.
Sales [625,000 – 2,300 return – 1,500 discount]	621,200
Cost of sales 98, 200 + [324,500 – 1,700 – 2,500] – 75,300	(343,200)
Gross profit	278,000
Other income: Interest	450
	278,450
Operating expenses 12,400 + 47,900 – 4,650 + 2,250 + 2,400 + 3,700 + 220 + 17,000 + 3,200 + 27,000	(120,720)
Finance cost	(800)
Net profit	156,930

Part (c)

STEWART's Statement of Financial Position

As at 30 June 2013

Non-current assets	Rs.
Property, plant & equipment 112,500 – 57,500 + 15,000 – 7,500 + 8,000 – 2,000	68,500
Current assets	
Inventory	75,300
Trade debts (net) 94,400 - 620	93,780
Prepaid expenses	450
Packing material unused	700
Bank Deposit	15,400
Bank Current	26,500
	212,180
	280,680
Owner's equity	
Capital	55,550
Add Capital introduced (vehicle/car)	8,000
Add Net profit	156,930
Less Drawings	(27,300)
	193,180
Current liabilities	
Creditors	82,000
Loan	4,400
Expenses accrued	1,100
	87,500
	280,680

Example 20:

Following is the trial balance of Sofia Trader (ST) for the year ended 30 June 2018:

	Debit	Credit
	---------- Rs.'000 ----------	
Equipment - cost	17,000	
Equipment - accumulated depreciation - 1 Jul 2017		4,800
Vehicles - cost	3,000	
Vehicles - accumulated depreciation - 1 Jul 2017		1,200
Inventory - 1 Jul 2017	5,500	
Trade receivables	5,350	
Allowance for doubtful receivables		220
Prepaid insurance - 1 Jul 2017	140	
Advance	384	
Bank deposit (invested on 1 Feb 2017 at 7%)	1,400	
Cash and bank balances	620	
Capital		16,000
Drawings	352	
Trade payables		3,500
Accruals and other payables		1,520
Sales		32,350
Purchases	21,000	
Returns	950	750
Salaries and utilities	2,790	
Rent	1,000	
Discount allowed	270	
Discount received		220
Other expenses	480	
Insurance	300	
Bad debts	106	
Interest income on bank deposit		82
	60,642	**60,642**

Following further information is available:

i. Cost of closing physical inventory was Rs. 7,400,000. Inventory included goods costing Rs. 240,000 which were damaged in the warehouse. These goods can be sold for Rs. 250,000 after incurring a cost of Rs. 16,000.

ii. Rent includes payment of annual rent of Rs. 240,000 expiring on 30 November 2018 for owner's residence.

iii. Prepaid insurance represents premium which expired on 31 January 2018 while insurance represents annual premium which is expiring on 31 January 2019.

iv. On 29 June 2018, dishonoured cheque of Rs. 285,000 was returned by a bank. No entry has been made in the books for this return. This cheque was received from a customer net of 5% settlement discount.

v. ST maintains a 4% allowance against trade receivables.

vi. Advance represents 40% payment made for purchase of vehicle. Remaining balance would be paid in September 2018. No entry was passed when the vehicle was delivered on 1 June 2018.

vii. ST depreciates equipment and vehicles at 15% and 25% respectively using reducing balance method.

Required:

Prepare for Sofia Traders:

a) Adjusted trial balance as at 30 June 2018.

b) Statement of comprehensive income for the year ended 30 June 2018.

c) Statement of financial position as at 30 June 2018.

ANSWER

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Equipment-cost	17,000				17,000	
Accumulated depreciation		4,800		1,830		6,630
Vehicles - cost	3,000		960		3,960	
Accumulated depreciation		1,200		470		1,670
Inventory (Opening)	5,500				5,500	
Trade receivables	5,350		300		5,650	
Allowance for doubtful debts		220		6		226
Prepaid insurance	140		175	140	175	
Advance	384			384	-	-
Bank deposit	1,400		16		1,416	
Cash and bank balances	620			285	335	
Capital		16,000				16,000
Drawings	352		240		592	
Trade payables		3,500				3,500
Accruals and other payables		1,520				1,520
Sales		32,350				32,350
Purchases	21,000				21,000	
Returns	950	750			950	750
Salaries and utilities	2,790				2,790	
Rent	1,000			240	760	
Discounts allowed	270			15	255	
Discount received		220				220
Other expenses	480				480	
Insurance	300		140	175	265	
Bad debts	106		6		112	
Interest income on bank deposit		82		16		98
Inventory			7,394		7,394	
Cost of sales				7,394		7,394
Other payable (for vehicle)				576		576
Depreciation **W5, W6**			2,300		2,300	
	60,642	**60,642**	**11,531**	**11,531**	**70,934**	**70,934**

W1: Closing inventory: Rs. 7,400 – write down Rs. 6 (i.e. Cost 240 – NRV (250 – 16)) = Rs. 7,394
W2: Discount reversal due to dishonoured cheque = Rs. 285/95 x 5 = Rs. 15
W3: Allowance Rs. (5,350 + 300) x 4% = Rs. 226 – 220 opening = Rs. 6 increase
W4: Remaining cost of vehicle = Rs. 384 / 40 x 60 = Rs. 576
Total addition Rs. 576 + 384 = Rs. 960 addition
W5: Depreciation Rs. (17,000 – 4,800) x 15% = Rs. 1,830
W6: Depreciation Vehicle Rs. (3,000 – 1,200) x 25% + Rs. 960 x 25% x 1/12 = Rs. 470
W7: Interest receivable Rs. 1,400 deposit x 7% = Rs. 98 – 82 already recorded = Rs. 16
W8: Prepaid insurance = Rs. 300 x 7/12 = Rs. 175

Part (b)

Statement of Comprehensive Income

For the year ended 30 June 2018

	Rs. 000
Sales [32,350 – 950 returns – 255 discount]	31,145
Cost of sales 5,500 + [21,000 – 750 returns – 220 discount] – 7,394	(18,136)
Gross profit	13,009
Other income	98
Operating expenses 2,790 + 760 + 480 + 265 + 112 + 2,300	(6,707)
Net profit	6,400

Part (c)

Statement of Financial Position as at 30 June 2018

Non-current assets	**Rs. 000**
Property, plant and equipment 17,000 – 6,630 + 3,960 – 1,670	12,660
Current assets	
Stock W1	7,394
Trade debtors (net) 5,650 - 226	5,424
Prepayments 300 x 7/12	175
Bank deposit	1,416
Cash and bank balance	335
	14,744
	27,404
Owner's equity	
Capital	16,000
Add Net profit	6,400
Less Drawings	(592)
	21,808
Current liabilities	
Trade payables	3,500
Accruals and other payables 1,520 + 576 for vehicle	2,096
	5,596
	27,404

▶ *Example 21:*

Adeel and Kashif are in partnership with the name of AK Traders. They share profits in the ratio: Adeel 70%; Kashif 30%. The following trial balance was extracted as at 31 December 2027.

	Dr. Rs.	Cr. Rs.
Office equipment at cost	9,200	
Motor vehicles at cost	21,400	
Accumulated depreciation at 31.12.2026		
Motor vehicles		12,800
Office equipment		3,600
Stock as at 31 December 2026	38,410	
Debtors and creditors	41,940	32,216
Cash at bank	2,118	
Cash in hand	317	
Sales		180,400
Purchases	136,680	
Salaries	27,400	
Office expenses	2,130	
Discount allowed	312	
Capital accounts:		
Adeel		57,382
Kashif		27,009
Drawings:		
Adeel	17,500	
Kashif	16,000	
	313,407	**313,407**

The following requirements are applicable at 31 December 2027.

- Stock 31 December 2027 Rs. 41,312
- Office expenses owing Rs. 240
- Provide for depreciation : motor vehicles 25% of cost; office equipment 20% of cost
- Charge interest on capital: Adeel Rs. 2,500; Kashif Rs. 1,000.
- Charge interest on drawings: Adeel Rs. 300; Kashif Rs. 200.

Required:

Prepare the following for AK Traders:

a) Adjusted trial balance as at December 31, 2027.

b) Statement of comprehensive income for the year ended December 31, 2027

c) Profit and loss appropriation statement for the year ended December 31, 2027

d) Statement of financial position as at December 31, 2027.

▶ *ANSWER:*

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Office equipment at cost	9,200				9,200	
Motor vehicles at cost	21,400				21,400	
Accumulated dep. 31.12.2026						
Motor vehicles		12,800		5,350		18,150
Office equipment		3,600		1,840		5,440
Stock as at 31 December 2026	38,410				38,410	
Debtors and creditors	41,940	32,216			41,940	32,216
Cash at bank	2,118				2,118	
Cash in hand	317				317	
Sales		180,400				180,400
Purchases	136,680				136,680	
Salaries	27,400				27,400	
Office expenses	2,130		240		2,370	
Discount allowed	312				312	
Capital accounts:						
Adeel		57,382				57,382
Kashif		27,009				27,009
Drawings:						
Adeel	17,500				17,500	
Kashif	16,000				16,000	
Inventory			41,312		41,312	
Cost of sales				41,312		41,312
Accrued expenses				240		240
Depreciation **W1, W2**			7,190		7,190	
	313,407	**313,407**	**48,742**	**48,742**	**362,149**	**362,149**

W1: Rs. 21,400 x 25% = Rs. 5,350

W2: Rs. 9,200 x 20% = Rs. 1,840

Part (b)

Statement of Comprehensive Income

For the year ended 31 December 2027

	Rs.
Sales 180,400 – 312 Discount	180,088
Cost of sales 38,410 + 136,680 – 41,312	(133,778)
Gross profit	46,310
Operating expenses 27,400 + 2,370 + 7,190	(36,960)
Net profit	9,350

Part (c)

Profit and loss Appropriation

Particulars	Adeel	Kashif	Total
Profit			9,350
Interest on capital	2,500	1,000	(3,500)
Interest on drawings	(300)	(200)	500
			6,350
Profit 70:30	4,445	1,905	(6,305)
	6,645	2,705	0

Part (d)

Statement of Financial Position as at 31 December 2027

Non-current assets	Rs.
Property, plant and equipment 9,200 – 5,440 + 21,400 – 18,150	7,010
Current assets	
Stock	41,312
Trade debtors	41,940
Cash at bank	2,118
Cash in hand	317
	85,687
	92,697
Equity	
Capital: Adeel 57,382 + 6,645 – 17,500	46,527
Capital: Kashif 27,009 + 2,705 – 16,000	13,714
	60,241
Current liabilities	
Trade payables	32,216
Accrued expenses	240
	32,456
	92,697

▶ *Example 22:*

Mano and Aadi are in partnership with the name of MA Enterprises. As per the partnership deed they share profits and losses equally. Partners are allowed Interest on capital at the rate of 3% per annum. Interest on drawings is charged at the rate of 4% per annum. The following balances were extracted from the books on 30 June 2025:

	Rs.	Rs.
Property, plant & equipment (cost)	210,000	
Accumulated dep. 1 Jul 2024		49,200
Trade payables		7,900
Bank Overdraft		87,500
Purchases	81,250	
Trade Receivables	18,750	
Allowance for doubtful debts		500
Capital accounts:		
Mano		50,000
Aadi		30,000
Drawings:		
Mano	6,000	
Aadi	6,000	
Revenue		360,200
Returns inwards	8,600	
Inventory at 1 Jul 2024	15,600	
Operating expenses	79,100	
	505,300	**505,300**

The following information was available at 30 June 2025:

i. Inventory was valued at Rs.13,650.

ii. Accrued expenses of Rs. 250 and prepaid expenses of Rs. 400 have to be recorded at year end.

iii. Depreciation is to be charged on all non-current assets owned at the end of the year at 20% of cost.

iv. The allowance for doubtful debts is to be maintained at 4%

v. A cheque payment of Rs. 550 made to a credit supplier on 15 June, had not been recorded in the books.

Required:

Prepare the following for MA Enterprises:

a) Adjusted trial balance as at 30 June 2025.

b) Statement of comprehensive income for the year ended 30 June 2025

c) Profit and loss appropriation statement for the year ended 30 June 2025

d) Statement of financial position as at 30 June 2025

▶ *ANSWER:*

Part (a)

Accounts	Unadjusted Trial Balance		Adjustments		Adjusted Trial Balance	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Property, plant & equipment (cost)	210,000				210,000	
Accumulated depreciation		49,200		42,000		91,200
Trade payables		7,900	550			7,350
Bank Overdraft		87,500		550		88,050
Purchases	81,250				81,250	
Trade Receivables	18,750				18,750	
Allowance for doubtful debts		500		250		750
Capital accounts:						
Mano		50,000				50,000
Aadi		30,000				30,000
Drawings:						
Mano	6,000				6,000	
Aadi	6,000				6,000	
Revenue		200,200				200,200
Returns inwards	8,600				8,600	
Inventory (Opening)	15,600				15,600	
Operating expenses	79,100		250 + 250	400	79,200	
Inventory			13,650		13,650	
Cost of sales				13,650		13,650
Prepaid and accrued exp.			400	250	400	250
Depreciation			42,000		42,000	
	425,300	**425,300**	**57,100**	**57,100**	**481,450**	**481,450**

W1: Depreciation Rs. 210,000 x 20% = Rs. 42,000

W2: Allowance Rs. 18,750 x 4% = Rs. 750 – 500 opening = Rs. 250 increase

Part (b)

Statement of Comprehensive Income

For the year ended 30 June 2025

	Rs.
Sales 200,200 – 8,600 return inwards	191,600
Cost of sales 15,600 + 81,250 – 13,650	(83,200)
Gross profit	108,400
Operating expenses 79,200 + 42,000 depreciation	(121,200)
Net loss	(12,800)

Part (c)

Profit and loss Appropriation

Particulars	Mano	Aadi	Total
Net loss			(12,800)
Interest on drawings 4%	(240)	(240)	480
Interest on capital 3%	1,500	900	(2,400)
			(14,720)
Loss 1:1	(7,360)	(7,360)	14,720
	(6,100)	(6,700)	-

Part (d)

Statement of Financial Position as at 30 June 2025

Non-current assets	**Rs.**
Property, plant and equipment 210,000 – 91,200	118,800
Current assets	
Stock	13,650
Trade debtors 18,750 - 750	18,000
Prepayment	400
	32,050
	150,850
Equity	
Capital: Mano 50,000 – 6,100 – 6,000	37,900
Capital: Aadi 30,000 – 6,700 – 6,000	17,300
	55,200
Current liabilities	
Trade payables	7,350
Bank overdraft	88,050
Accrued expenses	250
	95,650
	150,850

6 OBJECTIVE BASED Q&A

1. A complete set of financial statement does not include;

   a) a statement of financial position as at the end of the period
   b) a statement of comprehensive income for the period
   c) Aging analysis of receivables
   d) a statement of changes in equity for the period

2. Following is the trial balance of Salman for the year ended 30 June 2014

	Rs.
Insurance	2,000,000

   Insurance is prepaid to the extent of Rs. 650,000.

   What is the amount of insurance premium to be shown in the statement of comprehensive income and statement of financial position?

   a) Insurance expense Rs. 2,000,000; Prepaid insurance Rs. 650,000
   b) Insurance expense Rs. 2,650,000; Prepaid insurance Rs. 650,000
   c) Insurance expense Rs. 650,000; Prepaid insurance Rs. 2,000,000
   d) Insurance expense Rs. 1,350,000; Prepaid insurance Rs. 650,000

3. Salman has prepared his trial balance for the year ended 30 June 2014.

   He has provided following information relating to stock: Closing stock as on 30 June 2014 amounted to Rs. 237,500 thousand.

   What is the correct accounting entry to record the adjustment?

   a) Dr inventory Rs. 237,500,000 Cr Cost of sales Rs. 237,500,000
   b) Dr Cost of sales Rs. 237,500,000 Cr Inventory Rs. 237,500,000
   c) Dr inventory Rs. 237,500,000 Cr Purchases Rs. 237,500,000
   d) Dr Purchases Rs. 237,500,000 Cr Inventory Rs. 237,500,000

4. Salman has prepared his trial balance for the year ended 30 June 2014. He has provided following information relating to drawings:

	Debit Rs. 000
Drawings	30,500

   Salman's son works as the head of administration and received a salary of Rs. 150 thousand per month, which has been included in drawings.

   What is the amount of drawings to be shown in the statement of financial position?

   a) Rs. 30,500
   b) Rs. 30,350
   c) Rs. 32,300
   d) Rs. 28,700

5. Azam is in process of preparation of trial balance for the year ended 30 June 2015.

	Debit	Credit
	Rs. in '000'	
Purchases	105,950	

Azam withdrew goods costing Rs. 4,000 thousand for personal use during the year. However, no entry was made to record the withdrawal of goods.

What is the amount of purchases to be shown in statement of comprehensive income?

a) Rs. 105,950,000
b) Rs. 4,000,000
c) Rs. 101,950,000
d) Rs. 109,950,000

6. Following is the trial balance of Salman for the year ended 30 June 2014:

	Debit		Credit
Trade discount	2,432	Sales	353,300
Sales return	10,000		
Discount allowed	4,500		

Assistant account has informed that sales was recorded incorrectly on gross amount and trade discount was debited to correct it.

What is the amount of sales to be shown in statement of comprehensive income?

a) Rs. 353,300
b) Rs. 340,868
c) Rs. 336,368
d) Rs. 346,368

7. Following summarised trial balance as at 31 December 2015 pertains to Moon Trading (MT) who deals in office machines:

	Debit	Credit
	Rs. in million	
Bank loan		160
Interest on bank loan	8	

Additional information

The bank loan was acquired on 1 April 2015. The principal amount is repayable in five equal annual instalments on 31 March each year. Interest is payable at 10% per annum on six monthly basis and is recorded at the time of payment.

What adjusting entry is required to record interest payable as at 31 December 2015?

a) Dr Interest expense Rs. 4 million Cr Interest payable Rs. 4 million
b) Dr Interest expense Rs. 4 million Cr Bank loan Rs. 4 million
c) Dr Interest expense Rs. 8 million Cr Interest payable Rs. 8 million
d) Dr Interest expense Rs. 12 million Cr Interest payable Rs. 12 million

8. Following summarised trial balance as at 31 December 2015 pertains to Moon Trading (MT) who deals in office machines:

	Debit	Credit
	Rs. in million	
Other income		15

Additional information

Review of other income revealed the following information:

On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

What is the amount of unearned income to be shown in statement of financial position?

a) Rs. 1.8 million

b) Rs. 3.6 million

c) Rs. 0.2 million

d) Rs. 1.6 million

9. Following summarised trial balance as at 31 December 2015 pertains to Moon Trading (MT) who deals in office machines:

	Debit	Credit
	Rs. in million	
Other income		15

Additional information

On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

What is the amount of other income to be shown in statement of comprehensive income?

a) Rs. 15 million

b) Rs. 14.8 million

c) Rs. 13.2

d) Rs. 11.4

10. Which of the following is not a characteristic of service organization?

a) A large percentage of assets comprise inventory

b) A large percentage of assets comprise receivable

c) The funds of service companies are usually tied up towards accounts receivable

d) There is no line item for the cost of goods sold in the income statement of service companies.

11. A business has provided following extracts from trial balance as at 31 December 2018;

	Debit	Credit
	Rs. in million	
Receivables	100	
Allowance for doubtful debts – 1.1.18		4
Bad debts	3	

Additional information

A customer included in receivables in trial balance above owing Rs. 1 million gone bankrupt and is unable to pay anything.

It has been decided to calculate a allowance of 6% for the year.

What is the amount of closing balance of allowance for doubtful debts account?

a) Rs. 5.94 million
b) Rs. 3 million
c) Rs. 6 million
d) Rs. 5.76 million

12. A business has provided following extracts from trial balance as at 31 December 2018;

	Debit	Credit
	Rs. in million	
Receivables	100	
Allowance for doubtful debts – 1.1.18		4.5
Bad debts	3	

Additional information

A customer included in receivables in trial balance above owing Rs. 1 million gone bankrupt and is unable to pay anything.

It has been decided to calculate a allowance of 6% for the year.

What is the amount of bad and doubtful debts expense in statement of comprehensive income?

a) Rs. 4.44
b) Rs. 5.44 million
c) Rs. 1.44
d) Rs. 5.94

13. A business has provided following extracts from trial balance as at 31 December 2018;

	Debit	Credit
	Rs. in million	
Receivables	100	
Allowance for doubtful debts – 1.1.18		4
Bad debts	3	

Additional information

A customer included in receivables in trial balance above owing Rs. 1 million gone bankrupt and is unable to pay anything.

It has been decided to calculate a allowance of 6% for the year.

What is the net receivables to be shown in statement of financial position?

a) Rs. 92 million
b) Rs. 94.06
c) Rs. 91.06
d) Rs. 93.06

14. A business has provided following extracts from trial balance as at 31 December 2018;

	Debit		Credit
	Rs. in million		
Administration expenses	150		

Additional information

Electricity expense of Rs. 1.5 million is outstanding. No adjustment for bill payable has been recorded. Electricity expense paid during the year have already been included in administration expenses.

Included in the administration expenses in trial balance advance rent is Rs. 1.2 million.

What is the amount of administration expenses to be shown in statement of comprehensive income?

a) Rs. 150.3 million
b) Rs. 151.5
c) Rs. 152.7
d) Rs. 150

15. A business has provided following extracts from trial balance as at 31 December 2018:

	Debit		Credit
	Rs. in million		
Administration expenses	150		

Additional information

Electricity expense of Rs. 1.5 million is outstanding. No adjustment for bill payable has been recorded.

Electricity expense paid during the year have already been included in administration expenses.

Included in the administration expenses in trial balance advance rent is Rs. 1.2 million.

Which of the following is correct regarding administration expenses?

a) Accrued expense Rs. 1.2 million; Prepayment Rs. 1.5 million
b) Accrued expense Rs. 1.5 million; Prepayment Rs. 1.2 million
c) Accrued expenses Rs. 2.7 million
d) Prepayment Rs. 2.7 million

16. Following is the summarised trial balance of Fortune Traders (FT) for the year ended 30 June 2016;

	Debit	Credit
	Rs. 000	
Plant & machinery - cost	6,650	
Plant & mach. – Acc. Dep. as at 1 July 2015		2,414

Additional information:

i. On 1 March 2016, FT paid an advance of Rs. 330,000 for purchase of a machine and debited it to plant and machinery. The machine was delivered on 1 September 2016.

ii. FT depreciates its fixed assets from the month of addition. Depreciation is to be charged on written-down value (WDV) as follows:

Plant & machinery	10%

What is the amount of depreciation to be charged to statement of profit or loss?

Rs. _____

17. Following is the summarised trial balance of Fortune Traders (FT) for the year ended 30 June 2016;

	Debit	Credit
	Rs. 000	
Plant & machinery - cost	6,650	
Plant & mach. – Acc. Dep. as at 1 July 2015		2,414

Additional information:

iii. On 1 March 2016, FT paid an advance of Rs. 330,000 for purchase of a machine and debited it to plant and machinery. The machine was delivered on 1 September 2016.

iv. FT depreciates its fixed assets from the month of addition. Depreciation is to be charged on written-down value (WDV) as follows:

Plant & machinery	10%

What is the amount of Plant & machinery to be shown in statement of financial position?

Rs. _____

18. Azam owns a retail outlet with the name Azam Autoparts Store. The trial balance as at 30 June 2015 is as follows:

	Debit	Credit
	Rs. in '000'	
Bank loan		5,050
Interest expenses	600	
	167,436	167,436

Bank loan was received on 1 July 2014. Interest payable for the month of June 2015 has been credited to the loan account.

What is the amount of interest payable to be shown in statement of financial position?

Rs. _____

19. Rainbow Lights (RL) has prepared a trial for the year ended 31 December 2016:

	Debit	Credit
	Rs. in million	
Miscellaneous income		45

Additional information

Miscellaneous income includes Rs. 12 million received against an annual maintenance contract expiring on 30 April 2017.

What is the amount of Miscellaneous income to be shown in statement of comprehensive income?

Rs. _____

20. Rainbow Lights (RL) has prepared a trial for the year ended 31 December 2016:

	Debit	Credit
	Rs. in million	
Miscellaneous income		45

Additional information

Miscellaneous income includes Rs. 12 million received against an annual maintenance contract expiring on 30 April 2017.

What is the amount of Miscellaneous income to be shown in statement of financial position as unearned income?

Rs. _____

21. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Stock in trade 31-12-2017	3,900	
Cost of sales	23,580	

While carrying out the physical inventory count at year-end, following matters were identified:

- Goods costing Rs. 1,000 were slightly defective. These can be sold for Rs. 1,130 after incurring a cost of Rs. 200.
- Goods costing Rs. 670 purchased on credit were returned to a supplier on 28 December 2017 but the return was not recorded in the books.

Calculate the "Cost of Sales" amount that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____

22. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Stock in trade 31-12-2017	3,900	
Cost of sales	23,580	

While carrying out the physical inventory count at year-end, following matters were identified:

- Goods costing Rs. 1,000 were slightly defective. These can be sold for Rs. 1,130 after incurring a cost of Rs. 200.
- Goods costing Rs. 670 purchased on credit were returned to a supplier on 28 December 2017 but the return was not recorded in the books.

Calculate the "Inventory" amount that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

23. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Advances	450	
Property, plant and equipment - Cost	12,500	
Accumulated depreciation		4,630

Additional information:

- A machine costing Rs. 450 was received on 1 October 2017 against 100% advance payment. The advance has not yet been adjusted due to non-receipt of the invoice.
- TE depreciates property, plant & equipment at 15% per annum on reducing balance method.

Calculate the "Depreciation expense" that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____ (to nearest rupee)

24. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017.

	Debit	Credit
	Rs.	
Advances	450	
Property, plant and equipment - Cost	12,500	
Accumulated depreciation		4,630

Additional information:

- A machine costing Rs. 450 was received on 1 October 2017 against 100% advance payment. The advance has not yet been adjusted due to non-receipt of the invoice.
- TE depreciates property, plant & equipment at 15% per annum on reducing balance method.

Calculate "property, plant and equipment" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____ (to nearest rupee)

25. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Accrual and other payables		1,320
Miscellaneous income		940

Additional information:

- On 1 October 2017, 50% advance received for an annual maintenance contract of Rs. 480 was credited to miscellaneous income. Remaining amount would be received at the end of the contract. Services are rendered evenly throughout the contract period.
- Maintenance services for Rs. 150 were rendered in December 2017 but income has been recorded in January 2018 on receipt of the amount.

Calculate "Prepayments and advances" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

26. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Accrual and other payables		1,320
Miscellaneous income		940

Additional information:

- On 1 October 2017, 50% advance received for an annual maintenance contract of Rs. 480 was credited to miscellaneous income. Remaining amount would be received at the end of the contract. Services are rendered evenly throughout the contract period.
- Maintenance services for Rs. 150 were rendered in December 2017 but income has been recorded in January 2018 on receipt of the amount.

Calculate "Accrual and other payables" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

27. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Accrual and other payables		1,320
Miscellaneous income		940

Additional information:

- On 1 October 2017, 50% advance received for an annual maintenance contract of Rs. 480 was credited to miscellaneous income. Remaining amount would be received at the end of the contract. Services are rendered evenly throughout the contract period.
- Maintenance services for Rs. 150 were rendered in December 2017 but income has been recorded in January 2018 on receipt of the amount.

Calculate "Miscellaneous income" that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____

28. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Financial charges	700	
12% long term loan		5,150

Additional information:

Interest on the loan is paid in arrears on 1 April and 1 October each year. Interest accrued for the quarter ended 31 December 2017 has been credited to loan account.

Calculate "Financial charges" that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____

29. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Financial charges	700	
12% long term loan		5,150

Additional information:

Interest on the loan is paid in arrears on 1 April and 1 October each year. Interest accrued for the quarter ended 31 December 2017 has been credited to loan account.

Calculate "Long term loan" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

30. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Rent and insurance	2,900	
Drawings	490	

Rent and insurance include:

- annual insurance premium of Rs. 800 for the health policy arranged by TE for the department heads and the owner's family members. Premium pertaining to the owner's family members is Rs. 200. The policy is valid up to 30 June 2018.
- Rs. 1,200 paid against the annual rent agreement expiring on 31 August 2018. According to the rent agreement, the rent paid would not be refunded in case the building is vacated earlier.

Calculate "Drawings" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

31. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Rent and insurance	2,900	
Drawings	490	

Rent and insurance include:

- annual insurance premium of Rs. 800 for the health policy arranged by TE for the department heads and the owner's family members. Premium pertaining to the owner's family members is Rs. 200. The policy is valid up to 30 June 2018.
- Rs. 1,200 paid against the annual rent agreement expiring on 31 August 2018. According to the rent agreement, the rent paid would not be refunded in case the building is vacated earlier.

Calculate "Prepayment and advances" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

32. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Prepayments and advances	1,290	
Rent and insurance	2,900	
Drawings	490	

Rent and insurance include:

- annual insurance premium of Rs. 800 for the health policy arranged by TE for the department heads and the owner's family members. Premium pertaining to the owner's family members is Rs. 200. The policy is valid up to 30 June 2018.
- Rs. 1,200 paid against the annual rent agreement expiring on 31 August 2018. According to the rent agreement, the rent paid would not be refunded in case the building is vacated earlier.

Calculate "Rent and insurance" that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____

33. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Trade receivables	4,400	
Bad debts expense	230	
Allowance for doubtful debts		220

TE maintains allowance for doubtful receivables according to the age analysis of the outstanding balances. Relevant details are as under:

	Trade receivables as on 31 December 2017				Total
	Less than 3 months	4-6 months	7-12 months	More than 1 year	
Outstanding balances ***(Rs.)***	1,970	1,000	900	530	4,400
Required allowance	–	5%	10%	20%	

Calculate "Bad and doubtful debts expense" that would be presented in statement of comprehensive income of TE for the year ended 31 December 2017.

Rs. _____

34. Following is an extract from the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

	Debit	Credit
	Rs.	
Trade receivables	4,400	
Bad debts expense	230	
Allowance for doubtful debts		220

TE maintains allowance for doubtful receivables according to the age analysis of the outstanding balances. Relevant details are as under:

	Trade receivables as on 31 December 2017				Total
	Less than 3 months	4-6 months	7-12 months	More than 1 year	
Outstanding balances ***(Rs.)***	1,970	1,000	900	530	4,400
Required allowance	–	5%	10%	20%	

Calculate "Trade receivables (net)" that would be presented in statement of financial position of TE as at 31 December 2017.

Rs. _____

35. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs.	
Revenue		1,200,000
Inventory 1 January 2021	48,000	
Purchases	480,000	
Carriage inwards	4,000	
Carriage outwards	6,000	
Administrative expenses	360,000	
Distribution costs	150,000	
Return inwards	1,000	

Inventory valuation at 31 December 2021 was Rs. 60,000

Calculate "Administrative expenses" that would be presented in statement of comprehensive income of GE for the year ended 31 December 2021.

Rs. _____

36. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs.	
Revenue		1,200,000
Inventory 1 January 2021	48,000	
Purchases	480,000	
Carriage inwards	4,000	
Carriage outwards	6,000	
Administrative expenses	360,000	
Distribution costs	150,000	
Return inwards	1,000	

Inventory valuation at 31 December 2021 was Rs. 60,000

Calculate "Distribution costs" that would be presented in statement of comprehensive income of GE for the year ended 31 December 2021.

Rs. _____

37. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs.	
Revenue		1,200,000
Inventory 1 January 2021	48,000	
Purchases	480,000	
Carriage inwards	4,000	
Carriage outwards	6,000	
Administrative expenses	360,000	
Distribution costs	150,000	
Return inwards	1,000	

Inventory valuation at 31 December 2021 was Rs. 60,000

Calculate "Cost of sales" that would be presented in statement of comprehensive income of GE for the year ended 31 December 2021.

Rs. _____

38. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs.	
Revenue		1,200,000
Inventory 1 January 2021	48,000	
Purchases	480,000	
Carriage inwards	4,000	
Carriage outwards	6,000	
Administrative expenses	360,000	
Distribution costs	150,000	
Return inwards	1,000	

Inventory valuation at 31 December 2021 was Rs. 60,000

Calculate "Gross profit" that would be presented in statement of comprehensive income of GE for the year ended 31 December 2021.

Rs. _____

39. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs. million	
Freehold land and building – cost (Land Rs. 70 million)	120	
Accumulated depreciation (Land and building) 1 Jan 2021		20
Plant and equipment – Cost	120	
Accumulated depreciation (plant & equipment) 1 Jan 2021		15

The freehold building is depreciated on a straight line basis over its estimated useful life of 50 years. The plant and equipment is depreciated on a reducing balance basis at the rate of 15%. There were no purchases or disposals of non-current assets during the year.

Calculate "Depreciation expense" that would be presented in statement of comprehensive income of GE for the year ended 31 December 2021.

Rs. _____ (million)

40. The following is an extract from the trial balance of Game Enterprises (GE) as at 31 December 2021:

	Debit	Credit
	Rs. million	
Freehold land and building – cost (Land Rs. 70 million)	120	
Accumulated depreciation (Land and building) 1 Jan 2021		20
Plant and equipment – Cost	120	
Accumulated depreciation (plant & equipment) 1 Jan 2021		15

The freehold building is depreciated on a straight line basis over its estimated useful life of 50 years. The plant and equipment is depreciated on a reducing balance basis at the rate of 15%. There were no purchases or disposals of non-current assets during the year.

Calculate "Property, plant and equipment" that would be presented in statement of financial position of GE as at 31 December 2021.

Rs. _____ (million)

41. The following is an extract from the trial balance of Moon Trading (MT) as at 31 December 2015:

	Debit	Credit
	Rs. million	
Prepayments and other receivables	9	
Accrued expenses and unearned income		25
Other income		15

Review of other income revealed the following information:

- Services for certain contracts amounting to Rs. 1.2 million were rendered in December 2015 but invoices thereof were processed in January 2016.
- On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

Calculate "Prepayments and other receivables" that would be presented in statement of financial position of MT as at 31 December 2015.

Rs. _____ (million)

42. The following is an extract from the trial balance of Moon Trading (MT) as at 31 December 2015:

	Debit	Credit
	Rs. million	
Prepayments and other receivables	9	
Accrued expenses and unearned income		25
Other income		15

Review of other income revealed the following information:

- Services for certain contracts amounting to Rs. 1.2 million were rendered in December 2015 but invoices thereof were processed in January 2016.
- On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

Calculate "Accrued expenses and unearned income" that would be presented in statement of financial position of MT as at 31 December 2015.

Rs. _____ (million)

43. The following is an extract from the trial balance of Moon Trading (MT) as at 31 December 2015:

	Debit	Credit
	Rs. million	
Prepayments and other receivables	9	
Accrued expenses and unearned income		25
Other income		15

Review of other income revealed the following information:

- Services for certain contracts amounting to Rs. 1.2 million were rendered in December 2015 but invoices thereof were processed in January 2016.
- On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

Calculate "Other income" that would be presented in statement of comprehensive income of MT for the year ended 31 December 2015.

Rs. _____ (million)

44. The following is an extract from the trial balance of Qambar Enterprises (QE) as at 31 December 2018:

	Debit	Credit
	Rs.	
Rent and insurance	545,000	

Rent and insurance includes Rs. 75,000 paid for a photocopy machine. The machine was obtained on 1 November 2018 at a fixed rent of Rs. 75,000 per quarter and an additional Re. 0.40 for each copy. 40,000 copies have been made by QE up to 31 December 2018.

Calculate "Rent and insurance" that would be presented in statement of comprehensive income of QE for the year ended 31 December 2018.

Rs. _____

45. The following is an extract from the trial balance of Qambar Enterprises (QE) as at 31 December 2018:

	Debit	Credit
	Rs.	
Office and sales supplies	210,000	

Office and sales supplies costing Rs. 90,000 are still unused. However, 30% of these supplies are not usable due to deterioration in quality.

Which of the following is correct presentation in financial statements in respect of above?

a) Current assets Rs. 63,000 and Expense Rs. 210,000
b) Current assets Rs. 90,000 and Expense Rs. 237,000
c) Current assets Rs. 63,000 and Expense Rs. 147,000
d) Current assets Rs. 90,000 and Expense Rs. 237,000

46. The following is an extract from the trial balance of Qambar Enterprises (QE) as at 31 December 2018:

	Debit	Credit
	Rs.	
Capital at 1 Jan 2018		5,223,000
Goods withdrawn	644,000	

Cost of office repairs amounting to Rs. 85,000 was paid by the owner from personal cash. After adjusting for this, net profit has been correctly calculated as Rs. 880,000.

At year end, a vehicle was invested into the business by the owner at a value of Rs. 960,000

Calculate "Capital" that would be presented in statement of financial position of QE as at 31 December 2018.

Rs. _____

47. The following is an extract from the trial balance of Delta Enterprises (DE) as at 30 June 2019:

	Debit	Credit
	Rs. 000	
Property, plant and equipment (Cost)	230,600	
Prepayments	3,000	
Administration expenses	25,900	
Trade and other payables		41,400

On 1 October 2018, a printer was acquired on rent from Qazi & Co. The annual rent of Rs. 480,000 was paid in advance and debited to prepayments. However, the printer was purchased by DE on 1 April 2019 for Rs. 1,240,000. The payment net of rent adjustment was made in July 2019. The purchase has not been accounted for. Ignore depreciation.

Calculate "Property, plant and equipment (Cost)" that would be presented in statement of financial position of DE as at 30 June 2019.

Rs. _____

48. The following is an extract from the trial balance of Delta Enterprises (DE) as at 30 June 2019:

	Debit	Credit
	Rs. 000	
Property, plant and equipment (Cost)	230,600	
Prepayments	3,000	
Administration expenses	25,900	
Trade and other payables		41,400

On 1 October 2018, a printer was acquired on rent from Qazi & Co. The annual rent of Rs. 480,000 was paid in advance and debited to prepayments. However, the printer was purchased by DE on 1 April 2019 for Rs. 1,240,000. The payment net of rent adjustment was made in July 2019. The purchase has not been accounted for. Ignore depreciation.

Calculate "Prepayments" that would be presented in statement of financial position of DE as at 30 June 2019.

Rs. _____

49. The following is an extract from the trial balance of Delta Enterprises (DE) as at 30 June 2019:

	Debit	Credit
	Rs. 000	
Property, plant and equipment (Cost)	230,600	
Prepayments	3,000	
Administration expenses	25,900	
Trade and other payables		41,400

On 1 October 2018, a printer was acquired on rent from Qazi & Co. The annual rent of Rs. 480,000 was paid in advance and debited to prepayments. However, the printer was purchased by DE on 1 April 2019 for Rs. 1,240,000. The payment net of rent adjustment was made in July 2019. The purchase has not been accounted for. Ignore depreciation.

Calculate "Trade and other payables" that would be presented in statement of financial position of DE as at 30 June 2019.

Rs. _____

50. The following is an extract from the trial balance of Delta Enterprises (DE) as at 30 June 2019:

	Debit	Credit
	Rs. 000	
Property, plant and equipment (Cost)	230,600	
Prepayments	3,000	
Administration expenses	25,900	
Trade and other payables		41,400

On 1 October 2018, a printer was acquired on rent from Qazi & Co. The annual rent of Rs. 480,000 was paid in advance and debited to prepayments. However, the printer was purchased by DE on 1 April 2019 for Rs. 1,240,000. The payment net of rent adjustment was made in July 2019. The purchase has not been accounted for. Ignore depreciation.

Calculate "Administration expenses" that would be presented in statement of comprehensive income of DE for the year ended 30 June 2019.

Rs. _____

51. What does the Adjusted Trial Balance include?

a) Only closing balances of assets and liabilities.
b) All ledger account balances after adjustments.
c) Only profit and loss accounts.
d) Just the balances of nominal accounts.

52. A business has unearned revenue of Rs. 50,000 in its unadjusted trial balance, 80% of which needs to be adjusted as earned revenue. What will be balance of unearned revenue in adjusted trial balance?

a) Rs. 50,000
b) Rs. 40,000
c) Rs. 10,000
d) Rs. NIL

53. After adjustments, the total debit side of an Adjusted Trial Balance equals Rs. 1,200,000. What is the total of the credit side?

    a) Rs. 1,200,000
    b) Rs. 600,000
    c) Rs. 1,500,000
    d) Rs. 900,000

54. Which TWO of the following errors cannot be detected by an Adjusted Trial Balance?

    a) Omission of a transaction.
    b) Recording an expense as an asset.
    c) Errors in addition of account balances.
    d) Recording a transaction on the wrong side of the ledger.

55. If prepaid rent of Rs. 30,000 is adjusted, what TWO impacts does it have on the Adjusted Trial Balance?

    a) Increase liabilities by Rs. 30,000.
    b) Decrease rent expense by Rs. 30,000.
    c) Increase expenses by Rs. 30,000.
    d) Increase assets by Rs. 30,000.

56. What is the adjusted trade receivables balance if the unadjusted balance is Rs. 100,000 and Rs. 5,000 is deemed uncollectible (i.e. needs to be written off)?

    a) Rs. 105,000.
    b) Rs. 95,000.
    c) Rs. 100,000.
    d) Rs. 90,000.

57. The unadjusted trial balance shows an equipment account of Rs. 500,000, with depreciation of Rs. 50,000 yet to be recorded. What is the equipment's adjusted balance (net of accumulated depreciation)?

    a) Rs. 450,000.
    b) Rs. 500,000.
    c) Rs. 550,000.
    d) Rs. 50,000.

58. A company has an unearned income of Rs. 20,000 at the start of the period. At the end of the period, Rs. 12,000 has been earned. What is the adjusted balance of unearned income?

    a) Rs. 20,000.
    b) Rs. 8,000.
    c) Rs. 12,000.
    d) Rs. 0.

59. A partnership adjusts Rs. 10,000 for accrued wages. How is this adjustment reflected in the Adjusted Trial Balance?

    a) Increase liabilities by Rs. 10,000.
    b) Decrease wages expense by Rs. 10,000.
    c) Increase assets by Rs. 10,000.
    d) Increase capital by Rs. 10,000.

60. If Rs. 40,000 of electricity bill payable was omitted earlier and now adjusted, how is the trial balance affected (Select TWO)?

    a) Increase liabilities by Rs. 40,000.
    b) Increase expenses by Rs. 40,000.
    c) Decrease liabilities by Rs. 40,000.
    d) Increase assets by Rs. 40,000.

61. How is the profit-sharing ratio determined in the absence of an agreement between partners?

    a) Based on capital contributed by each partner
    b) Equally shared among all partners
    c) Based on seniority of each partner
    d) Proportionate to the number of hours worked by each partner

62. If the net profit is Rs. 600,000 and the partnership agreement allows a salary of Rs. 150,000 to Partner A, how much profit will be left for appropriation on the basis of profit sharing ratio?

    a) Rs. 600,000
    b) Rs. 450,000
    c) Rs. 300,000
    d) Rs. 150,000

63. What is the nature of the Profit and Loss Appropriation Account?

    a) Nominal account.
    b) Capital account.
    c) Personal account.
    d) Real account.

64. If Rs. 1,000,000 is available for distribution and Partner A is entitled to Salary of Rs. 200,000 and a 60% share while Partner B receives 40%, how much does Partner A get?

    a) Rs. 400,000
    b) Rs. 600,000
    c) Rs. 680,000
    d) Rs. 800,000

65. What is impact of interest on drawings on the appropriation of profit or loss among the partners?

    a) Increases the profit available for appropriation
    b) Decreases the profit available for appropriation
    c) No impact
    d) Either increases or decreases the profit available for appropriation, depending upon balance in the capital account

66. If the partnership agreement specifies an interest on capital of 10% and Partner A has Rs. 500,000 in capital, how much interest will she receive if the net profit for the year is Rs. 250,000?

    a) Rs. 10,000
    b) Rs. 25,000
    c) Rs. 50,000
    d) Rs. 5,000

67. Partner A and Partner B have equal profit sharing agreement. There is no interest on capital, however, only partner B is entitled to monthly salary. If the business earned net profit during the year, which of the following is correct?

    a) Both partners will have equal amount of profit credited to their capital account.
    b) Partner A will have more amount of profit credited to her capital account.
    c) Partner B will have more amount of profit credited to his capital account.
    d) The partner will higher balance of capital would have more amount of profit credited to his/her capital account.

68. In the event of a loss, how is the loss shared in a partnership without a specific agreement?

    a) Equally shared.
    b) Based on capital contributed.
    c) Borne by the senior partner.
    d) Proportional to drawings.

69. What happens to the profits distributed among partners?

    a) Included in partners' drawings accounts
    b) Charged as expense in profit or loss
    c) Credited to profit or loss as income
    d) Included in partners' capital accounts

70. Partner B withdrew Rs. 100,000 on January 1, and interest on drawings is charged at 12% annually. How much interest will Partner B be charged by June 30?

    a) Rs. 12,000
    b) Rs. 10,000
    c) Rs. 8,000
    d) Rs. 6,000

ANSWERS

01. (c) Aging analysis of receivables in not a financial statement.

02. (d) Prepaid insurance is deducted from the amount shown in trial to arrive at expense for the year.

03. (a)

Debit	Inventory	Rs. 237,500,000
Credit	Cost of sales	Rs. 237,500,000

04. (d) Drawings = Rs. 30,500 – (150x12) = Rs. 28,700

05. (c) Purchases = 105,950 – 4,000 = Rs. 101,950

06. (c)

	Rs. 000
Sales 353,300 – 2,432 *trade discount – 4,500 settlement discount*	346,368
Less: sales return	(10,000)
	336,368

07. (a) 160 x 10% x 3/12 = 4 million

08. (c) Total contract price 1.8 + 1.8 = 3.6 x 4/9 months = 1.6 less advance 1.8 = 0.2 million unearned

09. (b) Other income = 15 – 0.2 (unearned income) = 14.8
Total contract price 1.8 + 1.8 = 3.6 x 4/9 months = 1.6 less advance 1.8 = 0.2 million unearned

10. (a) Inventory is large percentage of assets in trading or manufacturing businesses.

11. (a) Closing allowance

	Rs. million
Receivables as per trial	100
Bad debts	(1)
Receivables	99
Allowance @ 6%	5.94

12. (b) Bad and doubtful debts expense

	Rs. million
Bad debts 3+1	4
Increase in allowance = 5.94 – 4.5	1.44
	5.44

Closing allowance

	Rs. million
Receivables as per trial	100
Bad debts	(1)
Receivables	99
Allowance @ 6%	5.94

13.	**(d)**	**Rs. million** Receivables as per trial 100 Bad debts 3+1 (1) 99 Closing allowance (5.94) 93.06 Closing allowance Receivables as per trial 100 Bad debts (1) Receivables 99 Allowance @ 6% ***5.94***
14.	**(a)**	= Rs. 150 + 1.5 -1.2 = Rs. 150.3 million
15.	**(b)**	Accrued expenses of Electricity Rs. 1.5 million Prepayment of rent Rs. 1.2 million
16.	**Rs. 391,000**	Depreciation charge = [6,650 – 330-2,414] x 10% = Rs. 391,000
17.	**Rs. 3,515,000**	= 6,650 – 330 – 2,414 - 391 = 3,515 Depreciation charge = [6,650 – 330-2,414] x 10% = Rs. 391,000
18.	**Rs. 50,000**	Interest classified to current liabilities 600 x 1/12 = 50
19.	**Rs. 41 million**	Misc. income = Rs. 45 million – 4 million = Rs. 41 million Unearned income = 12 million x 4/12 = Rs. 4 million
20.	**Rs. 4 million**	Unearned income = 12 million x 4/12 = Rs. 4 million
21.	**Rs. 23,650**	Cost of sales as given Rs. 23,580 + write down Rs. 70 = Rs. 23,650 Cost Rs. 1,000 and NRV Rs. 930 (i.e.) Rs. 1,130 – 200 Write down Rs. 70
22.	**Rs. 3,160**	Inventory as given Rs. 3,900 – write down Rs. 70 – return to supplier Rs. 670 = Rs. 3,160
23.	**Rs. 1,197**	On opening assets (Rs. 12,500 – 4,630) x 15% = Rs. 1,180 On additions Rs. 450 x 15% x 3/12 = Rs. 17 Total Rs. 1,197
24.	**Rs. 7,123**	At cost Rs. 12,500 + 450 = Rs. 12,950 Accumulated depreciation Rs. 4,630 + 1,197 = Rs. 5,827 Net Rs. 7,123
25.	**Rs. 1,440**	Rs. 1,290 + 150 income receivable = Rs. 1,440
26.	**Rs. 1,440**	Rs. 1,320 + 120 unearned income = Rs. 1,440 Unearned income Rs. 480 x 50% x 3/6 months = Rs. 120
27.	**Rs. 970**	Rs. 940 – 120 unearned + 150 accrued = Rs. 970
28.	**Rs. 700**	Financial charges need not be adjusted because interest expense has already been correctly accounted for, just credited in loan account rather than interest payable.
29.	**Rs. 5,000**	12% per annum ➔ 3% for each quarter Currently the loan figure is @103% i.e. 100% + 3% Rs. 5,150 x 100 / 103 = Rs. 5,000

		Interest expense has already been correctly accounted for, just credited in loan account rather than interest payable. Rs. 150 shall be presented as interest payable under current liabilities.
30.	**Rs. 690**	As given Rs. 490 + Rs. 200 included in rent and insurance = Rs. 690
31.	**Rs. 2,390**	As given Rs. 1,290 Prepaid insurance Rs. 800 – 200 drawings = Rs. 600 x 6/12 = Rs. 300 Prepaid rent Rs. 1,200 x 8/12 = Rs. 800 Total Rs. 2,390
32.	**Rs. 1,600**	As given Rs. 2,900 Less: Insurance of owner's residence Rs. 200 Less: Prepaid insurance Rs. 600 x 6/12 = Rs. 300 Less: Prepaid rent Rs. 1,200 x 8/12 = Rs. 800 Net expense Rs. 1,600
33.	**Rs. 256**	Bad debts written off Rs. 230 Increase in allowance Rs. 246 – 220 = Rs. 26 Total Rs. 256 Required balance of allowance Rs. 1,000 x 5% + 900 x 10% + 530 x 20% = Rs. 246
34.	**Rs. 4,154**	Trade receivables Rs. 4,400 – required allowance 246 = Rs. 4,154 Required balance of allowance Rs. 1,000 x 5% + 900 x 10% + 530 x 20% = Rs. 246
35.	**Rs. 360,000**	No adjustment in administrative expenses is required.
36.	**Rs. 156,000**	Rs. 150,000 + Rs. 6,000 Carriage outwards = Rs. 156,000
37.	**Rs. 472,000**	**Cost of sales** Rs. Inventory 1 January 2021 48,000 Purchases 480,000 Carriage inwards 4,000 Inventory 31 December 2021 (60,000) **472,000**
38.	**Rs. 727,000**	Revenue Rs. 1,200,000 – 1,000 return inwards = Rs. 1,199,000 Cost of sales Rs. 472,000 **Cost of sales** Rs. Inventory 1 January 2021 48,000 Purchases 480,000 Carriage inwards 4,000 Inventory 31 December 2021 (60,000) **472,000** Gross profit Rs. 727,000
39.	**Rs. 16.75 million**	Depreciation on building Rs. 120 – 70 = Rs. 50 / 50 years = Rs. 1 Depreciation on P&E Rs. 120 – 15 = Rs. 105 x 15% = Rs. 15.75

40.	**Rs. 188.25 million**	Land and building Rs. 120 – (20 + 1) = Rs. 99 Plant and equipment Rs. 120 – (15 + 15.75) = Rs. 89.25 Total Rs. 188.25
41.	**Rs. 11.2million**	As given Rs. 9 + 1.2 accrued income = Rs. 11.2 million
42.	**Rs. 25.2 million**	As given Rs. 25 + 0.2 unearned = Rs. 25.2 million Total contract price = Rs. 1.8 + 1.8 = Rs. 3.6 million Earned till year end = Rs. 3.6 x 4/9 months = Rs. 1.6 million Unearned = Rs. 1.8 advance – 1.6 earned = Rs. 0.2 million
43.	**Rs. 16 million**	Rs. 15 as given + 1.2 accrued – 0.2 unearned = Rs. 16 million Total contract price = Rs. 1.8 + 1.8 = Rs. 3.6 million Earned till year end = Rs. 3.6 x 4/9 months = Rs. 1.6 million Unearned = Rs. 1.8 advance – 1.6 earned = Rs. 0.2 million
44.	**Rs. 536,000**	As given Rs. 545,000 Less: Prepaid Rs. 75,000 x 1/3 month = Rs. 25,000 Add: Accrual of photocopies 40,000 x Re. 0.40 = Rs. 16,000 Net total Rs. 536,000
45.	**(c)**	Unused stock in usable condition is current asset = Rs. 63,000 (i.e. Rs. 90,000 x 70%) Remaining amount of Rs. 147,000 (i.e. Rs. 210,000 – 63,000) is charges as an expense.
46.	**Rs. 6,504,000**	**Capital** Rs. As given 5,223,000 Repair bill paid from personal cash 85,000 Vehicle invested 960,000 6,268,000 Net profit 880,000 Drawings (644,000) **6,504,000**
47.	**Rs. 231,840,000**	As given Rs. 230,600,000 + purchased Rs. 1,240,000 Total Rs. 231,840,000
48.	**Rs. 2,520,000**	As given Rs. 3,000,000 Less: adjusted against rent and purchase Rs. 480,000 Net Rs. 2,520,000
49.	**Rs. 42,400,000**	As given Rs. 41,400,000 + Payable to Qazi & Co. Rs. 1,000,000 = Rs. 42,400,000 Payable to Qazi & Co. Rs. 1,240,000 – 240,000 advance adjusted =Rs. 1,000,000 Adjustable advance Rs. 480,000 – 480,000 x 6/12 = Rs. 240,000
50.	**Rs. 26,140,000**	As given Rs. 25,900,000 Advance utilised Rs. 480,000 x 6/12 months = Rs. 240,000 Total expense Rs. 26,140,000

51.	**(b)**	The Adjusted Trial Balance lists all ledger account balances, including adjustments for accrued or prepaid items.
52.	**(c)**	Rs. 50,000 – Rs. 40,000 (i.e. 80%) earned = Rs. 10,000 still unearned
53.	**(a)**	In a trial balance, whether adjusted or unadjusted, the total debits always equal the total credits to ensure accuracy.
54.	**(a) and (b)**	Error of omission and error of principle do not affect total debits and total credits.
55.	**(b) and (d)**	Prepaid rent is treated as an asset and reduction in expense on the Adjusted Trial Balance since it represents a future economic benefit.
56.	**(b)**	Rs. 100,000 – 5,000 bad debts = Rs. 95,000
57.	**(a)**	Depreciation reduces the equipment balance: Rs. 500,000 – 50,000 = 450,000
58.	**(b)**	Rs. 20,000 – 12,000 = Rs. 8,000
59.	**(a)**	Accrued wages are recorded as a liability because they are an obligation that the business owes. Wages expense would increase (not decrease).
60.	**(a) and (b)**	Increase liabilities by Rs. 40,000. Increase expenses by Rs. 40,000.
61.	**(b)**	According to the Partnership Act, in the absence of a prior agreement, profits and losses are distributed equally among partners.
62.	**(b)**	Salary to Partner A (Rs. 150,000) is deducted from the net profit before calculating profit appropriation on PSR: Rs. 600,000 - Rs. 150,000 = Rs. 450,000
63.	**(a)**	The Profit and Loss Appropriation Account is nominal because it deals with the distribution and allocation of profits and does not represent an asset or liability.
64.	**(c)**	Rs. 200,000 salary + (Rs. 1,000,000 – 200,000) x 60% = Rs. 680,000
65.	**(a)**	Increases the profit available for appropriation
66.	**(c)**	Rs. 500,000 x 10% = Rs. 50,000
67.	**(c)**	Partner B will have more amount of profit credited to his capital account due to salary entitlement.
68.	**(a)**	Losses are shared equally among partners in the absence of an agreement, according to the Partnership Act.
69.	**(d)**	Profit distributed is included in partners' capital accounts
70.	**(d)**	Rs. 100,000 x 12% x 6/12 = Rs. 6,000

STICKY NOTES

Statement of financial position (Minimum face items)

Assets

- **Property, plant and equipment**
- **Intangible assets**
- **Long-term investments**
- **Inventories**
- **Trade and other receivables**
- **Cash and cash equivalents.**

Liabilities

- **Trade and other payables**
- **Bank loans etc.**
- **Current tax liabilities (but possibly assets)**

Equity

- **Issued capital and reserves attributable to the owners of the entity. (The term 'owners', refers to the equity holders.)**

Statement of comprehensive income (Minimum face items)

As a minimum, IAS 1 requires that the statement of comprehensive income should include line items showing the following amounts for the financial period:

- **revenue**
- **finance costs (for example, interest costs)**
- **tax expense**
- **profit or loss**
- **each component of 'other comprehensive income**
- **total comprehensive income.**

Unadjusted Trial Balance

➔

Adjusting entries

➔

Adjusted Trial Balance

➔

Financial statements

Key points for preparing profit or loss appropriation statement in a partnership business:

1. Notional Salaries
2. Commission and bonuses of partners
3. Interest on drawings
4. Interest on capital
5. Profit sharing ratio for residual profits
6. Minimum guaranteed share
7. Change in profit sharing ratio during the period